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Asean Banks

Safety, return & deployment of capital to drive stocks;
downgrading UOB, BMRI, BRI, BNI and Tisco

The factor rotation underway with moves in \$ (down 4.2% YTD) as well as wider growth differential between US and the rest of the world should continue ([link](#), [link](#)). In the next 6-12M, we expect SG banks to trade in a range, and be a funding source on a rally. ID banks may have risk of weakness, if liquidity remains tight. TH banks are likely going to outperform, with lower NPL formation and higher payout driving the stocks. PH and VN banks are delivering 13/17% loan growth, with higher policy flexibility helping the investment case. MY banks offer a combination of MSD growth, ~60% payout & 6% yield. Our key picks are KTB, TTB, TidLor, BDO, BPI, VCB, TCB & HLBK. We prefer DBS within SG banks on yields, while SGX, ID banks, BBL, PBK and Tisco are our preferred funding sources.

- **SG:** We have reduced estimates by ~3%, led by an ~100bps decline in 3M SORA in last 6M. MAS targets NEER, hence the domestic rates reflect weighted average cuts across trading partners. \$ depreciation can accelerate this trend. The offsets are better WM, IB/ECM/DCM, loans and AQ. We reduce PTs by ~5%, leading to limited potential upside for UOB, and hence our downgrade to N.
- **TH:** Two thirds of loan growth in the last decade became NPLs. Tighter credit standards since 1Q24 have led to stoppage of loan growth, and NPL formation should follow. Hence, book values are more credible, which is accompanied by capital management. At PB of 0.88 and TR DY of 9%, re-rating should accelerate. KTB and TTB are top picks, while we are downgrading Tisco to UW as dividend yield spread to peers has reduced.
- **ID:** The underlying liquidity challenges and the outlook on quality and growth of credit is unclear, with banks starting to guide for and report monthly data that suggests a weak 1Q. Hence, we expect a volatile range for the sector. We are reducing sector EPS for 2025/26 by 5-6%, while we expect higher market risk premium to weigh on stocks. Hence, we move BMRI to UW from N and BNI and BRI to N from OW. Jago stays OW, with BCA at N.
- **PH:** BDO and BPI stay top picks, with 13% loan growth and 14-15% ROE in 2025/26E supporting the outlook. In a scenario of sustained DXY weakness, easing concerns on PHP and improved growth outlook should offset NIM impact of faster BSP rate cuts. SECB will be a potential beneficiary of this setup. Execution will be key to drive further re-rating at MBT following 40% rally in 2024.
- **VN:** Domestic drivers are improving, with real estate recovery and strong government spending (~20% y/y in 2M25) supporting credit growth (16% quota for 2025) and AQ. Liquidity is tight (106% LDR), but weaker USD increases policy flexibility. Tariffs are the key risk on the horizon ([link](#)). We prefer stocks with specific catalysts: TCB (real estate recovery, discussion of TCBS listing) and VCB (private placement and beneficiary of potential FTSE

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re-classification). ACB stays OW (~20% ROE over next 2Y), while we watch for a sustained ROE improvement at VPB (N).

- **MY:** The worries on tariffs, chip supply, Indonesia exposure and an underwhelming guidance led to CIMB's weakness ([link](#)). We believe most of the concerns are priced in at ~1x PB, with a path to 13% RoE by 2027. Niaga potentially can underwhelm, and hence this is a risk. HLBK and MAY stay OW, while PBK and RHB stay Neutral.

Table Of Contents

Safety, return & deployment of capital to drive stocks	7
Singapore	13
Thailand	14
Indonesia	18
Philippines	22
Vietnam	24
Malaysia	25
Hong Leong Bank	27
DBS Group Holdings	34
OCBC Bank	40
United Overseas Bank (UOB)	45
Tisco Financial Group PCL	51
Kasikornbank PCL	57
Bank Negara Indonesia Persero	64
Bank Rakyat Indonesia	70
PT Bank Mandiri Tbk	77
Bank Central Asia (BCA)	83
Bank Jago	89
Bank of the Philippine Islands	96
Security Bank Corporation	102
Asia Commercial Bank	108
Techcombank	114
Vietcombank	120
VPBank	126
AMMB Holdings	132
CIMB Group Holdings	139
Hong Leong Bank	146
Maybank (Malayan Banking)	152
Public Bank	158

Equity Ratings and Price Targets

Company	Ticker	Mkt Cap (\$ mn)	Price CCY	Price	Rating		Price Target			
					Cur	Prev	Cur	End Date	Prev	End Date
DBS Group Holdings	DBS SP	96,559	SGD	45.31	OW	n/c	49.00	Dec-25	51.00	n/c
OCBC Bank	OCBC SP	57,184	SGD	16.98	NR		—	—	—	n/c
United Overseas Bank (UOB)	UOB SP	47,597	SGD	37.95	N	OW	40.00	Dec-25	43.00	n/c
Tisco Financial Group PCL	TISCO TB	2,397	THB	101.00	UW	N	87.00	Dec-25	100.00	n/c
Kasikornbank PCL	KBANK TB	11,518	THB	164.00	N	n/c	170.00	Dec-25	150.00	n/c
Bank Negara Indonesia Persero	BBNI IJ	8,529.46	IDR	3,770	N	OW	3,900	Dec-25	4,600	n/c
Bank Rakyat Indonesia	BBRI IJ	34,016.21	IDR	3,700	N	OW	3,900	Dec-25	4,200	n/c
PT Bank Mandiri Tbk.	BMRI IJ	24,967.66	IDR	4,410	UW	N	3,700	Dec-25	5,100	n/c
Bank Central Asia (BCA)	BBCA IJ	59,075.15	IDR	7,900	N	n/c	8,000	Dec-25	9,300	n/c
Bank Jago	ARTO IJ	1,219.20	IDR	1,450	OW	n/c	2,500	Dec-25	3,200	n/c
Bank of the Philippine Islands	BPI PM	12,395	PHP	134.50	OW	n/c	150.00	Dec-25	155.00	n/c
Security Bank Corporation	SECB PM	942	PHP	71.50	OW	n/c	120.00	Dec-25	n/c	n/c
Asia Commercial Bank	ACB VN	4,561.77	VND	26100	OW	n/c	32,000.00	Dec-25	n/c	n/c
Techcombank	TCB VN	7,560.84	VND	27350	OW	n/c	32,000.00	Dec-25	28,000.00	n/c
Vietcombank	VCB VN	21,579.24	VND	66000	OW	n/c	75,000.00	Dec-25	74,000.00	n/c
VPBank	VPB VN	6,053.86	VND	19500	N	n/c	21,000.00	Dec-25	20,000.00	n/c
AMMB Holdings	AMM MK	4,184	MYR	5.61	NR		—	—	—	n/c
CIMB Group Holdings	CIMB MK	16,621	MYR	6.85	OW	n/c	8.60	Dec-25	9.70	n/c
Hong Leong Bank	HLBK MK	10,034	MYR	20.48	OW	n/c	24.00	Dec-25	n/c	n/c
Maybank (Malayan Banking)	MAY MK	27,765	MYR	10.18	OW	n/c	11.30	Dec-25	n/c	n/c
Public Bank	PBK MK	19,699	MYR	4.49	N	n/c	4.80	Dec-25	n/c	n/c

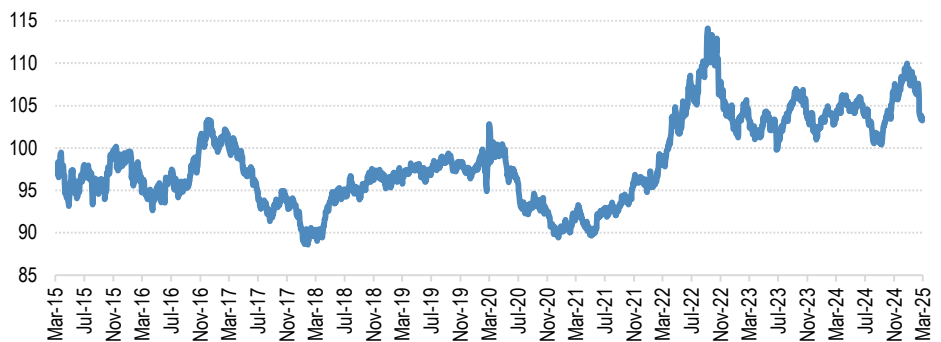
Source: Company data, Bloomberg Finance L.P., J.P. Morgan estimates. n/c = no change. All prices as of 21 Mar 25.

Safety, return & deployment of capital to drive stocks

The factor rotation underway with moves in \$ (down 4.2% YTD) as well as wider growth differential between US and the rest of the world should continue ([link](#), [link](#)). In the next 6-12M, we expect SG banks to trade in a range, and be a funding source on a rally. ID banks may have risk of weakness, if liquidity remains tight. TH banks are likely going to outperform, with lower NPL formation and higher payout driving the stocks. PH and VN banks are delivering 13/17% loan growth, with higher policy flexibility helping the investment case. MY banks offer a combination of MSD growth, ~60% payout & 6% yield. Our key picks are KTB, TTB, TidLor, BDO, BPI, VCB, TCB & HLBK. We prefer DBS within SG banks on yields, while SGX, ID banks, BBL, PBK and Tisco are our preferred funding sources.

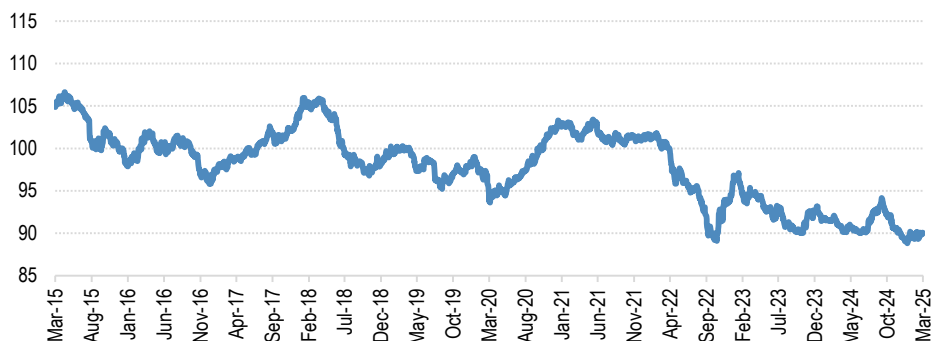
DXY is down 4.2% YTD

Figure 1: DXY Index



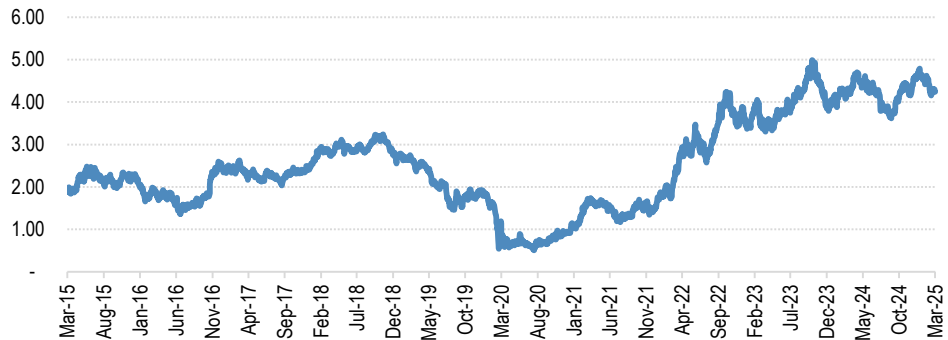
Source: Bloomberg Finance L.P.

Figure 2: Asia dollar index



Source: Bloomberg Finance L.P.

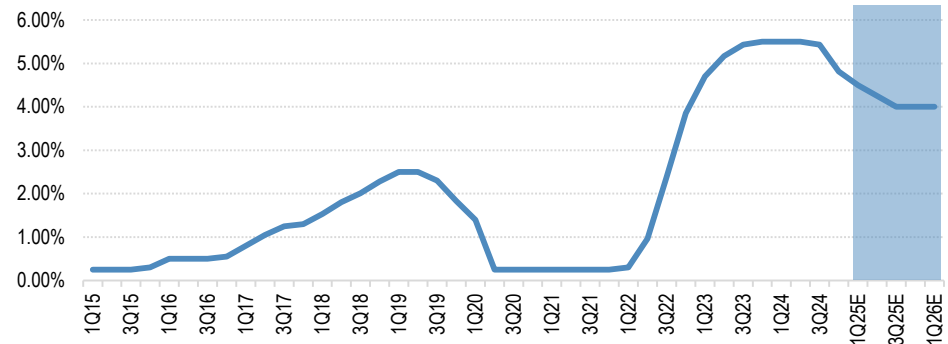
Figure 3: US 10Y BY (%)



Source: Bloomberg Finance L.P.

We forecast 4% Fed rate by year end

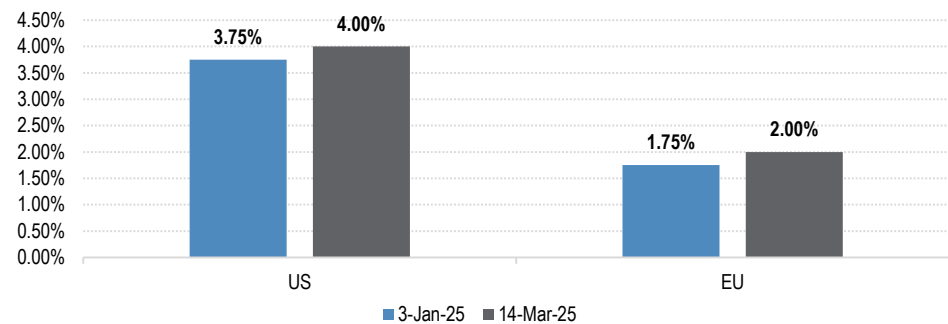
Figure 4: US Fed rate (%)



Source: J.P. Morgan estimates, Bloomberg Finance L.P.

Rate cut expectations are 25bps lower
YTD

Figure 5: US and EU: Dec-25 policy rate forecasts



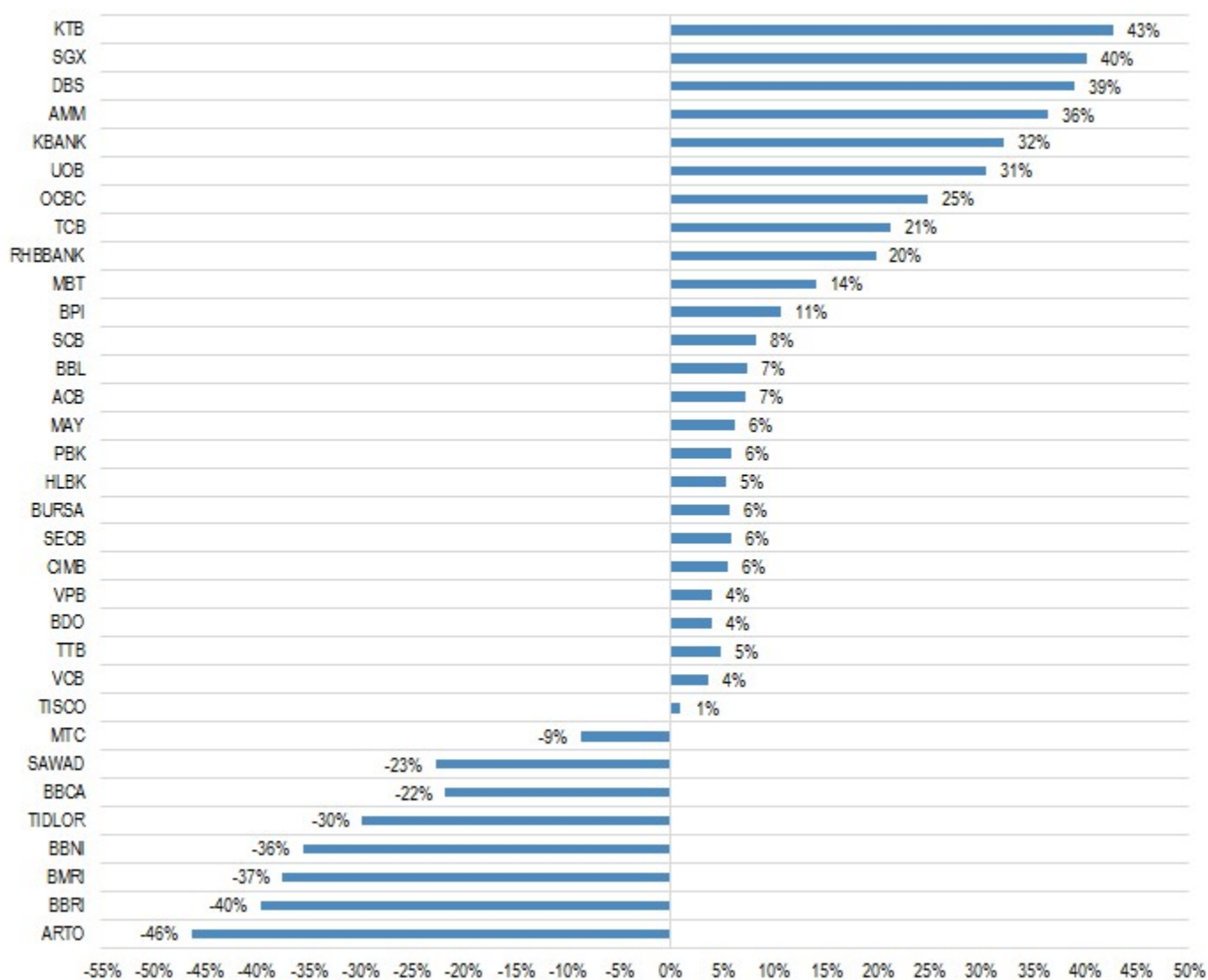
Source: J.P. Morgan Economics.

Table 1: APAC: System loan growth y/y

Asia loan growth	ID	PH	VN	MY	SG	TH	IN	CH	HK	TW	KR	JP
Latest data for month	Jan-25	Jan-25	Nov-24	Jan-25	Jan-25	Jan-25	Jan-25	Jan-25	Jan-25	Jan-25	Dec-24	Jan-25
Loan growth for latest month (y/y)	9.0%	12.8%	16.6%	5.7%	3.6%	-0.2%	11.2%	7.5%	-2.2%	9.8%	5.4%	3.2%
Loan growth 3M ago (y/y)	10.4%	10.6%	15.7%	6.0%	1.5%	1.5%	11.7%	8.0%	-3.6%	10.0%	6.4%	2.9%
Loan growth 6M ago (y/y)	11.7%	10.4%	14.0%	6.4%	0.4%	-0.6%	13.4%	8.7%	-5.0%	8.9%	6.4%	3.5%
Loan growth 12M ago (y/y)	11.5%	7.8%	11.3%	5.7%	-1.5%	0.6%	19.9%	10.4%	-5.5%	5.2%	4.6%	3.4%

Source: CEIC data, Bloomberg Finance L.P.

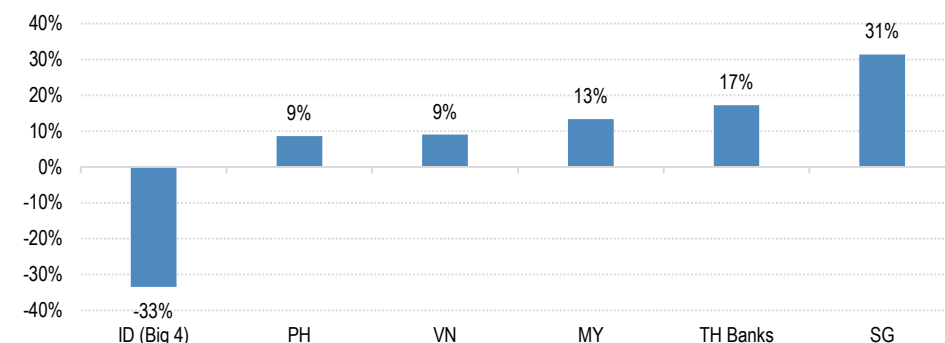
Figure 6: Asean Financials: 1Y Price performance



Source: Bloomberg Finance L.P. As of 21 Mar 2025.

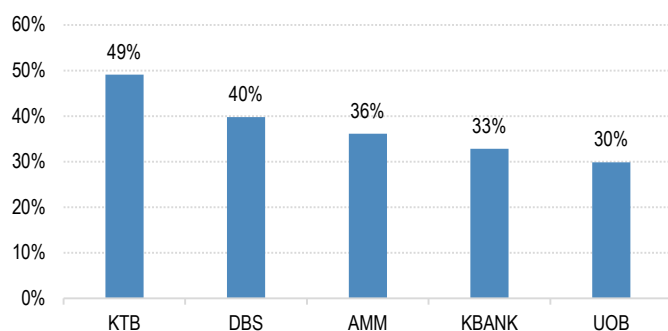
Asean Financials: Top and bottom performers

Figure 7: Asean Banks: 1Y price performance by country



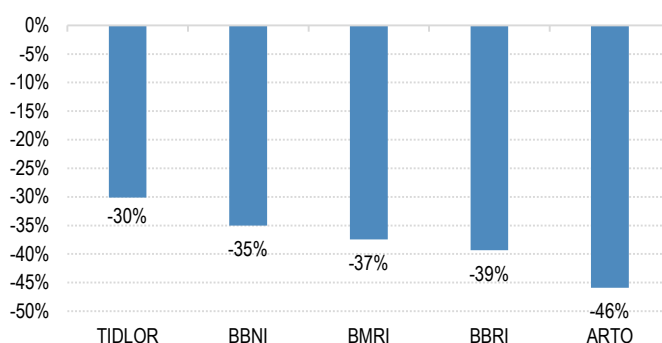
Source: Bloomberg Finance L.P. As of 21 Mar 2025.

Figure 8: Asean Banks: Top 5 performers in last 1Y



Source: Bloomberg Finance L.P. As of 21 Mar 2025.

Figure 9: Asean Banks: Bottom 5 performers in last 1Y



Source: Bloomberg Finance L.P. As of 21 Mar 2025.

Table 2: Asean: Bond yields q/q (bps)

QoQ		1Q23	2Q23	3Q23	4Q23	1Q24	2Q24	3Q24	4Q24	QTD
ID	3Y	(41)	(34)	17	58	(31)	45	(30)	5	13
	10Y	(37)	(35)	(2)	36	(16)	37	(23)	7	34
MY	3Y	(35)	(5)	9	8	(12)	13	(18)	8	(11)
	10Y	(35)	(14)	10	4	(7)	8	(14)	6	(9)
SG	2Y	5	(0)	33	(7)	(15)	9	(64)	(2)	(23)
	10Y	(20)	(17)	30	(8)	(11)	30	(47)	1	(16)
TH	3Y	(21)	24	32	19	(36)	14	(13)	(15)	(31)
	10Y	(38)	4	18	34	(45)	12	(16)	(19)	(34)
PH	3Y	(37)	37	3	(38)	19	22	(80)	54	(22)
	10Y	(77)	9	19	(49)	23	42	(92)	44	7
VN	3Y	(82)	(141)	(73)	(8)	(36)	53	3	(1)	26
	10Y	(66)	(117)	(51)	3	(22)	43	(5)	2	20

Source: Bloomberg Finance L.P.

EPS revisions and PT/rating changes

Table 3: Asean Banks: EPS revisions and JPM vs Street

EPS	EPSg y/y			JPM vs Street			JPM revisions		
	2025E	2026E	2027E	2025E	2026E	2027E	2025E	2026E	2027E
DBS	-2%	2%	4%	-3%	-3%	-2%	-3%	-4%	-4%
OCBC	-1%	4%	4%	-2%	0%	-1%	-3%	-1%	n.a
UOB	5%	7%	9%	-2%	-1%	0%	-3%	-4%	-4%
TISCO	-7%	4%	8%	-4%	-2%	3%	-2%	-1%	0%
KBANK	5%	9%	6%	-1%	1%	3%	1%	1%	n.a
BBNI	-4%	5%	12%	-12%	-16%	-20%	-2%	-7%	-8%
BBRI	-9%	6%	9%	-9%	-12%	-13%	-9%	-8%	-13%
BMRI	-8%	4%	12%	-11%	-14%	-17%	-8%	-8%	-9%
BBCA	-2%	7%	9%	-8%	-9%	-8%	-1%	0%	-1%
ARTO	161%	178%	99%	-7%	37%	-12%	-12%	7%	20%
BPI	6%	8%	11%	-3%	-6%	-7%	-1%	-4%	n.a
SECB	23%	9%	17%	2%	-1%	7%	3%	-2%	n.a
ACB	6%	18%	19%	-10%	-9%	-8%	-1%	-1%	n.a
TCB	11%	26%	21%	-9%	-7%	-3%	-7%	-5%	n.a
VCB	14%	18%	19%	0%	1%	4%	-4%	-5%	n.a
VPB	16%	20%	20%	-5%	-13%	-23%	13%	11%	n.a
CIMB	6%	12%	8%	2%	8%	9%	-4%	-6%	n.a
HLBK	7%	17%	-5%	2%	11%	-2%	1%	-3%	-4%
MAY	6%	7%	8%	0%	3%	5%	-2%	-5%	n.a
PBK	5%	3%	4%	0%	-2%	-3%	-1%	-3%	n.a

Source: J.P. Morgan estimates, Bloomberg Finance L.P.

Table 4: Asean Banks: PT and rating changes

Bank	Old rating	New rating	Old PT	New PT	Chg in PT
DBS	OW	OW	51.00	49.00	-4%
UOB	OW	N	43.00	40.00	-7%
TISCO	N	UW	100.00	87.00	-13%
KBANK	N	N	150.00	170.00	13%
BBNI	OW	N	4,600	3,900	-15%
BBRI	OW	N	4,200	3,900	-7%
BMRI	N	UW	5,100	3,700	-27%
BBCA	N	N	9,300	8,000	-14%
ARTO	OW	OW	3,200	2,500	-22%
BPI	OW	OW	155.00	150.00	-3%
SECB	OW	OW	120.00	120.00	0%
ACB	OW	OW	32,000	32,000	0%
TCB	OW	OW	28,000	32,000	14%
VCB	OW	OW	74,000	75,000	1%
VPB	N	N	20,000	21,000	5%
CIMB	OW	OW	9.70	8.60	-11%
HLBK	OW	OW	24.00	24.00	0%
MAY	OW	OW	11.30	11.30	0%
PBK	N	N	4.80	4.80	0%

Source: J.P. Morgan.

Table 5: Asean Financials: Valuation

Bank	Price LC	Rating	PT LC	PE (x)		PB (x)		Div Yield (%)		RoE (%)	
				2025E	2026E	2025E	2026E	2025E	2026E	2025E	2026E
Singapore											
DBS	45.31	OW	49.00	11.6	11.4	1.87	1.78	6.8	7.2	16.2	15.9
OCBC	16.98	NR	NA	10.3	9.9	1.28	1.22	6.0	6.2	12.7	12.7
UOB	37.95	N	40.00	10.1	9.5	1.30	1.22	5.6	5.8	13.0	13.3
Indonesia											
BBCA	7,900	N	8,000	18.1	16.9	3.49	3.26	3.9	4.1	19.9	19.9
BBRI	3,700	N	3,900	10.2	9.7	1.77	1.72	8.8	9.3	17.3	18.1
BMRI	4,410	UW	3,700	8.0	7.7	1.39	1.31	7.5	7.8	17.8	17.6
BBNI	3,770	N	3,900	6.8	6.5	0.83	0.79	8.8	9.2	12.5	12.4
ARTO	1,450	OW	2,500	60.0	21.5	2.27	2.05	-	-	3.9	10.0
Philippines											
BPI	134.50	OW	150.00	10.8	10.0	1.50	1.37	3.3	3.5	14.6	14.4
BDO	160.30	OW	180.00	9.4	8.7	1.33	1.19	2.5	2.5	14.9	14.4
MBT	73.00	N	80.00	6.9	6.7	0.80	0.74	6.8	4.1	11.9	11.5
SECB	71.50	OW	120.00	3.9	3.6	0.35	0.33	4.2	4.2	9.4	9.5
Malaysia											
AMM	5.61	NR	NA	8.5	1.0	0.85	0.31	6.5	2.0	10.2	1.0
CIMB	6.85	OW	8.60	8.9	8.0	1.01	0.95	6.2	7.5	11.6	12.3
HLBK	20.48	OW	24.00	9.4	8.0	1.05	0.97	4.4	4.9	11.6	12.7
PBK	4.49	N	4.80	11.6	11.3	1.43	1.37	5.6	5.8	12.7	12.4
MAY	10.18	OW	11.30	11.5	10.8	1.26	1.22	6.2	6.9	11.1	11.6
RHB	6.76	N	7.20	9.3	8.6	0.87	0.83	6.4	7.1	9.5	9.9
Thailand											
KBANK	164.00	N	170.00	7.7	7.1	0.68	0.66	8.8	9.1	9.2	9.6
SCB	125.00	N	130.00	9.4	8.8	0.84	0.83	8.5	9.1	9.1	9.5
BBL	151.00	N	160.00	6.2	6.1	0.49	0.45	5.3	5.3	8.2	7.7
KTB	24.00	OW	26.00	7.0	6.7	0.70	0.67	7.8	9.0	10.4	10.3
TTB	1.94	OW	2.25	8.8	7.7	0.74	0.70	8.0	9.1	8.8	9.3
TISCO	101.00	UW	87.00	12.6	12.1	1.87	1.85	7.7	7.7	14.8	15.3
SAWAD	29.50	N	34.00	9.1	7.7	1.29	1.11	0.2	5.1	14.5	15.5
MTC	42.00	OW	51.00	13.0	10.3	2.06	1.74	0.7	0.8	17.1	18.3
TIDLOR	15.30	OW	19.00	9.2	7.3	1.31	1.15	3.3	4.1	15.1	16.8
Vietnam											
ACB	26,100	OW	32,000	6.6	5.6	1.20	1.04	3.8	4.6	19.6	20.0
TCB	27,350	OW	32,000	8.1	6.4	1.18	1.02	2.7	2.7	15.5	17.1
VCB	66,000	OW	75,000	15.5	13.1	2.35	2.06	-	1.5	16.5	16.7
VPB	19,500	N	21,000	8.4	7.0	1.02	0.93	5.1	5.1	12.5	13.9

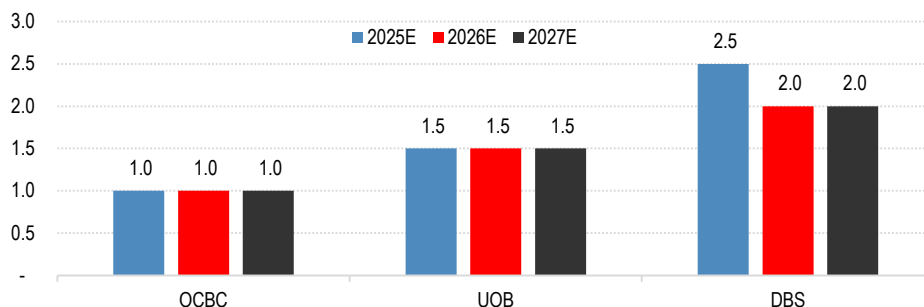
Source: J.P. Morgan estimates, Bloomberg Finance L.P. Priced as of 21 Mar 2025.

Singapore

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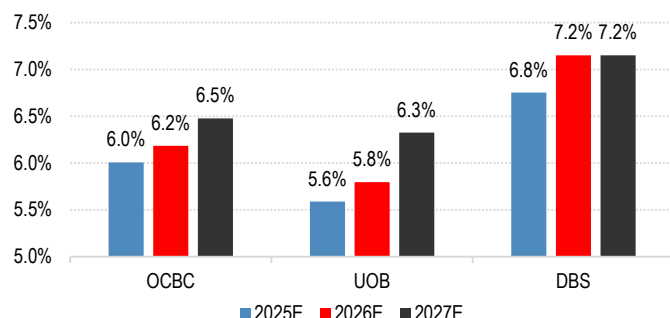
DBS offers the highest total yields in the sector

Figure 10: Singapore Banks: Buyback forecasts (\$\$ bn)



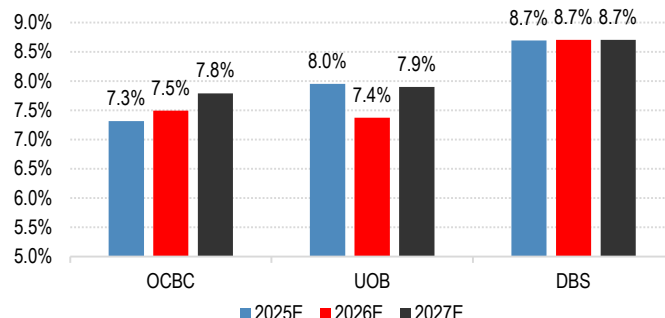
Source: J.P. Morgan estimates.

Figure 11: Singapore Banks: Div yields



Source: J.P. Morgan estimates, Bloomberg Finance L.P.

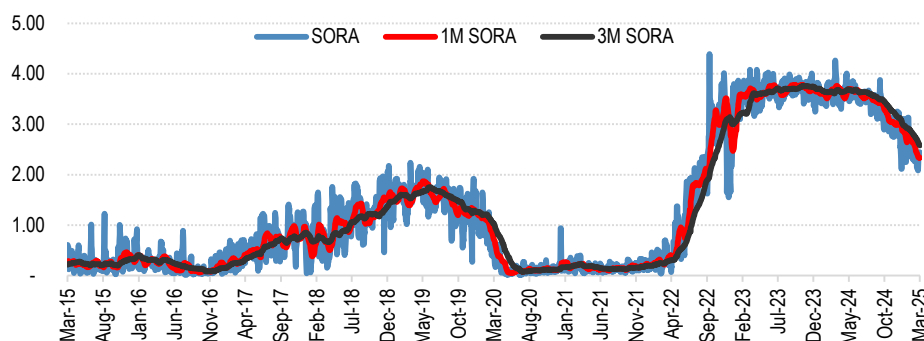
Figure 12: Singapore Banks: Total yields (Div + buyback)



Source: J.P. Morgan estimates, Bloomberg Finance L.P.

SORA has declined by ~80bps in last 3M

Figure 13: Singapore Interbank Overnight Rate Average (%)



Source: Bloomberg Finance L.P.

Thailand

Two thirds of loan growth in the last decade became NPLs. Tighter credit standards since 1Q24 have led to stoppage of loan growth, and NPL formation should follow. Hence, book values are more credible, which is accompanied by capital management. At PB of 0.88 and TR DY of 9%, re-rating should accelerate. KTB and TTB are top picks, while we are downgrading Tisco to UW as dividend yield spread to peers has reduced.

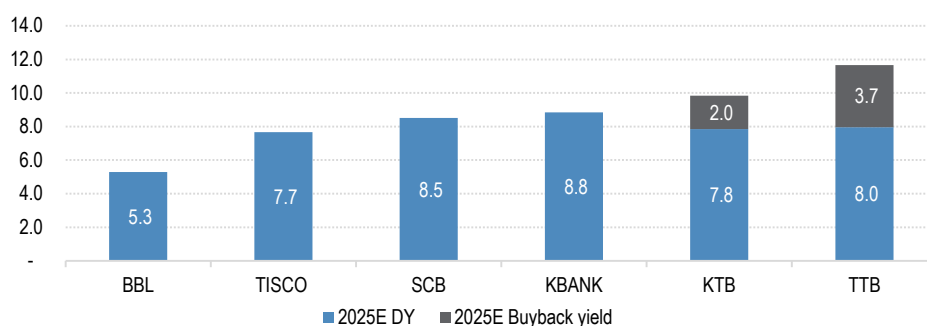
Table 6: Thailand Banks: Dividend details

Banks	Dec-24		2023		2024					Ex Date	Payment Date
	CET1	CAR	DPS (Bt)	Payout	1H24 DPS (Bt)	2H24 DPS (Bt)	Special (Bt)	2024 DPS (Bt)	Payout		
BBL	16.2%	20.4%	7.00	32%	2.00	6.50	-	8.50	36%	23-Apr	9-May
KBANK	17.3%	20.3%	6.50	36%	1.50	8.00	2.50	12.00	59%	17 April/ 15 May	9 May/ 6 June
KTB	18.5%	21.4%	0.87	33%	-	1.55	-	1.55	49%	16-Apr	2-May
SCB	17.7%	18.9%	10.34	80%	2.00	8.44	-	10.44	80%	16-Apr	2-May
TISCO	17.0%	18.6%	7.75	85%	2.00	5.75	-	7.75	90%	25-Apr	16-May
TTB	16.9%	19.3%	0.11	55%	0.065	0.065	-	0.130	60%	25-Apr	20-May

Source: Company data.

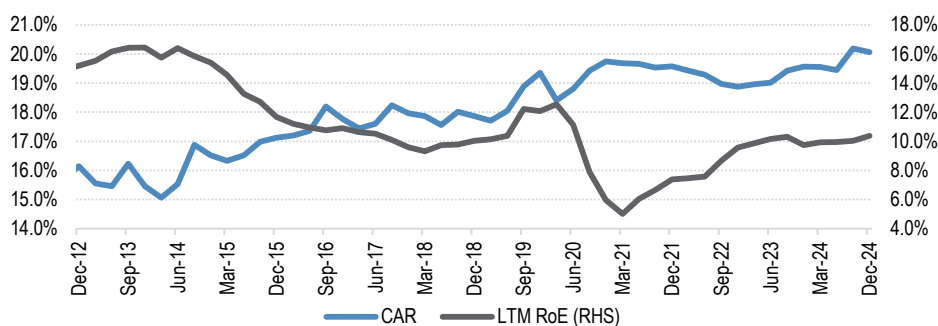
TTB and KTB offer the highest total return yields within our coverage

Figure 14: Thailand Banks: Total yields (%)



Source: J.P. Morgan estimates, Bloomberg Finance L.P. *Note: KBank including special dividends.

Figure 15: Thailand Banking System: RoE vs Capital Adequacy



Source: BOT.

Growth was NPL

Net domestic loan growth was Bt5.4tn in the last decade, with Bt3.5tn of NPL formation. Basically, 65% of loan growth turned bad. This proportion has moved up to 85% in the last five years (Bt2.1tn of gross NPL formation vs. Bt2.4tn of loan gr), partly led by the pandemic. NPL formation has exceeded growth in loans by a factor of 2x in the last three years. Basically, we are now in a phase of cleanup, with a collapse in growth helping the matter. This cleanup then starts creating conditions for growth as banks' ability to take risk moves up. We expect this shift to start happening by year-end, with help from government policies.

Table 7: Thailand banks: Loan growth vs. NPL formation

Bt mn	Net loan growth	Gross NPL formation	Net NPL formation	Gross formation as % of net loan growth	Net formation as % of net loan growth
Last 10 years	5,417,124	3,531,477	253,314	65%	4.68%
Last 5 years	2,420,269	2,058,730	88,524	85%	3.66%
Last 3 years	603,055	1,259,321	(3,917)	209%	-0.65%

Source: CEIC, J.P. Morgan calculations.

February balance sheet growth

Balance sheet growth across Thai banks remains lackluster (avg loans down 1% y/y for banks under our coverage, deposits flat) and is likely to remain so over the course of the next few months.

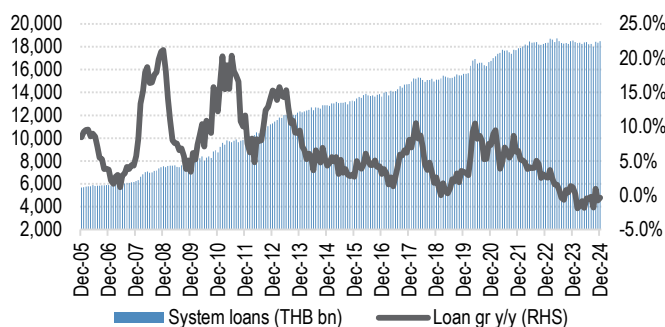
Figure 16: Thailand Banks: Bank-only Loans and Deposit growth

Loan growth					
Feb-25	y/y	q/q	m/m	ytd	
BBL	-0.9%	-0.1%	1.0%	1.1%	
KBANK	0.6%	-0.5%	-0.5%	-2.4%	
KTB	3.1%	2.3%	-1.9%	-2.1%	
SCB	-0.4%	0.1%	0.4%	0.7%	
TTB	-7.3%	-2.0%	0.1%	-1.7%	
TISCO	-0.5%	1.0%	0.5%	0.2%	
Sector	-0.9%	0.1%	-0.1%	-0.7%	
Big 4 banks	0.6%	0.4%	-0.3%	-0.7%	

Deposit growth					
Feb-25	y/y	q/q	m/m	ytd	
BBL	1.3%	0.5%	0.2%	1.1%	
KBANK	0.4%	1.4%	0.3%	0.1%	
KTB	6.8%	-2.3%	-0.7%	0.1%	
SCB	1.0%	0.5%	0.7%	-0.2%	
TTB	-5.2%	-0.3%	-0.4%	-1.6%	
TISCO	-5.0%	1.1%	-0.3%	-1.7%	
Sector	-0.1%	0.1%	0.0%	-0.4%	
Big 4 banks	2.4%	0.0%	0.1%	0.3%	

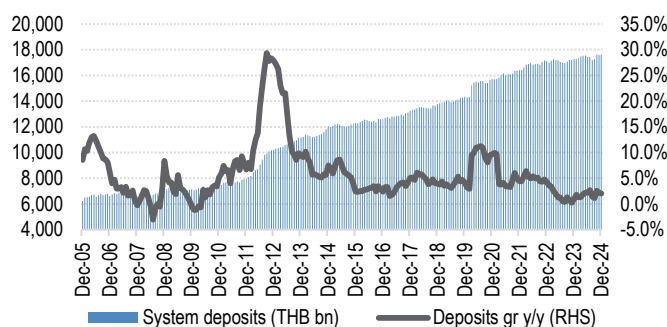
Source: BOT.

Figure 17: Thailand: System loans



Source: BOT

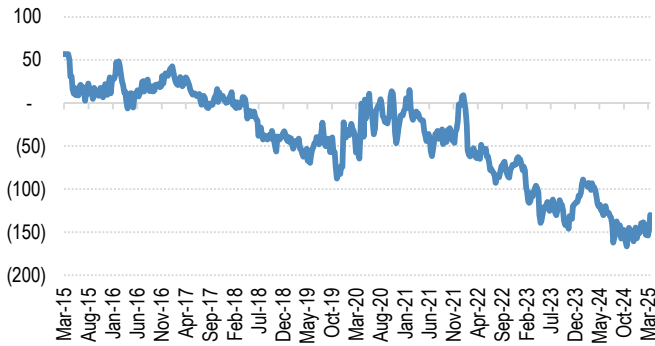
Figure 18: Thailand: System deposits



Source: BOT

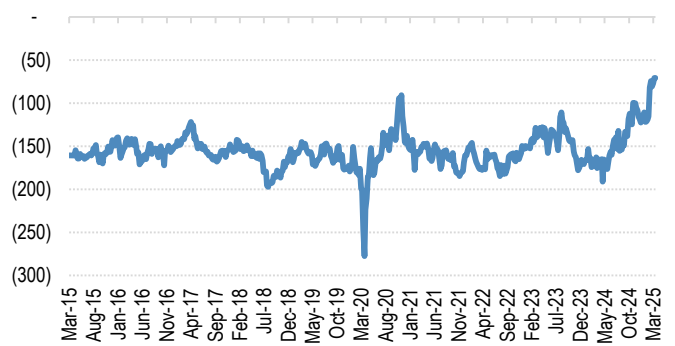
Dividend yield spread with sector average

Figure 19: BBL: Dividend yield spread with sector



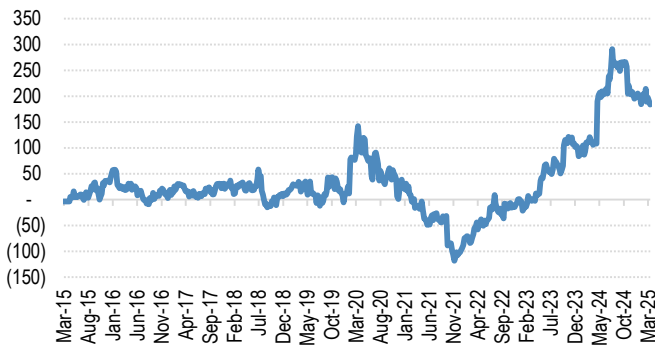
Source: Bloomberg Finance L.P.

Figure 20: KBANK: Dividend yield spread with sector



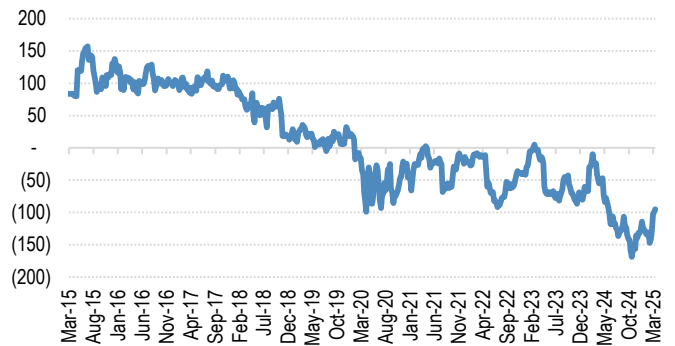
Source: Bloomberg Finance L.P.

Figure 21: SCB: Dividend yield spread with sector



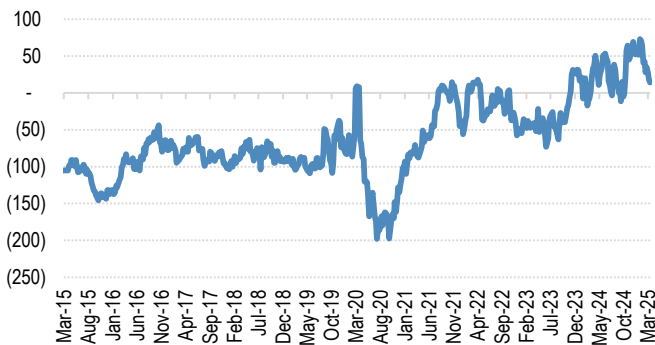
Source: Bloomberg Finance L.P.

Figure 22: KTB: Dividend yield spread with sector



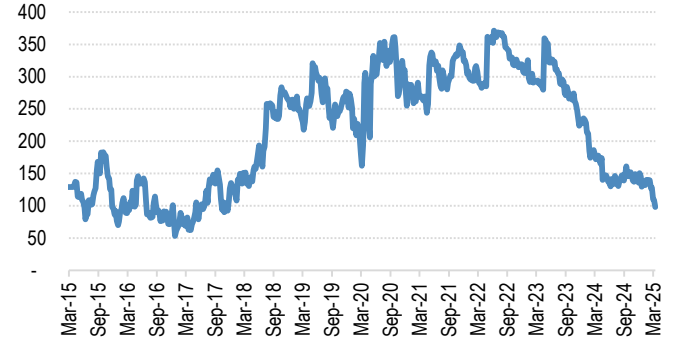
Source: Bloomberg Finance L.P.

Figure 23: TTB: Dividend yield spread with sector



Source: Bloomberg Finance L.P.

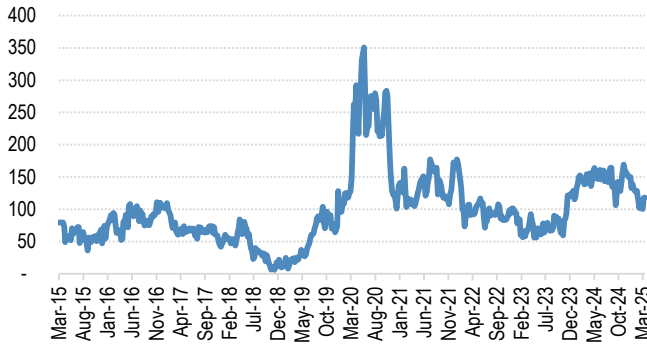
Figure 24: TISCO: Dividend yield spread with sector



Source: Bloomberg Finance L.P.

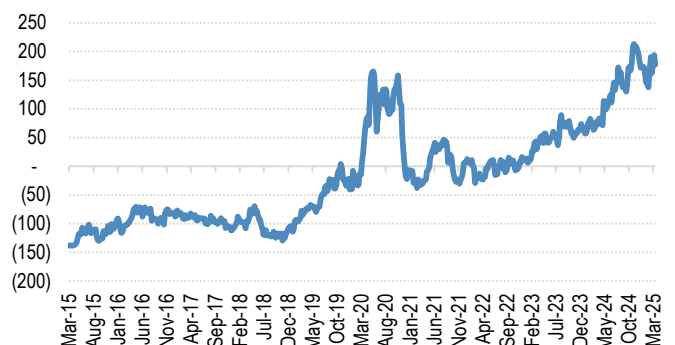
Dividend yield spread with SET index

Figure 25: BBL: Dividend yield spread with SET index DY



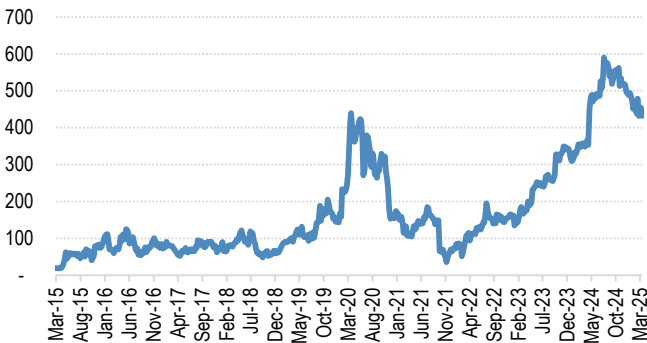
Source: Bloomberg Finance L.P.

Figure 26: KBANK: Dividend yield spread with SET index DY



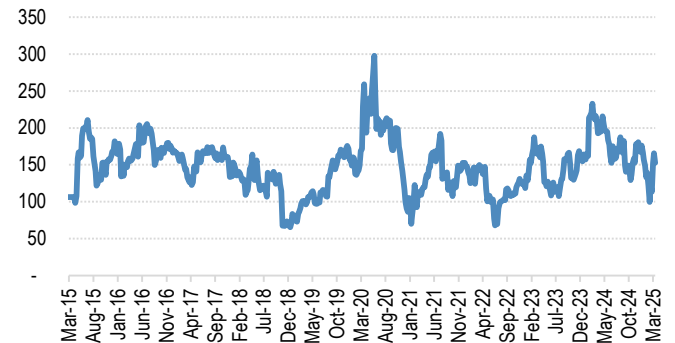
Source: Bloomberg Finance L.P.

Figure 27: SCB: Dividend yield spread with SET index DY



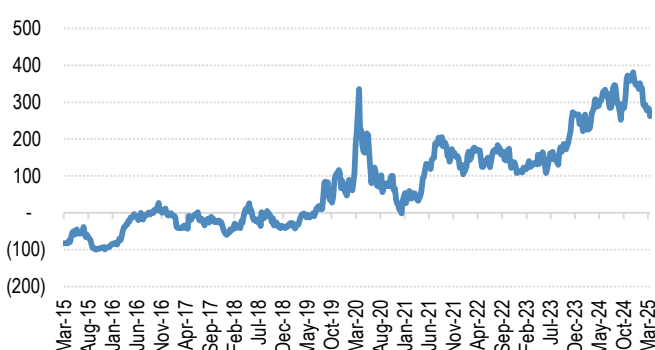
Source: Bloomberg Finance L.P.

Figure 28: KTB: Dividend yield spread with SET index DY



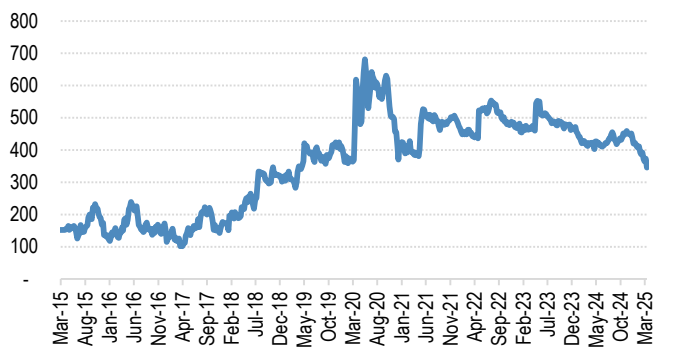
Source: Bloomberg Finance L.P.

Figure 29: TTB: Dividend yield spread with SET index DY



Source: Bloomberg Finance L.P.

Figure 30: TISCO: Dividend yield spread with SET index DY



Source: Bloomberg Finance L.P.

Indonesia

The underlying liquidity challenges and the outlook on quality and growth of credit is unclear, with banks starting to guide for and report monthly data that suggests a weak 1Q. Hence, we expect a volatile range for the sector. We are reducing sector EPS for 2025/26 by 5-6%, while expect higher market risk premium to weigh on stocks. Hence, we move BMRI to UW from N and BNI and BRI to N from OW. Jago stays OW, with BCA at N.

Table 8: Indonesia Banks: m/m change in shareholding

Company	LOCAL						FOREIGN					
	Insurance	Pension Fund	Individual	Mutual Fund	Others*	TOTAL	Insurance	Pension Fund	Individual	Mutual Fund	Others*	TOTAL
BMRI	0.1%	0.0%	1.3%	0.2%	0.0%	1.7%	0.1%	-0.3%	0.0%	-2.4%	0.9%	-1.7%
BBCA	0.1%	0.0%	0.6%	0.0%	0.1%	0.8%	0.0%	0.1%	0.0%	-0.1%	-0.7%	-0.8%
BBRI	-0.3%	0.0%	1.0%	-0.2%	0.0%	0.5%	-0.2%	0.5%	0.0%	0.3%	-1.1%	-0.5%
BBNI	0.1%	0.0%	0.3%	-0.1%	0.0%	0.3%	-0.1%	0.6%	0.0%	0.2%	-1.0%	-0.3%
BRIS	0.0%	0.0%	-0.2%	0.0%	0.0%	-0.3%	0.0%	0.1%	0.0%	0.2%	0.0%	0.3%

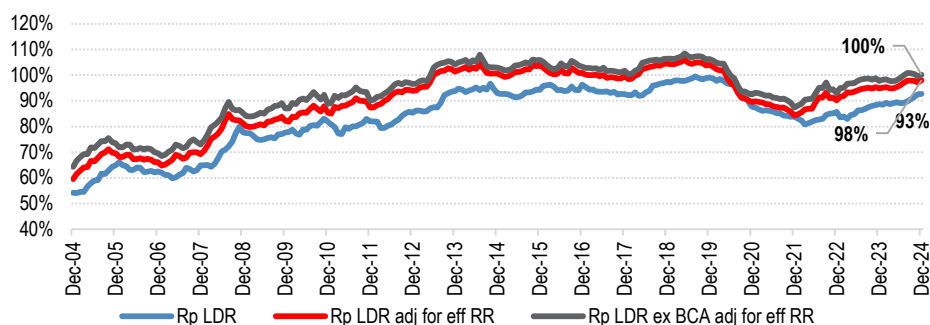
Source: Bloomberg Finance L.P. Note: Others include Financial Institution, Corporate, Securities Company, Foundation, and Others.

Table 9: Indonesia Banks: Net buying/selling by foreign investors

	BBCA			No of ADV days (based on 3M ADV)	BMRI			No of ADV days (based on 3M ADV)		BBNI			No of ADV days (based on 3M ADV)		BBRI			No of ADV days (based on 3M ADV)
	IDR mn	\$ mn			IDR mn	\$ mn				IDR mn	\$ mn				IDR mn	\$ mn		
Last 1M	(5,420,964)	(330)		5	(4,004,092)	(244)		4		(1,621,898)	(99)		6		(3,995,998)	(243)		4
Last 3M	(10,636,321)	(651)		11	(7,144,516)	(437)		8		(1,972,698)	(120)		7		(4,956,806)	(303)		4
Last 6M	(16,693,231)	(1,036)		17	(12,525,874)	(782)		14		(3,010,192)	(185)		11		(27,665,416)	(1,758)		26
Last 12M	(13,130,383)	(810)		13	(12,232,887)	(757)		14		(3,924,929)	(237)		14		(45,059,543)	(2,819)		41

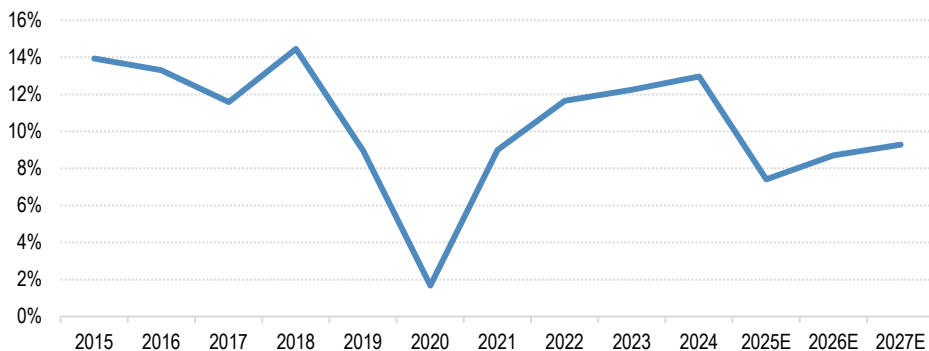
Source: J.P. Morgan estimates, Bloomberg Finance L.P. Note: Negative number indicates selling.

Figure 31: Indonesia: Rp LDR



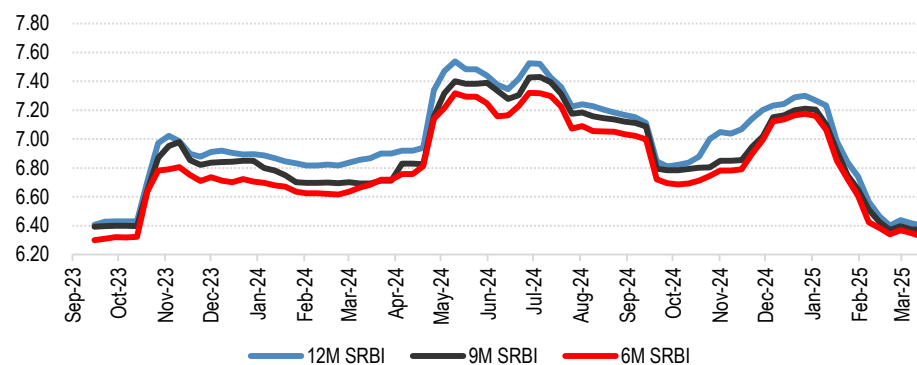
Source: CEIC data.

Figure 32: Indonesia Banks: Big 4 average loan growth



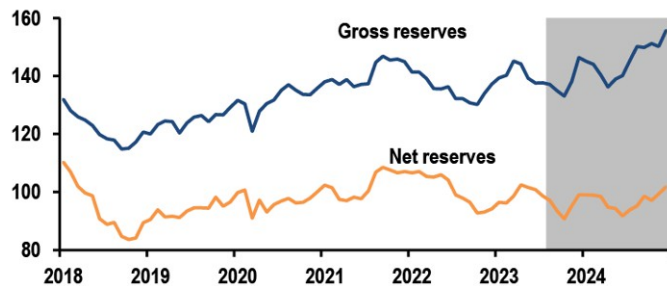
Source: Company reports and J.P. Morgan estimates.

Figure 33: Indonesia: SRBI yields



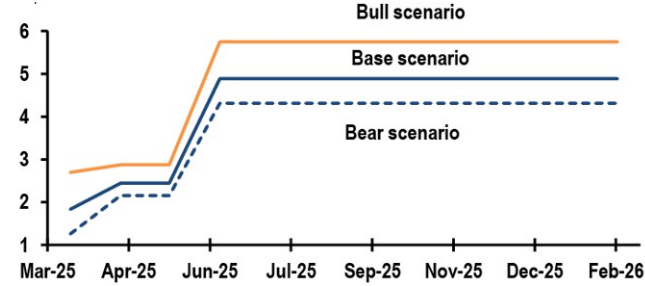
Source: Company reports and J.P. Morgan estimates.

Figure 34: Bank Indonesia: Gross and net FX reserves (US\$ bn)



Source: CEIC, J.P. Morgan. Note: The shaded region denotes period of GR36/2023.

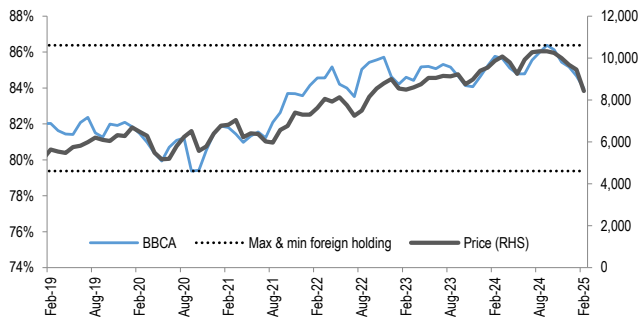
Figure 35: Bank Indonesia: Potential increase in FX reserves (US\$ bn)



Source: CEIC, J.P. Morgan estimates.

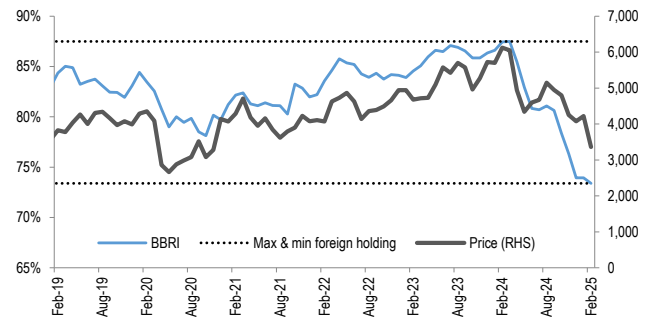
Indonesia Banks: Foreign vs local institutional ownership trends

Figure 36: BBKA: Foreign inst. ownership (% of free-float)



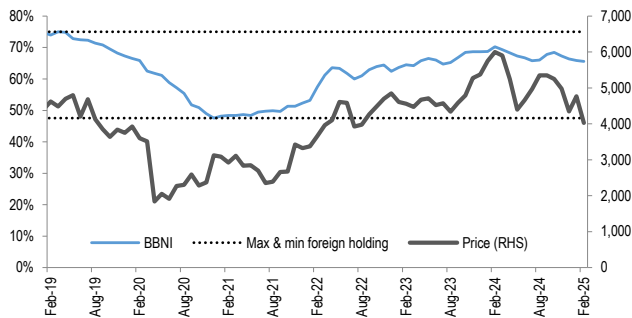
Source: Bloomberg Finance L.P., J.P. Morgan estimates based on KSEI data.

Figure 37: BBRI: Foreign inst. ownership (% of free-float)



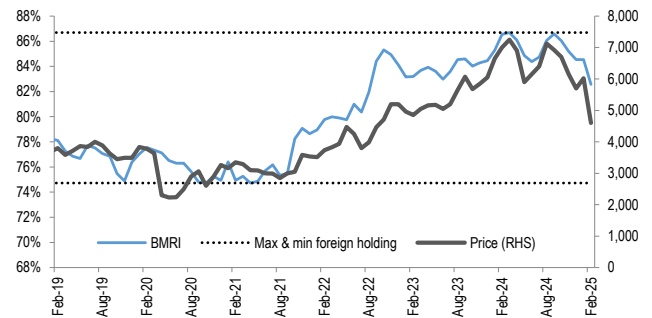
Source: Bloomberg Finance L.P., J.P. Morgan estimates based on KSEI data.

Figure 38: BBNI: Foreign inst. ownership (% of free-float)



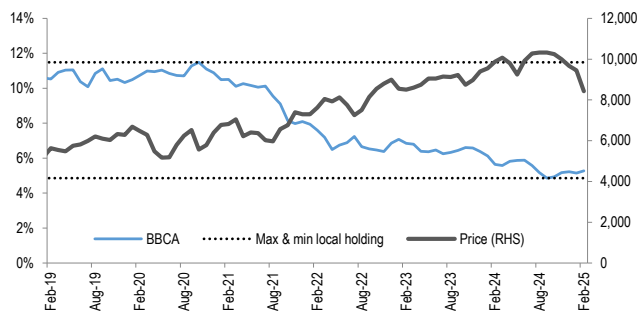
Source: Bloomberg Finance L.P., J.P. Morgan estimates based on KSEI data.

Figure 39: BMRI: Foreign inst. ownership (% of free-float)



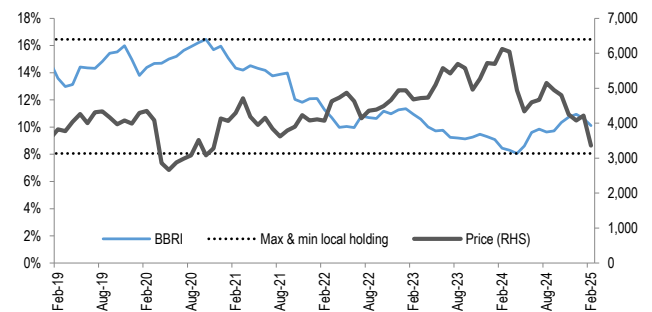
Source: Bloomberg Finance L.P., J.P. Morgan estimates based on KSEI data.

Figure 40: BBKA: Local inst. ownership (% of free-float)



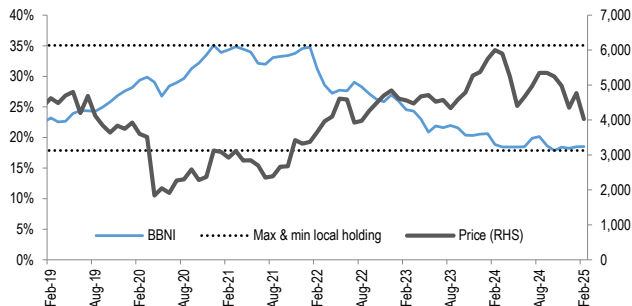
Source: Bloomberg Finance L.P., J.P. Morgan estimates based on KSEI data.

Figure 41: BBRI: Local inst. ownership (% of free-float)



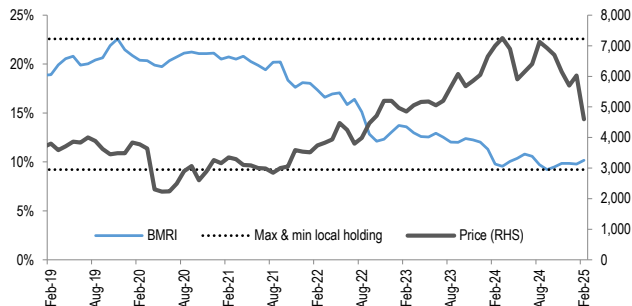
Source: Bloomberg Finance L.P., J.P. Morgan estimates based on KSEI data.

Figure 42: BBNI: Local inst. ownership (% of free-float)



Source: Bloomberg Finance L.P., J.P. Morgan estimates based on KSEI data.

Figure 43: BMRI: Local inst. ownership (% of free-float)

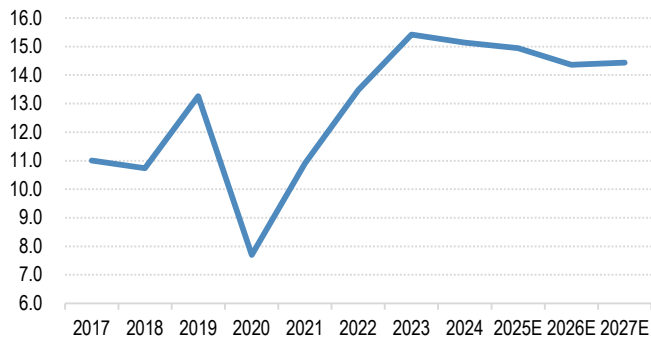


Source: Bloomberg Finance L.P., J.P. Morgan estimates based on KSEI data.

Philippines

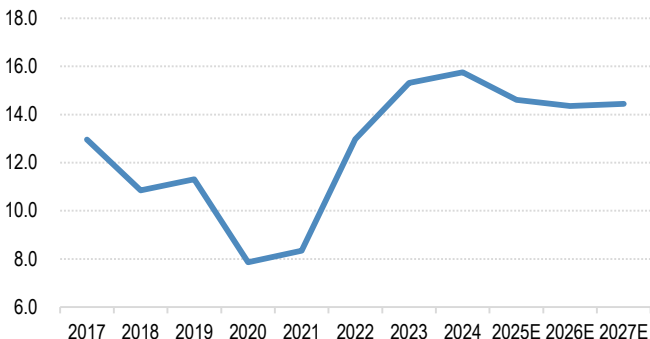
BDO and BPI stay top picks, with 13% loan growth and 14-15% ROE in 2025/26 supporting the outlook. In a scenario of sustained DXY weakness, easing concerns on PHP and improved growth outlook should offset NIM impact of faster BSP rate cuts. SECB will be a potential beneficiary of this setup. Execution will be key to drive further re-rating at MBT following 40% rally in 2024.

Figure 44: BDO: RoE (%)



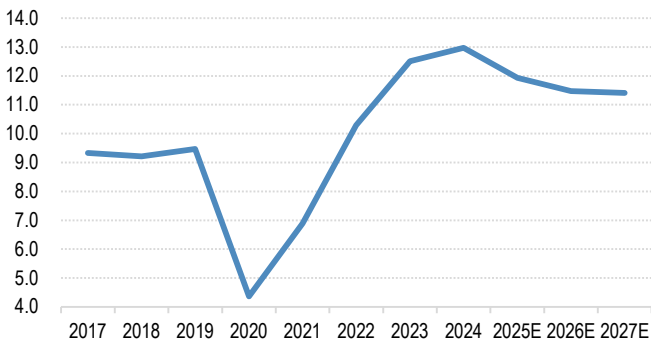
Source: Company reports and J.P. Morgan estimates.

Figure 45: BPI: RoE (%)



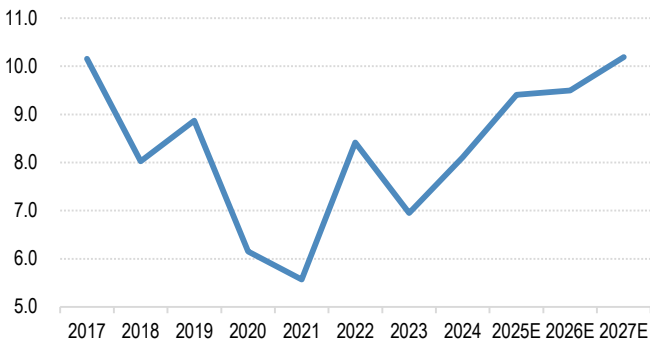
Source: Company reports and J.P. Morgan estimates.

Figure 46: MBT: RoE (%)



Source: Company reports and J.P. Morgan estimates.

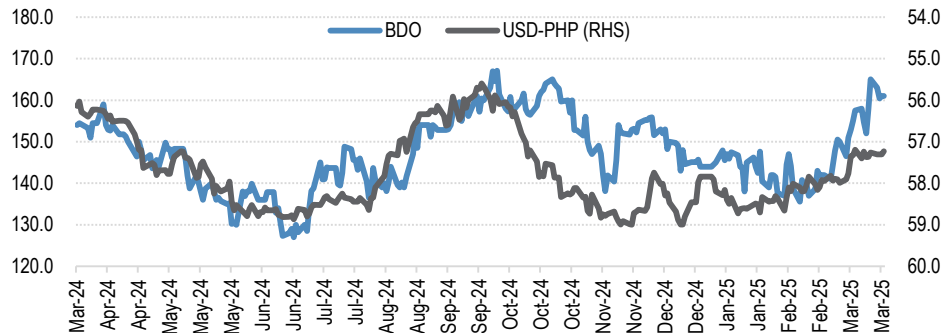
Figure 47: SECB: RoE (%)



Source: Company reports and J.P. Morgan estimates.

BDO stock has seen positive correlation with inverted USD-PHP rate over last 1Y

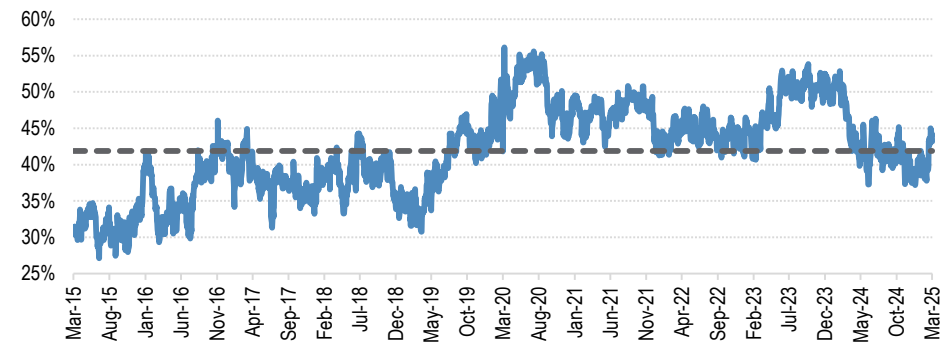
Figure 48: BDO vs USD-PHP



Source: Bloomberg Finance L.P.

MBT's fwd PB premium vs BDO/BPI is near decade average levels

Figure 49: MBT: P/B discount vs BDO/BPI



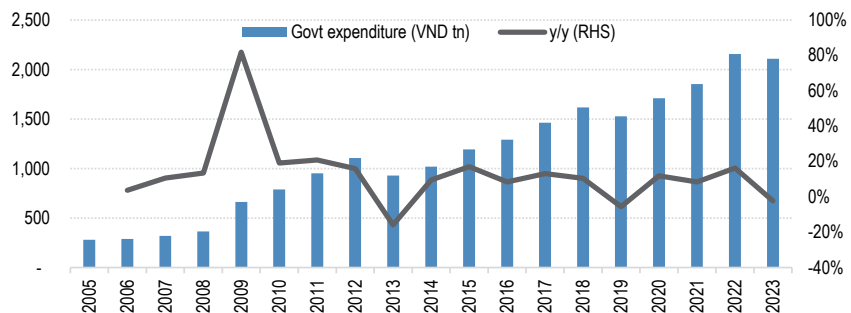
Source: Bloomberg Finance L.P.

Vietnam

Domestic drivers are improving, with real estate recovery and strong government spending (~20% y/y in 2M25) supporting credit growth (16% quota for 2025) and AQ. Liquidity is tight (106% LDR), but weaker USD increases policy flexibility. Tariffs are the key risk on the horizon ([link](#)). We prefer stocks with specific catalysts: TCB (real estate recovery, discussion of TCBS listing) and VCB (private placement and beneficiary of potential FTSE re-classification). ACB stays OW (~20% ROE over next 2Y), while we watch for a sustained ROE improvement at VPB (N).

Vietnam government's expenditure has been steadily increasing over the last decade

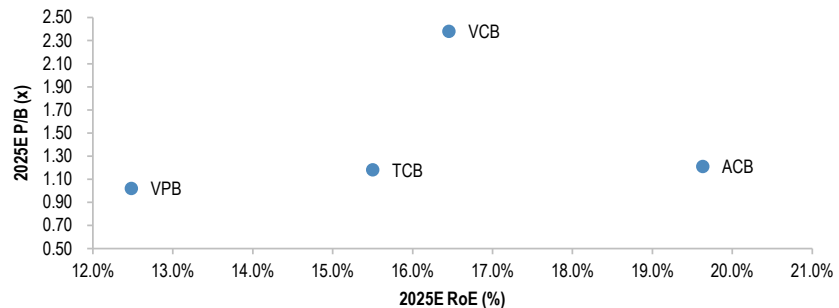
Figure 50: Vietnam: Government expenditure



Source: Bloomberg Finance L.P.

ACB offers the highest value at 1.20x P/B for 19.6% RoE

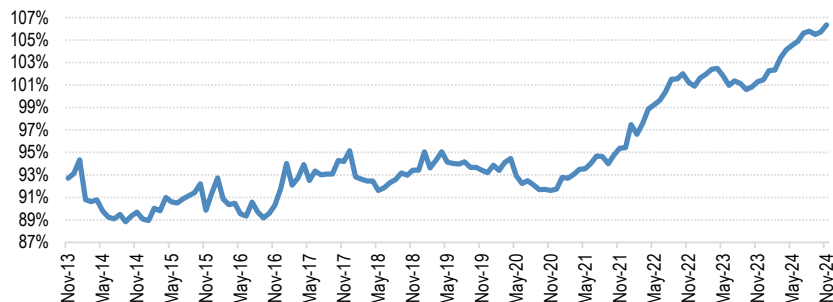
Figure 51: Vietnam: 2025E P/B vs RoE



Source: J.P. Morgan estimates, Bloomberg Finance L.P.

Vietnam's system LDR stands at 106% as of Nov-24

Figure 52: Vietnam: System LDR



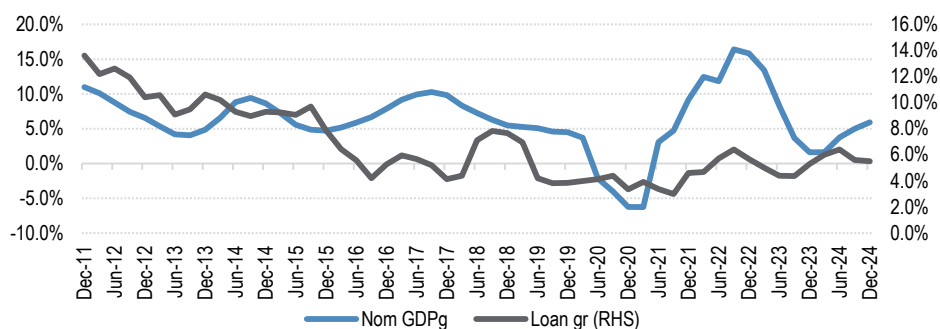
Source: CEIC data.

Malaysia

The worries on tariffs, chip supply, Indonesia exposure and an underwhelming guidance led to CIMB's weakness ([link](#)). We believe most of the concerns are priced in at 1.01x PB, with a path to 13% RoE by 2027. Niaga potentially can underwhelm, and hence this is a risk. HLBK and MAY stay OW, while PBK and RHB stay Neutral.

Loan growth has lagged Nom GDPg in last few qtrs

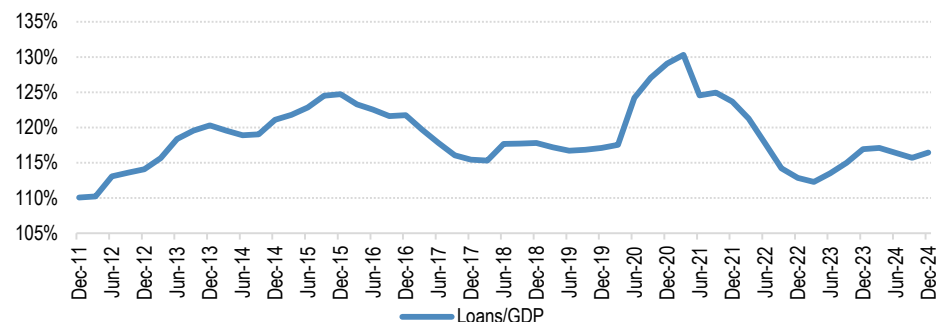
Figure 53: Malaysia: Loan gr vs Nom GDPg y/y



Source: Bloomberg Finance L.P.

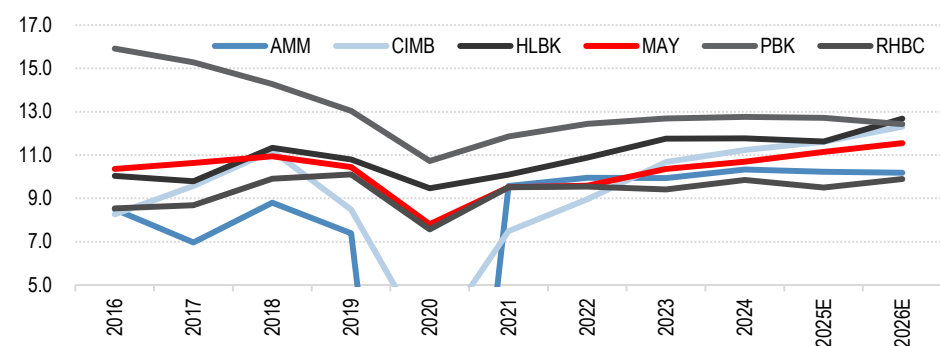
Malaysia's loan to GDP ratio is at 116% as of Dec-24

Figure 54: Malaysia: System loans to GDP



Source: Bloomberg Finance L.P.

Figure 55: Malaysia Banks: RoE (%)



Source: Company reports and J.P. Morgan estimates.

AMM and RHB have witnessed the highest positive revisions YTD

Table 10: Malaysia Banks: Street EPS revisions

	2025E					2026E				
	1m	3m	6m	12m	YTD	1m	3m	6m	12m	YTD
AMM	1%	3%	6%	12%	3%	0%	2%	5%	11%	2%
CIMB	-2%	-3%	-4%	0%	-3%	-2%	-3%	-6%	-3%	-3%
HLBK	-1%	-1%	0%	3%	-1%	-1%	-1%	-1%	1%	-1%
MAY	2%	1%	1%	3%	1%	1%	0%	0%	1%	0%
PBK	1%	1%	2%	1%	1%	1%	1%	2%	2%	1%
RHB	5%	5%	7%	7%	5%	3%	3%	5%	3%	3%
Average	1%	1%	2%	4%	1%	0%	0%	1%	3%	0%

Source: Bloomberg Finance L.P. As of 21 Mar 2025.

Table 11: Malaysia Banks: Interest rate tracker

%	Wt Avg TD rates					Wt Avg saving deposits rate	Wt Avg lending rate on outstanding loans
	1M	3M	6M	9M	12M		
Jun-23	2.52	2.65	2.77	2.82	2.86	0.43	5.08
Jul-23	2.55	2.66	2.79	2.83	2.88	0.44	5.07
Aug-23	2.53	2.62	2.69	2.69	2.75	0.44	5.10
Sep-23	2.53	2.62	2.68	2.69	2.73	0.43	5.09
Oct-23	2.55	2.62	2.67	2.68	2.72	0.43	5.10
Nov-23	2.51	2.60	2.66	2.68	2.71	0.43	5.11
Dec-23	2.51	2.61	2.66	2.66	2.71	0.43	5.11
Jan-24	2.51	2.60	2.65	2.65	2.70	0.43	5.12
Feb-24	2.46	2.59	2.62	2.61	2.67	0.43	5.14
Mar-24	2.48	2.58	2.62	2.61	2.67	0.43	5.12
Apr-24	2.44	2.56	2.60	2.61	2.64	0.43	5.13
May-24	2.39	2.52	2.55	2.57	2.60	0.43	5.13
Jun-24	2.37	2.51	2.54	2.57	2.58	0.43	5.12
Jul-24	2.39	2.50	2.53	2.56	2.57	0.43	5.12
Aug-24	2.38	2.49	2.53	2.56	2.57	0.43	5.11
Sep-24	2.35	2.47	2.52	2.56	2.56	0.43	5.09
Oct-24	2.28	2.44	2.49	2.52	2.53	0.43	5.07
Nov-24	2.27	2.44	2.50	2.51	2.53	0.43	5.08
Dec-24	2.27	2.44	2.50	2.50	2.53	0.43	5.05
Jan-25	2.27	2.44	2.50	2.50	2.53	0.43	5.01
Current vs last month	(0)	(0)	0	(0)	(0)	-	(5)
Current vs 3M ago	(1)	(0)	1	(2)	(0)	-	(6)
Current vs 6M ago	(12)	(6)	(4)	(6)	(5)	-	(11)
Current vs 12M ago	(24)	(16)	(15)	(15)	(18)	-	(12)

Source: BNM. Based on avg data for commercial banks.

Hong Leong Bank

Bank of Chengdu: A deep dive

Bank of Chengdu (601838 CH, NC) is a high quality regional Chinese bank with a significant portion of assets being government-linked (LGFV and SoE loans and bonds). It is 17.78% owned by HLBK, contributing 31% to HLBK's PBT in FY24 (from 21% 5Y ago). Hong Leong's stake diluted from 19.76% to 17.78% in Dec-24, as some of the holders of BOCD's convertible bonds exercised their conversion rights. BoCD has been a great multi-year investment for HLBK, but shifts in China's GDP and credit growth prospects may make strategic sense to book some of these gains. Further, our discussions with HLBK management suggest a potential shift towards increasing contributions from core business. Accordingly, we forecast a possibility of HLBK selling part of the stake in FY26.

- **Potential stake sell scenarios:** There are two ways in which HLBK's stake in BoCD falls below the current 17.78% ownership: 1) direct stake sell; and 2) conversion by other convertible bond holders. As of now, HLBK does not need to sell BoCD stake to raise capital as retained capital and earnings are enough to fund RWA growth. Yet, if the bank chooses to sell the stake and distribute a part of proceeds in form of dividends, it will be a meaningful boost for the stock price.
- **BoCD has outpaced core earnings:** BoCD's contribution to HLBK has increased by 17% cagr since FY18, significantly higher than HLBK's core earnings growth of 4%. Accordingly, its contribution to PBT has risen from 16% in FY18 to 31% in FY24. Based on our discussions, it is likely that the bank may want to maintain BoCD's contributions at current levels and focus on higher profits from core business. Accordingly, a corporate action may be forthcoming.
- **Government exposure at BoCD is not a concern:** According to BoCD's management, LGFV exposure is high at ~50% of total loans and less than 10% of the investment book, with robust AQ. A large portion of exposure within Chengdu is largely LGFV-linked. In other parts of Sichuan, Chongqing, and Xi'an, BoCD is selective and primarily banks with local municipal and district governments, and hence is able to maintain a strong AQ. While loan pricing is declining across the board due to debt relief measures, BoCD's LGFV yields remain stable at ~5% as high-quality LGFVs are usually not rate sensitive, per management.

BoCD: A high quality franchise

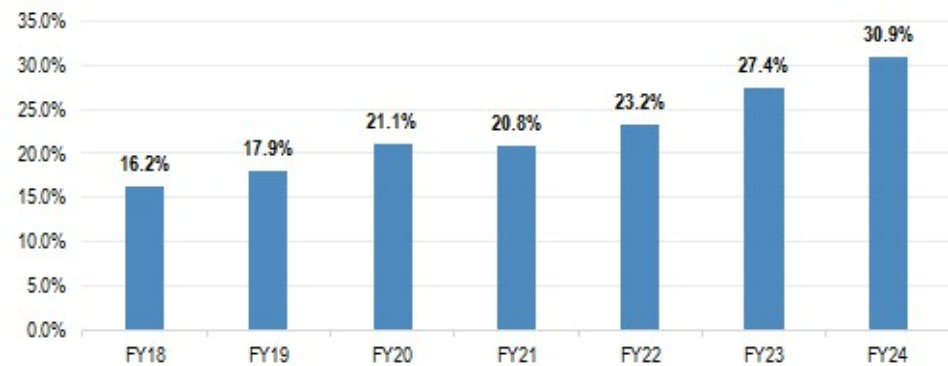
Bank of Chengdu (601838 CH, NC) is a regional joint-stock commercial bank, headquartered in Chengdu City. It was formed in 1996. BoCD has ~250 outlets (including branches, sub-branches and banking offices) across Sichuan, Xi'an and Chongqing provinces. BoCD's RoE (18% in 1H24) is one of the highest among China-listed banks.

BoCD's ownership and contribution

HLBK first acquired a 19.99% stake in BoCD in Oct-2007. In 2018, BoCD was listed, which resulted in HLBK's share declining to 18%. In March 2022, HLBK subscribed to BoCD's convertibles, which again led to increase in its stake to 19.8%. In Dec-24,

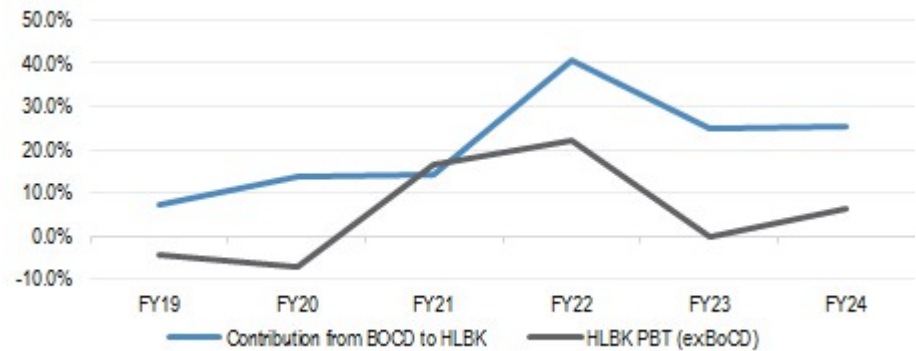
some of the BoCD convertible bond holders exercised their rights, which led to dilution in HLBK's stake to 17.78%. BoCD is accounted for as an associate at HLBK, and contributed 31% to HLBK's FY24 PBT.

Figure 56: BoCD contribution to HLBK's PBT



Source: Company reports and J.P. Morgan estimates. Note: FY ending June for HLBK.

Figure 57: BoCD's contribution to HLBK vs. HLBK core profit growth

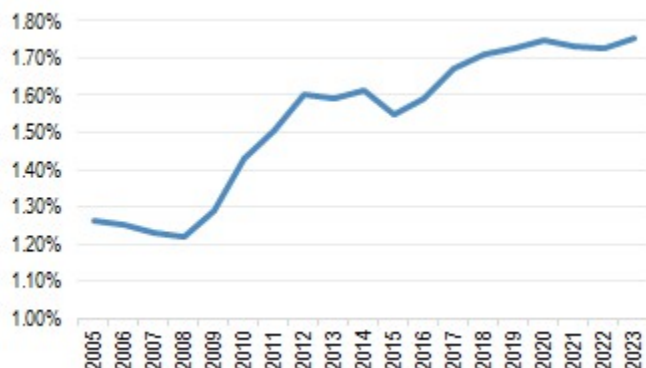


Source: Company data, J.P. Morgan estimates. Note: FY ending June for HLBK.

Chengdu GDP growth holding up well

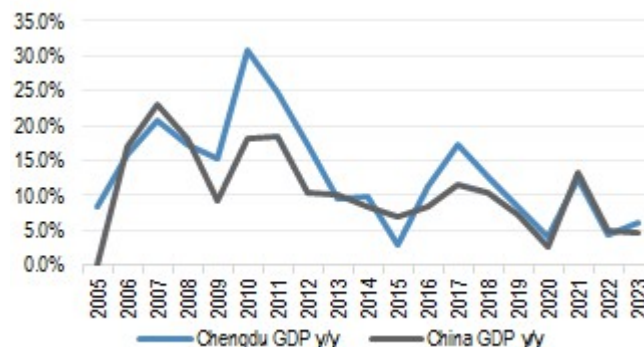
Chengdu is the capital city of Sichuan province, based in South-West China. The city has a population of ~21mn people, with an urbanization rate of over 80%. In 2023, Chengdu's GDP totaled RMB2.2tn (ranked 7th nationwide) and contributed 1.8%/37% to China/Sichuan's GDP. Chengdu's 2023 GDPg of 6.1% was ahead of 5.2%/6% growth rates for China/Sichuan province. The key drivers of Chengdu's growth are IT, automobile manufacturing, F&B, equipment manufacturing, and biomedicine. The primary, secondary and tertiary industries contribute 2%, 15% and 83% to GDP, resp.

Figure 58: Chengdu's contribution to China's GDP



Source: Bloomberg Finance L.P.

Figure 59: GDP growth: China vs. Chengdu



Source: Bloomberg Finance L.P.

Table 12: China: 70-city price index (primary) – top 15 cities' M/M growth

City/Month	Mar-25	Apr-25	May-25	Jun-25	Jul-25	Aug-25	Sep-25	Oct-25	Nov-25	Dec-25	Jan-25	Feb-25	LTM
Wuxi	-0.30%	-0.70%	-0.60%	0.00%	-0.30%	-0.70%	-0.50%	-0.50%	-0.80%	0.20%	0.50%	-0.80%	-4.50%
Zhengzhou	-0.70%	-0.80%	-0.50%	-0.70%	-0.80%	-0.40%	-0.70%	-0.90%	-0.30%	0.40%	0.30%	-0.40%	-5.50%
Hangzhou	0.00%	-0.50%	-0.60%	-0.60%	-0.30%	-0.10%	-0.60%	-0.40%	0.90%	0.40%	0.30%	-0.10%	-1.30%
Jinan	-0.40%	-0.20%	-0.60%	-0.60%	-0.50%	-0.80%	-1.80%	-0.70%	-0.20%	-0.10%	-0.20%	0.30%	-5.80%
Fuzhou	-0.20%	-0.50%	-0.80%	-0.70%	-1.10%	-0.50%	-1.40%	-0.70%	-0.30%	0.10%	0.20%	-0.10%	-7.40%
Beijing	0.00%	-0.70%	-1.10%	-0.60%	-0.50%	-0.50%	-1.40%	-0.70%	-0.50%	0.10%	0.20%	-0.50%	-5.70%
Hefei	-0.20%	-0.70%	-0.30%	-0.70%	-1.00%	-0.60%	-0.80%	-0.40%	-0.60%	-0.10%	-0.40%	0.10%	-5.40%
Tianjin	-0.30%	0.10%	-0.40%	-0.30%	-0.20%	-0.60%	-1.20%	-0.50%	0.30%	0.20%	0.30%	-0.30%	-2.90%
Wuhan	-0.80%	-1.00%	-1.50%	-1.10%	-0.70%	-0.80%	-1.30%	-1.00%	0.40%	0.40%	0.50%	-0.80%	-6.90%
Nanjing	-1.20%	-0.80%	-1.10%	-1.20%	-0.70%	0.30%	0.00%	-0.60%	0.10%	0.60%	0.70%	0.30%	-3.40%
Shanghai	0.50%	0.30%	0.60%	0.40%	0.20%	0.60%	0.60%	0.40%	0.20%	0.50%	0.60%	0.60%	5.40%
Guangzhou	-0.70%	-1.30%	-1.40%	-1.20%	-0.80%	-0.50%	-0.90%	-0.70%	-0.30%	-0.10%	0.00%	-0.20%	-8.10%
Xiamen	-0.60%	-1.30%	-1.10%	-1.90%	-1.30%	-1.00%	-1.10%	-1.20%	0.20%	0.30%	0.10%	0.50%	-7.10%
Chengdu	-0.10%	-0.30%	-0.70%	-1.00%	-0.60%	-1.20%	-0.80%	-0.40%	0.50%	0.60%	0.70%	0.30%	-3.00%
Shenzhen	-0.40%	-1.00%	-0.80%	-0.70%	-0.90%	-0.80%	-1.00%	0.10%	0.30%	0.20%	0.20%	0.40%	-4.40%
Average	-0.40%	-0.60%	-0.70%	-0.70%	-0.80%	-0.50%	-0.80%	-0.50%	0.00%	0.20%	0.20%	0.00%	-4.40%

Source: J.P. Morgan China Property research, NBS.

Table 13: China: 70-city price index (secondary) – top 15 cities' M/M growth

City	Mar-25	Apr-25	May-25	Jun-25	Jul-25	Aug-25	Sep-25	Oct-25	Nov-25	Dec-25	Jan-25	Feb-25	LTM
Wuxi	-0.80%	-1.60%	-0.70%	-0.90%	-0.60%	-1.00%	-1.20%	0.00%	-0.30%	-0.40%	0.20%	-0.10%	-7.40%
Zhengzhou	-0.50%	-0.60%	-0.90%	-0.50%	-0.90%	-0.70%	-1.00%	-0.80%	-0.50%	-0.40%	-0.70%	-0.60%	-8.10%
Hangzhou	-0.50%	-1.10%	-1.00%	0.30%	-0.40%	-0.90%	-1.40%	0.80%	0.80%	-0.20%	-0.40%	-0.20%	-4.00%
Jinan	-0.80%	-0.60%	-1.60%	-1.20%	-1.10%	-1.10%	-0.60%	-0.80%	-0.70%	-0.20%	-0.10%	-0.20%	-9.80%
Fuzhou	0.10%	-1.10%	-1.40%	-1.20%	-1.00%	-1.20%	-1.20%	0.00%	-0.40%	-0.30%	-0.50%	-0.30%	-9.60%
Beijing	-0.40%	-1.60%	-1.20%	0.20%	0.00%	-0.90%	-1.30%	1.00%	0.90%	-0.50%	0.10%	0.00%	-2.80%
Hefei	-0.30%	-1.20%	-0.90%	-0.60%	-0.90%	-1.10%	-1.20%	-0.70%	-0.40%	-0.50%	-0.40%	-0.30%	-8.50%
Tianjin	-0.70%	-1.30%	-1.10%	-0.40%	-0.80%	-0.60%	-0.50%	-0.30%	0.20%	0.10%	0.10%	-0.20%	-5.70%
Wuhan	-0.90%	-1.50%	-1.30%	-1.90%	-1.60%	-0.70%	-0.40%	0.10%	-0.20%	-0.10%	-0.50%	-0.60%	-9.30%
Nanjing	-0.50%	-1.40%	-0.60%	0.10%	-0.10%	-0.60%	-1.20%	-0.40%	0.00%	-0.10%	0.00%	-0.30%	-5.10%
Shanghai	-0.30%	-0.80%	-1.30%	0.50%	0.10%	-0.60%	-1.30%	0.20%	0.40%	-0.90%	-0.40%	-0.40%	-2.10%
Guangzhou	-1.00%	-1.40%	-1.60%	-1.50%	-0.90%	-0.70%	-1.60%	-1.10%	-0.70%	-0.30%	-0.20%	-0.40%	-9.60%
Xiamen	-0.70%	-1.70%	-2.00%	-1.00%	-1.80%	-2.20%	-1.20%	-1.70%	-0.30%	-0.30%	-0.20%	-0.30%	-10.50%
Chengdu	-0.70%	-0.80%	-1.10%	-1.10%	-0.70%	-1.00%	-1.10%	-0.70%	-0.40%	-0.10%	0.20%	0.20%	-3.80%
Shenzhen	-1.00%	-0.70%	-1.00%	-1.00%	-1.20%	-0.50%	-1.30%	0.70%	0.50%	-0.30%	0.40%	0.30%	-5.50%
Average	-0.60%	-1.20%	-1.20%	-0.70%	-0.80%	-1.10%	-1.10%	0.00%	-0.30%	-0.10%	-0.10%	-0.30%	-6.80%

Source: J.P. Morgan China Property research, NBS.

Scenarios for potential BoCD stake sell

HLBK's carrying value of BoCD stake has increased over the years, likely due to retained earnings at the associate. Market value is lower due to BoCD trading below book. Yet, we do not see any CET1 impact from this increase in carrying value (though OCI gains), as a stake in associate above 10% is fully deducted from CET1. Hence, if HLBK chooses to sell a stake in BoCD, it may lead to a loss in accounting terms (likely via equity, rather than via P&L), but a release of CET1. HLBK CET1 stands at 13.9%, with ~11.8% RoE and ~6% RWA growth. Every 1% of BoCD stake sold at market price will amount to 25-30bps of CET1 release for HLBK.

As of now, HLBK does not need to sell BoCD stake to raise capital as the retained capital is enough to fund RWA growth. Yet, if the bank chooses to sell the stake and distribute a part of proceeds in the form of dividends, it could be a meaningful boost for the stock price.

Table 14: Special dividend from proceeds of BoCD stake sell (per share in sen)

BoCD stake sell		1%	2%	3%	4%	5%
% of stake sold proceeds paid out	20%	4	8	12	17	21
	40%	8	17	25	33	41
	60%	12	25	37	50	62
	80%	17	33	50	66	83
	100%	21	41	62	83	104

Source: J.P. Morgan estimates, Bloomberg Finance L.P.

Table 15: Special dividend from proceeds of BoCD stake sell (as % of HLBK current share price)

BoCD stake sell		1%	2%	3%	4%	5%
% of stake sold proceeds paid out	20%	0.2%	0.4%	0.6%	0.8%	1.0%
	40%	0.4%	0.8%	1.2%	1.6%	2.0%
	60%	0.6%	1.2%	1.8%	2.4%	3.0%
	80%	0.8%	1.6%	2.4%	3.2%	4.1%
	100%	1.0%	2.0%	3.0%	4.1%	5.1%

Source: J.P. Morgan estimates, Bloomberg Finance L.P.

RoE of BoCD is 17-18%, which is above HLBK's returns of 11-12%. Further, as BoCD is trading below book, the return on market cap is even higher. Moreover, adjusted for BOCD stake, HLBK is trading at a premium to peers, which is fair given the higher quality domestic franchise of the bank. Hence, there appears to be limited immediate drivers for HLBK to sell BoCD stake at the current below book valuation. Yet, from the time when HLBK invested in BoCD (2007-08) to now, the prospects of China GDP as well as credit growth have meaningfully evolved. Hence, it makes longer term strategic sense to book gains on what has been a great multi-year compounder. Accordingly, a slow but steady divestment of BoCD stake in any rally for China banks is quite likely.

BoCD Financials

Bank of Chengdu generates RoA of 1.1-1.2% and RoE of 17-18%, which is one of the highest within China Banks. Key points worth highlighting:

- **Income Structure:** NII contributed 78% of total revenues, while fee-based and non-fee-based income accounted for 3% and 18%, respectively.
- **Business Segments:** Corporate banking contributed 60% of total revenues, while retail banking's contribution was 16%.
- **Regional Distribution:** Chengdu City accounted for 80% of profits and 73% of loans. Other key operational areas include cities within Sichuan Province, Chongqing, and Xi'an, though detailed breakdown is not available.
- **Asset Structure:** Loans and investments comprised 57% and 26% of total assets, respectively. Corporate loans accounted for 85% of total loans, with 70% allocated to government entities such as LGFVs and SOEs, according to management. Government bond investments, both local and central, represented 47% of the investment portfolio, or 12% of total assets.
- **Liability Structure:** Deposits constituted 75% of total liabilities. Notably, time deposits accounted for ~65% of total deposits.
- **LGFV-Related Activities:** Our estimates suggest that LGFV proxy sectors accounted for ~57% of total loans, with new LGFV loans contributing 90% of total new loan disbursements in 1H24. This aligns with disclosures from the investor day, where management indicated that most of the new loans in 1H24 were government-related, such as SOE loans. LGFV bonds comprised ~10% of total bonds in the investment portfolio.

Table 16: BoCD: Key P&L summary metrics

RMB mn

Key P&L Items	2022	2023	1H24	HoH	YoY
Interest Income	34,336	39,288	21,226	5%	11%
Interest Expense	(17,818)	(21,634)	(12,158)	7%	19%
NII	16,519	17,654	9,067	4%	2%
Non-Interest Income	3,723	4,049	2,518	36%	14%
Fees	677	662	452	41%	32%
Non-fee	3,045	3,387	2,066	35%	11%
Total Income	20,241	21,702	11,585	9%	4%
Operating expenses	(5,158)	(5,689)	(2,894)	-4%	8%
PPOP	15,083	16,013	8,691	15%	3%
Total impairment	(3,385)	(2,108)	(1,331)	222%	-21%
Pre-Tax	11,681	13,892	7,356	3%	9%
Income Tax	(1,638)	(2,220)	(1,168)	10%	1%
Attributable Income	10,043	11,672	6,187	2%	11%

Source: Company reports. Note: HoH and YoY comparisons shown for the period 1H24.

Table 17: BOCD: Key Balance sheet metrics

RMB mn

Key Balance Sheet Items	2022	2023	1H24	HoH	YoY
Gross Loans	487,826	625,742	707,749	13%	23%
Including NPL amount	3,777	4,238	4,670	10%	13%
Total deposits	654,652	780,421	856,672	10%	15%
Total assets	917,650	1,091,243	1,200,305	10%	17%
Equity	61,426	71,320	74,221	4%	9%
RWA	659,304	800,079	835,011	4%	14%

Source: Company reports. Note: HoH and YoY comparisons shown for the period 1H24.

Table 18: BOCD: Key ratios

Key Ratios	2022	2023	1H24	HoH	YoY
NIM	2.04%	1.81%	1.66%	-15 bps	-38 bps
Cost income ratio	25.48%	26.22%	24.98%	-123 bps	-50 bps
Effective tax rate	14.02%	15.98%	15.88%	-10 bps	186 bps
ROE	17.71%	17.59%	17.00%	-58 bps	-70 bps
ROA	1.19%	1.16%	1.08%	-8 bps	-11 bps
NPL Ratio	0.78%	0.68%	0.66%	-2 bps	-12 bps
NPL Coverage ratio	501.57%	504.29%	496.02%	-827 bps	-555 bps
Loan loss reserve	3.89%	3.42%	3.28%	-14 bps	-61 bps
Credit cost	1.39%	0.38%	0.40%	2 bps	-99 bps
LDR	74.52%	80.18%	82.62%	244 bps	810 bps
Core capital ratio	8.47%	8.22%	8.17%	-5 bps	-30 bps
Tier 1 Ratio	9.39%	8.98%	8.90%	-8 bps	-49 bps
Total CAR	13.15%	12.89%	13.21%	32 bps	6 bps

Source: Company reports. Note: HoH and YoY comparisons shown for the period 1H24.

Table 19: BoCD: Asset yields and deposit costs

Asset yields and deposits cost	1H23	2H23	1H24	HoH	YoY
Loans	4.73%	4.49%	4.41%	-8 bps	-32 bps
Corporate loans	4.78%	4.62%	4.55%	-7 bps	-23 bps
Personal loans	4.52%	4.04%	3.77%	-27 bps	-75 bps
Interbanks	2.35%	2.31%	2.64%	34 bps	29 bps
Bond investments	3.98%	3.74%	3.42%	-32 bps	-56 bps
IEA	4.12%	3.92%	3.88%	-4 bps	-24 bps
Deposits	2.22%	2.24%	2.21%	-3 bps	-1 bps
Corporate demand	1.02%	1.06%	0.98%	-8 bps	-4 bps
Corporate time	2.63%	2.61%	2.56%	-5 bps	-7 bps
Personal demand	0.39%	0.19%	0.19%	0 bps	-20 bps
Personal time	3.22%	3.16%	3.04%	-12 bps	-18 bps
Interbank liabilities	2.23%	2.28%	2.27%	0 bps	4 bps
Bond investments	2.57%	2.47%	2.67%	20 bps	10 bps
IBL	2.28%	2.30%	2.28%	-2 bps	0 bps

Source: Company reports. Note: HoH and YoY comparisons shown for the period 1H24.

Table 20: BoCD: Loan mix

RMB mn

\$	2022	2023	1H24	HoH
Corporate loans	377,789	500,780	577,440	15%
Discounted bills	1,799	337	1,653	390%
Retail	106,997	123,331	127,401	3%
Total loans	486,584	624,448	706,494	13%

Mix	2022	2023	1H24	HoH (bps)
Corporate loans	77.6%	80.2%	81.7%	154
Discounted bills	0.4%	0.1%	0.2%	18
Retail	22.0%	19.8%	18.0%	(172)
Total loans	100.0%	100.0%	100.0%	-

Source: Company reports. Note: HoH and YoY comparisons shown for the period 1H24.

Table 21: BoCD: Loan and NPL breakdown

Loan breakdown as % of total loans				NPL%		
	2023	1H24	HoH	2023	1H24	HoH
Agriculture, forestry, animal husbandry, fishery	0.3%	0.2%	-11 bps	0.2%	2.3%	208 bps
Mining	0.5%	0.4%	-2 bps	1.1%	1.0%	-9 bps
Manufacturing	7.1%	6.5%	-54 bps	1.2%	1.2%	-2 bps
Electricity, heat, gas and water production and supply	1.5%	1.4%	-12 bps	0.0%	0.0%	0 bps
Construction	4.0%	3.8%	-22 bps	2.7%	4.0%	129 bps
Wholesale and retail	6.8%	6.4%	-48 bps	1.1%	1.6%	51 bps
Transport, warehousing and postal services	1.8%	1.7%	-14 bps	0.0%	0.0%	0 bps
Information transmission, computer services and software	1.7%	1.6%	-7 bps	0.0%	0.0%	3 bps
Accommodation and Catering	0.3%	0.3%	-5 bps	11.9%	12.5%	55 bps
Financial sector	0.4%	0.6%	16 bps	0.0%	0.0%	0 bps
Real estate	6.2%	5.2%	-95 bps	3.0%	1.8%	-123 bps
Leasing and Business Services	31.4%	36.4%	500 bps	0.2%	0.1%	-5 bps
Scientific research and technical services	1.9%	1.8%	-9 bps	0.1%	0.1%	-1 bps
Management of water, environment and public facilities	14.0%	13.4%	-62 bps	0.0%	0.1%	5 bps
Residential services, repairs and other services	0.1%	0.0%	-1 bps	19.6%	23.6%	406 bps
Education	1.3%	1.1%	-17 bps	0.2%	0.2%	0 bps
Health and social work	0.6%	0.6%	-5 bps	0.0%	0.0%	0 bps
Culture, sports and entertainment	0.3%	0.3%	2 bps	0.0%	0.0%	0 bps
Other services	n.a	n.a	n.a	n.a	n.a	n.a
Total corporate loans	80.2%	81.7%	154 bps	0.7%	0.7%	-5 bps
Discounted bills	0.1%	0.2%	18 bps	0.0%	0.0%	0 bps
Mortgages	14.7%	13.0%	-164 bps	0.4%	0.6%	19 bps
Consumption loans and others	2.9%	2.8%	-7 bps	0.7%	0.7%	-1 bps
Personal business loans	2.2%	2.2%	-1 bps	1.0%	0.9%	-5 bps
Total retail loans	19.8%	18.0%	-172 bps	0.5%	0.7%	13 bps

Source: Company reports. Note: HoH and YoY comparisons shown for the period 1H24.

Overweight

DBSM.SI, DBS SP

Price (21 Mar 25): S\$45.31

▼ **Price Target (Dec-25): S\$49.00**

Prior (Dec-25): S\$51.00

APAC Banks

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J.P. Morgan Securities (Asia Pacific) Limited/ J.P.
Morgan Broking (Hong Kong) Limited

Key Changes (FYE Dec)

	Prev	Cur
Adj. EPS - 25E (\$\$)	3.96	3.83
Adj. EPS - 26E (\$\$)	4.09	3.92

Quarterly Forecasts (FYE Dec)

Adj. EPS (\$\$)	2024A	2025E	2026E
Q1	1.04	0.99	
Q2	0.98	0.98	
Q3	1.06	0.98	
Q4	0.89	0.88	
FY	3.97	3.83	3.92

Style Exposure

Quant Factors	Current %Rank	Hist %Rank (1=Top)			
		6M	1Y	3Y	5Y
Value	14	7	10	20	10
Growth	14	26	49	30	26
Momentum	7	10	49	4	62
Quality	4	7	23	23	10
Low Vol	10	14	7	43	26
ESGQ	86	24	92	22	15

DBS Group Holdings

Quality, but possibly a range trade till rates come off

We reduce our FY25-27E EPS forecasts by 2-4%, factoring in lower NIM, partly offset by stronger non-II. Despite the cuts, we still see visibility for S\$10.8-11bn annual profits and ROE of 16% over next 3Y, suggesting strong capital generation at the bank. Weaker \$ and lower rate expectations can lead to short-term stock price weakness. However, we stay OW as we expect consistent and robust capital management. We expect S\$3.06/3.24/2.24 annual DPS over next 3Y and buybacks of S\$2.5bn/2bn/2bn. The bank offers the highest total yield among Singapore banks.

Valuation

Figure 60: DBS: Valuation

	Core Net (\$\$ mn)	Core EPS (\$\$)	P/E (x)	BVPS (\$\$)	P/B (x)	Dividend (\$\$)	Div Yld (%)	Core RoA (%)	Core RoRWA (%)	Core RoE (%)
2021	6,801	2.41	18.8	19.5	2.32	1.09	2.4%	1.01%	2.02%	12.6%
2022	8,193	2.89	15.7	19.2	2.35	1.82	4.0%	1.13%	2.35%	14.8%
2023	10,286	3.63	12.5	21.0	2.15	1.75	3.9%	1.38%	2.85%	17.9%
2024	11,408	4.01	11.3	23.4	1.94	2.22	4.9%	1.45%	3.14%	18.0%
2025E	10,883	3.87	11.7	24.2	1.87	3.06	6.8%	1.29%	2.98%	16.2%
2026E	10,933	3.96	11.4	25.4	1.78	3.24	7.2%	1.26%	2.87%	15.9%
2027E	11,173	4.10	11.0	25.9	1.75	3.24	7.2%	1.24%	2.79%	16.0%
Price (\$\$)		45.31	Number of shares (mn)			2,837	Market Cap (\$\$ mn)			128,547
Normalised RoE		PB based Valuation			PE based Valuation					
NIM (on avg. assets)		1.66%	Risk-free rate			4.20%	Fair PE			11.8x
Non-IR/revenues		39.1%	Cost of capital			9.2%	12m Rolling EPS			\$S3.89
Cost/income		41.0%	Long term growth			1.50%	PE based Fair Value			\$S45.8
Operating RoA		1.61%	Fair PB			1.89x	Implied Value of Growth			
LLP/Loans		-0.18%	PV of Terminal Value			\$S42.0	12m Rolling EPS			\$S3.89
Net RoAA		1.28%	PV of Dividends			\$S2.8	Capitalized Value (\$\$)			\$42.3
Equity/Assets		8.0%	PV of today's Fair Value			\$S44.9	Value of Growth (\$\$)			\$3.0
Normalised RoE		16.1%	PB based Dec-25 Fair Value			\$S49.0	Attributable to Growth			6.6%

Source: J.P. Morgan estimates, Bloomberg Finance L.P.

Annual forecasts

Table 22: DBS: Annual P&L

S\$ in mn	2015	2016	2017	2018	2019	2020	2021	2022	2023	2024	2025E	2026E	2027E
Interest Income	9,644	9,748	10,833	13,798	15,592	12,208	10,185	15,927	27,862	30,927	29,821	29,279	29,264
Interest Expense	(2,544)	(2,443)	(3,042)	(4,843)	(5,967)	(3,132)	(1,745)	(4,986)	(14,220)	(16,503)	(15,430)	(14,893)	(14,779)
Net Interest Income	7,100	7,305	7,791	8,955	9,625	9,076	8,440	10,941	13,642	14,424	14,391	14,386	14,485
Non-Interest Income	3,687	4,184	4,133	4,137	4,919	5,516	5,857	5,768	6,752	8,123	8,537	9,243	10,011
Net Fee income	2,144	2,331	2,622	2,780	3,052	3,058	3,524	3,091	3,384	4,168	4,543	4,997	5,497
Trading income	1,204	1,357	1,058	1,178	1,459	1,405	1,791	2,313	1,369	1,541	1,387	1,456	1,529
Other operating income	339	496	453	179	408	1,053	542	364	1,999	2,414	2,607	2,790	2,985
Total Revenues	10,787	11,489	11,924	13,092	14,544	14,592	14,297	16,709	20,394	22,547	22,928	23,630	24,496
Costs	(4,900)	(4,972)	(5,130)	(5,798)	(6,258)	(6,158)	(6,469)	(7,090)	(8,056)	(8,895)	(9,340)	(9,713)	(10,102)
PPOP	5,887	6,517	6,794	7,294	8,286	8,434	7,828	9,619	12,338	13,652	13,588	13,916	14,394
Loan loss provisions	(672)	(1,395)	(1,879)	(708)	(704)	(3,063)	(51)	(234)	(591)	(623)	(772)	(1,047)	(1,246)
Other provisions	(71)	(39)	(15)	(2)	1	(3)	(1)	(3)	(8)	(22)	(11)	(6)	(3)
Other income	14	0	0	0	0	0	0	0	0	0	0	0	0
Pre-Tax	5,158	5,083	4,900	6,584	7,583	5,368	7,776	9,382	11,739	13,007	12,805	12,864	13,146
Tax	(727)	(723)	(727)	(974)	(1,116)	(612)	(973)	(1,188)	(1,452)	(1,598)	(1,921)	(1,930)	(1,972)
MI & EO	(113)	(122)	(133)	(76)	(38)	(35)	(2)	(1)	(1)	(1)	(1)	(1)	(1)
Core profit	4,318	4,238	4,040	5,534	6,429	4,721	6,801	8,193	10,286	11,408	10,883	10,933	11,173
Attributable profit	4,454	4,238	4,371	5,577	6,391	4,721	6,801	8,193	10,062	11,289	10,783	10,833	11,073

Source: Company reports, J.P. Morgan estimates.

Table 23: DBS: Annual DuPont

	2015	2016	2017	2018	2019	2020	2021	2022	2023	2024	2025E	2026E	2027E
NIM (% of avg. IEA)	1.77%	1.80%	1.75%	1.85%	1.89%	1.62%	1.45%	1.75%	2.15%	2.13%	2.04%	1.97%	1.91%
IEA/Assets	89.5%	86.6%	89.1%	90.5%	90.2%	91.0%	87.2%	87.4%	85.6%	86.3%	84.2%	84.2%	84.3%
Margins (% of avg. Assets)	1.58%	1.56%	1.56%	1.68%	1.70%	1.48%	1.26%	1.53%	1.84%	1.84%	1.72%	1.66%	1.61%
Non-IR contribution	34.2%	36.4%	34.7%	31.6%	33.8%	37.8%	41.0%	34.5%	33.1%	36.0%	37.2%	39.1%	40.9%
Non-IR/Avg. Assets	0.82%	0.89%	0.83%	0.77%	0.87%	0.90%	0.88%	0.81%	0.91%	1.04%	1.02%	1.07%	1.11%
Revenue/Assets	2.40%	2.45%	2.39%	2.45%	2.57%	2.37%	2.14%	2.34%	2.75%	2.88%	2.73%	2.73%	2.72%
Cost/Income	45.4%	43.3%	43.0%	44.3%	43.0%	42.2%	45.2%	42.4%	39.5%	39.5%	40.7%	41.1%	41.2%
C/Assets	1.09%	1.06%	1.03%	1.09%	1.11%	1.00%	0.97%	0.99%	1.09%	1.14%	1.11%	1.12%	1.12%
Pre-Provision ROA	1.31%	1.39%	1.36%	1.37%	1.47%	1.37%	1.17%	1.35%	1.66%	1.74%	1.62%	1.61%	1.60%
LLP/Loans	-0.24%	-0.47%	-0.59%	-0.21%	-0.20%	-0.83%	-0.01%	-0.06%	-0.14%	-0.15%	-0.17%	-0.23%	-0.26%
Loan/Assets	63.0%	63.0%	63.4%	63.4%	63.0%	60.2%	59.3%	58.4%	56.8%	54.8%	53.1%	53.7%	54.1%
Other Income/Assets	-0.01%	-0.01%	0.00%	0.00%	0.00%	0.00%	0.00%	0.00%	0.00%	0.00%	0.00%	0.00%	0.00%
Operating ROA	1.15%	1.08%	0.98%	1.23%	1.34%	0.87%	1.16%	1.31%	1.58%	1.66%	1.53%	1.48%	1.46%
Pre-Tax ROA	1.15%	1.08%	0.98%	1.23%	1.34%	0.87%	1.16%	1.31%	1.58%	1.66%	1.53%	1.48%	1.46%
Tax Rate	-14.1%	-14.2%	-14.8%	-14.8%	-14.7%	-11.4%	-12.5%	-12.7%	-12.4%	-12.3%	-15.0%	-15.0%	-15.0%
Minorities & Outside Int.	-0.03%	-0.03%	-0.03%	-0.01%	-0.01%	-0.01%	0.00%	0.00%	0.00%	0.00%	0.00%	0.00%	0.00%
ROA	0.99%	0.89%	0.86%	1.03%	1.12%	0.75%	1.01%	1.13%	1.35%	1.43%	1.28%	1.25%	1.23%
RoRWA	1.66%	1.52%	1.52%	1.90%	2.13%	1.47%	2.02%	2.35%	2.79%	3.11%	2.96%	2.84%	2.76%
Equity/Assets	8.51%	8.77%	8.85%	8.60%	8.43%	8.15%	7.96%	7.67%	7.70%	8.05%	7.97%	7.91%	7.77%
ROE	11.6%	10.2%	9.7%	12.0%	13.3%	9.2%	12.6%	14.8%	17.5%	17.8%	16.1%	15.8%	15.8%

Source: Company reports and J.P. Morgan estimates.

Quarterly forecasts

Table 24: DBS: Quarterly P&L

S\$ in mn	1Q23	2Q23	3Q23	4Q23	1Q24	2Q24	3Q24	4Q24	1Q25E	2Q25E	3Q25E	4Q25E
Interest Income	6,250	6,978	7,254	7,380	7,726	7,741	7,713	7,747	7,575	7,451	7,441	7,354
Interest Expense	(2,979)	(3,545)	(3,750)	(3,946)	(4,221)	(4,147)	(4,116)	(4,019)	(3,922)	(3,875)	(3,818)	(3,815)
Net Interest Income	3,271	3,433	3,504	3,434	3,505	3,594	3,597	3,728	3,653	3,575	3,623	3,539
Non-Interest Income	1,728	1,654	1,750	1,620	2,103	1,951	2,222	1,847	2,154	2,167	2,152	2,064
Net Fee income	851	823	843	867	1,043	1,048	1,109	968	1,123	1,157	1,180	1,084
Trading income	382	325	346	316	388	362	530	261	339	373	336	338
Other operating income	495	506	561	437	672	541	583	618	692	637	637	641
Total Revenues	4,999	5,087	5,254	5,054	5,608	5,545	5,819	5,575	5,808	5,742	5,776	5,603
Costs	(1,882)	(1,931)	(2,038)	(2,205)	(2,079)	(2,172)	(2,249)	(2,395)	(2,271)	(2,293)	(2,346)	(2,430)
PPOP	3,117	3,156	3,216	2,849	3,529	3,373	3,570	3,180	3,537	3,449	3,430	3,173
Loan loss provisions	(161)	(60)	(215)	(155)	(135)	(128)	(130)	(230)	(220)	(178)	(180)	(194)
Other provisions	0	(12)	0	4	0	(32)	(6)	16	(3)	(3)	(3)	(2)
Other income	0	0	0	0	0	0	0	0	0	0	0	0
Pre-Tax	2,956	3,084	3,001	2,698	3,394	3,213	3,434	2,966	3,314	3,268	3,246	2,977
Tax	(379)	(399)	(373)	(301)	(432)	(416)	(414)	(336)	(497)	(490)	(487)	(447)
MI and EO	(6)	5	5	(5)	(6)	6	7	(8)	(5)	(5)	(5)	15
Core profit	2,571	2,690	2,633	2,392	2,956	2,803	3,027	2,622	2,811	2,772	2,754	2,545
Attributable profit	2,571	2,630	2,593	2,268	2,951	2,789	3,027	2,522	2,811	2,772	2,754	2,445

Source: Company reports and J.P. Morgan estimates.

Table 25: DBS: Quarterly DuPont

	1Q23	2Q23	3Q23	4Q23	1Q24	2Q24	3Q24	4Q24	1Q25E	2Q25E	3Q25E	4Q25E
NIM (% of avg. IEA)	2.12%	2.16%	2.19%	2.13%	2.14%	2.14%	2.11%	2.15%	2.12%	2.04%	2.03%	1.97%
IEA/Assets	83.9%	84.9%	84.7%	86.2%	86.7%	86.0%	85.9%	85.3%	84.7%	84.7%	84.7%	84.7%
Margins (% of avg. Ass)	1.78%	1.83%	1.85%	1.84%	1.85%	1.84%	1.81%	1.83%	1.79%	1.73%	1.72%	1.66%
Non-IR contribution	34.6%	32.5%	33.3%	32.1%	37.5%	35.2%	38.2%	33.1%	37.1%	37.7%	37.3%	36.8%
Non-IR/Avg. Assets	0.93%	0.88%	0.93%	0.87%	1.11%	0.99%	1.13%	0.91%	1.04%	1.04%	1.03%	0.98%
Revenue/Assets	2.69%	2.71%	2.80%	2.72%	2.95%	2.82%	2.95%	2.76%	2.81%	2.77%	2.76%	2.66%
Cost/Income	37.6%	38.0%	38.8%	43.6%	37.1%	39.2%	38.6%	43.0%	39.1%	39.9%	40.6%	43.4%
C/Assets	1.01%	1.03%	1.08%	1.19%	1.09%	1.10%	1.14%	1.19%	1.10%	1.10%	1.12%	1.15%
Pre-Provision ROA	1.7%	1.7%	1.7%	1.5%	1.9%	1.7%	1.8%	1.6%	1.7%	1.7%	1.6%	1.5%
LLP/Loans	-0.15%	-0.06%	-0.20%	-0.15%	-0.13%	-0.12%	-0.12%	-0.21%	-0.20%	-0.16%	-0.16%	-0.17%
Loan/Assets	56.7%	56.2%	56.4%	57.1%	56.0%	54.8%	54.1%	53.2%	53.1%	53.4%	53.6%	53.6%
Other Income/Assets	0.00%	-0.01%	0.00%	0.00%	0.00%	-0.02%	0.00%	0.01%	0.00%	0.00%	0.00%	0.00%
Operating ROA	1.59%	1.65%	1.60%	1.45%	1.78%	1.65%	1.74%	1.46%	1.61%	1.58%	1.55%	1.41%
Pre-Tax ROA	1.59%	1.64%	1.60%	1.45%	1.78%	1.63%	1.74%	1.47%	1.60%	1.57%	1.55%	1.41%
Tax Rate	-12.8%	-12.9%	-12.4%	-11.2%	-12.7%	-13.0%	-12.1%	-11.3%	-15.0%	-15.0%	-15.0%	-15.0%
Minorities & Outside Int	0.00%	0.00%	0.00%	0.00%	0.00%	0.00%	0.00%	0.00%	0.00%	0.00%	0.00%	0.01%
ROA	1.38%	1.40%	1.38%	1.22%	1.55%	1.42%	1.53%	1.25%	1.36%	1.33%	1.32%	1.16%
RoRWA	2.93%	2.90%	2.78%	2.44%	3.16%	2.91%	3.34%	2.92%	3.18%	3.09%	3.02%	2.64%
Equity/Assets	7.37%	7.42%	7.58%	7.90%	7.95%	7.89%	8.09%	8.12%	8.07%	8.16%	8.19%	8.04%
ROE	18.7%	18.8%	18.2%	15.4%	19.5%	17.9%	18.9%	15.3%	16.8%	16.3%	16.1%	14.4%

Source: Company reports and J.P. Morgan estimates.

Price Performance



	YTD	1m	3m	12m
Abs	3.6%	-2.8%	5.8%	39.8%
Rel	-0.1%	-2.7%	0.3%	17.8%

Company Data

Shares O/S (mn)	2,845
52-week range (\$\$)	46.85-31.99
Market cap (\$ mn)	96,559
Exchange rate	1.33
Free float (%)	70.9%
3M ADV (mn)	4.33
3M ADV (\$ mn)	145.2
Volatility (90 Day)	15
Index	FTSTI
BBG ANR (Buy Hold Sell)	11 8 0

Key Metrics (FYE Dec)

\$S in millions	FY24A	FY25E	FY26E	FY27E
Financial Estimates				
Net interest income	14,424	14,391	14,386	14,485
Non interest income	8,123	8,537	9,243	10,011
Operating expenses	(8,895)	(9,340)	(9,713)	(10,102)
Adj. PPOP	13,652	13,588	13,916	14,394
Provision for loan losses	(623)	(772)	(1,047)	(1,246)
Adj. PBT	12,888	12,705	12,764	13,046
Adj. net income	11,289	10,783	10,833	11,073
Adj. EPS	3.97	3.83	3.92	4.06
BBG EPS	3.97	3.95	4.05	4.19
DPS	2.22	3.09	3.26	3.26
Loans	430,594	448,163	469,424	491,640
Deposits	561,730	574,636	595,753	617,659
Total Assets	827,219	850,055	883,401	918,376
Margins and Growth				
NIM	2.1%	2.0%	2.0%	1.9%
Ratios				
Loan/ Deposit ratio	76.7%	78.0%	78.8%	79.6%
NPL / Loans	1.1%	1.1%	1.3%	1.4%
Coverage	127.4%	118.5%	104.0%	93.5%
CET 1	-	-	-	-
Non-int. income/ Income	36.0%	37.2%	39.1%	40.9%
Cost/Income	39.5%	40.7%	41.1%	41.2%
LLP/Loans	(0.1%)	(0.2%)	(0.2%)	(0.3%)
ROA	1.4%	1.3%	1.2%	1.2%
ROE	17.9%	16.1%	15.8%	15.8%
Valuation				
Dividend yield	4.9%	6.8%	7.2%	7.2%
Adj. P/E	11.4	11.8	11.6	11.2
P/ BV	1.94	1.87	1.78	1.75

Summary Investment Thesis and Valuation

Investment Thesis

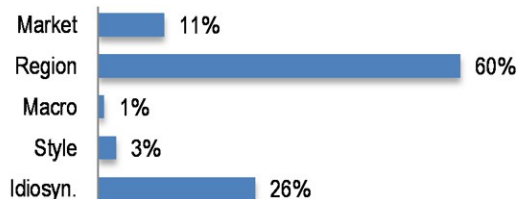
We hold OW on DBS.

- The bank's commitment to and delivery of payouts in numerous forms (progressively increasing regular dividends, bonus shares and buyback) allows investors to pay a multiple for the income stream. Hence, until the sum of BVPSg and dividend yield does not go below ~10%, we expect the stock to keep moving up.
- DBS is positioned to deliver ~S\$11bn profits each year over next 3Y, despite potential decline in NIM with lower rates. WM continues to drive non-II, and asset quality appears intact. We expect 9/7bps annual decline in NIM 2025/26E. The bank has reduced rate-sensitivity of NIM over the next few years, helping improve capital generation visibility.
- DBS has delivered one of the best ROE expansions in the last decade as high rates and technology-led changes across the franchise led to improvements in growth, efficiency, and returns. The bank's digital strength is driving gains in loan market share, WM, as well as underwriting, which had previously seen challenges at the bank.

Valuation

Our Dec-25 PT of S\$49 is based on a fair P/B of 1.89x, assuming a normalized RoE of 16.1%, a risk-free rate of 4.2%, a cost of capital of 9.2% and a growth rate of 1.50%.

Performance Drivers



Factors	6M Corr	1Y Corr
Market: MSCI Asia Pac ex JP	0.19	0.33
Region: Singapore	0.86	0.82
Macro:		
HSI Volatility Index	-0.47	-0.34
JPM China A-shares Sentiment	-0.20	-0.18
Emerging Central Bank Rate	-0.15	-0.17
Quant Styles:		
Momentum	0.52	0.33
Growth	0.45	0.28
Size	0.29	0.26

Source: J.P. Morgan Quantitative and Derivatives Strategy for Performance Drivers; company data, Bloomberg Finance L.P. and J.P. Morgan estimates for all other tables. Note: Price history may not be complete or exact.

DBS Group Holdings (Overweight; Price Target: S\$49.00)

Investment Thesis

We hold OW on DBS.

- The bank's commitment to and delivery of payouts in numerous forms (progressively increasing regular dividends, bonus shares and buyback) allows investors to pay a multiple for the income stream. Hence, until the sum of BVPSg and dividend yield does not go below ~10%, we expect the stock to keep moving up.
- DBS is positioned to deliver S\$11bn profits each year over next 3Y, despite potential decline in NIM with lower rates. WM continues to drive non-II, and asset quality appears intact. We expect 9/7bps annual decline in NIM 2025/26E. The bank has reduced rate-sensitivity of NIM over the next few years, helping improve capital generation visibility.
- DBS has delivered one of the best ROE expansions in the last decade as high rates and technology-led changes across the franchise led to improvements in growth, efficiency, and returns. The bank's digital strength is driving gains in loan market share, WM, as well as underwriting, which had previously seen challenges at the bank.
- Any indication of a pick-up in NPL formation would be a catalyst for de-rating. A key risk area could be CRE, where DBS has exposure of S\$90bn (21% of loans), of which S\$18bn is in HK (4% of loans). Yet, if the bank is able to manage AQ well over the course of 2025-26, the stock would continue to re-rate, in our view.

Valuation

Our Dec-25 PT of S\$49 is based on a fair P/B of 1.89x, assuming a normalized RoE of 16.1%, a risk-free rate of 4.2%, a cost of capital of 9.2% and a growth rate of 1.50%.

Risks to Rating and Price Target

Upside catalysts include: (1) further increases in payout; (2) resilient GDP growth, leading to better-than-expected growth and asset quality; (3) sustained improvements in underwriting and monitoring, leading to lower-than-expected credit costs; (4) better-than-expected efficiency gains due to digital investments; and (5) better than expected WM performance.

Downside risks include: (1) dividend disappointment; (2) asset quality deterioration; and (3) faster and/or larger Fed rate cuts or decline in SORA, which would drive a larger than expected NIM compression.

DBS Group Holdings: Summary of Financials

Income Statement						Balance Sheet					
	FY23A	FY24A	FY25E	FY26E	FY27E		FY23A	FY24A	FY25E	FY26E	FY27E
Interest income	27,862	30,927	29,821	29,279	29,264	Cash and cash equivalents	0	0	0	0	0
Interest expense	(14,220)	(16,503)	(15,430)	(14,893)	(14,779)	Deposits with banks	117,674	139,061	134,896	135,218	135,663
Net interest income	13,642	14,424	14,391	14,386	14,485	Net loans	416,163	430,594	448,163	469,424	491,640
Non interest income	6,752	8,123	8,537	9,243	10,011	PP&E	3,689	3,873	3,989	4,109	4,232
o/w Fee income	3,384	4,168	4,543	4,997	5,497	Net intangibles	6,313	6,372	6,372	6,372	6,372
o/w Trading income	1,369	1,541	1,387	1,456	1,529	LT investments	154,787	189,665	197,252	207,114	217,470
Net revenues	20,394	22,547	22,928	23,630	24,496	Other assets	40,675	57,654	59,384	61,165	63,000
Non interest expense	(8,056)	(8,895)	(9,340)	(9,713)	(10,102)	Total assets	739,301	827,219	850,055	883,401	918,376
o/w Employee costs	0	0	0	0	0	Interest earning assets	694,613	765,410	786,491	818,127	851,392
Pre-Prov. Profits	12,338	13,652	13,588	13,916	14,394	Deposits	535,103	561,730	574,636	595,753	617,659
Provisions	(591)	(623)	(772)	(1,047)	(1,246)	Borrowings	96,102	133,343	139,813	147,943	156,547
Adj. PBT	11,515	12,888	12,705	12,764	13,046	Other liabilities	48,241	65,705	68,238	69,796	73,984
Income taxes	(1,452)	(1,598)	(1,921)	(1,930)	(1,972)	Total liabilities	679,446	760,778	782,687	813,492	848,190
Minority interest	(1)	(1)	(1)	(1)	(1)	Shareholder equity	59,673	66,394	67,321	69,862	70,139
Adj. Net profit	10,062	11,289	10,783	10,833	11,073	Minority interests	182	47	47	47	47
PPOP per share	4.35	4.80	4.88	5.07	5.32	Total liabilities and Shareholder equity	739,301	827,219	850,055	883,401	918,376
Reported EPS	3.55	3.97	3.83	3.92	4.06	Interest bearing liabilities	604,787	604,787	704,761	729,072	758,951
Adj. EPS	3.55	3.97	3.83	3.92	4.06	Book Value Per Share	21.03	23.38	24.17	25.44	25.92
DPS	1.75	2.22	3.09	3.26	3.26	Tangible Book Value Per Share	21.03	23.38	24.17	25.44	25.92
Diluted shares outstanding	2,836	2,843	2,813	2,766	2,726						
Balance Sheet Gearing	FY23A	FY24A	FY25E	FY26E	FY27E	Asset Quality/Capital	FY23A	FY24A	FY25E	FY26E	FY27E
Loans/Deposits	77.8%	76.7%	78.0%	78.8%	79.6%	Loan loss reserves/Loans	(1.4%)	(1.4%)	(1.4%)	(1.3%)	(1.3%)
Investment/Assets	20.1%	22.0%	23.1%	23.3%	23.6%	NPLs/Loans	1.1%	1.1%	1.1%	1.3%	1.4%
Loan/Assets	56.8%	54.8%	53.1%	53.7%	54.1%	Loan loss reserves/NPLs	124.3%	127.5%	122.7%	110.7%	98.4%
Customer deposits/Liabilities	78.8%	73.8%	73.4%	73.2%	72.8%	NPL y/y growth	(1.3%)	1.8%	9.1%	17.4%	15.5%
LT debt/Liabilities	13.7%	15.9%	17.7%	18.0%	18.3%	Tier 1 ratio	15.3%	17.7%	16.9%	16.3%	15.3%
						CAR	16.1%	18.6%	17.7%	17.1%	16.1%
Ratio Analysis (%)	FY23A	FY24A	FY25E	FY26E	FY27E	Ratio Analysis (%)	FY23A	FY24A	FY25E	FY26E	FY27E
Net interest margin	2.2%	2.1%	2.0%	2.0%	1.9%	Return on equity (ROE)	17.6%	17.9%	16.1%	15.8%	15.8%
Non interest income/Net revenue	33.1%	36.0%	37.2%	39.1%	40.9%	Return on assets (ROA)	1.4%	1.4%	1.3%	1.2%	1.2%
Non interest income/Avg. Assets	0.9%	1.0%	1.0%	1.1%	1.1%	Operating ROA	1.6%	1.7%	1.5%	1.5%	1.5%
Efficiency ratio	39.5%	39.5%	40.7%	41.1%	41.2%	Pre-Tax ROA	1.6%	1.6%	1.5%	1.5%	1.4%
Leverage ratio	7.6%	8.0%	7.5%	7.3%	7.0%	Pre-Provision ROA	1.7%	1.7%	1.6%	1.6%	1.6%
Revenue/Assets	2.8%	2.9%	2.7%	2.7%	2.7%	Tax rate	12.6%	12.4%	15.1%	15.1%	15.1%
RORWA	2.8%	3.1%	3.0%	2.8%	2.8%						
RWA	368,363	352,002	374,024	388,697	413,269	Net loans y/y growth	0.4%	3.5%	4.1%	4.7%	4.7%
Avg. RWA	357,629	360,183	363,013	381,360	400,983	Assets y/y growth	(0.5%)	11.9%	2.8%	3.9%	4.0%
Avg. IEA	634,435	676,148	706,115	730,101	759,631	RWA y/y growth	6.2%	(4.4%)	6.3%	3.9%	6.3%
Gross Loans	422,152	436,684	454,344	475,795	498,260	Deposits y/y growth	1.5%	5.0%	2.3%	3.7%	3.7%
Avg. IBL	604,787	604,787	704,761	729,072	758,951	Net interest income y/y growth	24.7%	5.7%	(0.2%)	(0.0%)	0.7%
LLR	(5,989)	(6,090)	(6,181)	(6,371)	(6,620)	Revenues y/y growth	22.1%	10.6%	1.7%	3.1%	3.7%
NPLs	4,697	4,780	5,217	6,125	7,077	Adj. EPS y/y growth	22.6%	11.9%	(3.5%)	2.2%	3.7%
P/BV (x)	2.15	1.94	1.87	1.78	1.75	BVPS y/y growth	9.3%	11.1%	3.4%	5.3%	1.9%
Adj. P/E (x)	12.8	11.4	11.8	11.6	11.2	IE assets/Assets	85.6%	86.3%	84.2%	84.2%	84.3%
Dividend yield	3.9%	4.9%	6.8%	7.2%	7.2%	Margins (as % of Avg. Assets)	1.7%	1.7%	1.6%	1.5%	1.5%
Dividend payout	49.2%	55.9%	80.6%	83.3%	80.3%	LLP/Loans	(0.1%)	(0.1%)	(0.2%)	(0.2%)	(0.3%)
						Equity/Assets	7.7%	8.0%	8.0%	7.9%	7.8%
						Cost/Assets	1.1%	1.1%	1.1%	1.1%	1.1%
						Assets/Equity	13.0	12.4	12.5	12.6	12.9

Source: Company reports and J.P. Morgan estimates.

Note: \$ in millions (except per-share data). Fiscal year ends Dec

Not Rated

OCBC.SI, OCBC SP

Price (21 Mar 25): S\$16.98

APAC Banks

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J.P. Morgan Securities (Asia Pacific) Limited/ J.P.
Morgan Broking (Hong Kong) Limited

Key Changes (FYE Dec)

	Prev	Cur
Adj. EPS - 25E (S\$)	1.71	1.65

Quarterly Forecasts (FYE Dec)

Adj. EPS (S\$)	2024A	2025E	2026E
Q1	0.44	0.42	
Q2	0.43	0.42	
Q3	0.44	0.41	
Q4	0.37	0.41	
FY	1.67	1.65	1.71

Style Exposure

Quant Factors	Current	Hist %Rank (1=Top)			
	%Rank	6M	1Y	3Y	5Y
Value	10	14	20	4	14
Growth	10	17	14	4	46
Momentum	36	26	17	30	52
Quality	7	4	4	1	14
Low Vol	1	4	1	14	17
ESGQ	15	86	86	24	88

OCBC Bank

Capital management remains the key driver

We have reduced our 2025-26E EPS estimates by 1-3%, adjusting for lower NIM. We expect the 10% special dividend payout to sustain over next 3Y, with total payout near 62%. We factor in S\$1bn annual buyback at OCBC vs. around S\$1bn guidance over 2 years. We expect capital management to be the largest driver at OCBC, on top of broader macro trends.

Sources for: Style Exposure – J.P. Morgan Quantitative and Derivatives Strategy; all other tables are company data and J.P. Morgan estimates.

Annual forecasts

Table 26: OCB: Annual P&L

S\$ in mn	2014	2015	2016	2017	2018	2019	2020	2021	2022	2023	2024	2025E	2026E	2027E
Interest Income	7,607	8,486	8,368	9,118	11,049	12,098	9,143	7,425	11,590	20,867	22,444	21,779	21,149	20,699
Interest Expense	(2,871)	(3,297)	(3,316)	(3,695)	(5,159)	(5,767)	(3,177)	(1,570)	(3,902)	(11,222)	(12,689)	(12,157)	(11,606)	(11,255)
Net Interest Income	4,736	5,189	5,052	5,423	5,890	6,331	5,966	5,855	7,688	9,645	9,755	9,623	9,543	9,444
Non-Interest Income	3,182	3,530	3,437	4,213	3,811	4,540	4,173	4,741	3,987	3,862	4,718	4,956	5,352	5,780
Net Fee income	1,495	1,643	1,638	1,953	2,031	2,123	2,003	2,245	1,851	1,804	1,970	2,147	2,319	2,505
Trading income	498	756	727	946	524	1,148	1,071	855	628	1,250	1,831	1,754	1,915	2,091
Other operating income	1,189	1,131	1,072	1,314	1,256	1,269	1,099	1,641	1,508	808	917	1,055	1,118	1,185
Total Revenues	7,918	8,719	8,489	9,636	9,701	10,871	10,139	10,596	11,675	13,507	14,473	14,579	14,895	15,224
Costs	(3,258)	(3,664)	(3,788)	(4,034)	(4,214)	(4,644)	(4,439)	(4,764)	(5,026)	(5,223)	(5,742)	(5,933)	(6,092)	(6,234)
PPOP	4,660	5,055	4,701	5,602	5,487	6,227	5,700	5,832	6,649	8,284	8,731	8,645	8,803	8,990
Loan loss provisions	(359)	(409)	(656)	(621)	(307)	(747)	(2,043)	(873)	(584)	(733)	(690)	(734)	(765)	(798)
Other provisions	(72)	(177)	(166)	(154)	(83)	(102)	(104)	(103)	(104)	(103)	(59)	(59)	(59)	(59)
Other income	112	353	396	389	455	566	612	824	978	953	994	1,093	1,203	1,323
Pre-Tax	4,341	4,822	4,275	5,216	5,552	5,944	4,165	5,680	6,939	8,401	8,976	8,946	9,182	9,457
Tax	(687)	(717)	(629)	(803)	(877)	(814)	(437)	(648)	(1,057)	(1,236)	(1,228)	(1,342)	(1,377)	(1,418)
Minorities and Hybrids	(234)	(205)	(173)	(267)	(183)	(170)	(142)	(174)	(134)	(144)	(161)	(147)	(162)	(178)
Core Reported profit	3,420	3,900	3,473	4,146	4,492	4,960	3,586	4,858	5,748	7,021	7,587	7,457	7,643	7,860
Profits to Equity SHs	3,785	3,844	3,414	4,089	4,459	4,810	3,530	4,812	5,691	6,986	7,519	7,388	7,574	7,792

Source: Company reports and J.P. Morgan estimates.

Table 27: OCB: Annual DuPont

	2014	2015	2016	2017	2018	2019	2020	2021	2022	2023	2024	2025E	2026E	2027E
NIM (% of avg. IEA)	1.68%	1.67%	1.67%	1.65%	1.70%	1.77%	1.61%	1.54%	1.91%	2.28%	2.20%	2.07%	2.00%	1.92%
IEA/Assets	76.1%	78.4%	75.7%	76.0%	75.3%	74.5%	72.9%	71.4%	72.9%	74.1%	73.5%	73.3%	73.0%	73.0%
Margins (% of avg. Assets)	1.28%	1.31%	1.26%	1.25%	1.28%	1.32%	1.18%	1.10%	1.40%	1.69%	1.62%	1.52%	1.46%	1.40%
Non-IR contribution	40.2%	40.5%	40.5%	43.7%	39.3%	41.8%	41.2%	44.7%	34.1%	28.6%	32.6%	34.0%	35.9%	38.0%
Non-IR/Avg. Assets	0.86%	0.89%	0.86%	0.97%	0.83%	0.95%	0.82%	0.89%	0.72%	0.68%	0.78%	0.78%	0.82%	0.86%
Revenue/Assets	2.14%	2.20%	2.12%	2.23%	2.10%	2.27%	2.00%	1.99%	2.12%	2.37%	2.40%	2.30%	2.28%	2.25%
Cost/Income	41.1%	42.0%	44.6%	41.9%	43.4%	42.7%	43.8%	45.0%	43.0%	38.7%	39.7%	40.7%	40.9%	40.9%
C/Assets	0.88%	0.93%	0.95%	0.93%	0.91%	0.97%	0.88%	0.90%	0.91%	0.92%	0.95%	0.94%	0.93%	0.92%
Pre-Provision ROA	1.26%	1.28%	1.18%	1.30%	1.19%	1.30%	1.13%	1.10%	1.21%	1.45%	1.45%	1.36%	1.35%	1.33%
LLP/Loans	-0.19%	-0.19%	-0.30%	-0.27%	-0.12%	-0.29%	-0.77%	-0.31%	-0.20%	-0.25%	-0.22%	-0.22%	-0.22%	-0.22%
Loan/Assets	51.3%	53.1%	53.8%	52.9%	53.7%	54.5%	52.5%	52.4%	53.1%	51.8%	51.0%	51.5%	52.1%	52.6%
Other Income/Assets	0.01%	0.04%	0.06%	0.05%	0.08%	0.10%	0.10%	0.14%	0.16%	0.15%	0.15%	0.16%	0.17%	0.19%
Operating ROA	1.16%	1.17%	1.01%	1.15%	1.12%	1.14%	0.72%	0.93%	1.10%	1.32%	1.33%	1.25%	1.23%	1.21%
Pre-Tax ROA	1.17%	1.22%	1.07%	1.21%	1.20%	1.24%	0.82%	1.07%	1.26%	1.47%	1.49%	1.41%	1.40%	1.40%
Tax Rate	-15.8%	-14.9%	-14.7%	-15.4%	-15.8%	-13.7%	-10.5%	-11.4%	-15.2%	-14.7%	-13.7%	-15.0%	-15.0%	-15.0%
Minorities & Outside Int.	-0.06%	-0.05%	-0.04%	-0.06%	-0.04%	-0.04%	-0.03%	-0.03%	-0.02%	-0.03%	-0.03%	-0.02%	-0.02%	-0.03%
ROA	1.04%	0.99%	0.87%	0.96%	0.97%	1.02%	0.71%	0.91%	1.04%	1.23%	1.26%	1.18%	1.17%	1.16%
RoRWA	2.27%	2.05%	1.78%	2.12%	2.28%	2.35%	1.66%	2.19%	2.52%	3.00%	3.21%	3.07%	2.97%	2.89%
Equity/Assets	7.2%	7.9%	8.6%	8.4%	8.5%	9.0%	9.2%	9.3%	9.3%	9.1%	9.2%	9.2%	9.2%	9.2%
ROE	14.4%	12.4%	10.1%	11.3%	11.5%	11.3%	7.7%	9.8%	11.2%	13.5%	13.7%	12.8%	12.8%	12.7%

Source: Company reports and J.P. Morgan estimates.

Quarterly forecasts

Table 28: OCBC: Quarterly P&L

S\$ in mn	1Q23	2Q23	3Q23	4Q23	1Q24	2Q24	3Q24	4Q24	1Q25E	2Q25E	3Q25E	4Q25E
Interest Income	4,675	5,171	5,438	5,582	5,615	5,615	5,596	5,617	5,550	5,464	5,400	5,365
Interest Expense	(2,336)	(2,783)	(2,982)	(3,120)	(3,178)	(3,185)	(3,163)	(3,162)	(3,135)	(3,062)	(2,987)	(2,972)
Net Interest Income	2,338	2,389	2,456	2,462	2,437	2,430	2,433	2,455	2,415	2,401	2,413	2,394
Non-Interest Income	1,012	1,066	973	811	1,189	1,199	1,369	961	1,232	1,230	1,256	1,239
Net Fee income	453	430	461	460	479	466	508	517	533	517	548	551
Trading income	321	374	292	263	421	439	628	343	432	440	449	433
Other operating income	238	262	220	88	289	294	233	101	268	273	259	255
Total Revenues	3,350	3,455	3,429	3,273	3,626	3,629	3,802	3,416	3,647	3,631	3,668	3,632
Costs	(1,244)	(1,329)	(1,340)	(1,310)	(1,346)	(1,373)	(1,463)	(1,560)	(1,455)	(1,448)	(1,511)	(1,519)
PPOP	2,106	2,126	2,089	1,963	2,280	2,256	2,339	1,856	2,192	2,183	2,158	2,113
Loan loss provisions	(110)	(239)	(184)	(200)	(169)	(55)	(169)	(297)	(177)	(179)	(181)	(196)
Other provisions	(25)	(39)	(26)	(13)	(25)	(111)	(7)	84	(15)	(15)	(15)	(15)
Other income	260	250	254	189	255	243	251	245	257	265	273	298
Pre-Tax	2,231	2,098	2,133	1,939	2,341	2,333	2,414	1,888	2,257	2,254	2,235	2,200
Tax	(347)	(315)	(345)	(229)	(344)	(310)	(339)	(235)	(339)	(338)	(335)	(330)
Minorities and Hybrids	(6)	(72)	22	(88)	(15)	(79)	(101)	34	(37)	(37)	(37)	(37)
Core Reported profits	1,879	1,710	1,810	1,622	1,982	1,944	1,974	1,687	1,882	1,879	1,863	1,833
Profits to Equity SHs	1,863	1,694	1,802	1,609	1,965	1,927	1,957	1,670	1,865	1,862	1,846	1,816

Source: Company reports and J.P. Morgan estimates.

Table 29: OCBC: Quarterly DuPont

	1Q23	2Q23	3Q23	4Q23	1Q24	2Q24	3Q24	4Q24	1Q25E	2Q25E	3Q25E	4Q25E
NIM (% of avg. IEA)	2.30%	2.26%	2.27%	2.29%	2.27%	2.20%	2.18%	2.15%	2.12%	2.07%	2.05%	2.02%
IEA/Assets	73.2%	73.7%	73.7%	73.3%	73.3%	74.2%	73.9%	74.0%	74.1%	74.0%	73.9%	73.8%
Margins (% of avg. Assets)	1.68%	1.67%	1.67%	1.68%	1.66%	1.63%	1.61%	1.59%	1.57%	1.53%	1.51%	1.49%
Non-IR contribution	30.2%	30.9%	28.4%	24.8%	32.8%	33.0%	36.0%	28.1%	33.8%	33.9%	34.2%	34.1%
Non-IR/Avg. Assets	0.72%	0.74%	0.67%	0.56%	0.81%	0.80%	0.91%	0.63%	0.79%	0.78%	0.79%	0.77%
Revenue/Assets	2.38%	2.40%	2.35%	2.25%	2.46%	2.43%	2.53%	2.23%	2.33%	2.30%	2.31%	2.27%
Cost/Income	37.1%	38.5%	39.1%	40.0%	37.1%	37.8%	38.5%	45.7%	39.9%	39.9%	41.2%	41.8%
C/Assets	0.88%	0.92%	0.92%	0.90%	0.91%	0.92%	0.97%	1.02%	0.93%	0.92%	0.95%	0.95%
Pre-Provision ROA	1.50%	1.48%	1.43%	1.35%	1.55%	1.51%	1.56%	1.21%	1.40%	1.39%	1.36%	1.32%
LLP/Loans	-0.15%	-0.32%	-0.25%	-0.27%	-0.23%	-0.07%	-0.22%	-0.38%	-0.22%	-0.22%	-0.22%	-0.24%
Loan/Assets	52.3%	51.4%	51.0%	51.1%	50.7%	50.6%	50.7%	50.9%	51.2%	51.5%	51.6%	51.8%
Other Income/Assets	0.17%	0.15%	0.16%	0.12%	0.16%	0.09%	0.16%	0.21%	0.15%	0.16%	0.16%	0.18%
Operating ROA	1.42%	1.31%	1.31%	1.21%	1.43%	1.47%	1.45%	1.02%	1.29%	1.27%	1.25%	1.20%
Pre-Tax ROA	1.59%	1.46%	1.46%	1.33%	1.59%	1.56%	1.61%	1.23%	1.44%	1.43%	1.41%	1.38%
Tax Rate	-15.5%	-15.0%	-16.2%	-11.8%	-14.7%	-13.3%	-14.0%	-12.5%	-15.0%	-15.0%	-15.0%	-15.0%
Minorities & Outside Int.	0.00%	-0.05%	0.01%	-0.06%	-0.01%	-0.05%	-0.07%	0.02%	-0.02%	-0.02%	-0.02%	-0.02%
ROA	1.32%	1.18%	1.24%	1.11%	1.33%	1.29%	1.30%	1.09%	1.19%	1.18%	1.16%	1.14%
RoRWA	3.21%	2.89%	2.99%	2.67%	3.27%	3.11%	3.27%	2.88%	3.14%	3.09%	3.02%	2.94%
Equity/Assets	9.19%	8.95%	8.71%	8.90%	9.17%	9.23%	9.26%	9.25%	9.12%	9.12%	9.10%	9.08%
ROE	14.4%	13.2%	14.2%	12.4%	14.5%	14.0%	14.1%	11.8%	13.1%	13.0%	12.8%	12.5%

Source: Company reports and J.P. Morgan estimates.

Price Performance



	YTD	1m	3m	12m
Abs	1.7%	-4.2%	3.6%	24.5%
Rel	-2.0%	-4.1%	-2.0%	2.6%

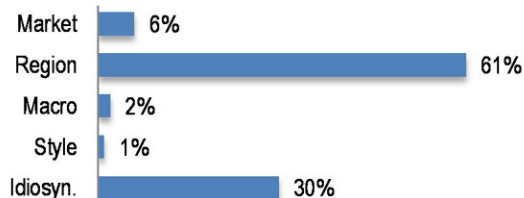
Company Data

Shares O/S (mn)	4,495
52-week range (\$\$)	17.93-13.47
Market cap (\$ mn)	57,184
Exchange rate	1.33
Free float (%)	85.3%
3M ADV (mn)	5.46
3M ADV (\$ mn)	70.0
Volatility (90 Day)	15
Index	FTSTI
BBG ANR (Buy Hold Sell)	9 8 1

Key Metrics (FYE Dec)

\$S in millions	FY24A	FY25E	FY26E	FY27E
Financial Estimates				
Net interest income	9,755	9,623	9,543	9,444
Non interest income	4,718	4,956	5,352	5,780
Operating expenses	(5,742)	(5,933)	(6,092)	(6,234)
Adj. PPOP	8,731	8,645	8,803	8,990
Provision for loan losses	(690)	(734)	(765)	(798)
Adj. PBT	8,976	8,946	9,182	9,457
Adj. net income	7,519	7,388	7,574	7,792
Adj. EPS	1.67	1.65	1.71	1.79
BBG EPS	1.71	1.68	1.72	1.80
DPS	1.01	1.02	1.05	1.10
Loans	315,096	329,247	343,156	357,680
Deposits	390,687	399,338	410,983	423,011
Total Assets	625,050	642,841	664,396	686,784
Margins and Growth				
NIM	-	-	-	-
Ratios				
Loan/ Deposit ratio	80.7%	82.4%	83.5%	84.6%
NPL / Loans	0.9%	0.9%	0.9%	0.9%
Coverage	144.0%	144.8%	145.6%	146.2%
CET 1	-	-	-	-
Non-int. income/ Income	32.6%	34.0%	35.9%	38.0%
Cost/Income	39.7%	40.7%	40.9%	40.9%
LLP/Loans	(0.2%)	(0.2%)	(0.2%)	(0.2%)
ROA	1.2%	1.2%	1.2%	1.2%
ROE	13.6%	12.7%	12.7%	12.6%
Valuation				
Dividend yield	5.9%	6.0%	6.2%	6.5%
Adj. P/E	10.2	10.3	9.9	9.5
P/ BV	1.33	1.28	1.22	1.17

Performance Drivers



Factors	6M Corr	1Y Corr
Market: MSCI Asia Pac ex JP	0.02	0.25
Region: Singapore	0.86	0.81
Macro:		
HSI Volatility Index	-0.53	-0.31
Emerging Central Bank Rate	-0.31	-0.30
JPM China A-shares Sentiment	-0.34	-0.27
Quant Styles:		
Momentum	0.41	0.24
Size	0.21	0.21
Growth	0.45	0.18

Source: J.P. Morgan Quantitative and Derivatives Strategy for Performance Drivers; company data, Bloomberg Finance L.P. and J.P. Morgan estimates for all other tables. Note: Price history may not be complete or exact.

OCBC Bank: Summary of Financials

Income Statement						Balance Sheet					
	FY23A	FY24A	FY25E	FY26E	FY27E		FY23A	FY24A	FY25E	FY26E	FY27E
Interest income	20,867	22,444	21,779	21,149	20,699	Cash and cash equivalents	0	0	0	0	0
Interest expense	(11,222)	(12,689)	(12,157)	(11,606)	(11,255)	Deposits with banks	72,337	77,006	70,378	69,614	68,765
Net interest income	9,645	9,755	9,623	9,543	9,444	Net loans	292,754	315,096	329,247	343,156	357,680
Non interest income	3,862	4,718	4,956	5,352	5,780	PP&E	3,528	3,725	3,800	3,989	4,189
o/w Fee income	1,804	1,970	2,147	2,319	2,505	Net intangibles	4,501	4,504	4,507	4,510	4,513
o/w Trading income	1,250	1,831	1,754	1,915	2,091	LT investments	102,200	113,454	117,992	121,532	125,178
Net revenues	13,507	14,473	14,579	14,895	15,224	Other assets	106,104	111,265	116,918	121,595	126,458
Non interest expense	(5,223)	(5,742)	(5,933)	(6,092)	(6,234)	Total assets	581,424	625,050	642,841	664,396	686,784
o/w Employee costs	0	0	0	0	0	Interest earning assets	451,211	484,270	495,572	511,730	528,513
Pre-Prov. Profits	8,284	8,731	8,645	8,803	8,990	Deposits	363,770	390,687	399,338	410,983	423,011
Provisions	(733)	(690)	(734)	(765)	(798)	Borrowings	26,553	31,553	33,131	34,787	36,527
Adj. PBT	8,401	8,976	8,946	9,182	9,457	Other liabilities	136,797	144,130	150,463	156,707	163,215
Income taxes	(1,236)	(1,228)	(1,342)	(1,377)	(1,418)	Total liabilities	527,120	566,370	582,931	602,477	622,752
Minority interest	(144)	(161)	(147)	(162)	(178)	Shareholder equity	52,920	57,616	58,846	60,855	62,968
Adj. Net profit	6,986	7,519	7,388	7,574	7,792	Minority interests	1,384	1,064	1,064	1,064	1,064
PPOP per share	1.84	1.94	1.93	1.99	2.06	Total liabilities and Shareholder equity	581,424	625,050	642,841	664,396	686,784
Reported EPS	1.55	1.67	1.65	1.71	1.79	Interest bearing liabilities	401,207	433,805	444,496	458,279	472,546
Adj. EPS	1.55	1.67	1.65	1.71	1.79	Book Value Per Share	11.78	12.80	13.25	13.89	14.56
DPS	0.82	1.01	1.02	1.05	1.10	Tangible Book Value Per Share	11.47	12.57	13.01	13.64	14.32
Diluted shares outstanding	4,507	4,502	4,476	4,417	4,358						
Balance Sheet Gearing						Asset Quality/Capital					
	FY23A	FY24A	FY25E	FY26E	FY27E		FY23A	FY24A	FY25E	FY26E	FY27E
Loans/Deposits	80.5%	80.7%	82.4%	83.5%	84.6%	Loan loss reserves/Loans	(1.3%)	(1.3%)	(1.3%)	(1.3%)	(1.3%)
Investment/Assets	16.8%	17.9%	18.3%	18.3%	18.3%	NPLs/Loans	0.9%	0.9%	0.9%	0.9%	0.9%
Loan/Assets	51.8%	51.0%	51.5%	52.1%	52.6%	Loan loss reserves/NPLs	119.8%	141.5%	144.4%	145.2%	145.9%
Customer deposits/Liabilities	69.0%	69.0%	68.5%	68.2%	67.9%	NPL y/y growth	(17.1%)	0.8%	5.6%	5.6%	5.5%
LT debt/Liabilities	4.7%	5.3%	5.6%	5.7%	5.8%	Tier 1 ratio	16.5%	17.8%	17.0%	16.4%	15.9%
Ratio Analysis (%)						Ratio Analysis (%)					
	FY23A	FY24A	FY25E	FY26E	FY27E		FY23A	FY24A	FY25E	FY26E	FY27E
Net interest margin	-	-	-	-	-	Return on equity (ROE)	13.4%	13.6%	12.7%	12.7%	12.6%
Non interest income/Net revenue	28.6%	32.6%	34.0%	35.9%	38.0%	Return on assets (ROA)	1.2%	1.2%	1.2%	1.2%	1.2%
Non interest income/Avg. Assets	0.7%	0.8%	0.8%	0.8%	0.9%	Operating ROA	1.3%	1.3%	1.2%	1.2%	1.2%
Efficiency ratio	38.7%	39.7%	40.7%	40.9%	40.9%	Pre-Tax ROA	1.5%	1.5%	1.4%	1.4%	1.4%
Leverage ratio	6.8%	7.0%	6.7%	6.6%	6.6%	Pre-Provision ROA	1.5%	1.4%	1.4%	1.3%	1.3%
Revenue/Assets	2.4%	2.4%	2.3%	2.3%	2.3%	Tax rate	14.7%	13.7%	15.0%	15.0%	15.0%
RORWA	3.0%	3.2%	3.0%	2.9%	2.9%						
RWA	236,694	236,288	249,442	264,450	280,229	Net loans y/y growth	0.4%	7.6%	4.5%	4.2%	4.2%
Avg. RWA	234,171	236,491	242,865	256,946	272,339	Assets y/y growth	3.8%	7.5%	2.8%	3.4%	3.4%
Avg. IEA	423,065	443,419	464,446	477,462	493,076	RWA y/y growth	2.2%	(0.2%)	5.6%	6.0%	6.0%
Gross Loans	296,653	319,166	333,572	347,746	362,546	Deposits y/y growth	3.9%	7.4%	2.2%	2.9%	2.9%
Avg. IBL	395,876	414,257	435,733	447,875	461,791	Net interest income y/y growth	25.5%	1.1%	(1.4%)	(0.8%)	(1.0%)
LLR	(3,899)	(4,070)	(4,325)	(4,590)	(4,866)	Revenues y/y growth	15.7%	7.2%	0.7%	2.2%	2.2%
NPLs	2,805	2,827	2,987	3,153	3,327	Adj. EPS y/y growth	22.0%	7.7%	(1.2%)	3.9%	4.3%
P/BV (x)	1.44	1.33	1.28	1.22	1.17	BVPS y/y growth	3.0%	8.7%	3.5%	4.8%	4.9%
Adj. P/E (x)	11.0	10.2	10.3	9.9	9.5	IE assets/Assets	74.1%	73.5%	73.3%	73.0%	73.0%
Dividend yield	4.8%	5.9%	6.0%	6.2%	6.5%	Margins (as % of Avg. Assets)	1.6%	1.5%	1.4%	1.4%	1.3%
Dividend payout	52.9%	60.5%	61.8%	61.2%	61.5%	LLP/Loans	(0.2%)	(0.2%)	(0.2%)	(0.2%)	(0.2%)
						Equity/Assets	9.1%	9.2%	9.2%	9.2%	9.2%
						Cost/Assets	0.9%	1.0%	0.9%	0.9%	0.9%
						Assets/Equity	10.9	10.9	10.9	10.9	10.9

Source: Company reports and J.P. Morgan estimates.

Note: \$ in millions (except per-share data). Fiscal year ends Dec

▼ Neutral

Previous: Overweight

UOBH.SI, UOB SP

Price (21 Mar 25): S\$37.95

▼ **Price Target (Dec-25): S\$40.00**

Prior (Dec-25): S\$43.00

APAC Banks

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J.P. Morgan Securities (Asia Pacific) Limited/ J.P.

Morgan Broking (Hong Kong) Limited

Key Changes (FYE Dec)

	Prev	Cur
Adj. EPS - 26E (\$)	4.17	4.00

Quarterly Forecasts (FYE Dec)

Adj. EPS (\$)	2024A	2025E	2026E
Q1	0.87	0.92	
Q2	0.84	0.93	
Q3	0.95	0.95	
Q4	0.90	0.94	
FY	3.56	3.74	4.00

Style Exposure

Quant Factors	Current %Rank	Hist %Rank (1=Top)			
		6M	1Y	3Y	5Y
Value	1	1	1	7	7
Growth	17	36	26	14	20
Momentum	17	36	33	7	49
Quality	14	17	20	10	7
Low Vol	7	7	10	7	33
ESGQ	81	79	16	6	10

United Overseas Bank (UOB)

Downgrading to Neutral on shifts in rate expectations

We reduce our FY25-27E EPS by 2-4% and our PT to S\$40 (from S\$43), reflecting lower rate expectations, which is leading to lower ROE at 13%/13.3%/13.6% over next 3Y. This could lead to a period of range-bound performance for the stock. That said, we expect capital management to provide support beyond a point. We expect a 55% payout over next 3Y and buybacks of S\$1.5bn/1bn/1bn over FY25-27E.

Valuation

Figure 61: UOB: Valuation

	Net Inc (\$ mn)	EPS (\$)	P/E (x)	BVPS (\$)	P/B (x)	Dividend (\$)	Div Yld (%)	RoA (%)	RoRWA (%)	RoE (%)
2020	2,825	1.69	22.4	23.0	1.65	0.78	2.1%	0.68%	1.25%	7.5%
2021	4,003	2.39	15.9	24.1	1.58	1.20	3.2%	0.90%	1.65%	10.2%
2022	4,485	2.68	14.2	24.2	1.57	1.35	3.6%	0.98%	1.73%	11.7%
2023	5,615	3.36	11.3	26.0	1.46	1.70	4.5%	1.16%	2.10%	14.2%
2024	5,946	3.56	10.7	28.1	1.35	2.05	5.4%	1.16%	2.22%	13.6%
2025E	6,180	3.74	10.1	29.3	1.30	2.12	5.6%	1.13%	2.33%	13.1%
2026E	6,478	4.00	9.5	31.0	1.22	2.20	5.8%	1.12%	2.31%	13.3%
2027E	6,915	4.35	8.7	33.0	1.15	2.40	6.3%	1.14%	2.32%	13.6%

Price (\$)	37.95	Number of shares (mn)	1,672	Market Cap (\$ mn)	63,469
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Normalised RoE		PB based Valuation		PE based Valuation	
NIM (on avg. assets)	1.67%	Risk-free rate	4.50%	Fair PE	9.82x
Non-IR/revenues	33.4%	Cost of capital	10.3%	12m Rolling EPS	S\$3.80
Cost/income	42.3%	Long term growth	0.50%	PE based 12M Fwd Fair Value	S\$37.3
Operating RoA	1.45%	Fair PB	1.21x	Implied Value of Growth	
LLP/Loans	-0.30%	PV of Terminal Value	S\$32.7	12m Rolling EPS	S\$3.80
Net RoAA	1.05%	PV of Dividends	S\$3.8	Capitalized Value (\$)	\$36.99
Equity/Assets	8.5%	PV of today's Fair Value	S\$36.5	Value of Growth (\$)	\$0.96
Normalised RoE	12.4%	PV of Dec-25E fair value	S\$40.2	Attributable to Growth	2.5%

Source: J.P. Morgan estimates, Bloomberg Finance L.P.

Annual forecasts

Table 30: UOB: Annual P&L

S\$ in million	2015	2016	2017	2018	2019	2020	2021	2022	2023	2024	2025E	2026E	2027E
Interest Income	7,826	8,291	9,077	11,141	12,557	9,623	8,204	12,862	22,242	23,259	22,718	22,431	22,499
Interest Expense	(2,900)	(3,300)	(3,548)	(4,921)	(5,994)	(3,587)	(1,816)	(4,519)	(12,563)	(13,585)	(13,226)	(12,839)	(12,617)
Net Interest Income	4,926	4,991	5,528	6,220	6,563	6,036	6,388	8,343	9,679	9,674	9,492	9,592	9,882
Non-Interest Income	3,122	3,071	3,323	2,896	3,467	3,141	3,401	3,232	4,253	4,620	4,834	5,268	5,684
Net Fee income	1,883	1,931	2,161	1,966	2,032	1,997	2,412	2,143	2,235	2,395	2,682	2,977	3,245
Trading income	954	877	902	648	1,116	880	730	829	1,690	2,003	1,903	2,017	2,138
Other operating income	285	263	260	282	319	264	259	260	328	222	249	274	301
Total Revenues	8,048	8,061	8,851	9,116	10,030	9,177	9,789	11,575	13,932	14,294	14,326	14,860	15,566
Costs	(3,530)	(3,696)	(4,027)	(4,003)	(4,472)	(4,184)	(4,313)	(5,016)	(5,777)	(6,074)	(6,013)	(6,134)	(6,256)
PPOP	4,518	4,365	4,824	5,113	5,558	4,992	5,476	6,559	8,155	8,220	8,313	8,726	9,310
Loan loss provisions	(588)	(571)	(660)	(395)	(450)	(1,595)	(629)	(627)	(784)	(873)	(867)	(966)	(1,032)
Other provisions	(84)	(23)	(67)	2	15	42	(28)	21	(161)	(81)	-	-	-
Other income	90	6	110	106	51	98	118	97	93	121	127	133	140
Pre-Tax	3,936	3,777	4,207	4,826	5,174	3,536	4,937	6,050	7,303	7,387	7,573	7,894	8,419
Tax	(649)	(669)	(800)	(805)	(813)	(606)	(850)	(1,221)	(1,228)	(1,140)	(1,249)	(1,302)	(1,389)
MI & EO	(11)	(12)	(16)	(13)	(18)	(15)	(12)	(10)	(14)	(14)	(14)	(15)	(16)
Core Profit	3,276	3,096	3,390	4,008	4,343	2,915	4,075	4,819	6,061	6,233	6,309	6,576	7,014
Attributable profits	3,170	3,012	3,288	3,898	4,249	2,825	4,003	4,731	5,965	6,134	6,210	6,478	6,915

Source: Company reports and J.P. Morgan estimates.

Table 31: UOB: Annual DuPont

	2015	2016	2017	2018	2019	2020	2021	2022	2023	2024	2025E	2026E	2027E
NIM (% of avg. IEA)	1.77%	1.71%	1.77%	1.82%	1.78%	1.57%	1.56%	1.86%	2.09%	2.03%	1.92%	1.85%	1.80%
IEA/Assets	89.3%	89.0%	89.4%	91.6%	93.0%	91.9%	92.0%	93.1%	90.1%	89.8%	90.2%	90.3%	90.4%
Margins (% of avg. Assets)	1.58%	1.52%	1.58%	1.67%	1.66%	1.44%	1.43%	1.73%	1.88%	1.82%	1.73%	1.67%	1.63%
Non-IR contribution	38.8%	38.1%	37.5%	31.8%	34.6%	34.2%	34.7%	27.9%	30.5%	32.3%	33.7%	35.5%	36.5%
Non-IR/Avg. Assets	1.00%	0.94%	0.95%	0.78%	0.87%	0.75%	0.76%	0.67%	0.83%	0.87%	0.88%	0.91%	0.94%
Revenue/Assets	2.58%	2.46%	2.53%	2.44%	2.53%	2.19%	2.20%	2.40%	2.71%	2.69%	2.61%	2.58%	2.56%
Cost/Income	43.9%	45.9%	45.5%	43.9%	44.6%	45.6%	44.1%	43.3%	41.5%	42.5%	42.0%	41.3%	40.2%
C/Assets	1.13%	1.13%	1.15%	1.07%	1.13%	1.00%	0.97%	1.04%	1.12%	1.14%	1.10%	1.07%	1.03%
Pre-Provision ROA	1.45%	1.33%	1.38%	1.37%	1.40%	1.19%	1.23%	1.36%	1.59%	1.55%	1.52%	1.52%	1.53%
LLP/Loans	-0.3%	-0.3%	-0.29%	-0.16%	-0.17%	-0.58%	-0.21%	-0.20%	-0.24%	-0.26%	-0.25%	-0.26%	-0.26%
Loan/Assets	65.3%	66.0%	66.1%	66.7%	66.9%	65.8%	66.5%	65.4%	62.3%	62.1%	63.7%	64.9%	65.7%
Other Income/Assets	0.00%	-0.01%	0.01%	0.03%	0.02%	0.03%	0.02%	0.02%	-0.01%	0.01%	0.02%	0.02%	0.02%
Operating ROA	1.26%	1.16%	1.19%	1.26%	1.29%	0.81%	1.09%	1.23%	1.43%	1.38%	1.36%	1.35%	1.36%
Pre-Tax ROA	1.26%	1.15%	1.20%	1.29%	1.31%	0.85%	1.11%	1.26%	1.42%	1.39%	1.38%	1.37%	1.39%
Tax Rate	-16.5%	-17.7%	-19.0%	-16.7%	-15.7%	-17.1%	-17.2%	-20.2%	-16.8%	-15.4%	-16.5%	-16.5%	-16.5%
Minorities & Outside Int.	0.00%	0.00%	0.00%	0.00%	0.00%	0.00%	0.00%	0.00%	0.00%	0.00%	0.00%	0.00%	0.00%
Core ROA	1.02%	0.92%	0.94%	1.04%	1.07%	0.68%	0.90%	0.98%	1.16%	1.16%	1.13%	1.12%	1.14%
ROA	1.00%	0.92%	0.94%	1.04%	1.07%	0.68%	0.90%	0.93%	1.09%	1.12%	1.13%	1.12%	1.14%
RoRWA	1.64%	1.45%	1.58%	1.86%	1.90%	1.25%	1.65%	1.73%	2.10%	2.22%	2.33%	2.31%	2.32%
Equity/Assets	8.99%	9.05%	9.25%	9.29%	9.18%	9.06%	8.84%	8.39%	8.18%	8.52%	8.63%	8.47%	8.37%
Core ROE	11.3%	10.1%	10.2%	11.2%	11.7%	7.5%	10.2%	11.7%	14.2%	13.6%	13.1%	13.3%	13.6%
ROE	11.1%	10.1%	10.2%	11.2%	11.7%	7.5%	10.2%	11.1%	13.4%	13.1%	13.0%	13.3%	13.6%

Source: Company reports and J.P. Morgan estimates.

Quarterly forecasts

Table 32: UOB: Quarterly P&L

\$S in million	1Q23	2Q23	3Q23	4Q23	1Q24	2Q24	3Q24	4Q24	1Q25E	2Q25E	3Q25E	4Q25E
Interest Income	5,152	5,451	5,692	5,947	5,855	5,706	5,791	5,907	5,746	5,703	5,652	5,616
Interest Expense	(2,743)	(3,014)	(3,263)	(3,543)	(3,493)	(3,305)	(3,331)	(3,456)	(3,370)	(3,330)	(3,271)	(3,254)
Net Interest Income	2,409	2,437	2,429	2,404	2,362	2,401	2,460	2,451	2,376	2,373	2,381	2,362
Non-Interest Income	1,115	1,104	1,027	1,007	1,161	1,075	1,374	1,010	1,179	1,190	1,241	1,225
Net Fee income	552	524	591	568	580	618	630	567	641	673	700	669
Trading income	474	478	375	363	521	406	709	367	477	453	476	497
Other operating income	89	102	61	76	60	51	35	76	61	64	65	59
Total Revenues	3,524	3,541	3,456	3,411	3,523	3,476	3,834	3,461	3,554	3,563	3,622	3,587
Costs	(1,440)	(1,448)	(1,416)	(1,473)	(1,475)	(1,452)	(1,590)	(1,558)	(1,480)	(1,490)	(1,537)	(1,507)
PPOP	2,084	2,093	2,040	1,938	2,048	2,024	2,244	1,903	2,074	2,074	2,085	2,080
Loan loss provisions	(192)	(238)	(151)	(203)	(186)	(194)	(281)	(212)	(224)	(210)	(213)	(220)
Other provisions	18	(132)	(91)	44	16	(44)	(30)	(23)	0	0	0	0
Other income	25	26	20	22	26	30	25	40	32	32	32	31
Pre-Tax	1,935	1,749	1,818	1,801	1,904	1,816	1,958	1,708	1,882	1,896	1,904	1,891
Tax	(345)	(208)	(305)	(370)	(317)	(307)	(299)	(219)	(311)	(313)	(314)	(312)
MI & EO	(13)	(34)	(34)	67	(22)	(22)	(22)	51	(3)	(3)	(3)	(7)
Core Profit	1,577	1,507	1,479	1,498	1,566	1,488	1,638	1,540	1,569	1,580	1,587	1,572
Attributable profit	1,510	1,415	1,382	1,404	1,487	1,424	1,610	1,523	1,554	1,565	1,587	1,572

Source: Company reports and J.P. Morgan estimates.

Table 33: UOB: Quarterly DuPont

	1Q23	2Q23	3Q23	4Q23	1Q24	2Q24	3Q24	4Q24	1Q25E	2Q25E	3Q25E	4Q25E
NIM (% of avg. IEA)	2.14%	2.12%	2.09%	2.02%	2.02%	2.05%	2.05%	2.00%	1.96%	1.91%	1.88%	1.85%
IEA/Assets	90.7%	91.5%	90.3%	90.9%	90.5%	91.3%	90.2%	90.3%	91.2%	91.2%	91.1%	91.2%
Margins (% of avg. Assets)	1.94%	1.94%	1.89%	1.84%	1.83%	1.87%	1.85%	1.81%	1.78%	1.74%	1.71%	1.68%
Non-IR contribution	31.6%	31.2%	29.7%	29.5%	33.0%	30.9%	35.8%	29.2%	33.2%	33.4%	34.3%	34.1%
Non-IR/Avg. Assets	0.89%	0.88%	0.80%	0.78%	0.89%	0.83%	1.04%	0.75%	0.87%	0.87%	0.90%	0.88%
Revenue/Assets	2.80%	2.81%	2.71%	2.63%	2.71%	2.69%	2.90%	2.56%	2.63%	2.61%	2.63%	2.58%
Cost/Income	40.9%	40.9%	41.0%	43.2%	41.9%	41.8%	41.5%	45.0%	41.6%	41.8%	42.4%	42.0%
C/Assets	1.14%	1.15%	1.11%	1.13%	1.14%	1.13%	1.20%	1.15%	1.10%	1.09%	1.12%	1.08%
Pre-Provision ROA	1.66%	1.66%	1.60%	1.49%	1.58%	1.57%	1.70%	1.41%	1.54%	1.52%	1.51%	1.50%
LLP/Loans	-0.24%	-0.30%	-0.19%	-0.25%	-0.23%	-0.24%	-0.34%	-0.25%	-0.26%	-0.24%	-0.24%	-0.25%
Loan/Assets	63.2%	63.0%	62.4%	61.5%	62.0%	63.0%	62.5%	62.2%	63.2%	63.6%	63.9%	64.4%
Operating ROA	1.50%	1.47%	1.48%	1.34%	1.43%	1.42%	1.48%	1.25%	1.37%	1.37%	1.36%	1.34%
Pre-Tax ROA	1.54%	1.39%	1.42%	1.39%	1.47%	1.41%	1.48%	1.27%	1.39%	1.39%	1.38%	1.36%
Tax Rate	-17.8%	-11.9%	-16.8%	-20.5%	-16.6%	-16.9%	-15.2%	-12.8%	-16.5%	-16.5%	-16.5%	-16.5%
Minorities & Outside Int.	-0.01%	-0.03%	-0.03%	0.05%	-0.02%	-0.02%	-0.02%	0.04%	0.00%	0.00%	0.00%	0.00%
Core ROA	1.23%	1.17%	1.13%	1.13%	1.19%	1.13%	1.22%	1.12%	1.14%	1.14%	1.13%	1.11%
ROA	1.18%	1.10%	1.06%	1.06%	1.13%	1.08%	1.20%	1.11%	1.13%	1.13%	1.13%	1.11%
RoRWA	2.29%	2.12%	2.02%	2.02%	2.12%	2.00%	2.36%	2.34%	2.34%	2.33%	2.34%	2.29%
Equity/Assets	8.33%	8.46%	8.19%	8.19%	8.49%	8.66%	8.54%	8.60%	8.64%	8.60%	8.55%	8.49%
Core ROE	14.8%	13.8%	13.8%	13.9%	14.0%	13.1%	14.3%	13.1%	13.2%	13.3%	13.3%	13.1%
ROE	14.1%	13.0%	12.9%	13.0%	13.3%	12.5%	14.0%	12.9%	13.1%	13.1%	13.3%	13.1%

Source: Company reports and J.P. Morgan estimates.

Price Performance



	YTD	1m	3m	12m
Abs	4.5%	-1.1%	5.9%	29.9%
Rel	0.8%	-1.0%	0.3%	8.0%

Company Data

Shares O/S (mn)	1,674
52-week range (\$)	39.20-28.63
Market cap (\$ mn)	47,597
Exchange rate	1.33
Free float (%)	86.2%
3M ADV (mn)	2.43
3M ADV (\$ mn)	68.3
Volatility (90 Day)	14
Index	FTSTI
BBG ANR (Buy Hold Sell)	16 2 0

Key Metrics (FYE Dec)

\$ in millions	FY24A	FY25E	FY26E	FY27E
Financial Estimates				
Net interest income	9,674	9,492	9,592	9,882
Non interest income	4,620	4,834	5,268	5,684
Operating expenses	(6,074)	(6,013)	(6,134)	(6,256)
Adj. PPOP	8,220	8,313	8,726	9,310
Provision for loan losses	(873)	(867)	(966)	(1,032)
Adj. PBT	7,199	7,543	7,894	8,419
Adj. net income	5,946	6,180	6,478	6,915
Adj. EPS	3.56	3.74	4.00	4.35
BBG EPS	3.59	3.81	4.05	4.35
DPS	2.05	2.12	2.20	2.40
Loans	333,930	357,121	381,841	407,610
Deposits	403,978	416,958	441,239	464,641
Total Assets	537,664	559,669	591,963	623,575
Margins and Growth				
NIM	2.0%	1.9%	1.8%	1.8%
Ratios				
Loan/ Deposit ratio	82.7%	85.6%	86.5%	87.7%
NPL / Loans	1.5%	1.6%	1.6%	1.6%
Coverage	75.5%	74.5%	74.2%	74.0%
CET 1	15.5%	15.1%	14.8%	14.8%
Non-int. income/ Income	32.3%	33.7%	35.5%	36.5%
Cost/Income	42.5%	42.0%	41.3%	40.2%
LLP/Loans	(0.3%)	(0.2%)	(0.3%)	(0.3%)
ROA	1.1%	1.1%	1.1%	1.1%
ROE	13.1%	13.0%	13.3%	13.6%
Valuation				
Dividend yield	5.4%	5.6%	5.8%	6.3%
Adj. P/E	10.7	10.1	9.5	8.7
P/ BV	1.35	1.30	1.22	1.15

Summary Investment Thesis and Valuation

Investment Thesis

We are N on UOB.

- UOB has delivered RoE with the least volatility among Singapore banks over the past 20 years. We expect that trend to sustain over the medium-term. We expect over 13% ROE in next 2Y, driven by a combination of buyback and a focus on cost management, along with sector-high loan growth (~7%). However, the shift in rate outlook could lead to lower NIM, which would be a drag.
- Management's commitment to 14-14.5% CET1 by 2027 provides visibility on the capital return. This follows the increase in fully phased-in CET1 to 15.2% following Basel IV implementation, which increased the bank's capacity to return capital. We expect S\$1.5bn buyback in 2025 and S\$1bn in 2026.
- The Citi acquisition is an important driver of RoE as the bank gets through a phase of investments in 2023-24. UOB's acquisition of Citi assets in Thailand, Indonesia, Malaysia and Vietnam added 3% to loans, 5% to AUM, and ~5% to EPS in steady state.

Valuation

Our Dec-25 PT of S\$40 is based on a fair P/B of 1.21x with a normalized RoE of 12.4%, a risk-free rate of 4.5%, a cost of capital of 10.3% and a growth rate of 0.5%.

Performance Drivers

Market	4%
Region	61%
Macro	0%
Style	2%
Idiosyn.	32%

Factors	6M Corr	1Y Corr
Market: MSCI Asia Pac ex JP	0.18	0.21
Region: Singapore	0.80	0.80
Macro:		
HSI Volatility Index	-0.41	-0.31
JPM China A-shares Sentiment	-0.18	-0.21
JP Morgan GBI-EM Global Div	0.20	0.18
Quant Styles:		
Momentum	0.33	0.23
Value	-0.29	-0.20
Growth	0.28	0.19

Investment Thesis, Valuation and Risks

United Overseas Bank (UOB) *(Neutral; Price Target: S\$40.00)*

Investment Thesis

We are N on UOB.

- UOB has delivered RoE with the least volatility among Singapore banks over the past 20 years. We expect that trend to sustain over the medium-term. We expect over 13% ROE in next 2Y, driven by a combination of buyback and a focus on cost management, along with sector-high loan growth (~7%). However, the shift in rate outlook could lead to lower NIM, which would be a drag.
- Management's commitment to 14-14.5% CET1 by 2027 provides visibility on the capital return. This follows the increase in fully phased-in CET1 to 15.2% following Basel IV implementation, which increased the bank's capacity to return capital. We expect S\$1.5bn buyback in 2025 and S\$1bn in 2026.
- The Citi acquisition is an important driver of RoE as the bank gets through a phase of investments in 2023-24. UOB's acquisition of Citi assets in Thailand, Indonesia, Malaysia and Vietnam added 3% to loans, 5% to AUM, and ~5% to EPS in steady state.
- Following increased spend in the last 2Y, we expect cost control to be a focus, supporting efficiency improvements.
- We believe valuations appear fair at 10.0x/1.30x 2025E PE/PB, with a 6% yield. We expect the ROE trajectory and capital management to drive the stock.

Valuation

Our Dec-25 PT of S\$40 is based on a fair P/B of 1.21x with a normalized RoE of 12.4%, a risk-free rate of 4.5%, a cost of capital of 10.3% and a growth rate of 0.5%.

Risks to Rating and Price Target

Downside risks include worse-than-expected asset quality, growth and NIM disappointment, and lower-than-expected dividends and buyback. Sustained higher operating costs would also be a downside risk. Higher-than-anticipated digital investment spending could be a drag on profitability.

Upside risks include sustained delivery on RoE, cost management post investments in 2023-24, and higher dividend. On PPoP, the bank's ability to manage early wins from its digital investments could lead to positive revisions, and investments coming to fruition earlier than anticipated would pose upside risks on costs.

United Overseas Bank (UOB): Summary of Financials

Income Statement						Balance Sheet					
	FY23A	FY24A	FY25E	FY26E	FY27E		FY23A	FY24A	FY25E	FY26E	FY27E
Interest income	22,242	23,259	22,718	22,431	22,499	Cash and cash equivalents	0	0	0	0	0
Interest expense	(12,563)	(13,585)	(13,226)	(12,839)	(12,617)	Deposits with banks	87,443	76,009	71,585	76,801	80,263
Net interest income	9,679	9,674	9,492	9,592	9,882	Net loans	317,005	333,930	357,121	381,841	407,610
Non interest income	4,253	4,620	4,834	5,268	5,684	PP&E	4,508	4,852	5,095	5,349	5,563
o/w Fee income	2,235	2,395	2,682	2,977	3,245	Net intangibles	4,984	4,979	4,979	4,979	4,979
o/w Trading income	1,690	2,003	1,903	2,017	2,138	LT investments	90,339	96,625	98,558	99,543	100,539
Net revenues	13,932	14,294	14,326	14,860	15,566	Other assets	19,241	21,269	22,332	23,449	24,622
Non interest expense	(5,777)	(6,074)	(6,013)	(6,134)	(6,256)	Total assets	523,520	537,664	559,669	591,963	623,575
o/w Employee costs	(3,553)	(3,699)	(3,662)	(3,735)	(3,810)	Interest earning assets	498,932	510,465	531,489	562,798	593,437
Pre-Prov. Profits	8,155	8,220	8,313	8,726	9,310	Deposits	385,469	403,978	416,958	441,239	464,641
Provisions	(784)	(873)	(867)	(966)	(1,032)	Borrowings	68,651	61,102	67,985	72,575	77,003
Adj. PBT	6,953	7,199	7,543	7,894	8,419	Other liabilities	25,680	25,375	26,733	28,172	29,697
Income taxes	(1,228)	(1,140)	(1,249)	(1,302)	(1,389)	Total liabilities	479,800	490,455	511,676	541,986	571,340
Minority interest	(14)	(14)	(14)	(15)	(16)	Shareholder equity	43,478	46,985	47,770	49,753	52,011
Adj. Net profit	5,615	5,946	6,180	6,478	6,915	Minority interests	242	224	224	224	224
PPOP per share	4.87	4.92	5.03	5.40	5.85	Total liabilities and Shareholder equity	523,520	537,664	559,669	591,963	623,575
Reported EPS	3.36	3.56	3.74	4.00	4.35	Interest bearing liabilities	454,120	465,080	484,943	513,814	541,643
Adj. EPS	3.36	3.56	3.74	4.00	4.35	Book Value Per Share	26.00	28.11	29.29	31.02	32.98
DPS	1.70	2.05	2.12	2.20	2.40	Tangible Book Value Per Share	25.85	27.98	29.15	30.88	32.84
Diluted shares outstanding	1,674	1,672	1,651	1,617	1,590						
Balance Sheet Gearing	FY23A	FY24A	FY25E	FY26E	FY27E	Asset Quality/Capital	FY23A	FY24A	FY25E	FY26E	FY27E
Loans/Deposits	82.2%	82.7%	85.6%	86.5%	87.7%	Loan loss reserves/Loans	(1.3%)	(1.2%)	(1.2%)	(1.2%)	(1.2%)
Investment/Assets	15.9%	17.6%	17.8%	17.2%	16.5%	NPLs/Loans	1.5%	1.5%	1.6%	1.6%	1.6%
Loan/Assets	62.3%	62.1%	63.7%	64.9%	65.7%	Loan loss reserves/NPLs	85.1%	80.2%	75.0%	74.4%	74.1%
Customer deposits/Liabilities	80.3%	82.4%	81.5%	81.4%	81.3%	NPL y/y growth	(3.8%)	6.0%	9.8%	9.6%	9.3%
LT debt/Liabilities	14.2%	13.4%	12.9%	13.3%	13.4%	Tier 1 ratio	14.4%	16.6%	15.1%	14.8%	14.8%
						CAR	16.6%	18.2%	16.7%	16.3%	16.3%
Ratio Analysis (%)	FY23A	FY24A	FY25E	FY26E	FY27E	Ratio Analysis (%)	FY23A	FY24A	FY25E	FY26E	FY27E
Net interest margin	2.1%	2.0%	1.9%	1.8%	1.8%	Return on equity (ROE)	13.4%	13.1%	13.0%	13.3%	13.6%
Non interest income/Net revenue	30.5%	32.3%	33.7%	35.5%	36.5%	Return on assets (ROA)	1.1%	1.1%	1.1%	1.1%	1.1%
Non interest income/Avg. Assets	0.8%	0.9%	0.9%	0.9%	0.9%	Operating ROA	1.4%	1.4%	1.4%	1.3%	1.4%
Efficiency ratio	41.5%	42.5%	42.0%	41.3%	40.2%	Pre-Tax ROA	1.4%	1.4%	1.4%	1.4%	1.4%
Leverage ratio	7.8%	8.1%	7.5%	7.5%	7.5%	Pre-Provision ROA	1.6%	1.5%	1.5%	1.5%	1.5%
Revenue/Assets	2.7%	2.7%	2.6%	2.6%	2.6%	Tax rate	17.7%	15.8%	16.6%	16.5%	16.5%
RORWA	2.1%	2.2%	2.3%	2.3%	2.3%						
RWA	275,930	259,835	271,440	290,062	305,552	Net loans y/y growth	0.5%	5.3%	6.9%	6.9%	6.7%
Avg. RWA	267,514	267,883	265,637	280,751	297,807	Assets y/y growth	3.8%	2.7%	4.1%	5.8%	5.3%
Avg. IEA	462,994	476,735	494,928	519,787	549,212	RWA y/y growth	6.5%	(5.8%)	4.5%	6.9%	5.3%
Gross Loans	321,150	337,831	361,347	386,454	412,635	Deposits y/y growth	4.6%	4.8%	3.2%	5.8%	5.3%
Avg. IBL	434,135	434,135	448,693	471,710	498,489	Net interest income y/y growth	16.0%	(0.1%)	(1.9%)	1.0%	3.0%
LLR	(4,145)	(3,901)	(4,226)	(4,613)	(5,025)	Revenues y/y growth	20.4%	2.6%	0.2%	3.7%	4.8%
NPLs	4,870	5,164	5,671	6,213	6,792	Adj. EPS y/y growth	25.2%	6.0%	5.2%	7.0%	8.6%
P/BV (x)	1.46	1.35	1.30	1.22	1.15	BVPS y/y growth	7.3%	8.1%	4.2%	5.9%	6.3%
Adj. P/E (x)	11.3	10.7	10.1	9.5	8.7	IE assets/Assets	90.1%	89.8%	90.2%	90.3%	90.4%
Dividend yield	4.5%	5.4%	5.6%	5.8%	6.3%	Margins (as % of Avg. Assets)	1.8%	1.7%	1.6%	1.6%	1.5%
Dividend payout	50.7%	57.6%	56.7%	54.9%	55.2%	LLP/Loans	(0.2%)	(0.3%)	(0.2%)	(0.3%)	(0.3%)
						Equity/Assets	8.2%	8.5%	8.6%	8.5%	8.4%
						Cost/Assets	1.1%	1.1%	1.1%	1.1%	1.0%
						Assets/Equity	12.2	11.7	11.6	11.8	11.9

Source: Company reports and J.P. Morgan estimates.

Note: \$S in millions (except per-share data). Fiscal year ends Dec

▼ Underweight

Previous: Neutral

TISCO.BK, TISCO TB

Price (21 Mar 25):Bt101.00

▼ **Price Target (Dec-25):Bt87.00**

Prior (Dec-25):Bt100.00

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Quarterly Forecasts (FYE Dec)

Adj. EPS (Bt)

	2024A	2025E	2026E
Q1	2.16	1.94	
Q2	2.18	1.98	
Q3	2.22	2.02	
Q4	1.96	2.05	
FY	8.62	7.99	8.32

Style Exposure

Quant Factors	Current	Hist %Rank (1=Top)				
	%Rank	6M	1Y	3Y	5Y	
Value	64	57	53	30	44	
Growth	46	60	44	39	42	
Momentum	44	57	39	51	21	
Quality	12	28	19	7	21	
Low Vol	1	1	1	5	3	

Tisco Financial Group PCL

Almost the lowest dividend yield spread in last decade; downgrade to UW

Over the last decade, Tisco has delivered a 5% EPS cagr, 17% ROE and ~75% avg dividend payout, which has led to cumulative dividends in last 10Y amounting to 105% of current market cap, with a decline in loans during the period. We attribute this to the bank's best-in-class risk and capital management, reflected in ~8% dividend yields. We forecast 2025 to be the second year of EPS and RoE decline, and expect DPS of Bt7.75 to stay flat through 2027E. As such, the shift in operating results (as well as a tougher macro) warrants a higher fair dividend yield, in our view. Tisco ranks behind KTB, TTB and SCB in terms of dividend yields on our forecasts. The dividend yield spread to peers has averaged 215bps in the last decade, which has come off to 90bps now, which is too low. We are lowering our 2025/26 EPS estimates by 2/1%. Our Dec-25 PT of Bt87 is based on fair dividend yield valuation assumption of 9%. Hence, we are downgrading the stock to UW.

Valuation

Table 34: TISCO: Valuation

	Core Net (Bt mn)	Core EPS (Bt)	P/E (x)	BVPS (Bt)	P/B (x)	Dividend (Bt)	Div Yld (%)	Core RoA (%)	Core RoRWA (%)	Core RoE (%)
2021	6,784	8.5	11.9	51.5	1.96	7.15	7.1%	2.6%	3.8%	16.8%
2022	7,222	9.0	11.2	53.4	1.89	7.75	7.7%	2.8%	4.0%	17.2%
2023	7,301	9.1	11.1	53.0	1.91	7.75	7.7%	2.6%	3.7%	17.1%
2024	6,901	8.6	11.7	53.8	1.88	7.75	7.7%	2.4%	3.3%	16.1%
2025E	6,399	8.0	12.6	54.0	1.87	7.75	7.7%	2.3%	3.0%	14.8%
2026E	6,658	8.3	12.1	54.6	1.85	7.75	7.7%	2.3%	3.1%	15.3%
2027E	7,166	8.9	11.3	55.8	1.81	7.75	7.7%	2.4%	3.2%	16.2%
Price (Bt)		101.00	Number of shares (mn)		801	Market Cap (THB mn)		80,866		
Normalised RoE			PB based Valuation				PE based Valuation			
NIM (on avg. assets)		4.86%	Risk-free rate		3.5%	Fair PE		9.5x		
Non-IR/revenues		29.9%	Cost of capital		11.0%	12m Rolling EPS		Bt 8.1		
Cost/income		46.1%	Long term growth		1.5%	PE based Dec-25 Fair Value		Bt 76.6		
Operating RoA		3.74%	Fair PB		1.46x	Implied Value of Growth				
LLP/Loans		-1.00%	PV of Terminal Value		Bt 71.2	12m Rolling EPS		Bt 8.1		
Net RoAA		2.34%	PV of Dividends		Bt 7.1	Capitalized Value		Bt 73.3		
Equity/Assets		15.2%	PV of today's Fair Value		Bt 78.3	Value of Growth		Bt 27.7		
Normalised RoE		15.4%	PB based Dec-25 Fair Value		Bt 87	Attributable to Growth		27.4%		

Source: J.P. Morgan estimates, Bloomberg Finance L.P.

Annual forecasts

Table 35: TISCO: Annual P&L

Bt in mn	2017	2018	2019	2020	2021	2022	2023	2024	2025E	2026E	2027E
Interest Income	16,382	17,690	17,881	16,757	14,792	14,904	17,781	19,014	18,950	18,949	19,361
Interest Expense	(4,815)	(5,076)	(5,089)	(3,659)	(2,332)	(2,171)	(4,208)	(5,444)	(5,294)	(5,047)	(4,896)
Net Interest Income	11,567	12,615	12,792	13,098	12,460	12,734	13,572	13,570	13,656	13,902	14,466
Non-Interest Income	6,827	7,418	6,643	5,806	6,376	5,607	5,217	5,657	5,752	5,976	6,208
Net Fee income	6,099	6,095	6,185	5,146	5,615	5,081	4,867	4,971	5,071	5,274	5,485
Trading income	(42)	503	(17)	270	410	89	(24)	317	302	312	321
Other operating income	770	820	475	390	351	436	373	368	379	390	402
Total Revenues	18,394	20,033	19,436	18,904	18,836	18,341	18,789	19,226	19,408	19,878	20,674
Costs	(7,670)	(8,754)	(9,282)	(8,012)	(8,280)	(8,630)	(9,340)	(9,256)	(9,099)	(9,204)	(9,310)
PPOP	10,723	11,280	10,154	10,892	10,556	9,711	9,449	9,971	10,309	10,674	11,363
Loan loss provisions	(3,079)	(2,701)	(1,109)	(3,136)	(2,054)	(722)	(356)	(1,443)	(2,339)	(2,382)	(2,439)
Pre-Tax	7,644	8,578	9,056	7,562	8,492	8,988	9,090	8,595	7,970	8,292	8,925
Tax	(1,487)	(1,663)	(1,783)	(1,498)	(1,708)	(1,766)	(1,788)	(1,694)	(1,571)	(1,634)	(1,759)
Profit before MI	6,158	6,915	7,273	6,064	6,785	7,222	7,302	6,902	6,400	6,658	7,166
MI & EO	(27)	(28)	(3)	(0)	(0)	(0)	(0)	(0)	(0)	(0)	(0)
Attributable Profit	6,130	6,887	7,270	6,063	6,784	7,222	7,301	6,901	6,399	6,658	7,166
Reported Profit	6,090	7,016	7,270	6,063	6,784	7,222	7,301	6,901	6,399	6,658	7,166

Source: Company reports and J.P. Morgan estimates.

Table 36: TISCO: Annual DuPont

	2017	2018	2019	2020	2021	2022	2023	2024	2025E	2026E	2027E
NIM (% of avg. IEA)	4.20%	4.20%	4.22%	4.62%	4.84%	5.09%	4.95%	4.85%	4.90%	4.92%	5.04%
IEA/Assets	95.8%	99.0%	100.8%	98.9%	99.2%	98.3%	98.7%	97.7%	98.2%	98.1%	97.9%
Margins (% of avg. Assets)	4.03%	4.16%	4.26%	4.57%	4.80%	5.00%	4.88%	4.74%	4.81%	4.82%	4.93%
Non-IR contribution	37.1%	37.0%	34.2%	30.7%	33.9%	30.6%	27.8%	29.4%	29.6%	30.1%	30.0%
Non-IR/Avg. Assets	2.38%	2.45%	2.21%	2.02%	2.46%	2.20%	1.88%	1.98%	2.03%	2.07%	2.12%
Revenue/Assets	6.40%	6.61%	6.47%	6.59%	7.26%	7.21%	6.76%	6.72%	6.84%	6.90%	7.04%
Cost/Income	41.7%	43.7%	47.8%	42.4%	44.0%	47.1%	49.7%	48.1%	46.9%	46.3%	45.0%
C/Assets	2.67%	2.89%	3.09%	2.79%	3.19%	3.39%	3.36%	3.23%	3.21%	3.19%	3.17%
Pre-Provision ROA	3.73%	3.72%	3.38%	3.80%	4.07%	3.82%	3.40%	3.48%	3.63%	3.70%	3.87%
LLP/Loans	-1.29%	-1.10%	-0.46%	-1.34%	-0.96%	-0.34%	-0.16%	-0.62%	-1.00%	-1.00%	-1.00%
Operating ROA	2.66%	2.83%	3.01%	2.64%	3.27%	3.53%	3.27%	3.00%	2.81%	2.88%	3.04%
Pre-Tax ROA	2.66%	2.83%	3.01%	2.64%	3.27%	3.53%	3.27%	3.00%	2.81%	2.88%	3.04%
Tax Rate	-19.4%	-19.4%	-19.7%	-19.8%	-20.1%	-19.6%	-19.7%	-19.7%	-19.7%	-19.7%	-19.7%
ROA	2.12%	2.32%	2.42%	2.11%	2.61%	2.84%	2.63%	2.41%	2.26%	2.31%	2.44%
RoRWA	3.25%	3.91%	4.07%	3.27%	3.77%	3.97%	3.71%	3.33%	3.04%	3.10%	3.24%
Equity/Assets	11.5%	11.9%	12.8%	13.7%	15.5%	16.5%	15.3%	14.9%	15.2%	15.1%	15.0%
ROE	18.5%	19.4%	18.9%	15.4%	16.8%	17.2%	17.1%	16.1%	14.8%	15.3%	16.2%

Source: Company reports and J.P. Morgan estimates.

Quarterly forecasts

Table 37: TISCO: Quarterly P&L

Bt in mn	1Q22	2Q22	3Q22	4Q22	1Q23	2Q23	3Q23	4Q23	1Q24	2Q24	3Q24	4Q24	1Q25E	2Q25E	3Q25E	4Q25E
Interest Income	3,556	3,616	3,755	3,977	4,070	4,333	4,602	4,776	4,774	4,744	4,749	4,746	4,744	4,736	4,729	4,740
Interest Expense	(495)	(510)	(533)	(633)	(847)	(978)	(1,110)	(1,273)	(1,378)	(1,357)	(1,364)	(1,345)	(1,340)	(1,326)	(1,314)	(1,314)
Net Interest Income	3,061	3,107	3,221	3,344	3,223	3,355	3,492	3,502	3,395	3,387	3,385	3,402	3,404	3,410	3,415	3,427
Non-Interest Income	1,358	1,457	1,257	1,535	1,384	1,324	1,250	1,260	1,307	1,550	1,402	1,397	1,362	1,423	1,455	1,512
Net Fee income	1,278	1,168	1,267	1,368	1,266	1,152	1,198	1,251	1,168	1,232	1,261	1,310	1,206	1,242	1,279	1,344
Trading income	(34)	176	(107)	54	20	67	(43)	(68)	46	220	41	10	76	76	76	74
Other operating income	114	114	97	112	97	105	95	76	93	98	100	77	81	105	100	94
Total Revenues	4,419	4,564	4,478	4,879	4,606	4,679	4,742	4,762	4,703	4,937	4,788	4,799	4,766	4,832	4,870	4,939
Costs	(2,099)	(2,125)	(2,153)	(2,253)	(2,282)	(2,378)	(2,329)	(2,353)	(2,263)	(2,356)	(2,292)	(2,345)	(2,255)	(2,274)	(2,266)	(2,304)
PPOP	2,320	2,439	2,325	2,627	2,325	2,301	2,414	2,410	2,440	2,582	2,495	2,454	2,512	2,559	2,604	2,635
Loan loss provisions	(86)	(138)	(110)	(388)	(71)	4	(74)	(214)	(281)	(405)	(308)	(449)	(581)	(583)	(585)	(589)
Pre-Tax	2,235	2,300	2,206	2,248	2,233	2,303	2,332	2,222	2,161	2,181	2,137	2,117	1,930	1,976	2,019	2,046
Tax	(439)	(451)	(433)	(443)	(441)	(449)	(457)	(442)	(428)	(428)	(423)	(415)	(380)	(389)	(398)	(403)
Profit before MI	1,796	1,849	1,774	1,804	1,793	1,854	1,875	1,780	1,733	1,753	1,714	1,702	1,550	1,586	1,621	1,642
MI and EO	(0)	(0)	(0)	(0)	(0)	(0)	(0)	(0)	(0)	(0)	(0)	(0)	(0)	(0)	(0)	(0)
Attributable Profit	1,795	1,848	1,773	1,804	1,793	1,854	1,874	1,780	1,733	1,753	1,713	1,702	1,550	1,586	1,621	1,642
Reported Profit	1,795	1,848	1,773	1,804	1,793	1,854	1,874	1,780	1,733	1,753	1,713	1,702	1,550	1,586	1,621	1,642

Source: Company reports and J.P. Morgan estimates.

Table 38: TISCO: Quarterly DuPont

	1Q22	2Q22	3Q22	4Q22	1Q23	2Q23	3Q23	4Q23	1Q24	2Q24	3Q24	4Q24	1Q25E	2Q25E	3Q25E	4Q25E
NIM (% of avg. IEA)	5.09%	5.05%	5.15%	5.09%	4.88%	4.92%	5.05%	4.95%	4.76%	4.88%	4.88%	4.93%	4.92%	4.93%	4.91%	4.90%
IEA/Assets	98.2%	100.3%	99.9%	100.8%	98.1%	99.6%	100.9%	100.3%	99.6%	98.7%	99.5%	98.7%	98.4%	98.4%	98.3%	98.2%
Margins (% of avg. Assets)	5.00%	5.06%	5.15%	5.13%	4.79%	4.90%	5.10%	4.96%	4.74%	4.81%	4.85%	4.86%	4.84%	4.85%	4.82%	4.82%
Non-IR contribution	30.7%	31.9%	28.1%	31.5%	30.0%	28.3%	26.4%	26.5%	27.8%	31.4%	29.3%	29.1%	28.6%	29.4%	29.9%	30.6%
Non-IR/Avg. Assets	2.22%	2.37%	2.01%	2.36%	2.05%	1.93%	1.82%	1.78%	1.82%	2.20%	2.01%	2.00%	1.94%	2.02%	2.06%	2.13%
Revenue/Assets	7.21%	7.43%	7.16%	7.49%	6.84%	6.84%	6.92%	6.75%	6.56%	7.02%	6.86%	6.86%	6.78%	6.87%	6.88%	6.94%
Cost/Income	47.5%	46.5%	48.1%	46.2%	49.5%	50.8%	49.1%	49.4%	48.1%	47.7%	47.9%	48.9%	47.3%	47.0%	46.5%	46.7%
C/Assets	3.43%	3.46%	3.44%	3.46%	3.39%	3.47%	3.40%	3.33%	3.16%	3.35%	3.29%	3.35%	3.21%	3.23%	3.20%	3.24%
Pre-Provision ROA	3.79%	3.97%	3.71%	4.03%	3.45%	3.36%	3.52%	3.41%	3.41%	3.67%	3.58%	3.51%	3.57%	3.64%	3.68%	3.70%
LLP/Loans	-0.17%	-0.27%	-0.21%	-0.72%	-0.13%	0.01%	-0.13%	-0.37%	-0.48%	-0.69%	-0.53%	-0.78%	-1.00%	-1.00%	-1.00%	-1.00%
Operating ROA	3.65%	3.75%	3.53%	3.45%	3.32%	3.36%	3.40%	3.15%	3.02%	3.10%	3.06%	3.03%	2.75%	2.81%	2.85%	2.87%
Pre-Tax ROA	3.65%	3.75%	3.53%	3.45%	3.32%	3.36%	3.40%	3.15%	3.02%	3.10%	3.06%	3.03%	2.75%	2.81%	2.85%	2.87%
Tax Rate	-19.7%	-19.6%	-19.6%	-19.7%	-19.7%	-19.5%	-19.6%	-19.9%	-19.8%	-19.6%	-19.8%	-19.6%	-19.7%	-19.7%	-19.7%	-19.7%
ROA	2.93%	3.01%	2.83%	2.77%	2.66%	2.71%	2.73%	2.52%	2.42%	2.49%	2.46%	2.43%	2.21%	2.25%	2.29%	2.31%
RoRWA	4.09%	4.17%	3.91%	3.87%	3.80%	3.83%	3.74%	3.50%	3.37%	3.38%	3.30%	3.28%	2.97%	3.04%	3.09%	3.11%
Equity/Assets	17.2%	16.7%	16.0%	16.1%	16.2%	15.5%	14.7%	14.7%	15.1%	15.2%	14.8%	15.1%	14.8%	14.5%	14.7%	14.9%
ROE	17.1%	18.0%	17.7%	17.2%	16.4%	17.5%	18.6%	17.2%	16.0%	16.4%	16.6%	16.1%	14.9%	15.6%	15.6%	15.5%

Source: Company reports and J.P. Morgan estimates.

Price Performance



	YTD	1m	3m	12m
Abs	2.5%	1.5%	3.3%	1.0%
Rel	17.8%	6.3%	16.4%	15.5%

Company Data

Shares O/S (mn)	801
52-week range (Bt)	101.00-90.00
Market cap (\$ mn)	2,397
Exchange rate	33.74
Free float (%)	82.3%
3M ADV (mn)	3.48
3M ADV (\$ mn)	10.2
Volatility (90 Day)	8
Index	SET
BBG ANR (Buy Hold Sell)	3 20 2

Key Metrics (FYE Dec)

Bt in millions	FY24A	FY25E	FY26E	FY27E
Financial Estimates				
Net interest income	13,570	13,656	13,902	14,466
Non interest income	5,657	5,752	5,976	6,208
Operating expenses	(9,256)	(9,099)	(9,204)	(9,310)
Adj. PPOP	9,971	10,309	10,674	11,363
Provision for loan losses	(1,443)	(2,339)	(2,382)	(2,439)
Adj. PBT	8,595	7,970	8,292	8,925
Adj. net income	6,901	6,399	6,658	7,166
Adj. EPS	8.62	7.99	8.32	8.95
BBG EPS	8.56	8.35	8.50	8.71
DPS	7.75	7.75	7.75	7.75
Loans	225,598	229,310	234,904	241,629
Deposits	206,537	210,686	214,918	219,216
Total Assets	281,877	285,586	290,740	296,281
Margins and Growth				
NIM	4.9%	4.9%	4.9%	5.0%
Ratios				
Loan/ Deposit ratio	109.2%	108.8%	109.3%	110.2%
NPL / Loans	2.3%	2.3%	2.3%	2.3%
Coverage	155.3%	146.4%	134.2%	119.6%
CET 1	17.0%	16.9%	16.6%	16.5%
Non-int. income/ Income	29.4%	29.6%	30.1%	30.0%
Cost/Income	48.1%	46.9%	46.3%	45.0%
LLP/Loans	(0.6%)	(1.0%)	(1.0%)	(1.0%)
ROA	2.4%	2.3%	2.3%	2.4%
ROE	16.1%	14.8%	15.3%	16.2%
Valuation				
Dividend yield	7.7%	7.7%	7.7%	7.7%
Adj. P/E	11.7	12.6	12.1	11.3
P/ BV	1.9	1.9	1.9	1.8

Summary Investment Thesis and Valuation

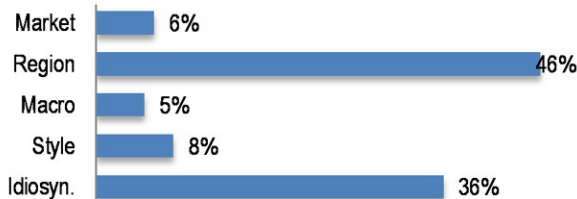
Investment Thesis

Over the last decade, Tisco has delivered 5% EPS cagr, 17% ROE and c75% avg dividend payout (cumulative 105% of market cap) despite no loan growth. This was attributable to the bank's best-in-class risk and capital management, reflected in ~8% dividend yields, which the market ascribed as fair. We forecast 2025 to be the second year of EPS and RoE decline, and expect DPS of Bt7.75 to stay flat through 2027E. As such, the shift in operating results (as well as a tougher macro) warrants a higher fair dividend yield, in our view. Tisco ranks behind KTB, TTB and SCB in terms of dividend yields on our forecasts. We are lowering our 2025/26 EPS estimates by 2/1%. Our Dec-25 PT of Bt87 is based on fair dividend yield valuation assumption of 9%. Stay UW.

Valuation

Our Dec-25 PT of Bt87 is based on a two-stage DDM with a risk-free rate of 3.5%, a cost of capital of 11% and terminal growth of 1.5%. We use a fair P/BV multiple of 1.46x, with a normalized RoE of 15.4%.

Performance Drivers



Factors	6M Corr	1Y Corr
Market: MSCI Asia Pac ex JP	0.19	0.24
Region: Thailand	0.78	0.70
Macro:		
JP Morgan GBI-EM Global Div	0.38	0.38
US 10 Year Yield	-0.43	-0.37
Emerging Central Bank Rate	-0.38	-0.26
Quant Styles:		
Momentum	0.28	0.32
LowVol	0.51	0.31
DivYld	0.21	0.27

Investment Thesis, Valuation and Risks

Tisco Financial Group PCL *(Underweight; Price Target: Bt87.00)*

Investment Thesis

We are UW on Tisco.

- Over the last decade, Tisco has delivered 5% EPS cagr, 17% ROE and c75% avg dividend payout (cumulative 105% of market cap) despite no loan growth. This was attributable to the bank's best-in-class risk and capital management, reflected in ~8% dividend yields, which the market ascribed as fair. We forecast 2025 to be the second year of EPS and RoE decline, and expect DPS of Bt7.75 to stay flat through 2027E. As such, the shift in operating results (as well as a tougher macro) warrants a higher fair dividend yield, in our view.
- Tisco ranks behind KTB, TTB and SCB in terms of dividend yields on our forecasts. We expect the bank to continue paying out Bt7.75 DPS over 2025-27 (85-95% payout), which limits upside to the current stock price.
- Tisco has been able to deliver consistent earnings growth in the past decade. This is despite meaningful shifts in the auto cycle, interest rate cycles and GDP growth. Over next 12 months, we expect loan growth to stay low at the bank, driving mid-single digit PPopg. This, along with normalisation in credit costs (we expect 40bps increase in 2025 to 100bps), will limit EPSg, and hence the re-rating of the stock.
- High concentration to the auto sector (62% of loan mix including HP and title loans) exposes Tisco to idiosyncratic risks. This is weighing on Tisco's asset quality, driving our credit costs forecasts of 100bps over 2025-27E. A faster-than-anticipated increase in auto title loans could result in higher-than-expected credit costs at the bank.

Valuation

Our Dec-25 PT of Bt87 is based on a two-stage DDM with a risk-free rate of 3.5%, a cost of capital of 11% and terminal growth of 1.5%. We use a fair P/BV multiple of 1.46x, with a normalized RoE of 15.4%.

Risks to Rating and Price Target

Upside risks to our rating and price target include: 1) A significant pick-up in auto sales volumes in Thailand; 2) the bank's ability to shift the mix in favour of auto-cash, used car HP and 2W HP higher than expected, along with maintaining steady asset quality; 3) higher-than-expected NIM; and 4) delivery of high loan growth.

Tisco Financial Group PCL: Summary of Financials

Income Statement						Balance Sheet					
	FY23A	FY24A	FY25E	FY26E	FY27E		FY23A	FY24A	FY25E	FY26E	FY27E
Interest income	17,781	19,014	18,950	18,949	19,361	Deposits with banks	49,408	40,684	40,275	39,380	37,643
Interest expense	(4,208)	(5,444)	(5,294)	(5,047)	(4,896)	Net loans	226,830	225,598	229,310	234,904	241,629
Net interest income	13,572	13,570	13,656	13,902	14,466	PP&E	3,205	3,161	3,225	3,290	3,356
Non interest income	5,217	5,657	5,752	5,976	6,208	Net intangibles	948	914	911	908	905
o/w Fee income	-	-	-	-	-	LT investments	6,287	7,969	8,208	8,454	8,792
o/w Trading income	-	-	-	-	-	Other assets	4,049	3,550	3,657	3,803	3,955
Net revenues	18,789	19,226	19,408	19,878	20,674	Total assets	290,726	281,877	285,586	290,740	296,281
Non interest expense	(9,340)	(9,256)	(9,099)	(9,204)	(9,310)	Interest earning assets	292,439	282,737	285,791	290,229	295,029
o/w Employee costs	(6,409)	(6,238)	(6,051)	(6,112)	(6,173)	Deposits	208,645	206,537	210,686	214,918	219,216
Pre-Prov. Profits	9,449	9,971	10,309	10,674	11,363	Borrowings	25,792	18,741	17,836	18,028	18,028
Provisions	(356)	(1,443)	(2,339)	(2,382)	(2,439)	Other liabilities	13,840	13,554	13,825	14,102	14,384
Adj. PBT	9,090	8,595	7,970	8,292	8,925	Total liabilities	248,277	238,832	242,347	247,048	251,628
Income taxes	(1,788)	(1,694)	(1,571)	(1,634)	(1,759)	Shareholder equity	42,446	43,042	43,236	43,689	44,650
Minority interest	(0)	(0)	(0)	(0)	(0)	Minority interests	3	3	3	3	3
Adj. Net profit	7,301	6,901	6,399	6,658	7,166	Total liabilities and Shareholder equity	290,726	281,877	285,586	290,740	296,281
PPOP per share	11.80	12.45	12.88	13.33	14.19	Interest bearing liabilities	234,437	225,278	228,522	232,946	237,244
Reported EPS	9.12	8.62	7.99	8.32	8.95	Book Value Per Share	53.01	53.76	54.00	54.57	55.77
Adj. EPS	9.12	8.62	7.99	8.32	8.95	Tangible Book Value Per Share	53.01	53.76	54.00	54.57	55.77
DPS	7.75	7.75	7.75	7.75	7.75						
Diluted shares outstanding	801	801	801	801	801						
Balance Sheet Gearing						Asset Quality/Capital					
	FY23A	FY24A	FY25E	FY26E	FY27E		FY23A	FY24A	FY25E	FY26E	FY27E
Loans/Deposits	108.7%	109.2%	108.8%	109.3%	110.2%	Loan loss reserves/Loans	(4.2%)	(3.6%)	(3.4%)	(3.1%)	(2.8%)
Investment/Assets	2.4%	2.5%	2.9%	2.9%	2.9%	NPLs/Loans	2.2%	2.3%	2.3%	2.3%	2.3%
Loan/Assets	82.3%	82.2%	83.1%	83.2%	83.6%	Loan loss reserves/NPLs	222.0%	172.2%	150.9%	140.2%	126.8%
Customer deposits/Liabilities	84.0%	86.5%	86.9%	87.0%	87.1%	NPL y/y growth	14.1%	4.6%	0.0%	2.2%	4.3%
LT debt/Liabilities	10.1%	9.1%	7.6%	7.3%	7.2%	Tier 1 ratio	16.3%	17.0%	16.9%	16.6%	16.5%
Ratio Analysis (%)							FY23A	FY24A	FY25E	FY26E	FY27E
	FY23A	FY24A	FY25E	FY26E	FY27E		FY23A	FY24A	FY25E	FY26E	FY27E
Net interest margin	4.9%	4.9%	4.9%	4.9%	5.0%	CAR	19.5%	18.6%	18.5%	18.1%	18.0%
Non interest income/Net revenue	27.8%	29.4%	29.6%	30.1%	30.0%	Return on equity (ROE)	17.1%	16.1%	14.8%	15.3%	16.2%
Non interest income/Avg. Assets	1.9%	2.0%	2.0%	2.1%	2.1%	Return on assets (ROA)	2.6%	2.4%	2.3%	2.3%	2.4%
Efficiency ratio	49.7%	48.1%	46.9%	46.3%	45.0%	Operating ROA	3.3%	3.0%	2.8%	2.9%	3.0%
Leverage ratio	12.0%	12.4%	12.6%	12.5%	12.6%	Pre-Tax ROA	3.3%	3.0%	2.8%	2.9%	3.0%
Revenue/Assets	6.8%	6.7%	6.8%	6.9%	7.0%	Pre-Provision ROA	3.4%	3.5%	3.6%	3.7%	3.9%
RORWA	3.7%	3.3%	3.0%	3.1%	3.2%	Tax rate	19.7%	19.7%	19.7%	19.7%	19.7%
RWA	205,260	209,130	211,334	218,055	223,692	Net loans y/y growth	8.6%	(0.5%)	1.6%	2.4%	2.9%
Avg. RWA	197,004	207,195	210,232	214,694	220,873	Assets y/y growth	9.5%	(3.0%)	1.3%	1.8%	1.9%
Avg. IEA	274,338	279,642	278,736	282,594	287,215	RWA y/y growth	8.7%	1.9%	1.1%	3.2%	2.6%
Gross Loans	236,744	234,085	237,308	242,394	248,594	Deposits y/y growth	10.8%	(1.0%)	2.0%	2.0%	2.0%
Avg. IBL	234,437	225,278	228,522	232,946	237,244	Net interest income y/y growth	6.6%	(0.0%)	0.6%	1.8%	4.1%
LLR	(9,914)	(8,486)	(7,998)	(7,490)	(6,966)	Revenues y/y growth	2.4%	2.3%	0.9%	2.4%	4.0%
NPLs	5,223	5,464	5,464	5,581	5,822	Adj. EPS y/y growth	1.1%	(5.5%)	(7.3%)	4.0%	7.6%
P/BV (x)	1.9	1.9	1.9	1.9	1.8	BVPS y/y growth	(0.8%)	1.4%	0.5%	1.0%	2.2%
Adj. P/E (x)	11.1	11.7	12.6	12.1	11.3	IE assets/Assets	98.7%	97.7%	98.2%	98.1%	97.9%
Dividend yield	7.7%	7.7%	7.7%	7.7%	7.7%	Margins (as % of Avg. Assets)	4.8%	4.6%	4.7%	4.7%	4.8%
Dividend payout	85.0%	89.9%	97.0%	93.2%	86.6%	LLP/Loans	(0.2%)	(0.6%)	(1.0%)	(1.0%)	(1.0%)
						Equity/Assets	15.3%	14.9%	15.2%	15.1%	15.0%
						Cost/Assets	3.4%	3.2%	3.2%	3.2%	3.2%
						Assets/Equity	6.5	6.7	6.6	6.6	6.6

Source: Company reports and J.P. Morgan estimates.

Note: Bt in millions (except per-share data). Fiscal year ends Dec

Neutral

KBANK.BK, KBANK TB
Price (21 Mar 25):Bt164.00

▲ **Price Target (Dec-25):Bt170.00**
Prior (Dec-25):Bt150.00

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Key Changes (FYE Dec)

	Prev	Cur
Adj. EPS - 24E (Bt)	19.60	20.51

Quarterly Forecasts (FYE Dec)

Adj. EPS (Bt)	2023A	2024E	2025E
Q1	4.53	5.69A	5.44
Q2	4.64	5.34A	5.46
Q3	4.76	5.05A	5.53
Q4	3.96	4.43	5.13
FY	17.90	20.51	21.56

Style Exposure

Quant Factors	Current	Hist %Rank (1=Top)			
	%Rank	6M	1Y	3Y	5Y
Value	5	5	5	5	5
Growth	35	48	71	30	71
Momentum	23	12	46	12	73
Quality	23	30	57	23	57
Low Vol	5	17	19	82	39
ESGQ	14	16	13	-	4

Kasikornbank PCL

Capital management is a positive, but priced-in; maintain Neutral

KBank announced a special dividend of Bt2.5, which came as a positive surprise. The stock has moved up 10% since then (SET up 1%) reflecting the upside from special dividends. PPop should stay flat through 2026, with c10bps of ROA improvement led by lower credit costs. It is unlikely that the bank meets guidance of double digit ROE by 2026, especially in a lower rate and low/no credit growth environment, unless capital management accelerates. Hence, we forecast higher total dividend payout ratio (including special) of 60-70%, with total DPS of Bt14.5/15/15 over 2025-27, respectively. We are revising our 2025-26 EPS estimates by 1%, and maintain N with a higher Dec-24 PT of Bt170.

Valuation

Table 39: KBANK: Valuation

	Core Net (Bt mn)	Core EPS (Bt)	P/E (x)	BVPS (Bt)	P/B (x)	Dividend (Bt)	Div Yld (%)	Core RoA (%)	Core RoRWA (%)	Core RoE (%)
2021	38,053	15.8	10.4	195	0.84	3.3	2.0%	0.98%	1.51%	8.6%
2022	35,770	14.8	11.1	206	0.80	4.0	2.4%	0.86%	1.33%	7.5%
2023	42,405	17.6	9.3	218	0.75	6.5	4.0%	0.99%	1.54%	8.4%
2024	48,599	20.2	8.1	231	0.71	12.0	7.3%	1.13%	1.75%	9.1%
2025E	51,093	21.3	7.7	240	0.68	14.5	8.8%	1.17%	1.80%	9.2%
2026E	55,517	23.1	7.1	248	0.66	15.0	9.1%	1.24%	1.90%	9.6%
2027E	59,078	24.6	6.7	257	0.64	15.0	9.1%	1.29%	1.94%	9.9%
Price (Bt)		164.00	Number of shares (mn)			2,369	Market Cap (THB mn)			388,570
Normalised RoE			PB based Valuation				PE based Valuation			
NIM (on avg. assets)			Risk-free rate				Fair PE			
Non-IR/revenues			Cost of capital				12m Rolling EPS			
Cost/income			Long term growth				PE based Dec-25E Fair Value			
Operating RoA		2.44%	Fair PB				Implied Value of Growth			
LLP/Loans			PV of Terminal Value				12m Rolling EPS			
Net RoAA			PV of Dividends				Capitalized Value			
Equity/Assets			PV of today's Fair Value				Value of Growth			
Normalised RoE		9.7%	PB based Dec-25E Fair Value				Attributable to Growth			

Source: J.P. Morgan estimates, Bloomberg Finance L.P.

Annual forecasts

Table 40: KBANK: Annual P&L

Bt in mn	2017	2018	2019	2020	2021	2022	2023	2024	2025E	2026E	2027E
Interest Income	119,337	123,922	130,178	127,592	135,414	151,332	183,608	189,441	178,499	179,824	184,142
Interest Expense	(25,176)	(25,384)	(27,490)	(18,570)	(16,024)	(18,334)	(35,164)	(40,064)	(36,904)	(35,104)	(34,806)
Net Interest Income	94,161	98,538	102,688	109,022	119,390	132,998	148,444	149,377	141,595	144,720	149,336
Non-Interest Income	62,695	56,945	57,803	45,869	43,958	40,259	44,210	48,569	50,597	52,931	55,529
Net Fee income	41,306	38,117	36,740	33,004	35,316	32,882	31,181	33,279	35,609	38,458	41,534
Trading income	11,900	11,655	16,774	9,428	6,356	4,923	11,536	13,251	12,745	12,118	11,522
Other operating income	9,490	7,172	4,289	3,437	2,286	2,454	1,493	2,039	2,243	2,355	2,473
Total Revenues	156,856	155,483	160,491	154,891	163,349	173,258	192,654	197,946	192,193	197,650	204,865
Costs	(65,695)	(67,609)	(71,584)	(68,871)	(69,822)	(73,672)	(83,687)	(86,867)	(87,312)	(89,058)	(90,840)
PPOP	91,161	87,874	88,908	86,020	93,527	99,585	108,967	111,079	104,880	108,592	114,026
Loan loss provisions	(41,810)	(32,532)	(34,012)	(43,548)	(40,332)	(51,919)	(51,840)	(47,251)	(37,884)	(36,096)	(37,103)
Other provisions	(677)	(739)	(1,146)	(1,125)	(1,222)	(1,081)	(1,282)	(406)	(500)	(500)	(500)
Pre-Tax	48,674	54,603	53,750	41,347	51,973	46,585	55,845	63,422	66,496	71,996	76,422
Tax	(9,028)	(10,395)	(10,309)	(7,656)	(9,729)	(8,633)	(10,778)	(12,402)	(13,003)	(14,079)	(14,944)
Profit before MI	39,646	44,209	43,441	33,691	42,244	37,953	45,067	51,020	53,493	57,917	61,478
MI & EO	(5,308)	(5,749)	(4,714)	(4,203)	(4,192)	(2,183)	(2,662)	(2,421)	(2,400)	(2,400)	(2,400)
Attributable profit	34,338	38,460	38,727	29,487	38,053	35,770	42,405	48,599	51,093	55,517	59,078
Reported profit	34,338	38,460	38,727	29,487	38,053	35,770	42,405	48,599	51,093	55,517	59,078

Source: Company reports and J.P. Morgan estimates.

Table 41: KBANK: Annual DuPont

	2017	2018	2019	2020	2021	2022	2023	2024	2025E	2026E	2027E
NIM (% of avg. IEA)	3.45%	3.40%	3.31%	3.27%	3.21%	3.33%	3.66%	3.64%	3.40%	3.40%	3.41%
IEA/Assets	95.0%	95.8%	96.2%	96.0%	96.0%	95.7%	95.2%	95.3%	95.3%	95.4%	95.6%
Margins (% of avg. Assets)	3.28%	3.25%	3.18%	3.14%	3.08%	3.19%	3.48%	3.47%	3.24%	3.24%	3.26%
Non-IR contribution	40.0%	36.6%	36.0%	29.6%	26.9%	23.2%	22.9%	24.5%	26.3%	26.8%	27.1%
Non-IR/Avg. Assets	2.18%	1.88%	1.79%	1.32%	1.13%	0.96%	1.04%	1.13%	1.16%	1.19%	1.21%
Revenue/Assets	5.46%	5.13%	4.98%	4.46%	4.21%	4.15%	4.52%	4.60%	4.40%	4.43%	4.48%
Cost/Income	41.9%	43.5%	44.6%	44.5%	42.7%	42.5%	43.4%	43.9%	45.4%	45.1%	44.3%
C/Assets	2.29%	2.23%	2.22%	1.98%	1.80%	1.76%	1.96%	2.02%	2.00%	1.99%	1.98%
Pre-Provision ROA	3.17%	2.90%	2.76%	2.47%	2.41%	2.39%	2.55%	2.58%	2.40%	2.43%	2.49%
LLP/Loans	-2.39%	-1.75%	-1.74%	-2.05%	-1.73%	-2.11%	-2.08%	-1.89%	-1.50%	-1.40%	-1.40%
Loan/Assets	60.9%	61.4%	60.7%	61.1%	60.1%	58.9%	58.4%	58.0%	57.8%	57.7%	57.9%
Pre-Tax ROA	1.69%	1.80%	1.67%	1.19%	1.34%	1.12%	1.31%	1.47%	1.52%	1.61%	1.67%
Tax Rate	-18.5%	-19.0%	-19.2%	-18.5%	-18.7%	-18.5%	-19.3%	-19.6%	-19.6%	-19.6%	-19.6%
ROA	1.20%	1.27%	1.20%	0.85%	0.98%	0.86%	0.99%	1.13%	1.17%	1.24%	1.29%
RoRWA	1.82%	1.91%	1.80%	1.28%	1.51%	1.33%	1.54%	1.75%	1.80%	1.90%	1.94%
Equity/Assets	11.7%	12.0%	12.1%	11.9%	11.4%	11.4%	11.8%	12.4%	12.8%	12.9%	13.1%
ROE	10.2%	10.6%	9.9%	7.1%	8.6%	7.5%	8.4%	9.1%	9.2%	9.6%	9.9%

Source: Company reports and J.P. Morgan estimates.

Quarterly forecasts

Table 42: KBANK: Quarterly P&L

Bt in mn	1Q23	2Q23	3Q23	4Q23	1Q24	2Q24	3Q24	4Q24	1Q25E	2Q25E	3Q25E	4Q25E
Interest Income	42,441	45,215	47,236	48,717	48,641	47,766	46,874	46,159	45,054	44,552	44,594	44,300
Interest Expense	(7,566)	(8,514)	(9,217)	(9,867)	(10,113)	(10,298)	(9,838)	(9,815)	(9,485)	(9,250)	(9,185)	(8,984)
Net Interest Income	34,875	36,701	38,019	38,850	38,528	37,468	37,036	36,344	35,568	35,301	35,409	35,317
Non-Interest Income	11,699	11,369	9,096	12,046	11,624	12,961	11,644	12,341	12,275	12,862	12,750	12,711
Net Fee income	8,114	7,714	7,803	7,550	8,299	8,078	8,432	8,470	8,725	8,812	8,900	9,173
Trading income	3,519	3,313	1,028	3,677	3,155	3,164	3,727	3,205	3,250	3,250	3,150	3,095
Other operating income	66	343	265	819	170	1,720	(516)	665	300	800	700	443
Total Revenues	46,574	48,070	47,115	50,895	50,152	50,429	48,680	48,685	47,843	48,163	48,159	48,028
Costs	(19,632)	(20,636)	(19,280)	(24,138)	(20,682)	(21,773)	(21,361)	(23,052)	(21,249)	(21,818)	(21,559)	(22,686)
PPOP	26,942	27,434	27,834	26,757	29,470	28,656	27,319	25,633	26,594	26,345	26,600	25,342
Loan loss provisions	(12,692)	(12,784)	(12,793)	(13,572)	(11,684)	(11,672)	(11,652)	(12,242)	(9,679)	(9,374)	(9,437)	(9,394)
Other provisions	(161)	(211)	(540)	(370)	(31)	(115)	(140)	(120)	(125)	(125)	(125)	(125)
Pre-Tax	14,089	14,439	14,501	12,816	17,755	16,869	15,527	13,271	16,789	16,846	17,039	15,822
Tax	(2,562)	(2,760)	(2,838)	(2,617)	(3,403)	(3,224)	(3,203)	(2,572)	(3,291)	(3,302)	(3,340)	(3,071)
Profit before MI	11,527	11,679	11,663	10,198	14,352	13,644	12,324	10,699	13,499	13,544	13,699	12,751
MI and EO	(786)	(685)	(381)	(810)	(867)	(991)	(358)	(205)	(600)	(600)	(600)	(600)
Attributable profit	10,741	10,994	11,282	9,388	13,486	12,653	11,966	10,494	12,899	12,944	13,099	12,151
Reported profit	10,741	10,994	11,282	9,388	13,486	12,653	11,966	10,494	12,899	12,944	13,099	12,151

Source: Company reports and J.P. Morgan estimates.

Table 43: KBANK: Quarterly DuPont

	1Q23	2Q23	3Q23	4Q23	1Q24	2Q24	3Q24	4Q24	1Q25E	2Q25E	3Q25E	4Q25E
NIM (% of avg. IEA)	3.46%	3.63%	3.76%	3.83%	3.76%	3.67%	3.61%	3.52%	3.47%	3.44%	3.43%	3.38%
IEA/Assets	94.9%	95.2%	94.7%	95.0%	95.3%	95.4%	95.3%	95.0%	95.0%	95.1%	95.1%	95.0%
Margins (% of avg. Ass)	3.29%	3.45%	3.56%	3.64%	3.58%	3.50%	3.44%	3.34%	3.29%	3.28%	3.26%	3.22%
Non-IR contribution	25.1%	23.7%	19.3%	23.7%	23.2%	25.7%	23.9%	25.3%	25.7%	26.7%	26.5%	26.5%
Non-IR/Avg. Assets	1.10%	1.07%	0.85%	1.13%	1.08%	1.21%	1.08%	1.14%	1.14%	1.19%	1.17%	1.16%
Revenue/Assets	4.39%	4.52%	4.42%	4.76%	4.66%	4.71%	4.52%	4.48%	4.43%	4.47%	4.44%	4.37%
Cost/Income	42.2%	42.9%	40.9%	47.4%	41.2%	43.2%	43.9%	47.3%	44.4%	45.3%	44.8%	47.2%
C/Assets	1.85%	1.94%	1.81%	2.26%	1.92%	2.03%	1.98%	2.12%	1.97%	2.02%	1.99%	2.07%
Pre-Provision ROA	2.54%	2.58%	2.61%	2.50%	2.74%	2.68%	2.54%	2.36%	2.46%	2.44%	2.45%	2.31%
LLP/Loans	-2.05%	-2.08%	-2.09%	-2.20%	-1.89%	-1.89%	-1.89%	-1.98%	-1.55%	-1.50%	-1.50%	-1.48%
Loan/Assets	58.5%	57.8%	57.3%	57.6%	57.6%	57.8%	57.1%	56.8%	57.8%	58.0%	58.0%	57.7%
Pre-Tax ROA	1.33%	1.36%	1.36%	1.20%	1.65%	1.58%	1.44%	1.22%	1.55%	1.56%	1.57%	1.44%
Tax rate	18.2%	19.1%	19.6%	20.4%	19.2%	19.1%	20.6%	19.4%	19.6%	19.6%	19.6%	19.4%
ROA	1.01%	1.03%	1.06%	0.88%	1.25%	1.18%	1.11%	0.97%	1.19%	1.20%	1.21%	1.11%
RoRWA	1.57%	1.61%	1.64%	1.36%	1.94%	1.81%	1.72%	1.51%	1.84%	1.85%	1.86%	1.70%
Equity/Assets	11.6%	11.7%	11.8%	12.0%	12.2%	12.4%	12.4%	12.5%	12.8%	12.9%	12.7%	12.8%
ROE	8.7%	8.8%	8.9%	7.3%	10.3%	9.5%	9.0%	7.7%	9.3%	9.3%	9.5%	8.6%

Source: Company reports and J.P. Morgan estimates.

Price Performance



	YTD	1m	3m	12m
Abs	5.5%	3.1%	7.5%	32.8%
Rel	20.8%	7.9%	20.6%	47.3%

Company Data

Shares O/S (mn)	2,369
52-week range (Bt)	164.50-121.50
Market cap (\$ mn)	11,518
Exchange rate	33.74
Free float (%)	93.3%
3M ADV (mn)	10.65
3M ADV (\$ mn)	49.5
Volatility (90 Day)	19
Index	SET
BBG ANR (Buy Hold Sell)	20 6 1

Key Metrics (FYE Dec)

Bt in millions	FY23A	FY24E	FY25E	FY26E
Financial Estimates				
Net interest income	148,444	149,377	141,595	144,720
Non interest income	44,210	48,569	50,597	52,931
Operating expenses	(83,687)	(86,867)	(87,312)	(89,058)
Adj. PPOP	108,967	111,079	104,880	108,592
Provision for loan losses	(51,840)	(47,251)	(37,884)	(36,096)
Adj. PBT	55,845	63,422	66,496	71,996
Adj. net income	42,405	48,599	51,093	55,517
Adj. EPS	17.90	20.51	21.56	23.43
BBG EPS	17.90	20.08	21.43	22.84
DPS	6.50	12.00	14.50	15.00
Loans	2,371,492	2,390,187	2,432,239	2,494,577
Deposits	2,699,562	2,718,675	2,762,148	2,817,391
Total Assets	4,283,557	4,325,287	4,411,390	4,518,645
Margins and Growth				
NIM	3.7%	3.6%	3.4%	3.4%
Ratios				
Loan/ Deposit ratio	87.8%	87.9%	88.1%	88.5%
NPL / Loans	3.7%	3.6%	3.6%	3.4%
Coverage	145.4%	144.2%	144.6%	149.2%
CET 1	17.4%	18.3%	18.6%	18.5%
Non-int. income/ Income	22.9%	24.5%	26.3%	26.8%
Cost/Income	43.4%	43.9%	45.4%	45.1%
LLP/Loans	(2.1%)	(1.9%)	(1.5%)	(1.4%)
ROA	1.0%	1.1%	1.2%	1.2%
ROE	8.4%	9.1%	9.2%	9.6%
Valuation				
Dividend yield	4.0%	7.3%	8.8%	9.1%
Adj. P/E	9.2	8.0	7.6	7.0
P/ BV	0.8	0.7	0.7	0.7

Summary Investment Thesis and Valuation

Investment Thesis

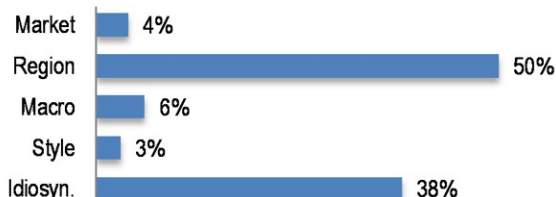
We hold Neutral on KBank.

KBank announced a special dividend of Bt2.5, which came as a positive surprise. The stock has moved up 10% since then (SET up 1%) reflecting the upside from special dividends. PPOP is expected to stay flat through 2026, with c10bps of ROA improvement led by lower credit costs. It is unlikely that the bank meets guidance of double digit ROE by 2026, especially in an interest rate cut and low credit growth environment, unless capital management accelerates. Hence, we expect a higher total dividend payout ratio (including special) of 60-70%, with total DPS of Bt14.5/15 over 2025-26, respectively.

Valuation

Our Dec-25 price target of Bt170 is based on a two-stage DDM valuation with a risk-free rate of 3.5%, cost of capital of 12.5%, and terminal growth rate of 4.5%. We use a fair P/BV multiple of 0.65x with a normalized ROE of 9.7%.

Performance Drivers



Factors	6M Corr	1Y Corr
Market: MSCI Asia Pac ex JP	0.07	0.19
Region: Thailand	0.75	0.73
Macro:		
US 10 Year Yield	-0.43	-0.41
JP Morgan GBI-EM Global Div	0.31	0.31
HSI Volatility Index	-0.34	-0.25
Quant Styles:		
Momentum	0.44	0.20
Size	0.37	0.14
LowVol	0.28	0.10

Investment Thesis, Valuation and Risks

Kasikornbank PCL (Neutral; Price Target: Bt170.00)

Investment Thesis

We hold Neutral on KBank.

- KBank announced a special dividend of Bt2.5, which came as a positive surprise. The stock has moved up 10% since then (SET up 1%) reflecting the upside from special dividends. PPOP is expected to stay flat through 2026, with c10bps of ROA improvement led by lower credit costs. It is unlikely that the bank meets guidance of double digit ROE by 2026, especially in an interest rate cut and low credit growth environment, unless capital management accelerates. Hence, we expect a higher total dividend payout ratio (including special) of 60-70%, with total DPS of Bt14.5/15 over 2025-26, respectively.
- It does not appear that a share buyback is being actively considered at this time, though that remains a possibility, in our view. RWA growth at the bank is limited, which would lead to consistent capital accumulation. At the current juncture, with nominal GDP growth for the country running at ~3% and growth guidance at 3-5%, it is quite difficult to build a scenario where the retained capital can be used for delivering significant balance sheet growth, that too in a commercial manner.
- The recently announced restructuring scheme offers visibility on asset quality holding up for 12-24 months, which has been a key source of disappointment for investors in last few years. We forecast credit costs of 150/140bps in 2025/26, vs. 190bps in 2024. This is within management's guidance of normalised provisions of 140-160bps.
- SME loans comprise 16% of assets now, down from 30% 15 years ago. Further, the bank has unwound low RoRWA businesses in the past two years (high-yield consumer finance), which lends credence to the outlook for improving asset quality.
- The CASA franchise for KBank (80%) is due to its strong branch network and best-in-class mobile application (KPLUS). However, inability to lower CASA rates further, poses NIM risks in an interest rate cut environment.
- KBank's measured approach to digital changes gives us confidence in its ability to execute the digital strategy. The bank is well positioned in terms of its tech stack, product offerings, as well as building investments in the Web 3.0 space. However, these shifts will take time to show up in the bottom line.

Valuation

Our Dec-25 price target of Bt170 is based on a two-stage DDM valuation with a risk-free rate of 3.5%, cost of capital of 12.5%, and terminal growth rate of 4.5%. We use a fair P/BV multiple of 0.65x with a normalized ROE of 9.7%.

Risks to Rating and Price Target

Key upside risks include:

- In case the bank starts evaluating buyback, it would pose upside risks to the stock.
- A sharp improvement in NPL formation, along with an improvement in disclosures around NPL formation and clean-up.

Key downside risks include:

- Consistent asset quality deterioration, leading to higher-than-expected credit costs.
- High NIM/EPS impact from rate cuts and debt restructuring.
- Lower-than-expected dividend payout.
- Corporate defaults, or a sharp downturn in a broader cohort (SME, unsecured consumer) is a risk. Yet, KBank has been quite diligent in cleaning up the book (especially unsecured PL), and NPL formation has slowed. Hence, we rate this risk as quite low.
- Macro-prudential tightening and increasing consumer protection risk from the regulator may weigh on loan growth and non-interest income.

Kasikornbank PCL: Summary of Financials

Income Statement						Balance Sheet					
	FY22A	FY23A	FY24E	FY25E	FY26E		FY22A	FY23A	FY24E	FY25E	FY26E
Interest income	151,332	183,608	189,441	178,499	179,824	Deposits with banks	559,651	617,698	568,750	579,540	592,479
Interest expense	(18,334)	(35,164)	(40,064)	(36,904)	(35,104)	Net loans	2,377,774	2,371,492	2,390,187	2,432,239	2,494,577
Net interest income	132,998	148,444	149,377	141,595	144,720	PP&E	111,105	114,698	114,151	112,604	108,618
Non interest income	40,259	44,210	48,569	50,597	52,931	Net intangibles	35,533	38,579	39,385	37,809	36,297
o/w Fee income	32,882	31,181	33,279	35,609	38,458	LT investments	1,029,441	1,022,880	1,093,488	1,126,293	1,160,081
o/w Trading income	4,923	11,536	13,251	12,745	12,118	Other assets	132,865	118,210	119,326	122,905	126,592
Net revenues	173,258	192,654	197,946	192,193	197,650	Total assets	4,246,369	4,283,557	4,325,287	4,411,390	4,518,645
Non interest expense	(73,672)	(83,687)	(86,867)	(87,312)	(89,058)	Interest earning assets	4,100,394	4,145,946	4,184,131	4,270,093	4,379,601
o/w Employee costs	(34,757)	(40,437)	(42,720)	(43,574)	(44,446)	Deposits	2,748,685	2,699,562	2,718,675	2,762,148	2,817,391
Pre-Prov. Profits	99,585	108,967	111,079	104,880	108,592	Borrowings	223,137	260,779	239,478	237,382	245,504
Provisions	(51,919)	(51,840)	(47,251)	(37,884)	(36,096)	Other liabilities	723,017	741,929	751,067	773,133	795,861
Adj. PBT	46,585	55,845	63,422	66,496	71,996	Total liabilities	3,694,839	3,702,270	3,709,221	3,772,663	3,858,755
Income taxes	(8,633)	(10,778)	(12,402)	(13,003)	(14,079)	Shareholder equity	487,721	516,736	547,803	568,015	586,890
Minority interest	(2,183)	(2,662)	(2,421)	(2,400)	(2,400)	Minority interests	63,810	64,551	68,263	70,713	73,000
Adj. Net profit	35,770	42,405	48,599	51,093	55,517	Total liabilities and Shareholder equity	4,246,369	4,283,556	4,325,287	4,411,390	4,518,645
PPOP per share	42.03	45.99	46.88	44.27	45.83	Interest bearing liabilities	2,971,821	2,960,341	2,958,153	2,999,530	3,062,895
Reported EPS	15.10	17.90	20.51	21.56	23.43	Book Value Per Share	205.85	218.09	231.21	239.74	247.70
Adj. EPS	15.10	17.90	20.51	21.56	23.43	Tangible Book Value Per Share	205.85	218.09	231.21	239.74	247.70
DPS	4.00	6.50	12.00	14.50	15.00						
Diluted shares outstanding	2,369	2,369	2,369	2,369	2,369						
Balance Sheet Gearing						Asset Quality/Capital					
	FY22A	FY23A	FY24E	FY25E	FY26E		FY22A	FY23A	FY24E	FY25E	FY26E
Loans/Deposits	86.5%	87.8%	87.9%	88.1%	88.5%	Loan loss reserves/Loans	(5.3%)	(5.3%)	(5.2%)	(5.1%)	(5.0%)
Investment/Assets	25.5%	24.1%	24.6%	25.4%	25.6%	NPLs/Loans	3.7%	3.7%	3.6%	3.6%	3.4%
Loan/Assets	59.3%	58.8%	58.4%	58.2%	58.1%	Loan loss reserves/NPLs	139.5%	144.2%	144.8%	144.4%	146.9%
Customer deposits/Liabilities	74.4%	72.9%	73.3%	73.2%	73.0%	NPL y/y growth	(12.1%)	(1.4%)	(0.8%)	0.0%	(2.8%)
LT debt/Liabilities	7.1%	6.5%	6.7%	6.4%	6.3%	Tier 1 ratio	16.8%	17.4%	18.3%	18.6%	18.5%
Ratio Analysis (%)							FY22A	FY23A	FY24E	FY25E	FY26E
	FY22A	FY23A	FY24E	FY25E	FY26E		FY22A	FY23A	FY24E	FY25E	FY26E
Net interest margin	3.3%	3.7%	3.6%	3.4%	3.4%	Return on equity (ROE)	7.5%	8.4%	9.1%	9.2%	9.6%
Non interest income/Net revenue	23.2%	22.9%	24.5%	26.3%	26.8%	Return on assets (ROA)	0.9%	1.0%	1.1%	1.2%	1.2%
Non interest income/Avg. Assets	1.0%	1.0%	1.1%	1.2%	1.2%	Operating ROA	1.1%	1.3%	1.5%	1.5%	1.6%
Efficiency ratio	42.5%	43.4%	43.9%	45.4%	45.1%	Pre-Tax ROA	1.1%	1.3%	1.5%	1.5%	1.6%
Leverage ratio	11.1%	11.3%	11.9%	12.2%	12.4%	Pre-Provision ROA	2.4%	2.6%	2.6%	2.4%	2.4%
Revenue/Assets	4.1%	4.5%	4.6%	4.4%	4.4%	Tax rate	18.5%	19.3%	19.6%	19.6%	19.6%
RORWA	1.3%	1.5%	1.7%	1.8%	1.9%						
RWA	2,746,673	2,771,128	2,794,131	2,867,404	2,982,305	Net loans y/y growth	3.7%	(0.3%)	0.8%	1.8%	2.6%
Avg. RWA	2,688,766	2,758,901	2,782,630	2,830,767	2,924,855	Assets y/y growth	3.5%	0.9%	1.0%	2.0%	2.4%
Avg. IEA	3,995,567	4,058,724	4,101,534	4,163,617	4,261,439	RWA y/y growth	4.4%	0.9%	0.8%	2.6%	4.0%
Gross Loans	2,511,303	2,505,368	2,521,893	2,564,261	2,627,041	Deposits y/y growth	5.8%	(1.8%)	0.7%	1.6%	2.0%
Avg. IBL	2,930,393	2,966,081	2,959,247	2,978,842	3,031,212	Net interest income y/y growth	11.4%	11.6%	0.6%	(5.2%)	2.2%
LLR	(133,529)	(133,876)	(131,706)	(132,022)	(132,464)	Revenues y/y growth	6.1%	11.2%	2.7%	(2.9%)	2.8%
NPLs	93,344	92,064	91,309	91,309	88,762	Adj. EPS y/y growth	(6.0%)	18.6%	14.6%	5.1%	8.7%
P/BV (x)	0.8	0.8	0.7	0.7	0.7	BVPS y/y growth	5.8%	5.9%	6.0%	3.7%	3.3%
Adj. P/E (x)	10.9	9.2	8.0	7.6	7.0	IE assets/Assets	95.7%	95.2%	95.3%	95.3%	95.4%
Dividend yield	2.4%	4.0%	7.3%	8.8%	9.1%	Margins (as % of Avg. Assets)	3.1%	3.4%	3.4%	3.2%	3.2%
Dividend payout	26.5%	36.3%	58.5%	67.2%	64.0%	LLP/Loans	(2.1%)	(2.1%)	(1.9%)	(1.5%)	(1.4%)
						Equity/Assets	11.4%	11.8%	12.4%	12.8%	12.9%
						Cost/Assets	1.8%	2.0%	2.0%	2.0%	2.0%
						Assets/Equity	8.8	8.5	8.1	7.8	7.7

Source: Company reports and J.P. Morgan estimates.

Note: Bt in millions (except per-share data). Fiscal year ends Dec

▼ Neutral

Previous: Overweight

BBNI.JK, BBNI IJ

Price (21 Mar 25):Rp3,770

▼ **Price Target (Dec-25):Rp3,900**

Prior (Dec-25):Rp4,600

APAC Banks

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J.P. Morgan Securities (Asia Pacific) Limited/ J.P.

Morgan Broking (Hong Kong) Limited

Key Changes (FYE Dec)

	Prev	Cur
Adj. EPS - 26E (Rp)	618.30	575.80

Quarterly Forecasts (FYE Dec)

Adj. EPS (Rp)	2024A	2025E	2026E
Q1	142.93	146.52	
Q2	143.91	142.44	
Q3	150.59	135.21	
Q4	138.22	126.65	
FY	575.47	550.82	575.80

Style Exposure

Quant Factors	Current %Rank	Hist %Rank (1=Top)			
		6M	1Y	3Y	5Y
Value	12	12	16	6	6
Growth	29	14	16	51	24
Momentum	78	47	20	18	68
Quality	31	6	20	37	29
Low Vol	39	10	10	28	12
ESGQ	22	93	10	8	11

Bank Negara Indonesia Persero

Test of underwriting to begin, d/g to Neutral

We are lowering our 2025-27 EPS estimates by 2-8%, driven by lower NIM (CoF-led) and higher provisions. Yet, our 2025-27 gross credit costs forecasts of 100-110bps at BNI are the lowest within SoE banks, owing to shifts in the portfolio in last few years. We also reflect higher macro risks in Indonesia through 7% ERP (up from 6%), which along with EPS changes is driving lower Dec-24 PT of Rp3,900. This leads to relatively limited upside, hence we d/g the stock to N.

Valuation

Table 44: BBNI: Valuation

	Net Earnings (Rp bn)	EPS (Rp)	P/E (x)	BVPS (Rp)	P/B (x)	Dividend (Rp)	Div Yld (%)	RoA (%)	RoRWA (%)	RoE (%)
2021	10,149	273	13.8	3,262	1.16	73	1.9%	1.09%	1.56%	8.8%
2022	18,312	492	7.7	3,586	1.05	196	5.2%	1.84%	2.68%	14.4%
2023	20,909	561	6.7	3,969	0.95	280	7.4%	1.98%	3.00%	14.9%
2024	21,464	575	6.6	4,295	0.88	317	8.4%	1.94%	3.04%	13.9%
2025E	20,544	551	6.8	4,524	0.83	330	8.8%	1.76%	2.73%	12.5%
2026E	21,476	576	6.5	4,764	0.79	345	9.2%	1.73%	2.66%	12.4%
2027E	24,008	644	5.9	5,057	0.75	418	11.1%	1.79%	2.75%	13.1%

Price (Rp)	3,770	Number of shares (mn)	37,257	Market Cap (Rp bn)	140,458
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Normalised RoE		PB based Valuation		PE based Valuation	
NIM (on avg. assets)	3.54%	Risk-free rate	7.00%	Fair PE	6.0x
Non-IR/revenues	31.3%	Cost of capital	15.1%	12m Rolling EPS	Rp 556
Cost/income	50.9%	Long term growth	5.5%	PE based Dec-25E Fair Value	3,352
Operating RoA	2.53%	Fair PB	0.78x	Implied Value of Growth	
LLP/Loans	-0.45%	PV of Terminal Value	Rp 3,105	12m Rolling EPS	Rp 556
Net RoAA	1.80%	PV of Dividends	Rp 296	Capitalized Value (Rp)	Rp 3,697
Equity/Assets	13.9%	PV of today's Fair Value	Rp 3,401	Value of Growth (Rp)	Rp 73
Normalised RoE	13.0%	PB based Dec-25E Fair Value	Rp 3,913	Attributable to Growth	2%

Source: J.P. Morgan estimates, Bloomberg Finance L.P.

Annual forecasts

Table 45: BBNI: Annual P&L

Rp bn	2014	2015	2016	2017	2018	2019	2020	2021	2022	2023	2024	2025E	2026E	2027E
Interest Income	33,365	36,895	43,768	48,178	54,139	58,532	56,173	50,026	54,659	61,472	66,583	70,834	75,471	80,998
Interest Expense	(10,989)	(11,335)	(13,773)	(16,240)	(18,692)	(21,930)	(19,021)	(11,779)	(13,338)	(20,196)	(26,103)	(29,991)	(31,377)	(33,129)
Net Interest Income	22,376	25,560	29,995	31,938	35,446	36,602	37,152	38,247	41,321	41,276	40,480	40,843	44,094	47,869
Non-Interest Income	7,740	6,829	8,649	9,907	9,961	12,437	14,298	15,141	14,059	16,442	18,010	18,963	20,040	21,419
Net Fee income	4,482	5,928	6,781	8,083	8,967	10,007	9,780	10,342	11,290	11,779	11,973	12,931	13,965	15,083
Trading income	1,212	461	1,162	1,441	755	1,746	3,507	3,147	633	2,272	3,176	3,000	2,800	2,800
Other operating income	2,046	440	705	383	239	684	1,011	1,652	2,137	2,390	2,861	3,032	3,275	3,537
Total Revenues	30,116	32,389	38,644	41,844	45,407	49,040	51,450	53,388	55,380	57,718	58,490	59,807	64,135	69,289
Costs	(15,558)	(15,765)	(18,184)	(19,864)	(21,236)	(23,147)	(24,214)	(24,801)	(27,362)	(27,611)	(30,112)	(31,177)	(32,736)	(34,373)
PPOP	14,558	16,624	20,460	21,980	24,171	25,893	27,236	28,587	28,018	30,107	28,377	28,629	31,398	34,916
Loan loss provisions (Gross)	(3,608)	(7,148)	(7,308)	(6,581)	(6,971)	(7,198)	(21,412)	(17,343)	(10,626)	(8,875)	(8,464)	(8,311)	(9,463)	(10,282)
Loan loss provisions (Net)	(1,557)	(5,379)	(5,811)	(4,361)	(4,413)	(4,625)	(19,864)	(14,762)	(6,846)	(3,845)	(2,439)	(3,324)	(4,957)	(5,386)
Other provisions	(34)	(188)	(545)	(545)	(418)	(1,640)	(1,178)	(954)	(585)	(488)	677	-	-	-
Other income	557	409	199	92	480	(259)	(1,082)	(320)	2,100	(134)	(35)	-	-	-
Pre-Tax	13,524	11,466	14,303	17,165	19,821	19,369	5,112	12,551	22,687	25,640	26,580	25,305	26,441	29,530
Tax	(2,695)	(2,326)	(2,893)	(3,395)	(4,729)	(3,861)	(1,791)	(2,324)	(4,205)	(4,534)	(4,911)	(4,555)	(4,759)	(5,315)
MI & EO	(47)	(74)	(71)	(154)	(77)	(124)	(41)	(79)	(170)	(197)	(206)	(206)	(206)	(206)
Net Profit	10,783	9,067	11,339	13,616	15,015	15,384	3,280	10,149	18,312	20,909	21,464	20,544	21,476	24,008

Source: Company reports and J.P. Morgan estimates.

Table 46: BBNI: Annual DuPont

	2014	2015	2016	2017	2018	2019	2020	2021	2022	2023	2024	2025E	2026E	2027E
NIM (% of avg. IEA)	6.20%	6.42%	6.17%	5.50%	5.07%	4.92%	4.50%	4.67%	4.81%	4.58%	4.24%	4.08%	4.14%	4.22%
IEA/Assets	89.9%	86.1%	87.5%	88.5%	92.0%	90.0%	95.1%	88.3%	86.1%	85.2%	86.1%	86.1%	85.5%	84.6%
Margins (% of avg. Assets)	5.57%	5.53%	5.40%	4.87%	4.67%	4.43%	4.28%	4.12%	4.14%	3.90%	3.65%	3.51%	3.54%	3.57%
Non-IR contribution	25.7%	21.1%	22.4%	23.7%	21.9%	25.4%	27.8%	28.4%	25.4%	28.5%	30.8%	31.7%	31.2%	30.9%
Non-IR/Avg. Assets	1.93%	1.48%	1.56%	1.51%	1.31%	1.50%	1.65%	1.63%	1.41%	1.55%	1.63%	1.63%	1.61%	1.60%
Revenue/Assets	7.50%	7.00%	6.95%	6.38%	5.98%	5.93%	5.92%	5.75%	5.55%	5.45%	5.28%	5.14%	5.15%	5.17%
Cost/Income	51.7%	48.7%	47.1%	47.5%	46.8%	47.2%	47.1%	46.5%	49.4%	47.8%	51.5%	52.1%	51.0%	49.6%
C/Assets	3.87%	3.41%	3.27%	3.03%	2.80%	2.80%	2.79%	2.67%	2.74%	2.61%	2.72%	2.68%	2.63%	2.56%
Pre-Provision ROA	3.62%	3.59%	3.68%	3.35%	3.18%	3.13%	3.14%	3.08%	2.81%	2.84%	2.56%	2.46%	2.52%	2.60%
LLP/Loans (Gross)	-1.37%	-2.37%	-2.03%	-1.58%	-1.46%	-1.35%	-3.75%	-2.97%	-1.73%	-1.32%	-1.15%	-1.03%	-1.09%	-1.09%
LLP/Loans (Net)	-0.59%	-1.78%	-1.62%	-1.05%	-0.93%	-0.87%	-3.48%	-2.53%	-1.11%	-0.57%	-0.33%	-0.41%	-0.57%	-0.57%
Loan/Assets	65.7%	65.2%	64.6%	63.5%	62.8%	64.5%	65.7%	62.9%	61.6%	63.4%	66.4%	69.0%	69.6%	70.1%
Other Income/Assets	0.13%	0.05%	-0.06%	-0.07%	0.01%	-0.23%	-0.26%	-0.14%	0.15%	-0.06%	0.06%	0.00%	0.00%	0.00%
Operating ROA	3.37%	2.48%	2.57%	2.62%	2.61%	2.34%	0.59%	1.35%	2.27%	2.42%	2.40%	2.17%	2.12%	2.20%
Pre-Tax ROA	3.37%	2.48%	2.57%	2.62%	2.61%	2.34%	0.59%	1.35%	2.27%	2.42%	2.40%	2.17%	2.12%	2.20%
Tax Rate	-19.9%	-20.3%	-20.2%	-19.8%	-23.9%	-19.9%	-35.0%	-18.5%	-17.7%	-17.7%	-18.5%	-18.0%	-18.0%	-18.0%
ROA	2.68%	1.96%	2.04%	2.08%	1.98%	1.86%	0.38%	1.17%	1.84%	1.98%	1.94%	1.76%	1.73%	1.79%
RoRWA	3.46%	2.53%	2.68%	2.75%	2.67%	2.54%	0.52%	1.67%	2.68%	3.00%	3.04%	2.73%	2.66%	2.75%
Equity/Assets	13.0%	14.2%	14.3%	13.8%	13.3%	13.7%	13.1%	12.4%	12.8%	13.3%	13.9%	14.1%	13.9%	13.7%
ROE	20.6%	13.8%	14.3%	15.0%	14.9%	13.6%	2.9%	8.8%	14.4%	14.9%	13.9%	12.5%	12.4%	13.1%

Source: Company reports and J.P. Morgan estimates.

Quarterly forecasts

Table 47: BBNi: Quarterly P&L

Rp bn	1Q23	2Q23	3Q23	4Q23	1Q24	2Q24	3Q24	4Q24	1Q25E	2Q25E	3Q25E	4Q25E
Interest Income	15,019	15,275	15,924	15,253	15,875	16,298	16,663	17,747	17,657	17,464	17,661	18,052
Interest Expense	(4,615)	(5,078)	(5,389)	(5,114)	(6,485)	(6,617)	(6,296)	(6,705)	(7,214)	(7,359)	(7,571)	(7,848)
Net Interest Income	10,404	10,197	10,535	10,139	9,390	9,681	10,367	11,042	10,443	10,106	10,090	10,204
Non-Interest Income	3,613	4,095	3,989	4,745	4,286	4,253	4,429	5,041	4,571	4,661	4,686	5,045
Net Fee income	2,666	2,804	2,961	3,349	2,960	2,783	2,947	3,283	3,021	3,111	3,236	3,563
Trading income	403	711	464	693	736	815	808	817	750	750	750	750
Other operating income	544	580	563	703	590	656	675	940	800	800	700	732
Total Revenues	14,017	14,292	14,524	14,884	13,677	13,935	14,796	16,082	15,014	14,767	14,776	15,249
Costs	(6,484)	(6,291)	(6,750)	(8,085)	(6,667)	(7,015)	(7,526)	(8,904)	(7,373)	(7,453)	(7,778)	(8,573)
PPOP	7,533	8,001	7,774	6,799	7,010	6,920	7,270	7,178	7,641	7,314	6,998	6,676
Loan loss provisions (Gross)	(2,054)	(2,237)	(2,086)	(2,497)	(1,730)	(1,780)	(2,047)	(2,907)	(2,073)	(1,950)	(1,984)	(2,303)
Loan loss provisions (Net)	(917)	(1,592)	(917)	(420)	(576)	(549)	(564)	(750)	(921)	(780)	(794)	(829)
Other provisions	(113)	(123)	(115)	(137)	4	123	261	289	-	-	-	-
Other income	(46)	(39)	(70)	22	0	(0)	(33)	(3)	-	-	-	-
Pre-Tax	6,457	6,247	6,672	6,263	6,437	6,494	6,934	6,715	6,719	6,534	6,205	5,847
Tax	(1,194)	(1,111)	(1,182)	(1,046)	(1,085)	(1,083)	(1,264)	(1,479)	(1,209)	(1,176)	(1,117)	(1,052)
MI & EO	(43)	(54)	(38)	(61)	(26)	(46)	(53)	(81)	(45)	(45)	(45)	(71)
Net Profit	5,221	5,081	5,452	5,156	5,326	5,365	5,617	5,155	5,465	5,313	5,043	4,724

Source: Company reports and J.P. Morgan estimates.

Table 48: BBNi: Quarterly DuPont

	1Q23	2Q23	3Q23	4Q23	1Q24	2Q24	3Q24	4Q24	1Q25E	2Q25E	3Q25E	4Q25E
NIM (% of avg. IEA)	4.67%	4.48%	4.78%	4.39%	4.01%	4.03%	4.41%	4.50%	4.27%	4.13%	4.04%	3.99%
IEA/Assets	87.2%	89.3%	86.7%	88.2%	87.0%	89.8%	87.8%	89.4%	86.8%	86.6%	86.5%	86.5%
Margins (% of avg. Assets)	4.08%	4.00%	4.14%	3.87%	3.49%	3.62%	3.87%	4.02%	3.71%	3.58%	3.50%	3.45%
Non-IR contribution	25.8%	28.7%	27.5%	31.9%	31.3%	30.5%	29.9%	31.3%	30.4%	31.6%	31.7%	33.1%
Non-IR/Avg. Assets	1.42%	1.61%	1.57%	1.81%	1.59%	1.59%	1.66%	1.83%	1.62%	1.65%	1.63%	1.71%
Revenue/Assets	5.49%	5.61%	5.71%	5.68%	5.08%	5.21%	5.53%	5.85%	5.33%	5.22%	5.12%	5.16%
Cost/Income	46.3%	44.0%	46.5%	54.3%	48.7%	50.3%	50.9%	55.4%	49.1%	50.5%	52.6%	56.2%
C/Assets	2.54%	2.47%	2.65%	3.09%	2.48%	2.62%	2.81%	3.24%	2.62%	2.64%	2.70%	2.90%
Pre-Provision ROA	2.95%	3.14%	3.06%	2.60%	2.60%	2.59%	2.72%	2.61%	2.71%	2.59%	2.43%	2.26%
LLP/Loans (Gross)	-1.28%	-1.39%	-1.26%	-1.46%	-1.00%	-1.00%	-1.12%	-1.54%	-1.07%	-1.01%	-1.01%	-1.13%
LLP/Loans (Net)	-0.57%	-0.99%	-0.55%	-0.25%	-0.33%	-0.31%	-0.31%	-0.40%	-0.48%	-0.40%	-0.40%	-0.41%
Loan/Assets	62.7%	63.1%	65.0%	65.2%	64.6%	66.5%	68.3%	68.7%	68.6%	68.4%	68.2%	68.7%
Other Income/Assets	-0.06%	-0.06%	-0.07%	-0.04%	0.00%	0.05%	0.09%	0.10%	0.00%	0.00%	0.00%	0.00%
Operating ROA	2.59%	2.52%	2.70%	2.43%	2.39%	2.38%	2.51%	2.34%	2.39%	2.31%	2.15%	1.98%
Pre-Tax ROA	2.53%	2.45%	2.62%	2.39%	2.39%	2.43%	2.59%	2.44%	2.39%	2.31%	2.15%	1.98%
Tax Rate	-18.5%	-17.8%	-17.7%	-16.7%	-16.9%	-16.7%	-18.2%	-22.0%	-18.0%	-18.0%	-18.0%	-18.0%
ROA	2.05%	2.00%	2.14%	1.97%	1.98%	2.01%	2.10%	1.88%	1.94%	1.88%	1.75%	1.60%
RoRWA	3.03%	3.06%	3.29%	3.05%	3.06%	2.99%	3.15%	2.90%	3.00%	2.89%	2.69%	2.46%
Equity/Assets	13.3%	13.5%	13.6%	13.8%	13.5%	13.6%	14.1%	14.3%	14.5%	14.9%	15.0%	14.6%
ROE	15.4%	14.8%	15.7%	14.3%	14.7%	14.8%	14.9%	13.1%	13.4%	12.6%	11.6%	11.0%

Source: Company reports and J.P. Morgan estimates.

Price Performance



	YTD	1m	3m	12m
Abs	-13.3%	-12.3%	-11.5%	-35.0%
Rel	-1.7%	-4.3%	-1.1%	-20.3%

Company Data

Shares O/S (bn)	37
52-week range (Rp)	5,975-3,770
Market cap (\$ bn)	8.53
Exchange rate	16,485.33
Free float (%)	39.7%
3M ADV (mn)	62.90
3M ADV (\$ mn)	16.8
Volatility (90 Day)	45
Index	JCI
BBG ANR (Buy Hold Sell)	29 6 0

Key Metrics (FYE Dec)

Rp in billions	FY24A	FY25E	FY26E	FY27E
Financial Estimates				
Net interest income	40,480	40,843	44,094	47,869
Non interest income	18,010	18,963	20,040	21,419
Operating expenses	(30,112)	(31,177)	(32,736)	(34,373)
Adj. PPOP	28,377	28,629	31,398	34,916
Provision for loan losses	(2,439)	(3,324)	(4,957)	(5,386)
Adj. PBT	26,580	25,305	26,441	29,530
Adj. net income	21,464	20,544	21,476	24,008
Adj. EPS	575.47	550.82	575.80	643.71
BBG EPS	594.84	626.64	686.19	807.07
DPS	316.51	330.49	345.48	418.41
Loans	737,187	796,538	868,106	945,597
Deposits	805,511	857,416	929,663	1,009,682
Total Assets	1,129,806	1,198,440	1,290,275	1,392,541
Margins and Growth				
NIM	4.2%	4.1%	4.1%	4.2%
Ratios				
Loan/ Deposit ratio	91.5%	92.9%	93.4%	93.7%
NPL / Loans	2.0%	2.0%	2.0%	1.9%
Coverage	253.1%	209.9%	187.5%	181.0%
CET 1	-	-	-	-
Non-int. income/ Income	30.8%	31.7%	31.2%	30.9%
Cost/Income	51.5%	52.1%	51.0%	49.6%
LLP/Loans	(0.3%)	(0.4%)	(0.6%)	(0.6%)
ROA	1.9%	1.8%	1.7%	1.8%
ROE	13.9%	12.5%	12.4%	13.1%
Valuation				
Dividend yield	8.4%	8.8%	9.2%	11.1%
Adj. P/E	6.6	6.8	6.5	5.9
P/ BV	0.9	0.8	0.8	0.7

Summary Investment Thesis and Valuation

Investment Thesis

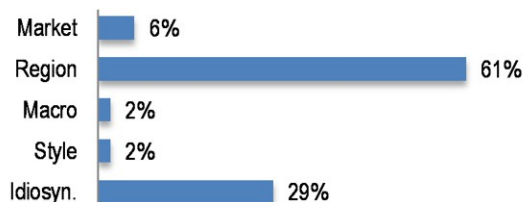
We are Neutral on BNI.

- The investment case is more based on low valuations driving relative outperformance in the near term. The fundamentals are evolving, and to a degree, a function of system trends.
- The bank is in the early stages of improving its liability franchise (mobile platform “wondr” a case in point) in order to improve NIM and RoE. Yet the build-up process is expensive and time-consuming, so CIR may remain under pressure.
- The stock appears fairly valued at 6.8x/0.0.83x 2025E PE/ PB for 12-13% RoE and ~9% yields in 2025E/26E.

Valuation

Our Dec-25 PT of Rp3,900 is based on a DDM-derived fair P/B multiple of 0.78x with a normalized RoE of 13.0%, a risk-free rate of 7.0%, a cost of capital of 15.1% and a terminal growth rate of 5.5%.

Performance Drivers



Factors	6M Corr	1Y Corr
Market: MSCI Asia Pac ex JP	0.06	0.24
Region: Indonesia	0.84	0.80
Macro:		
HSI Volatility Index	-0.43	-0.31
JP Morgan GBI-EM Global Div	0.27	0.31
US 10 Year Yield	-0.40	-0.30
Quant Styles:		
LowVol	0.49	0.35
Size	0.31	0.33
DivYld	0.17	0.19

Source: J.P. Morgan Quantitative and Derivatives Strategy for Performance Drivers; company data, Bloomberg Finance L.P. and J.P. Morgan estimates for all other tables. Note: Price history may not be complete or exact.

Investment Thesis, Valuation and Risks

Bank Negara Indonesia Persero (*Neutral; Price Target: Rp3,900*)

Investment Thesis

We are Neutral on BNI.

- The investment case is more based on low valuations driving relative outperformance in the near term. The fundamentals are evolving, and to a degree, a function of system trends.
- The bank has been steadily delivering on the improvements in credit infrastructure over the past few years. This is reflected in lower NPLs, LAR and consistent improvement in credit costs. We forecast ~40-60bps of net credit costs (~100-110bps gross) over 2025-27, lowest within SoE banks. The next 6-12M are a test of these underwriting shifts.
- The transition to higher-quality corporate loans entails lower credit spread. This, along with higher CoF, will limit NIM expansion. Yet lower credit spreads (along with low RoE volatility) provide evidence of continued progress in the portfolio.
- The bank is in the early stages of improving its liability franchise (mobile platform “wondr” a case in point) in order to improve NIM and RoE. Yet the build-up process is expensive and time-consuming, so CIR may remain under pressure.
- The stock appears fairly valued at 6.8x/0.0.83x 2025E PE/PB for 12-13% RoE and ~9% yields in 2025E/26E.

Valuation

Our Dec-25 PT of Rp3,900 is based on a DDM-derived fair P/B multiple of 0.78x with a normalized RoE of 13.0%, a risk-free rate of 7.0%, a cost of capital of 15.1% and a terminal growth rate of 5.5%.

Risks to Rating and Price Target

Downside risks include: (1) tightening liquidity, leading to slower balance sheet growth and higher-than-expected CoF; (2) limited pricing power with credit spreads tightening, driving lower asset yields/NIM; and (3) the possibility of CIR overshoot, as the bank is in early stages of revamping its liability franchise, especially if it tries to narrow the gap with incumbents such as BCA and BMRI.

Upside risks include: (1) improvement in credit costs; (2) better-than-expected liquidity; (3) lower CoF; and (4) a strong recovery in fee growth and trading income.

Bank Negara Indonesia Persero: Summary of Financials

Income Statement						Balance Sheet					
	FY23A	FY24A	FY25E	FY26E	FY27E		FY23A	FY24A	FY25E	FY26E	FY27E
Interest income	61,472	66,583	70,834	75,471	80,998	Cash and cash equivalents	0	0	0	0	0
Interest expense	(20,196)	(26,103)	(29,991)	(31,377)	(33,129)	Deposits with banks	155,281	104,529	105,608	113,473	125,294
Net interest income	41,276	40,480	40,843	44,094	47,869	Net loans	647,927	737,187	796,538	868,106	945,597
Non interest income	16,442	18,010	18,963	20,040	21,419	PP&E	28,751	31,528	33,285	34,469	35,715
o/w Fee income	11,779	11,973	12,931	13,965	15,083	Net intangibles	0	0	0	0	0
o/w Trading income	2,272	3,176	3,000	2,800	2,800	LT investments	216,132	223,663	228,136	237,261	246,752
Net revenues	57,718	58,490	59,807	64,135	69,289	Other assets	38,573	32,899	34,873	36,966	39,184
Non interest expense	(27,611)	(30,112)	(31,177)	(32,736)	(34,373)	Total assets	1,086,664	1,29,806	1,98,440	1,290,275	1,392,541
o/w Employee costs	0	0	0	0	0	Interest earning assets	1,066,498	1,104,063	1,164,811	1,252,017	1,351,309
Pre-Prov. Profits	30,107	28,377	28,629	31,398	34,916	Deposits	810,730	805,511	857,416	929,663	1,009,682
Provisions	(3,845)	(2,439)	(3,324)	(4,957)	(5,386)	Borrowings	78,625	114,469	119,047	125,803	132,947
Adj. PBT	25,640	26,580	25,305	26,441	29,530	Other liabilities	42,576	42,640	46,051	49,735	53,714
Income taxes	(4,534)	(4,911)	(4,555)	(4,759)	(5,315)	Total liabilities	931,931	962,619	1,022,514	1,105,200	1,196,343
Minority interest	(197)	(206)	(206)	(206)	(206)	Shareholder equity	147,874	160,201	168,734	177,678	188,595
Adj. Net profit	20,909	21,464	20,544	21,476	24,008	Minority interests	6,859	6,986	7,192	7,398	7,603
PPOP per share	808.09	760.84	767.59	841.83	936.14	Total liabilities and Shareholder equity	1,086,664	1,29,806	1,98,440	1,290,275	1,392,541
Reported EPS	561.23	575.47	550.82	575.80	643.71	Interest bearing liabilities	889,356	919,980	976,464	1,055,465	1,142,629
Adj. EPS	561.23	575.47	550.82	575.80	643.71	Book Value Per Share	3,969.05	4,295.23	4,524.02	4,763.82	5,056.52
DPS	280.50	316.51	330.49	345.48	418.41	Tangible Book Value Per Share	3,969.05	4,295.23	4,524.02	4,763.82	5,056.52
Diluted shares outstanding	37	37	37	37	37						
Balance Sheet Gearing	FY23A	FY24A	FY25E	FY26E	FY27E	Asset Quality/Capital	FY23A	FY24A	FY25E	FY26E	FY27E
Loans/Deposits	79.9%	91.5%	92.9%	93.4%	93.7%	Loan loss reserves/Loans	(6.8%)	(5.0%)	(4.2%)	(3.7%)	(3.4%)
Investment/Assets	19.9%	19.8%	19.4%	18.7%	18.0%	NPLs/Loans	2.1%	2.0%	2.0%	2.0%	1.9%
Loan/Assets	63.4%	66.4%	69.0%	69.6%	70.1%	Loan loss reserves/NPLs	295.1%	284.6%	230.7%	198.3%	184.2%
Customer deposits/Liabilities	87.0%	83.7%	83.9%	84.1%	84.4%	NPL y/y growth	(18.1%)	2.8%	7.6%	7.6%	5.1%
LT debt/Liabilities	8.8%	10.2%	11.8%	11.5%	11.2%	Tier 1 ratio	21.5%	20.2%	19.9%	19.5%	19.1%
						CAR	23.2%	21.7%	21.3%	20.7%	20.3%
Ratio Analysis (%)	FY23A	FY24A	FY25E	FY26E	FY27E	Ratio Analysis (%)	FY23A	FY24A	FY25E	FY26E	FY27E
Net interest margin	4.6%	4.2%	4.1%	4.1%	4.2%	Return on equity (ROE)	14.9%	13.9%	12.5%	12.4%	13.1%
Non interest income/Net revenue	28.5%	30.8%	31.7%	31.2%	30.9%	Return on assets (ROA)	2.0%	1.9%	1.8%	1.7%	1.8%
Non interest income/Avg. Assets	1.6%	1.6%	1.6%	1.6%	1.6%	Operating ROA	2.5%	2.3%	2.2%	2.1%	2.2%
Efficiency ratio	47.8%	51.5%	52.1%	51.0%	49.6%	Pre-Tax ROA	2.4%	2.4%	2.2%	2.1%	2.2%
Leverage ratio	13.9%	13.3%	13.3%	13.1%	12.9%	Pre-Provision ROA	2.8%	2.6%	2.5%	2.5%	2.6%
Revenue/Assets	5.5%	5.3%	5.1%	5.2%	5.2%	Tax rate	17.7%	18.5%	18.0%	18.0%	18.0%
RORWA	3.0%	3.0%	2.7%	2.7%	2.8%						
RWA	684,777	728,478	778,986	838,679	905,152	Net loans y/y growth	8.7%	13.8%	8.1%	9.0%	8.9%
Avg. RWA	697,664	706,628	753,732	808,832	871,915	Assets y/y growth	5.5%	4.0%	6.1%	7.7%	7.9%
Avg. IEA	901,191	953,911	1,001,737	1,064,215	1,135,100	RWA y/y growth	(3.6%)	6.4%	6.9%	7.7%	7.9%
Gross Loans	695,085	775,872	831,067	901,283	979,264	Deposits y/y growth	5.4%	(0.6%)	6.4%	8.4%	8.6%
Avg. IBL	870,464	904,668	948,222	1,015,964	1,099,047	Net interest income y/y growth	(0.1%)	(1.9%)	0.9%	8.0%	8.6%
LLR	(47,158)	(38,685)	(34,529)	(33,177)	(33,667)	Revenues y/y growth	4.2%	1.3%	2.3%	7.2%	8.0%
NPLs	14,875	15,285	16,448	17,695	18,596	Adj. EPS y/y growth	14.1%	2.5%	(4.3%)	4.5%	11.8%
P/BV (x)	0.9	0.9	0.8	0.8	0.7	BVPS y/y growth	10.7%	8.2%	5.3%	5.3%	6.1%
Adj. P/E (x)	6.7	6.6	6.8	6.5	5.9	IE assets/Assets	85.2%	86.1%	86.1%	85.5%	84.6%
Dividend yield	7.4%	8.4%	8.8%	9.2%	11.1%	Margins (as % of Avg. Assets)	3.4%	3.2%	3.1%	3.1%	3.1%
Dividend payout	50.0%	55.0%	60.0%	60.0%	65.0%	LLP/Loans	(0.6%)	(0.3%)	(0.4%)	(0.6%)	(0.6%)
						Equity/Assets	13.3%	13.9%	14.1%	13.9%	13.7%
						Cost/Assets	2.6%	2.7%	2.7%	2.6%	2.6%
						Assets/Equity	7.5	7.2	7.1	7.2	7.3

Source: Company reports and J.P. Morgan estimates.

Note: Rp in billions (except per-share data). Fiscal year ends Dec

▼ Neutral

Previous: Overweight

BBRI.JK, BBRI IJ

Price (21 Mar 25):Rp3,700

▼ Price Target (Dec-25):Rp3,900

Prior (Dec-25):Rp4,200

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J.P. Morgan Securities (Asia Pacific) Limited/ J.P.
Morgan Broking (Hong Kong) Limited

Key Changes (FYE Dec)

	Prev	Cur
Adj. EPS - 25E (Rp)	397.48	361.26
Adj. EPS - 26E (Rp)	417.93	382.98

Quarterly Forecasts (FYE Dec)

Adj. EPS (Rp)	2024A	2025E	2026E
Q1	104.81	100.00	
Q2	91.16	89.48	
Q3	101.37	85.42	
Q4	99.57	86.36	
FY	396.91	361.26	382.98

Style Exposure

Quant Factors	Current	Hist %Rank (1=Top)			
	%Rank	6M	1Y	3Y	5Y
Value	41	45	49	33	53
Growth	43	35	18	70	12
Momentum	89	70	26	60	35
Quality	18	14	6	33	20
Low Vol	24	12	8	16	4
ESGQ	12	15	14	91	1

Bank Rakyat Indonesia

Lingering AQ issues to drive negative revisions; downgrade to Neutral

We are increasing BRI's credit costs forecasts to 350/320/300bps over 2025-27, as we expect AQ issues to linger. This is the key driver of our 8-13% negative revisions over 2025-27E. We expect growth in 1H24 to miss management's guidance of 7-9%, though higher Kupedes mix is partly helping asset yields/NIM. We also forecast a payout ratio of 90% over 2025-27, which translates to dividend yields of 9-10% at current price. We also reflect higher macro risks in Indonesia through 7% ERP (up from 6%), which along with EPS changes is driving lower Dec-24 PT of Rp3,900. Maintain Neutral.

Valuation

Table 49: BBRI: Valuation

	Net Income (Rp bn)	EPS (Rp)	P/E (x)	BVPS (Rp)	P/B (x)	Dividend (Rp)	Div Yld (%)	RoA (%)	RoRWA (%)	RoE (%)
2021	33,467	243	15.2	1,905	1.94	174	4.7%	2.10%	3.42%	13.8%
2022	51,170	338	11.0	1,975	1.87	288	7.8%	2.89%	4.80%	17.4%
2023	60,100	397	9.3	2,054	1.80	319	8.6%	3.14%	5.46%	19.7%
2024	60,155	397	9.3	2,092	1.77	357	9.7%	3.04%	5.40%	19.1%
2025E	54,752	361	10.2	2,092	1.77	325	8.8%	2.68%	4.65%	17.3%
2026E	58,044	383	9.7	2,146	1.72	345	9.3%	2.68%	4.59%	18.1%
2027E	63,260	417	8.9	2,215	1.67	376	10.2%	2.71%	4.61%	19.1%
Price (Rp)		3,700		Number of shares (mn)		151,559		Market Cap (Rp bn)		560,768
Normalised RoE				PB based Valuation				PE based Valuation		
NIM (on avg. assets)	7.01%		Risk-free rate		7.00%		Fair PE		7.7%	
Non-IR/revenues	28.0%		Cost of capital		15.4%		12m Rolling EPS		Rp 366	
Cost/income	51.7%		Long term growth		7.0%		PE based Dec-25E Fair Value		Rp 2,820	
Operating RoA	4.70%		Fair PB		1.53x		Implied Value of Growth			
LLP/Loans	-1.60%		PV of Terminal Value		Rp 2,787		12m Rolling EPS		Rp 366	
Net RoAA	2.81%		PV of Dividends		Rp 558		Capitalized Value (Rp)		Rp 2,377	
Equity/Assets	14.2%		PV of today's Fair Value		Rp 3,345		Value of Growth (Rp)		Rp 1,323	
Normalised RoE	19.8%		PB based Dec-25E Fair Value		Rp 3,860		Attributable to Growth		35.8%	

Source: J.P. Morgan estimates, Bloomberg Finance L.P.

Annual forecasts

Table 50: BBRI: Annual P&L

Rp bn	2015	2016	2017	2018	2019	2020	2021	2022	2023	2024	2025E	2026E	2027E
Interest Income	85,435	93,994	102,899	111,584	121,756	116,933	143,523	151,875	178,996	199,266	201,880	215,291	233,229
Interest Expense	(27,156)	(28,522)	(29,894)	(33,917)	(40,049)	(37,723)	(29,429)	(27,278)	(43,813)	(57,209)	(60,148)	(64,147)	(66,978)
Net Interest Income	58,279	65,472	73,005	77,667	81,707	79,210	114,094	124,597	135,183	142,057	141,732	151,144	166,250
Non-Interest Income	11,522	12,550	14,372	18,067	21,643	23,100	33,278	36,327	38,625	49,736	56,320	59,294	62,459
Net Fee income	7,364	9,223	10,364	12,137	14,438	15,123	17,062	18,795	20,738	20,475	22,523	24,324	26,270
Trading income	543	205	1,020	1,824	2,074	4,724	5,673	2,710	2,593	3,779	4,493	4,493	4,493
Other operating income	3,616	3,123	2,988	4,106	5,132	3,253	10,544	14,821	15,294	25,482	29,305	30,477	31,696
Total Revenues	69,801	78,023	87,378	95,734	103,350	102,310	147,373	160,924	173,808	191,794	198,052	210,438	228,709
Costs	(31,274)	(34,821)	(38,615)	(42,397)	(44,797)	(52,148)	(79,392)	(81,698)	(84,283)	(96,819)	(102,051)	(109,800)	(117,486)
PPOP	38,527	43,202	48,763	53,337	58,553	50,162	67,981	79,226	89,525	94,975	96,000	100,638	111,223
Loan loss provisions (Gross)	(8,891)	(13,699)	(16,994)	(17,793)	(21,497)	(30,358)	(36,576)	(27,896)	(28,751)	(42,972)	(48,963)	(48,141)	(49,211)
Loan loss provisions (Net)	(6,557)	(9,238)	(11,950)	(11,593)	(14,500)	(23,118)	(27,571)	(15,428)	(11,917)	(17,608)	(25,934)	(26,405)	(30,387)
Other income	524	11	211	9	(81)	(60)	(188)	287	(405)	(982)	-	-	-
Pre-Tax	32,494	33,974	37,022	41,754	43,364	26,725	40,992	64,597	76,430	77,599	70,066	74,233	80,836
Tax	(7,083)	(7,746)	(7,978)	(9,335)	(8,950)	(8,064)	(7,836)	(13,188)	(16,005)	(16,955)	(14,714)	(15,589)	(16,976)
MI & EO	(13)	(32)	(48)	(67)	(41)	(6)	311	(238)	(325)	(489)	(600)	(600)	(600)
Net Profit	25,398	26,196	28,997	32,351	34,373	18,655	33,467	51,170	60,100	60,155	54,752	58,044	63,260

Source: Company reports and J.P. Morgan estimates.

Table 51: BBRI: Annual DuPont

	2015	2016	2017	2018	2019	2020	2021	2022	2023	2024	2025E	2026E	2027E
NIM (% of avg. IEA)	8.13%	8.00%	7.93%	7.45%	6.98%	6.00%	7.70%	7.85%	7.95%	7.74%	7.42%	7.34%	7.45%
IEA/Assets	85.3%	87.0%	86.5%	86.1%	86.3%	90.2%	92.9%	89.6%	88.8%	92.7%	93.5%	95.0%	95.6%
Margins (% of avg. Assets)	6.94%	6.96%	6.86%	6.41%	6.02%	5.41%	7.15%	7.03%	7.06%	7.18%	6.94%	6.97%	7.12%
Non-IR contribution	16.51%	16.09%	16.45%	18.87%	20.94%	22.58%	22.58%	22.57%	22.22%	25.93%	28.44%	28.18%	27.31%
Non-IR/Avg. Assets	1.37%	1.33%	1.35%	1.49%	1.60%	1.58%	2.09%	2.05%	2.02%	2.51%	2.76%	2.73%	2.67%
Revenue/Assets	8.31%	8.29%	8.20%	7.90%	7.62%	6.99%	9.24%	9.08%	9.07%	9.69%	9.70%	9.70%	9.80%
Cost/Income	44.8%	44.6%	44.2%	44.3%	43.3%	51.0%	53.9%	50.8%	48.5%	50.5%	51.5%	52.2%	51.4%
C/Assets	3.72%	3.70%	3.63%	3.50%	3.30%	3.56%	4.98%	4.61%	4.40%	4.89%	5.00%	5.06%	5.03%
Pre-Provision ROA	4.59%	4.59%	4.58%	4.40%	4.32%	3.43%	4.26%	4.47%	4.67%	4.80%	4.70%	4.64%	4.76%
LLP/Loans (Gross)	-1.63%	-2.20%	-2.43%	-2.25%	-2.46%	-3.29%	-3.69%	-2.56%	-2.39%	-3.28%	-3.49%	-3.19%	-3.00%
LLP/Loans (Net)	-1.20%	-1.49%	-1.71%	-1.47%	-1.66%	-2.50%	-2.78%	-1.42%	-0.99%	-1.34%	-1.85%	-1.75%	-1.85%
Loan/Assets	64.9%	66.1%	65.8%	65.3%	64.5%	63.1%	62.1%	61.5%	62.8%	66.2%	68.7%	69.6%	70.3%
Other Income/Assets	0.06%	0.00%	0.02%	0.00%	-0.05%	-0.02%	0.04%	0.05%	-0.06%	0.01%	0.00%	0.00%	0.00%
Operating ROA	3.87%	3.61%	3.48%	3.45%	3.20%	1.83%	2.57%	3.65%	3.99%	3.92%	3.43%	3.42%	3.46%
Pre-Tax ROA	3.87%	3.61%	3.48%	3.45%	3.20%	1.83%	2.57%	3.65%	3.99%	3.92%	3.43%	3.42%	3.46%
Tax Rate	-21.8%	-22.8%	-21.5%	-22.4%	-20.6%	-30.2%	-19.1%	-20.4%	-20.9%	-21.8%	-21.0%	-21.0%	-21.0%
ROA	3.02%	2.78%	2.72%	2.67%	2.53%	1.27%	1.95%	2.89%	3.14%	3.04%	2.68%	2.68%	2.71%
RoRWA	4.85%	4.33%	4.20%	4.08%	3.89%	2.02%	3.18%	4.80%	5.46%	5.40%	4.65%	4.59%	4.61%
Equity/Assets	12.5%	13.8%	14.7%	14.4%	14.3%	13.8%	15.2%	16.6%	15.9%	15.9%	15.5%	14.8%	14.2%
ROE	24.1%	20.2%	18.5%	18.5%	17.7%	9.2%	13.8%	17.4%	19.7%	19.1%	17.3%	18.1%	19.1%

Source: Company reports and J.P. Morgan estimates.

Quarterly forecasts

Table 52: BBRI: Quarterly P&L

Rp bn	1Q23	2Q23	3Q23	4Q23	1Q24	2Q24	3Q24	4Q24	1Q25E	2Q25E	3Q25E	4Q25E
Interest Income	42,460	43,130	46,302	47,103	50,607	49,183	50,847	48,629	49,037	50,035	50,908	51,899
Interest Expense	(9,681)	(10,369)	(10,646)	(13,116)	(14,123)	(14,596)	(14,317)	(14,173)	(14,562)	(14,948)	(15,135)	(15,503)
Net Interest Income	32,779	32,761	35,656	33,987	36,484	34,588	36,529	34,456	34,475	35,087	35,773	36,397
Non-Interest Income	9,300	10,074	9,121	10,130	10,663	11,411	13,556	14,106	13,873	13,756	13,202	15,489
Net Fee income	5,080	5,143	5,337	5,178	4,899	5,218	5,196	5,162	5,214	5,475	5,639	6,195
Trading income	799	690	494	610	879	622	1,550	728	1,100	1,100	1,100	1,193
Other operating income	3,421	4,241	3,290	4,342	4,884	5,571	6,810	8,217	7,559	7,181	6,463	8,101
Total Revenues	42,079	42,835	44,777	44,117	47,147	45,998	50,086	48,562	48,348	48,843	48,975	51,886
Costs	(18,385)	(21,818)	(20,692)	(23,388)	(19,495)	(23,347)	(26,865)	(27,112)	(22,178)	(24,611)	(25,384)	(29,878)
PPOP	23,695	21,017	24,085	20,728	27,652	22,651	23,221	21,451	26,170	24,232	23,590	22,008
Loan loss provisions (Gross)	(6,936)	(6,306)	(8,553)	(6,956)	(12,336)	(10,393)	(10,859)	(9,384)	(13,568)	(11,648)	(11,870)	(11,877)
Loan loss provisions (Net)	(3,974)	(2,708)	(4,469)	(767)	(7,945)	(5,194)	(3,471)	(999)	(6,795)	(6,877)	(7,013)	(5,249)
Other income	33	(87)	(431)	80	(112)	13	38	(922)	0	0	0	0
Pre-Tax	19,597	17,603	18,518	20,711	19,925	18,525	19,539	19,611	19,375	17,355	16,577	16,759
Tax	(4,033)	(3,606)	(3,866)	(4,500)	(3,942)	(4,611)	(4,073)	(4,329)	(4,069)	(3,645)	(3,481)	(3,519)
MI & EO	(62)	(78)	(81)	(104)	(97)	(97)	(103)	(191)	(150)	(150)	(150)	(150)
Net Profit	15,502	13,920	14,571	16,107	15,886	13,816	15,363	15,090	15,156	13,561	12,946	13,089

Source: Company reports and J.P. Morgan estimates.

Table 53: BBRI: Quarterly DuPont

	1Q23	2Q23	3Q23	4Q23	1Q24	2Q24	3Q24	4Q24	1Q25E	2Q25E	3Q25E	4Q25E
NIM (% of avg. IEA)	7.82%	7.88%	8.45%	8.25%	7.96%	7.57%	7.99%	7.44%	7.46%	7.50%	7.53%	7.46%
IEA/Assets	90.9%	91.7%	92.3%	86.4%	92.7%	92.2%	92.8%	93.7%	93.7%	94.9%	94.5%	94.5%
Margins (% of avg. Assets)	7.11%	7.22%	7.80%	7.12%	7.38%	6.98%	7.42%	6.97%	6.98%	7.12%	7.11%	7.05%
Non-IR contribution	22.1%	23.5%	20.4%	23.0%	22.6%	24.8%	27.1%	29.0%	28.7%	28.2%	27.0%	29.9%
Non-IR/Avg. Assets	2.02%	2.22%	2.00%	2.12%	2.16%	2.30%	2.75%	2.85%	2.81%	2.79%	2.62%	3.00%
Revenue/Assets	9.13%	9.45%	9.80%	9.25%	9.54%	9.28%	10.17%	9.82%	9.79%	9.91%	9.74%	10.05%
Cost/Income	43.7%	50.9%	46.2%	53.0%	41.3%	50.8%	53.6%	55.8%	45.9%	50.4%	51.8%	57.6%
C/Assets	3.99%	4.81%	4.53%	4.90%	3.94%	4.71%	5.46%	5.48%	4.49%	4.99%	5.05%	5.79%
Pre-Provision ROA	5.14%	4.63%	5.27%	4.34%	5.59%	4.57%	4.72%	4.34%	5.30%	4.92%	4.69%	4.26%
LLP/Loans (Gross)	-2.39%	-2.12%	-2.79%	-2.21%	-3.83%	-3.14%	-3.23%	-2.77%	-3.99%	-3.39%	-3.38%	-3.31%
LLP/Loans (Net)	-1.37%	-0.91%	-1.46%	-0.24%	-2.47%	-1.57%	-1.03%	-0.29%	-2.00%	-2.00%	-2.00%	-1.46%
Loan/Assets	62.9%	65.7%	67.1%	65.9%	65.1%	66.7%	68.3%	68.5%	68.8%	69.8%	69.7%	69.4%
Other Income/Assets	-0.03%	-0.16%	-0.24%	0.16%	0.04%	0.22%	-0.04%	-0.17%	0.00%	0.00%	0.00%	0.00%
Operating ROA	4.28%	4.04%	4.29%	4.18%	3.99%	3.52%	4.01%	4.14%	3.93%	3.52%	3.30%	3.25%
Pre-Tax ROA	4.25%	3.88%	4.05%	4.34%	4.03%	3.74%	3.97%	3.97%	3.93%	3.52%	3.30%	3.25%
Tax Rate	-20.6%	-20.5%	-20.9%	-21.7%	-19.8%	-24.9%	-20.8%	-22.1%	-21.0%	-21.0%	-21.0%	-21.0%
ROA	3.36%	3.07%	3.19%	3.38%	3.21%	2.79%	3.12%	3.05%	3.07%	2.75%	2.57%	2.54%
RoRWA	5.69%	5.29%	5.54%	5.99%	5.65%	4.75%	5.30%	5.26%	5.33%	4.74%	4.44%	4.37%
Equity/Assets	15.7%	15.8%	16.4%	16.2%	15.3%	15.1%	16.0%	16.2%	15.6%	15.5%	15.8%	15.6%
ROE	21.4%	19.4%	19.4%	20.9%	21.0%	18.5%	19.5%	18.8%	19.7%	17.8%	16.3%	16.3%

Source: Company reports and J.P. Morgan estimates.

Price Performance



	YTD	1m	3m	12m
Abs	-9.3%	-4.9%	-8.9%	-39.3%
Rel	2.3%	3.1%	1.5%	-24.6%

Company Data

Shares O/S (bn)	152
52-week range (Rp)	6,325-3,360
Market cap (\$ bn)	34.02
Exchange rate	16,485.33
Free float (%)	46.3%
3M ADV (mn)	285.69
3M ADV (\$ mn)	68.0
Volatility (90 Day)	41
Index	JCI
BBG ANR (Buy Hold Sell)	30 6 1

Key Metrics (FYE Dec)

Rp in billions	FY24A	FY25E	FY26E	FY27E
Financial Estimates				
Net interest income	142,057	141,732	151,144	166,250
Non interest income	49,736	56,320	59,294	62,459
Operating expenses	(96,819)	(102,051)	(109,800)	(117,486)
Adj. PPOP	94,975	96,000	100,638	111,223
Provision for loan losses	(17,608)	(25,934)	(26,405)	(30,387)
Adj. PBT	77,599	70,066	74,233	80,836
Adj. net income	60,155	54,752	58,044	63,260
Adj. EPS	396.91	361.26	382.98	417.40
BBG EPS	402.99	395.57	437.68	479.18
DPS	357.22	325.13	344.68	375.66
Loans	1,273,743	1,363,916	1,471,563	1,601,572
Deposits	1,365,450	1,450,602	1,585,771	1,735,956
Total Assets	1,992,983	2,090,786	2,247,599	2,422,271
Margins and Growth				
NIM	7.7%	7.4%	7.3%	7.4%
Ratios				
Loan/ Deposit ratio	93.3%	94.0%	92.8%	92.3%
NPL / Loans	2.8%	2.9%	2.9%	3.0%
Coverage	214.8%	204.1%	210.7%	226.3%
CET 1	25.5%	24.1%	22.8%	21.7%
Non-int. income/ Income	25.9%	28.4%	28.2%	27.3%
Cost/Income	50.5%	51.5%	52.2%	51.4%
LLP/Loans	(1.3%)	(1.9%)	(1.8%)	(1.9%)
ROA	3.0%	2.7%	2.7%	2.7%
ROE	19.1%	17.3%	18.1%	19.1%
Valuation				
Dividend yield	9.7%	8.8%	9.3%	10.2%
Adj. P/E	9.3	10.2	9.7	8.9
P/ BV	1.8	1.8	1.7	1.7

Summary Investment Thesis and Valuation

Investment Thesis

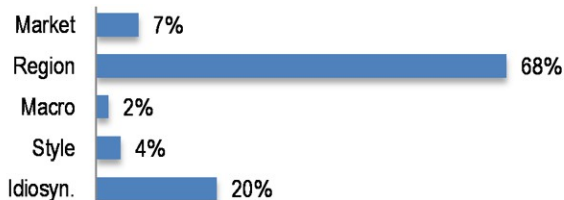
We are downgrading BRI to Neutral.

- Bank Rakyat has deep moats in micro lending business, allowing significant through-the-cycle profitability. Yet, as of now, the bank is going through a phase of asset quality deterioration. This is a function of macro shifts as well as weak underwriting in Kupedes, primarily in 2023. The bank is in process of addressing the issues and cleaning up NPLs. This may take time, yet quite a bit of this risk appears to be priced in.
- The system liquidity is tight, with IDR LDR at 93% (Dec-24). This is weighing on CoF, as well as bank's ability to collect deposits.
- The bank has capital in excess of growth needs. Hence, we expect high payout ratio. This would limit BV compounding but lead to high dividend yield.

Valuation

Our Dec-25 PT of Rp3,900 is based on a DDM-derived fair P/B multiple of 1.53x with a normalized RoE of 19.8%, a risk-free rate of 7.0%, a cost of capital of 15.4% and a terminal growth rate of 7%.

Performance Drivers



Factors	6M Corr	1Y Corr
Market: MSCI Asia Pac ex JP	0.11	0.26
Region: Indonesia	0.87	0.86
Macro:		
HSI Volatility Index	-0.58	-0.41
JP Morgan GBI-EM Global Div	0.36	0.37
US 10 Year Yield	-0.35	-0.27
Quant Styles:		
Size	0.48	0.43
Momentum	0.46	0.36
LowVol	0.46	0.28

Investment Thesis, Valuation and Risks

Bank Rakyat Indonesia (Neutral; Price Target: Rp3,900)

Investment Thesis

We are downgrading BRI to Neutral.

- Bank Rakyat has deep moats in micro lending business, allowing significant through-the-cycle profitability. Yet, as of now, the bank is going through a phase of asset quality deterioration. This is a function of macro shifts as well as weak underwriting in Kupedes, primarily in 2023. The bank is in process of addressing the issues and cleaning up NPLs.
- To reflect shifts in AQ, the bank is guiding for 300-320bps of gross provisions in 2025 (2024: 327bps). We forecast gross credit costs of 350/320/300bps in 2025-27E. For 2025, the provisions will be front-loaded, as per management (~560/330bps ann. in Jan/Feb-25). This can lead to consistent uncertainty in the very near term. Yet, at current valuations, AQ-led downside appears to be largely reflected in the stock price, with valuations at multi-year lows.
- The system liquidity is tight, with IDR LDR at 93% (Dec-24). This is weighing on CoF, as well as bank's ability to collect deposits.
- We expect BRI to slow loan growth to 7-8% in 2025-26, with Micro loans to grow at 3.5% clip this year. In addition, the shifts in underwriting over the last few years (corp. NPLs down from 5.5% to 2.6% in the last six years, and corp. loans as a % of total book 19% vs. 27% in 2016) should allow the bank to start growing the corporate book in a more meaningful manner. This should be at the cost of lower spreads and NIM. We expect ~32bps y/y NIM compression for BRI in 2025 and a further 8bps in 2026, to 7.42% and 7.34%, respectively.
- The bank has capital in excess of growth needs. Hence, we expect high payout ratio. This would limit BV compounding but lead to high dividend yield.
- We expect negative revisions, with our 2025-27 EPS estimates 9-13% below Street. Management highlighted that profits could decline y/y under a rather difficult operating environment. High delinquencies in legacy loans (restructured and 2023 kupedes micro) could further accelerate negative revisions. To an extent, this appears to be discounted in the stock price moves, and hence a sharp downside could be limited. On the flip side, current valuations of 10.2x/1.77x 2025E PE/PB for 9-10% dividend yields and 17-19% RoE limits a meaningful upside.

Valuation

Our Dec-25 PT of Rp3,900 is based on a DDM-derived fair P/B multiple of 1.53x with a normalized RoE of 19.8%, a risk-free rate of 7.0%, a cost of capital of 15.4% and a terminal growth rate of 7%.

Risks to Rating and Price Target

Downside risks to our rating and price target include: 1) higher-than-expected loss for loans at risk, especially in the micro, SME and consumer book; 2) tighter liquidity conditions, which could lead to higher CoF and slower loan growth; and 3) higher growth in the non-Micro business at the bank.

Key upside risks to our view include: 1) lower-than-expected NPL formation and credit costs; and 2) the ability to defend NIMs (or potentially expand), which can lead to sharp positive revisions.

Bank Rakyat Indonesia: Summary of Financials

Income Statement						Balance Sheet					
	FY23A	FY24A	FY25E	FY26E	FY27E		FY23A	FY24A	FY25E	FY26E	FY27E
Interest income	178,996	199,266	201,880	215,291	233,229	Cash and cash equivalents	0	0	0	0	0
Interest expense	(43,813)	(57,209)	(60,148)	(64,147)	(66,978)	Deposits with banks	221,039	202,116	215,036	245,334	270,307
Net interest income	135,183	142,057	141,732	151,144	166,250	Net loans	1,185,411	1,273,743	1,363,916	1,471,563	1,601,572
Non interest income	38,625	49,736	56,320	59,294	62,459	PP&E	59,755	62,598	65,109	67,712	70,419
o/w Fee income	20,738	20,475	22,523	24,324	26,270	Net intangibles	0	0	0	0	0
o/w Trading income	2,593	3,779	4,493	4,493	4,493	LT investments	429,651	401,490	389,445	401,129	413,162
Net revenues	173,808	191,794	198,052	210,438	228,709	Other assets	69,151	53,036	57,279	61,862	66,810
Non interest expense	(84,283)	(96,819)	(102,051)	(109,800)	(117,486)	Total assets	1,965,007	1,992,983	2,090,786	2,247,599	2,422,271
o/w Employee costs	0	0	0	0	0	Interest earning assets	1,917,119	1,958,247	2,053,555	2,215,097	2,399,952
Pre-Prov. Profits	89,525	94,975	96,000	100,638	111,223	Deposits	1,358,329	1,365,450	1,450,602	1,585,771	1,735,956
Provisions	(11,917)	(17,608)	(25,934)	(26,405)	(30,387)	Borrowings	191,232	212,332	218,849	225,874	233,137
Adj. PBT	76,430	77,599	70,066	74,233	80,836	Other liabilities	98,974	92,013	97,533	103,385	109,588
Income taxes	(16,005)	(16,955)	(14,714)	(15,589)	(16,976)	Total liabilities	1,648,535	1,669,794	1,766,984	1,915,030	2,078,682
Minority interest	(325)	(489)	(600)	(600)	(600)	Shareholder equity	311,364	317,094	317,107	325,274	335,694
Adj. Net profit	60,100	60,155	54,752	58,044	63,260	Minority interests	5,109	6,095	6,695	7,295	7,895
PPOP per share	590.69	626.65	633.42	664.02	733.86	Total liabilities and Shareholder equity	1,965,007	1,992,983	2,090,786	2,247,599	2,422,271
Reported EPS	396.54	396.91	361.26	382.98	417.40	Interest bearing liabilities	1,549,561	1,577,782	1,669,451	1,811,645	1,969,093
Adj. EPS	396.54	396.91	361.26	382.98	417.40	Book Value Per Share	2,054.40	2,092.21	2,092.30	2,146.18	2,214.94
DPS	319.00	357.22	325.13	344.68	375.66	Tangible Book Value Per Share	2,054.40	2,092.21	2,092.30	2,146.18	2,214.94
Diluted shares outstanding	152	152	152	152	152	Asset Quality/Capital	FY23A	FY24A	FY25E	FY26E	FY27E
Balance Sheet Gearing	FY23A	FY24A	FY25E	FY26E	FY27E	Loan loss reserves/Loans	(6.4%)	(6.0%)	(5.9%)	(6.2%)	(6.7%)
Loans/Deposits	87.3%	93.3%	94.0%	92.8%	92.3%	NPLs/Loans	3.0%	2.8%	2.9%	2.9%	3.0%
Investment/Assets	22.4%	21.0%	19.4%	18.2%	17.4%	Loan loss reserves/NPLs	251.8%	215.8%	209.2%	207.6%	218.9%
Loan/Assets	62.8%	66.2%	68.7%	69.6%	70.3%	NPL y/y growth	22.8%	0.8%	10.8%	10.4%	10.2%
Customer deposits/Liabilities	82.4%	81.8%	82.1%	82.8%	83.5%	Tier 1 ratio	26.1%	25.5%	24.1%	22.8%	21.7%
LT debt/Liabilities	11.3%	12.2%	12.5%	12.1%	11.5%	CAR	27.3%	26.6%	25.1%	23.8%	22.6%
Ratio Analysis (%)	FY23A	FY24A	FY25E	FY26E	FY27E	Ratio Analysis (%)	FY23A	FY24A	FY25E	FY26E	FY27E
Net interest margin	7.9%	7.7%	7.4%	7.3%	7.4%	Return on equity (ROE)	19.7%	19.1%	17.3%	18.1%	19.1%
Non interest income/Net revenue	22.2%	25.9%	28.4%	28.2%	27.3%	Return on assets (ROA)	3.1%	3.0%	2.7%	2.7%	2.7%
Non interest income/Avg. Assets	2.0%	2.5%	2.8%	2.7%	2.7%	Operating ROA	4.1%	3.9%	3.4%	3.4%	3.5%
Efficiency ratio	48.5%	50.5%	51.5%	52.2%	51.4%	Pre-Tax ROA	4.0%	3.9%	3.4%	3.4%	3.5%
Leverage ratio	14.8%	14.7%	14.3%	13.8%	13.3%	Pre-Provision ROA	4.7%	4.8%	4.7%	4.6%	4.8%
Revenue/Assets	9.1%	9.7%	9.7%	9.7%	9.8%	Tax rate	20.9%	21.8%	21.0%	21.0%	21.0%
RORWA	5.5%	5.4%	4.7%	4.6%	4.6%	Net loans y/y growth	13.0%	7.5%	7.1%	7.9%	8.8%
RWA	1,086,958	1,141,386	1,212,656	1,314,845	1,429,140	Assets y/y growth	5.3%	1.4%	4.9%	7.5%	7.8%
Avg. RWA	1,101,604	1,114,172	1,177,021	1,263,751	1,371,993	RWA y/y growth	(2.6%)	5.0%	6.2%	8.4%	8.7%
Avg. IEA	1,700,485	1,834,877	1,909,807	2,060,041	2,231,955	Deposits y/y growth	3.9%	0.5%	6.2%	9.3%	9.5%
Gross Loans	1,266,429	1,354,641	1,449,075	1,568,635	1,716,482	Net interest income y/y growth	8.5%	5.1%	(0.2%)	6.6%	10.0%
Avg. IBL	1,514,162	1,563,671	1,623,616	1,740,548	1,890,369	Revenues y/y growth	8.0%	10.3%	3.3%	6.3%	8.7%
LLR	(81,018)	(80,898)	(85,158)	(97,072)	(114,911)	Adj. EPS y/y growth	17.5%	0.1%	(9.0%)	6.0%	9.0%
NPLs	37,360	37,659	41,723	46,070	50,776	BVPS y/y growth	4.0%	1.8%	0.0%	2.6%	3.2%
P/BV (x)	1.8	1.8	1.8	1.7	1.7	IE assets/Assets	88.8%	92.7%	93.5%	95.0%	95.6%
Adj. P/E (x)	9.3	9.3	10.2	9.7	8.9	Margins (as % of Avg. Assets)	6.4%	6.8%	6.6%	6.7%	6.9%
Dividend yield	8.6%	9.7%	8.8%	9.3%	10.2%	LLP/Loans	(1.0%)	(1.3%)	(1.9%)	(1.8%)	(1.9%)
Dividend payout	80.4%	90.0%	90.0%	90.0%	90.0%	Equity/Assets	15.9%	15.9%	15.5%	14.8%	14.2%
						Cost/Assets	4.4%	4.9%	5.0%	5.1%	5.0%
						Assets/Equity	6.3	6.3	6.4	6.8	7.1

Source: Company reports and J.P. Morgan estimates.

Note: Rp in billions (except per-share data). Fiscal year ends Dec

▼ Underweight

Previous: Neutral

BMRI.JK, BMRI IJ

Price (21 Mar 25):Rp4,410

▼ **Price Target (Dec-25):Rp3,700**

Prior (Dec-25):Rp5,100

APAC Banks

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J.P. Morgan Securities (Asia Pacific) Limited/ J.P.
Morgan Broking (Hong Kong) Limited

Key Changes (FYE Dec)

	Prev	Cur
Adj. EPS - 25E (Rp)	598.83	552.37
Adj. EPS - 26E (Rp)	623.77	575.80

Quarterly Forecasts (FYE Dec)

Adj. EPS (Rp)	2024A	2025E	2026E
Q1	136.09	149.41	
Q2	148.38	147.96	
Q3	165.71	136.39	
Q4	147.49	118.61	
FY	597.67	552.37	575.80

Style Exposure

Quant Factors	Current	Hist %Rank (1=Top)			
	%Rank	6M	1Y	3Y	5Y
Value	26	29	31	14	28
Growth	31	20	22	31	18
Momentum	87	33	18	26	24
Quality	26	4	12	20	14
Low Vol	31	16	14	14	16
ESGQ	10	2	25	24	90

PT Bank Mandiri Tbk.

PPoP risks broadly reflected; AQ risks to drive next leg of negative revisions; downgrade to UW

The stock has had 6% negative revisions in last 3 months, led by loan growth and NIM concerns, while AQ expectations are largely steady. The bank delivered 19/17% corporate/total loan cagr in last 3 years. We expect that a combination of slowdown in system credit growth, public and private spending as well as tight liquidity is likely to result in AQ issues. We accordingly lower our 2025-27 EPS estimates by 8-9%, driven by higher NPLs and credit costs. We also reflect higher macro risks in Indonesia through 7% ERP (up from 6%), which along with EPS changes is driving lower Dec-24 PT of Rp3,700. Downgrade to UW.

Valuation

Table 54: BMRI: Valuation

	Net Income (Rp bn)	EPS (Rp)	P/E (x)	BVPS (Rp)	P/B (x)	Dividend (Rp)	Div Yld (%)	RoA (%)	RoRWA (%)	RoE (%)
2021	27,728	297	14.8	2,193	2.01	180	4.1%	1.76%	2.77%	14.1%
2022	41,171	441	10.0	2,461	1.79	265	6.0%	2.21%	3.63%	19.0%
2023	55,060	590	7.5	2,795	1.58	354	8.0%	2.64%	4.50%	22.4%
2024	55,783	598	7.4	3,041	1.45	359	8.1%	2.42%	4.12%	20.5%
2025E	51,554	552	8.0	3,176	1.39	331	7.5%	2.04%	3.38%	17.8%
2026E	53,741	576	7.7	3,360	1.31	345	7.8%	1.97%	3.24%	17.6%
2027E	60,410	647	6.8	3,601	1.22	388	8.8%	2.05%	3.33%	18.6%

Price (Rp)	4,410	Number of shares (mn)	93,333	Market Cap (Rp bn)	411,600
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Normalised RoE		PB based Valuation		PE based Valuation	
NIM (on avg. assets)	4.33%	Risk-free rate	7.0%	Fair PE	6.1x
Non-IR/revenues	26.3%	Cost of capital	16.8%	12m Rolling EPS	Rp 558
Cost/income	40.1%	Long term growth	6.0%	PE based current Fair Value	Rp 3,958
Operating RoA	3.53%	Fair PB	1.06x	Implied Value of Growth	
LLP/Loans	-1.10%	PV of Terminal Value	Rp 2,923	12m Rolling EPS	Rp 558
Net RoAA	2.01%	PV of Dividends	Rp 294	Capitalized Value (Rp)	Rp 3,319
Equity/Assets	11.5%	PV of today's Fair Value	Rp 3,216	Value of Growth (Rp)	Rp 1,091
Normalised RoE	17.5%	PB based Dec-25 Fair Value	Rp 3,757	Attributable to Growth	24.7%

Source: J.P. Morgan estimates, Bloomberg Finance L.P.

Annual forecasts

Table 55: BMRI: Annual P&L

Rp in Billion	2013	2014	2015	2016	2017	2018	2019	2020	2021	2022	2023	2024	2025E	2026E	2027E
Interest Income	50,209	62,638	71,570	76,710	79,502	80,993	91,525	87,321	97,749	112,382	132,544	151,236	169,928	181,770	195,989
Interest Expense	(16,399)	(23,506)	(26,207)	(24,885)	(27,174)	(26,370)	(32,085)	(30,813)	(24,687)	(24,479)	(36,658)	(49,479)	(59,950)	(64,903)	(67,633)
Net Interest Income	33,809	39,132	45,363	51,825	52,327	54,623	59,440	56,508	73,062	87,903	95,887	101,757	109,978	116,867	128,356
Non-Interest Income	14,056	15,063	18,734	19,513	22,116	26,153	24,553	25,234	29,480	31,444	32,744	38,144	39,631	42,162	45,164
Net Fee income	11,332	11,853	13,187	14,132	14,988	15,936	16,276	14,740	17,473	21,549	22,619	26,156	27,987	29,946	32,342
Trading income	1,673	1,969	2,495	3,027	3,950	4,256	4,644	6,371	7,120	4,281	3,400	4,571	4,376	4,729	5,111
Other operating income	1,052	1,242	3,052	2,355	3,178	5,961	3,633	4,124	4,887	5,614	6,725	7,416	7,268	7,486	7,711
Total Revenues	47,866	54,196	64,097	71,339	74,443	80,776	83,993	81,743	102,542	119,347	128,630	139,901	149,609	159,029	173,520
Costs	(22,553)	(25,233)	(28,776)	(31,054)	(35,092)	(37,760)	(40,279)	(41,010)	(49,539)	(53,673)	(53,889)	(58,849)	(59,503)	(64,266)	(69,412)
PPOP	25,313	28,962	35,321	40,284	39,351	43,016	43,714	40,733	53,003	65,674	74,741	81,052	90,106	94,763	104,108
Loan loss provisions (Gross)	(4,602)	(5,235)	(11,299)	(24,129)	(15,580)	(13,875)	(11,684)	(21,141)	(20,677)	(16,192)	(11,076)	(12,144)	(26,099)	(28,587)	(31,314)
Loan loss provisions (Net)	(1,526)	(2,549)	(8,260)	(20,936)	(11,843)	(8,805)	(6,936)	(17,455)	(15,974)	(9,857)	(942)	(5,359)	(18,899)	(20,701)	(21,596)
Other provisions	(236)	(435)	(721)	(736)	(338)	(305)	(326)	(1,442)	1,412	351	842	366	-	-	-
Other income	510	30	30	(40)	(13)	38	(10)	122	(82)	210	43	344	-	-	-
Pre-Tax	24,062	26,008	26,369	18,573	27,157	33,943	36,441	21,958	38,358	56,378	74,685	76,403	71,207	74,062	82,513
Tax	(5,232)	(5,353)	(5,217)	(3,923)	(5,714)	(8,091)	(7,986)	(5,317)	(8,107)	(11,425)	(14,633)	(15,238)	(14,170)	(14,738)	(16,420)
MI & EO	(626)	(783)	(817)	(844)	(803)	(837)	(973)	(526)	(2,523)	(3,782)	(4,992)	(5,382)	(5,482)	(5,582)	(5,682)
Net Profit	18,204	19,872	20,335	13,807	20,640	25,015	27,482	16,114	27,728	41,171	55,060	55,783	51,554	53,741	60,410

Source: Company reports and J.P. Morgan estimates.

Table 56: BMRI: Annual DuPont

	2013	2014	2015	2016	2017	2018	2019	2020	2021	2022	2023	2024	2025E	2026E	2027E
NIM (% of avg. IEA)	5.68%	5.94%	5.90%	6.29%	5.63%	5.52%	5.46%	4.65%	5.09%	5.47%	5.48%	5.15%	5.02%	4.92%	4.97%
IEA/Assets	87.0%	82.9%	87.1%	84.5%	85.9%	85.0%	86.4%	88.5%	91.1%	86.4%	83.9%	85.9%	86.9%	87.2%	87.5%
Margins (% of avg. Assets)	4.94%	4.93%	5.14%	5.32%	4.84%	4.69%	4.72%	4.11%	4.63%	4.73%	4.60%	4.42%	4.36%	4.29%	4.35%
Non-IR contribution	29.4%	27.8%	29.2%	27.4%	29.7%	32.4%	29.2%	30.9%	28.7%	26.3%	25.5%	27.3%	26.5%	26.5%	26.0%
Non-IR/Avg. Assets	2.05%	1.90%	2.12%	2.00%	2.04%	2.25%	1.95%	1.84%	1.87%	1.69%	1.57%	1.66%	1.57%	1.55%	1.53%
Revenue/Assets	6.99%	6.83%	7.26%	7.32%	6.88%	6.94%	6.66%	5.95%	6.50%	6.42%	6.17%	6.08%	5.93%	5.84%	5.88%
Cost/Income	47.1%	46.6%	44.9%	43.5%	47.1%	46.7%	48.0%	50.2%	48.3%	45.0%	41.9%	42.1%	39.8%	40.4%	40.0%
C/Assets	3.30%	3.18%	3.26%	3.19%	3.24%	3.25%	3.20%	2.99%	3.14%	2.89%	2.59%	2.56%	2.36%	2.36%	2.35%
Pre-Provision ROA	3.70%	3.65%	4.00%	4.13%	3.64%	3.70%	3.47%	2.97%	3.36%	3.53%	3.59%	3.52%	3.57%	3.48%	3.53%
LLP/Loans (Gross)	-1.07%	-1.05%	-2.01%	-3.84%	-2.24%	-1.79%	-1.35%	-2.35%	-2.13%	-1.44%	-0.85%	-0.79%	-1.50%	-1.52%	-1.52%
LLP/Loans (Net)	-0.35%	-0.51%	-1.47%	-3.33%	-1.70%	-1.14%	-0.80%	-1.94%	-1.64%	-0.88%	-0.07%	-0.35%	-1.09%	-1.10%	-1.05%
Loan/Assets	62.9%	63.0%	63.7%	64.5%	64.3%	66.6%	68.5%	65.5%	61.6%	60.6%	62.4%	66.7%	68.8%	69.2%	70.0%
Other Income/Assets	0.04%	-0.05%	-0.08%	-0.08%	-0.03%	-0.02%	-0.03%	-0.10%	0.08%	0.03%	0.04%	0.03%	0.00%	0.00%	0.00%
Operating ROA	3.52%	3.28%	2.99%	1.91%	2.51%	2.92%	2.89%	1.60%	2.43%	3.03%	3.58%	3.32%	2.82%	2.72%	2.80%
Pre-Tax ROA	3.52%	3.28%	2.99%	1.91%	2.51%	2.92%	2.89%	1.60%	2.43%	3.03%	3.58%	3.32%	2.82%	2.72%	2.80%
Tax Rate	-21.7%	-20.6%	-19.8%	-21.1%	-21.0%	-23.8%	-21.9%	-24.2%	-21.1%	-20.3%	-19.6%	-19.9%	-19.9%	-19.9%	-19.9%
ROA	2.66%	2.50%	2.30%	1.42%	1.91%	2.15%	2.18%	1.25%	1.78%	2.21%	2.64%	2.42%	2.04%	1.97%	2.05%
RoRWA	3.67%	3.55%	3.34%	2.03%	2.75%	2.99%	2.94%	1.78%	2.80%	3.63%	4.50%	4.12%	3.38%	3.24%	3.33%
Equity/Assets	11.8%	12.0%	12.4%	13.7%	14.7%	15.0%	15.3%	14.3%	12.5%	11.7%	11.8%	11.8%	11.5%	11.2%	11.0%
ROE	22.5%	20.9%	18.5%	10.3%	13.0%	14.4%	14.2%	8.2%	14.1%	19.0%	22.4%	20.5%	17.8%	17.6%	18.6%

Source: Company reports and J.P. Morgan estimates.

Quarterly forecasts

Table 57: BMRI: Quarterly P&L

Rp in Billion	1Q23	2Q23	3Q23	4Q23	1Q24	2Q24	3Q24	4Q24	1Q25E	2Q25E	3Q25E	4Q25E
Interest Income	31,391	32,800	33,817	34,536	35,535	36,689	38,413	40,600	41,374	41,833	42,876	43,844
Interest Expense	(8,382)	(8,502)	(9,261)	(10,513)	(11,349)	(11,793)	(12,891)	(13,446)	(14,511)	(14,792)	(15,113)	(15,534)
Net Interest Income	23,009	24,298	24,556	24,023	24,186	24,895	25,522	27,154	26,863	27,042	27,764	28,309
Non-Interest Income	7,576	7,660	8,105	9,404	8,654	8,864	9,644	10,982	9,798	9,760	9,813	10,260
Net Fee income	5,167	5,199	5,767	6,486	5,678	6,198	6,302	7,978	6,782	6,782	7,053	7,371
Trading income	877	824	859	840	1,267	965	1,299	1,039	1,150	1,150	950	1,126
Other operating income	1,531	1,637	1,478	2,078	1,709	1,701	2,043	1,964	1,866	1,828	1,810	1,764
Total Revenues	30,585	31,958	32,661	33,427	32,840	33,759	35,166	38,136	36,661	36,802	37,577	38,570
Costs	(12,358)	(12,342)	(13,907)	(15,281)	(13,137)	(12,973)	(13,867)	(18,872)	(14,074)	(14,296)	(14,744)	(16,388)
PPOP	18,226	19,616	18,754	18,146	19,703	20,786	21,299	19,264	22,586	22,506	22,833	22,181
Loan loss provisions (Gross)	(3,548)	(3,799)	(1,675)	(2,054)	(3,735)	(3,412)	(2,565)	(2,431)	(5,170)	(5,255)	(7,111)	(8,564)
Loan loss provisions (Net)	(876)	(2,338)	(130)	2,402	(2,241)	(1,876)	(605)	(636)	(3,502)	(3,560)	(5,203)	(6,634)
Other provisions	(109)	(101)	160	893	144	91	26	105	-	-	-	-
Other income	15	7	(11)	33	(3)	2	19	325	-	-	-	-
Pre-Tax	17,256	17,183	18,772	21,473	17,603	19,003	20,739	19,059	19,084	18,946	17,629	15,547
Tax	(3,395)	(3,340)	(3,705)	(4,192)	(3,481)	(3,853)	(3,927)	(3,977)	(3,798)	(3,770)	(3,508)	(3,094)
MI & EO	(1,300)	(1,171)	(1,236)	(1,284)	(1,419)	(1,301)	(1,346)	(1,316)	(1,341)	(1,366)	(1,391)	(1,383)
Net Profit	12,560	12,672	13,832	15,997	12,702	13,848	15,467	13,765	13,945	13,809	12,730	11,070

Source: Company reports and J.P. Morgan estimates.

Table 58: BMRI: Quarterly DuPont

	1Q23	2Q23	3Q23	4Q23	1Q24	2Q24	3Q24	4Q24	1Q25E	2Q25E	3Q25E	4Q25E
NIM (% of avg. IEA)	5.40%	5.72%	5.65%	5.15%	5.07%	5.11%	5.15%	5.27%	4.96%	4.89%	4.88%	4.89%
IEA/Assets	87.4%	87.7%	87.6%	89.2%	88.0%	88.2%	86.5%	86.7%	88.3%	88.4%	88.8%	88.8%
Margins (% of avg. Assets)	4.72%	5.02%	4.95%	4.60%	4.46%	4.50%	4.46%	4.57%	4.38%	4.32%	4.34%	4.35%
Non-IR contribution	24.8%	24.0%	24.8%	28.1%	26.4%	26.3%	27.4%	28.8%	26.7%	26.5%	26.1%	26.6%
Non-IR/Avg. Assets	1.55%	1.58%	1.63%	1.80%	1.60%	1.60%	1.68%	1.85%	1.60%	1.56%	1.53%	1.58%
Revenue/Assets	6.27%	6.60%	6.58%	6.40%	6.06%	6.11%	6.14%	6.42%	5.98%	5.88%	5.87%	5.92%
Cost/Income	40.4%	38.6%	42.6%	45.7%	40.0%	38.4%	39.4%	49.5%	38.4%	38.8%	39.2%	42.5%
C/Assets	2.53%	2.55%	2.80%	2.92%	2.42%	2.35%	2.42%	3.18%	2.30%	2.29%	2.30%	2.52%
Pre-Provision ROA	3.74%	4.05%	3.78%	3.47%	3.63%	3.76%	3.72%	3.24%	3.68%	3.60%	3.57%	3.41%
LLP/Loans (Gross)	-1.18%	-1.23%	-0.52%	-0.61%	-1.05%	-0.92%	-0.66%	-0.60%	-1.24%	-1.25%	-1.66%	-1.94%
LLP/Loans (Net)	-0.29%	-0.75%	-0.04%	0.71%	-0.63%	-0.51%	-0.16%	-0.16%	-0.84%	-0.85%	-1.21%	-1.50%
Loan/Assets	61.7%	64.0%	65.2%	64.9%	65.3%	67.1%	68.1%	68.6%	68.1%	67.2%	67.0%	67.8%
Other Income/Assets	-0.02%	-0.02%	0.03%	0.18%	0.03%	0.02%	0.01%	0.07%	0.00%	0.00%	0.00%	0.00%
Operating ROA	3.56%	3.57%	3.75%	3.93%	3.22%	3.42%	3.61%	3.14%	3.11%	3.03%	2.75%	2.39%
Pre-Tax ROA	3.54%	3.55%	3.78%	4.11%	3.25%	3.44%	3.62%	3.21%	3.11%	3.03%	2.75%	2.39%
Tax Rate	-19.7%	-19.4%	-19.7%	-19.5%	-19.8%	-20.3%	-18.9%	-20.9%	-19.9%	-19.9%	-19.9%	-19.9%
Equity/Assets	11.5%	11.6%	11.9%	12.1%	11.6%	11.2%	11.5%	11.7%	11.9%	12.2%	12.4%	11.9%
ROE	22.5%	22.6%	23.3%	25.4%	20.3%	22.4%	23.5%	19.8%	19.2%	18.1%	16.0%	14.3%

Source: Company reports and J.P. Morgan estimates.

Price Performance



	YTD	1m	3m	12m
Abs	-22.6%	-13.1%	-22.3%	-37.4%
Rel	-11.0%	-5.1%	-11.9%	-22.7%

Company Data

Shares O/S (bn)	93
52-week range (Rp)	7,550-4,300
Market cap (\$ bn)	24.97
Exchange rate	16,485.33
Free float (%)	39.1%
3M ADV (mn)	172.89
3M ADV (\$ mn)	54.2
Volatility (90 Day)	41
Index	JCI
BBG ANR (Buy Hold Sell)	33 4 0

Key Metrics (FYE Dec)

Rp in billions	FY24A	FY25E	FY26E	FY27E
Financial Estimates				
Net interest income	101,757	109,978	116,867	128,356
Non interest income	38,144	39,631	42,162	45,164
Operating expenses	(58,849)	(59,503)	(64,266)	(69,412)
Adj. PPOP	81,052	90,106	94,763	104,108
Provision for loan losses	(5,359)	(18,899)	(20,701)	(21,596)
Adj. PBT	76,403	71,207	74,062	82,513
Adj. net income	55,783	51,554	53,741	60,410
Adj. EPS	597.67	552.37	575.80	647.25
BBG EPS	607.02	619.73	668.97	779.30
DPS	358.60	331.42	345.48	388.35
Loans	1,620,155	1,737,860	1,896,611	2,070,623
Deposits	1,698,897	1,852,631	2,023,521	2,210,350
Total Assets	2,427,223	2,616,078	2,831,893	3,070,151
Margins and Growth				
NIM	5.1%	5.0%	4.9%	5.0%
Ratios				
Loan/ Deposit ratio	95.4%	93.8%	93.7%	93.7%
NPL / Loans	1.1%	1.3%	1.7%	1.8%
Coverage	269.3%	261.8%	228.9%	230.2%
CET 1	-	-	-	-
Non-int. income/ Income	27.3%	26.5%	26.5%	26.0%
Cost/Income	42.1%	39.8%	40.4%	40.0%
LLP/Loans	(0.3%)	(1.1%)	(1.1%)	(1.0%)
ROA	2.4%	2.0%	2.0%	2.0%
ROE	20.5%	17.8%	17.6%	18.6%
Valuation				
Dividend yield	8.1%	7.5%	7.8%	8.8%
Adj. P/E	7.4	8.0	7.7	6.8
P/ BV	1.5	1.4	1.3	1.2

Summary Investment Thesis and Valuation

Investment Thesis

We are downgrading Bank Mandiri to UW.

- BMRI is the largest universal bank in the country, and hence is susceptible to shifts in growth, liquidity and asset quality trends in the sector.
- The stock has had negative revisions in last 3 months, led by loan growth and margins with expectations of stable AQ. Our 2025-27 EPS estimates are 11-17% below Street, which factors in AQ issues, reflected in higher NPLs and credit costs. Accordingly, we expect negative revisions to drive the stock lower from current levels of 8.0x/1.39x '25 PE/PB.
- Despite BMRI's strong payment platform, tight liquidity and deposit pricing pressures are key challenges (Dec-24 Rp LDR at 93% for the system). We expect bank to deliver faster-than-industry deposit growth, but that would come at relatively higher cost vs. last couple of years.

Valuation

Our Dec-25 PT of Rp3,700 is based on a DDM-derived fair P/B multiple of 1.06x with a normalized RoE of 17.5%, a risk-free rate of 7.0%, a cost of capital of 16.8% and a terminal growth rate of 6%.

Performance Drivers



Factors	6M Corr	1Y Corr
Market: MSCI Asia Pac ex JP	0.11	0.21
Region: Indonesia	0.83	0.73
Macro:		
HSI Volatility Index	-0.41	-0.31
JP Morgan GBI-EM Global Div	0.26	0.23
Markit EM Composite PMI SA	-0.07	-0.19
Quant Styles:		
LowVol	0.45	0.38
Size	0.27	0.25
DivYld	0.19	0.21

Investment Thesis, Valuation and Risks

PT Bank Mandiri Tbk. (Underweight; Price Target: Rp3,700)

Investment Thesis

We are downgrading Bank Mandiri to UW.

- BMRI is the largest universal bank in the country, and hence is susceptible to shifts in growth, liquidity and asset quality trends in the sector.
- The stock has had negative revisions in last 3 months, led by loan growth and margins with expectations of stable AQ. Our 2025-27 EPS estimates are 11-17% below Street, which factors in AQ issues, reflected in higher NPLs and credit costs. Accordingly, we expect negative revisions to drive the stock lower from current levels of 8.0x/1.39x '25 PE/PB.
- Despite BMRI's strong payment platform, tight liquidity and deposit pricing pressures are key challenges (Dec-24 Rp LDR at 93% for the system). We expect bank to deliver faster-than-industry deposit growth, but that would come at relatively higher cost vs. last couple of years.
- We expect NIM to compress 13bps this year to 5.02% and another 10bps next year to 4.92%.
- Asset quality is stable for now, but a slowdown in credit growth, public and private spending as well as money supply is likely to increase cash flow stresses across borrowers. This is likely to result in AQ issues at the bank, with NPLs/credit costs increasing to 1.32%/150bps this year, vs. 1.12%/80bps in 2024. We forecast 2026-27E gross credit costs to stay elevated at ~150bps. This should impact EPS as well as multiples.
- We forecast loan growth to slow to 7.7% this year (vs. 19.5% in 2024) driven by corporate (9% in 2025E vs. 27% in 2024) and commercial (5% in 2025E vs. 23% in 2024) segments.

Valuation

Our Dec-25 PT of Rp3,700 is based on a DDM-derived fair P/B multiple of 1.06x with a normalized RoE of 17.5%, a risk-free rate of 7.0%, a cost of capital of 16.8% and a terminal growth rate of 6%.

Risks to Rating and Price Target

Downside risks to our rating and price target include: 1) higher than expected LAR, especially in micro, SME and consumer book; 2) slower loan growth and 3) tighter liquidity leading to higher CoF and sharper than expected NIM compression.

Upside risks include: 1) a sharp improvement in system liquidity, driving better growth and NIM; and 2) Asset quality staying resilient, with lower credit costs; and 3) a strong recovery in fee growth and trading income, which would pose revenue upside.

PT Bank Mandiri Tbk.: Summary of Financials

Income Statement						Balance Sheet					
	FY23A	FY24A	FY25E	FY26E	FY27E		FY23A	FY24A	FY25E	FY26E	FY27E
Interest income	132,544	151,236	169,928	181,770	195,989	Cash and cash equivalents	0	0	0	0	0
Interest expense	(36,658)	(49,479)	(59,950)	(64,903)	(67,633)	Deposits with banks	245,531	246,710	294,946	315,382	340,688
Net interest income	95,887	101,757	109,978	116,867	128,356	Net loans	1,344,189	1,620,155	1,737,860	1,896,612	2,070,623
Non interest income	32,744	38,144	39,631	42,162	45,164	PP&E	57,987	63,040	67,452	72,173	77,225
o/w Fee income	22,619	26,156	27,987	29,946	32,342	Net intangibles	0	0	0	0	0
o/w Trading income	3,400	4,571	4,376	4,729	5,111	LT investments	442,677	407,789	420,023	445,225	471,938
Net revenues	128,630	139,901	149,609	159,029	173,520	Other assets	83,835	89,529	95,796	102,502	109,677
Non interest expense	(53,889)	(58,849)	(59,503)	(64,266)	(69,412)	Total assets	2,174,219	2,427,223	2,616,078	2,831,893	3,070,151
o/w Employee costs	0	0	0	0	0	Interest earning assets	2,086,279	2,325,046	2,514,921	2,732,124	2,972,193
Pre-Prov. Profits	74,741	81,052	90,106	94,763	104,108	Deposits	1,576,950	1,698,897	1,852,631	2,023,521	2,210,350
Provisions	(942)	(5,359)	(18,899)	(20,701)	(21,596)	Borrowings	219,174	325,217	336,875	353,291	370,512
Adj. PBT	74,685	76,403	71,207	74,062	82,513	Other liabilities	90,600	89,634	95,012	100,713	106,756
Income taxes	(14,633)	(15,238)	(14,170)	(14,738)	(16,420)	Total liabilities	1,886,724	2,113,749	2,284,518	2,477,525	2,687,618
Minority interest	(4,992)	(5,382)	(5,482)	(5,582)	(5,682)	Shareholder equity	260,853	283,796	296,399	313,625	336,108
Adj. Net profit	55,060	55,783	51,554	53,741	60,410	Minority interests	26,642	29,678	35,161	40,743	46,425
PPOP per share	800.80	868.42	965.42	1,015.31	1,115.45	Total liabilities and Shareholder equity	2,174,219	2,427,223	2,616,078	2,831,893	3,070,151
Reported EPS	589.93	597.67	552.37	575.80	647.25	Interest bearing liabilities	1,796,124	2,024,114	2,189,506	2,376,812	2,580,862
Adj. EPS	589.93	597.67	552.37	575.80	647.25	Book Value Per Share	2,794.85	3,040.68	3,175.70	3,360.26	3,601.16
DPS	353.96	358.60	331.42	345.48	388.35	Tangible Book Value Per Share	2,794.85	3,040.68	3,175.70	3,360.26	3,601.16
Diluted shares outstanding	93	93	93	93	93	Asset Quality/Capital	FY23A	FY24A	FY25E	FY26E	FY27E
Loans/Deposits	85.2%	95.4%	93.8%	93.7%	93.7%	Loan loss reserves/Loans	(3.9%)	(3.0%)	(3.4%)	(3.8%)	(4.1%)
Investment/Assets	21.1%	18.5%	16.4%	15.9%	15.5%	NPLs/Loans	1.2%	1.1%	1.3%	1.7%	1.8%
Loan/Assets	62.4%	66.7%	68.8%	69.2%	70.0%	Loan loss reserves/NPLs	300.2%	295.0%	265.1%	242.7%	229.6%
Customer deposits/Liabilities	83.6%	80.4%	81.1%	81.7%	82.2%	NPL y/y growth	(27.9%)	12.5%	26.8%	37.9%	18.1%
LT debt/Liabilities	10.6%	13.6%	15.1%	14.5%	14.0%	Tier 1 ratio	20.8%	19.6%	19.0%	18.4%	17.9%
Ratio Analysis (%)	FY23A	FY24A	FY25E	FY26E	FY27E	CAR	22.0%	20.8%	20.1%	19.4%	18.8%
Net interest margin	5.5%	5.1%	5.0%	4.9%	5.0%	Ratio Analysis (%)	FY23A	FY24A	FY25E	FY26E	FY27E
Non interest income/Net revenue	25.5%	27.3%	26.5%	26.5%	26.0%	Return on equity (ROE)	22.4%	20.5%	17.8%	17.6%	18.6%
Non interest income/Avg. Assets	1.6%	1.7%	1.6%	1.5%	1.5%	Return on assets (ROA)	2.6%	2.4%	2.0%	2.0%	2.0%
Efficiency ratio	41.9%	42.1%	39.8%	40.4%	40.0%	Operating ROA	3.5%	3.3%	2.8%	2.7%	2.8%
Leverage ratio	12.4%	12.5%	12.0%	11.7%	11.5%	Pre-Tax ROA	3.6%	3.3%	2.8%	2.7%	2.8%
Revenue/Assets	6.2%	6.1%	5.9%	5.8%	5.9%	Pre-Provision ROA	3.6%	3.5%	3.6%	3.5%	3.5%
RORWA	4.5%	4.1%	3.4%	3.2%	3.3%	Tax rate	19.6%	19.9%	19.9%	19.9%	19.9%
RWA	1,245,624	1,461,593	1,588,396	1,733,591	1,894,796	Net loans y/y growth	18.2%	20.5%	7.3%	9.1%	9.2%
Avg. RWA	1,224,566	1,353,609	1,524,995	1,660,993	1,814,193	Assets y/y growth	9.1%	11.6%	7.8%	8.2%	8.4%
Avg. IEA	1,748,302	1,976,289	2,190,085	2,374,288	2,581,204	RWA y/y growth	3.5%	17.3%	8.7%	9.1%	9.3%
Gross Loans	1,398,071	1,670,547	1,799,952	1,971,518	2,159,567	Deposits y/y growth	5.8%	7.7%	9.0%	9.2%	9.2%
Avg. IBL	1,725,568	1,910,119	2,106,810	2,283,159	2,478,837	Net interest income y/y growth	9.1%	6.1%	8.1%	6.3%	9.8%
LLR	(53,882)	(50,392)	(62,092)	(74,907)	(88,944)	Revenues y/y growth	7.8%	8.8%	6.9%	6.3%	9.1%
NPLs	16,637	18,710	23,722	32,722	38,636	Adj. EPS y/y growth	33.7%	1.3%	(7.6%)	4.2%	12.4%
P/BV (x)	1.6	1.5	1.4	1.3	1.2	BVPS y/y growth	13.6%	8.8%	4.4%	5.8%	7.2%
Adj. P/E (x)	7.5	7.4	8.0	7.7	6.8	IE assets/Assets	83.9%	85.9%	86.9%	87.2%	87.5%
Dividend yield	8.0%	8.1%	7.5%	7.8%	8.8%	Margins (as % of Avg. Assets)	4.0%	4.0%	3.9%	3.9%	3.9%
Dividend payout	60.0%	60.0%	60.0%	60.0%	60.0%	LLP/Loans	(0.1%)	(0.3%)	(1.1%)	(1.1%)	(1.0%)
						Equity/Assets	11.8%	11.8%	11.5%	11.2%	11.0%
						Cost/Assets	2.6%	2.6%	2.4%	2.4%	2.4%
						Assets/Equity	8.5	8.4	8.7	8.9	9.1

Source: Company reports and J.P. Morgan estimates.

Note: Rp in billions (except per-share data). Fiscal year ends Dec

Neutral

BBCA.JK, BBCA IJ

Price (21 Mar 25):Rp7,900

▼ **Price Target (Dec-25):Rp8,000**

Prior (Dec-25):Rp9,300

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J.P. Morgan Securities (Asia Pacific) Limited/ J.P.
Morgan Broking (Hong Kong) Limited

Quarterly Forecasts (FYE Dec)

Adj. EPS (Rp)	2024A	2025E	2026E
Q1	104.48	112.93	
Q2	113.54	109.77	
Q3	115.17	107.79	
Q4	111.64	106.62	
FY	444.83	437.11	467.76

Style Exposure

Quant Factors	Current	Hist %Rank (1=Top)			
	%Rank	6M	1Y	3Y	5Y
Value	68	70	72	66	95
Growth	18	12	14	33	8
Momentum	54	29	29	31	20
Quality	3	3	3	16	4
Low Vol	4	3	4	6	1
ESGQ	11	13	16	9	3

Bank Central Asia (BCA)

Best-in-class, weighed down by macro as a benchmark stock; stay Neutral

We are lowering our 2025/27 EPS estimates by 1%, while keeping 2026 estimates unchanged. We now forecast higher gross credit costs of 60bps over 2025-27, which is driving negative revisions. We also reflect higher macro risks in Indonesia through 7% ERP (up from 6%), which along with EPS changes is driving our lower Dec-25 PT of Rp8k. Maintain Neutral.

Valuation

Table 59: BBCA: Valuation

	Net Income	EPS	P/E	BVPS	P/B	Dividend	Div Yld	RoA	RoRWA	RoE
	(Rp bn)	(Rp)	(x)	(Rp)	(x)	(Rp)	(%)	(%)	(%)	(%)
2021	31,423	255	31.0	1,644	4.80	145	1.8%	2.73%	4.32%	16.2%
2022	40,736	330	23.9	1,793	4.41	205	2.6%	3.20%	5.16%	19.2%
2023	48,639	395	20.0	1,966	4.02	270	3.4%	3.57%	5.91%	21.0%
2024	54,836	445	17.8	2,131	3.71	300	3.8%	3.84%	6.32%	21.7%
2025E	53,884	437	18.1	2,266	3.49	306	3.9%	3.61%	5.74%	19.9%
2026E	57,663	468	16.9	2,424	3.26	327	4.1%	3.61%	5.72%	19.9%
2027E	63,053	358	22.1	2,603	3.03	358	4.5%	3.67%	5.77%	20.3%
	Price (Rp)	7,900	Number of shares (mn)			123,275	Market Cap (Rp bn)			973,873
Normalised RoE		PB based Valuation					PE based Valuation			
NIM (on avg. assets)	5.76%	Risk-free rate			7.0%	Fair PE			15.7x	
Non-IR/revenues	24.1%	Cost of capital			11.6%	12m Fwd EPS			Rp 444	
Cost/income	36.0%	Long term growth			7.5%	PE based 12M fwd Fair Value			Rp 7,750	
Operating RoA	4.85%	Fair PB			3.21x	Implied Value of Growth				
LLP/Loans	-0.40%	PV of Terminal Value			Rp 6,615	12m Rolling EPS			Rp 444	
Net RoAA	3.69%	PV of Dividends			Rp 551	Capitalized Value (Rp)			Rp 3,843	
Equity/Assets	18.0%	PV of today's Fair Value			Rp 7,165	Value of Growth (Rp)			Rp 4,057	
Normalised RoE	20.5%	PB based Dec-25E Fair Value			Rp 7,993	Attributable to Growth			51.4%	

Source: J.P. Morgan estimates, Bloomberg Finance L.P.

Annual forecasts

Table 60: BBKA: Annual P&L

Rp (in bn)	2013	2014	2015	2016	2017	2018	2019	2020	2021	2022	2023	2024	2025E	2026E	2027E
Interest Income	34,291	43,793	47,105	50,562	53,799	56,812	64,352	65,875	65,980	72,459	87,722	95,051	100,348	106,446	114,625
Interest Expense	(7,852)	(11,745)	(11,213)	(10,347)	(11,941)	(11,476)	(13,528)	(11,329)	(9,509)	(8,315)	(12,353)	(12,532)	(14,580)	(14,659)	(15,123)
Net Interest Income	26,439	32,049	35,892	40,215	41,858	45,336	50,824	54,547	56,471	64,143	75,369	82,519	85,768	91,787	99,502
Non-Interest Income	6,921	8,538	11,405	13,356	14,822	17,419	20,115	19,649	20,719	22,262	22,542	25,005	26,866	29,222	31,797
Net Fee income	6,310	7,290	8,456	9,401	10,386	11,996	13,608	13,161	14,680	16,584	16,653	17,980	19,778	21,756	23,931
Trading income	506	811	2,084	2,210	1,772	2,762	3,110	3,917	2,437	1,134	1,648	2,600	2,442	2,588	2,743
Other operating income	105	437	865	1,746	2,663	2,660	3,396	2,571	3,602	4,545	4,241	4,425	4,646	4,878	5,122
Total Revenues	33,359	40,586	47,297	53,571	56,679	62,755	70,939	74,196	77,189	86,406	97,910	107,523	112,633	121,009	131,299
Costs	(14,631)	(18,313)	(21,718)	(23,379)	(25,190)	(27,652)	(30,742)	(29,337)	(29,434)	(31,851)	(36,675)	(37,271)	(40,626)	(43,876)	(46,947)
PPOP	18,728	22,273	25,578	30,192	31,489	35,103	40,196	44,859	47,756	54,555	61,236	70,252	72,008	77,133	84,352
Loan loss provisions (Gross)	(1,864)	(1,686)	(3,144)	(4,144)	(1,830)	(2,318)	(4,097)	(9,131)	(9,262)	(4,698)	(2,180)	(3,622)	(5,961)	(6,256)	(6,617)
Loan loss provisions (Net)	(1,497)	(1,218)	(2,560)	(3,935)	(1,527)	(2,039)	(3,413)	(8,822)	(8,853)	(4,259)	(973)	(2,768)	(4,967)	(5,394)	(5,908)
Other provisions	(152)	(551)	(361)	(418)	(803)	(359)	(495)	(2,468)	(62)	171	(83)	733	-	-	-
Pre-Tax	17,816	20,741	22,657	25,839	29,159	32,706	36,289	33,569	38,841	50,467	60,180	68,218	67,040	71,740	78,443
Tax	(3,559)	(4,229)	(4,621)	(5,207)	(5,838)	(6,854)	(7,719)	(6,421)	(7,401)	(9,711)	(11,522)	(13,367)	(13,136)	(14,057)	(15,370)
Net Profits	14,254	16,486	18,019	20,606	23,310	25,855	28,565	27,131	31,423	40,736	48,639	54,836	53,884	57,663	63,053

Source: Company reports and J.P. Morgan estimates.

Table 61: BBKA: Annual DuPont

	2013	2014	2015	2016	2017	2018	2019	2020	2021	2022	2023	2024	2025E	2026E	2027E
NIM (% of avg. IEA)	6.18%	6.53%	6.72%	6.81%	6.19%	6.13%	6.24%	5.70%	5.10%	5.34%	5.54%	5.83%	5.78%	5.77%	5.81%
IEA/Assets	91.1%	93.6%	93.1%	92.9%	94.7%	93.9%	93.4%	95.9%	96.1%	94.4%	99.9%	99.0%	99.4%	99.5%	99.6%
Margins (% of avg. Assets)	5.63%	6.11%	6.26%	6.33%	5.87%	5.76%	5.83%	5.47%	4.90%	5.04%	5.54%	5.78%	5.74%	5.75%	5.78%
Non-IR contribution	20.7%	21.0%	24.1%	24.9%	26.1%	27.8%	28.4%	26.5%	26.8%	25.8%	23.0%	23.3%	23.9%	24.1%	24.2%
Non-IR/Avg. Assets	1.47%	1.63%	1.99%	2.10%	2.08%	2.21%	2.31%	1.97%	1.80%	1.75%	1.66%	1.75%	1.80%	1.83%	1.85%
Revenue/Assets	7.10%	7.74%	8.25%	8.43%	7.94%	7.97%	8.14%	7.44%	6.70%	6.80%	7.19%	7.53%	7.54%	7.58%	7.63%
Cost/Income	43.9%	45.1%	45.9%	43.6%	44.4%	44.1%	43.3%	39.5%	38.1%	36.9%	37.5%	34.7%	36.1%	36.3%	35.8%
C/Assets	3.12%	3.49%	3.79%	3.68%	3.53%	3.51%	3.53%	2.94%	2.56%	2.50%	2.69%	2.61%	2.72%	2.75%	2.73%
Pre-Provision ROA	3.99%	4.25%	4.46%	4.75%	4.41%	4.46%	4.61%	4.50%	4.15%	4.29%	4.50%	4.92%	4.82%	4.83%	4.90%
LLP/Loans (Gross)	-0.65%	-0.51%	-0.85%	-1.02%	-0.41%	-0.46%	-0.72%	-1.55%	-1.51%	-0.70%	-0.29%	-0.42%	-0.62%	-0.60%	-0.59%
LLP/Loans (Net)	-0.52%	-0.37%	-0.69%	-0.97%	-0.34%	-0.40%	-0.60%	-1.49%	-1.44%	-0.63%	-0.13%	-0.32%	-0.52%	-0.52%	-0.52%
Loan/Assets	60.8%	63.2%	64.5%	63.7%	62.4%	64.4%	65.1%	59.2%	53.2%	53.0%	55.9%	60.6%	64.1%	64.9%	65.7%
Other Income/Assets	0.12%	-0.06%	-0.06%	-0.07%	-0.11%	-0.05%	-0.06%	-0.25%	-0.01%	0.01%	-0.01%	0.05%	0.00%	0.00%	0.00%
Operating ROA	3.79%	3.96%	3.95%	4.07%	4.09%	4.15%	4.16%	3.37%	3.37%	3.97%	4.42%	4.77%	4.49%	4.49%	4.56%
Pre-Tax ROA	3.79%	3.96%	3.95%	4.07%	4.09%	4.15%	4.16%	3.37%	3.37%	3.97%	4.42%	4.77%	4.49%	4.49%	4.56%
Tax Rate	-20.0%	-20.4%	-20.4%	-20.2%	-20.0%	-21.0%	-21.3%	-19.1%	-19.1%	-19.2%	-19.1%	-19.6%	-19.6%	-19.6%	-19.6%
ROA	3.03%	3.14%	3.14%	3.24%	3.27%	3.28%	3.28%	2.72%	2.73%	3.20%	3.57%	3.84%	3.61%	3.61%	3.67%
RoRWA	4.19%	4.24%	4.03%	4.12%	4.28%	4.23%	4.16%	3.83%	4.32%	5.16%	5.91%	6.32%	5.74%	5.72%	5.77%
Equity/Assets	12.3%	13.5%	14.6%	15.9%	17.1%	18.0%	18.7%	18.0%	16.8%	16.7%	17.0%	17.7%	18.1%	18.1%	18.0%
ROE	24.6%	23.3%	21.6%	20.4%	19.1%	18.3%	17.5%	15.1%	16.2%	19.2%	21.0%	21.7%	19.9%	19.9%	20.3%

Source: Company reports and J.P. Morgan estimates.

Annual forecasts

Table 62: BBCA: Quarterly P&L

Rp (in bn)	1Q22	2Q22	3Q22	4Q22	1Q23	2Q23	3Q23	4Q23	1Q24	2Q24	3Q24	4Q24	1Q25E	2Q25E	3Q25E	4Q25E
Interest Income	16,462	17,288	18,457	20,252	21,106	21,663	22,116	22,836	23,042	23,085	24,309	24,615	24,737	24,884	25,149	25,577
Interest Expense	(1,979)	(1,997)	(2,138)	(2,201)	(2,575)	(3,090)	(3,313)	(3,375)	(3,200)	(2,983)	(3,173)	(3,177)	(3,400)	(3,540)	(3,711)	(3,929)
Net Interest Income	14,483	15,291	16,319	18,051	18,531	18,573	18,803	19,462	19,842	20,103	21,136	21,438	21,337	21,345	21,438	21,648
Non-Interest Income	5,901	5,185	5,392	5,785	6,033	5,588	5,980	4,941	6,343	6,138	6,489	6,035	6,752	6,471	6,593	7,050
Net Fee income	3,977	4,194	4,146	4,267	4,253	4,361	4,647	3,392	4,326	4,424	4,525	4,705	4,752	4,871	4,993	5,162
Trading income	614	(164)	300	383	340	462	346	500	669	735	990	206	600	600	600	642
Other operating income	1,310	1,155	945	1,134	1,440	765	987	1,049	1,348	979	974	1,124	1,400	1,000	1,000	1,246
Total Revenues	20,384	20,475	21,711	23,836	24,564	24,161	24,783	24,402	26,185	26,240	27,625	27,473	28,089	27,815	28,031	28,698
Costs	(7,722)	(7,331)	(8,123)	(8,675)	(9,204)	(8,396)	(9,420)	(9,655)	(9,345)	(8,452)	(9,040)	(10,434)	(9,833)	(9,744)	(10,139)	(10,909)
PPOP	12,662	13,144	13,588	15,161	15,360	15,765	15,362	14,748	16,840	17,788	18,585	17,039	18,256	18,072	17,891	17,789
Loan loss provisions (Gross)	(3,036)	(981)	(50)	(632)	(1,410)	(258)	(540)	27	(946)	(800)	(1,609)	(267)	(1,121)	(1,473)	(1,600)	(1,767)
Loan loss provisions (Net)	(2,926)	(871)	60	(522)	(1,090)	62	(365)	421	(846)	(552)	(1,378)	8	(934)	(1,235)	(1,357)	(1,441)
Other provisions	218	72	(141)	23	(50)	(164)	130	1	(79)	71	416	325	0	0	0	0
Other income	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0
Pre-Tax	9,953	12,345	13,507	14,662	14,220	15,663	15,127	15,170	15,915	17,308	17,624	17,372	17,322	16,836	16,534	16,348
Tax	(1,886)	(2,356)	(2,593)	(2,876)	(2,687)	(2,996)	(2,887)	(2,952)	(3,037)	(3,309)	(3,413)	(3,608)	(3,395)	(3,300)	(3,241)	(3,200)
MI & EO	(3)	(4)	(8)	(4)	(3)	(7)	(10)	1	1	(2)	(13)	(1)	(5)	(5)	(5)	(5)
Net Profits	8,064	9,985	10,905	11,781	11,530	12,660	12,230	12,219	12,879	13,997	14,198	13,762	13,922	13,531	13,288	13,143

Source: Company reports and J.P. Morgan estimates.

Table 63: BBCA: Quarterly DuPont

	1Q22	2Q22	3Q22	4Q22	1Q23	2Q23	3Q23	4Q23	1Q24	2Q24	3Q24	4Q24	1Q25E	2Q25E	3Q25E	4Q25E
NIM (% of avg. IEA)	4.92%	5.04%	5.43%	5.97%	5.59%	5.53%	5.45%	5.58%	5.62%	5.76%	5.96%	5.98%	5.90%	5.79%	5.73%	5.66%
IEA/Assets	94.7%	96.1%	94.2%	92.9%	100.7%	100.4%	100.7%	99.9%	99.1%	97.2%	99.2%	99.5%	99.5%	100.3%	100.2%	100.6%
Margins (% of avg. Assets)	4.66%	4.85%	5.11%	5.55%	5.62%	5.55%	5.49%	5.58%	5.57%	5.60%	5.91%	5.95%	5.87%	5.81%	5.74%	5.70%
Non-IR contribution	29.0%	25.3%	24.8%	24.3%	24.6%	23.1%	24.1%	20.2%	24.2%	23.4%	23.5%	22.0%	24.0%	23.3%	23.5%	24.6%
Non-IR/Avg. Assets	1.90%	1.64%	1.69%	1.78%	1.83%	1.67%	1.75%	1.42%	1.78%	1.71%	1.82%	1.67%	1.86%	1.76%	1.77%	1.85%
Revenue/Assets	6.55%	6.49%	6.80%	7.32%	7.45%	7.22%	7.24%	7.00%	7.34%	7.32%	7.73%	7.62%	7.73%	7.57%	7.51%	7.55%
Cost/Income	37.9%	35.8%	37.4%	36.4%	37.5%	34.7%	38.0%	39.6%	35.7%	32.2%	32.7%	38.0%	35.0%	35.0%	36.2%	38.0%
C/Assets	2.48%	2.32%	2.55%	2.67%	2.79%	2.51%	2.75%	2.77%	2.62%	2.36%	2.53%	2.90%	2.71%	2.65%	2.72%	2.87%
Pre-Provision ROA	4.07%	4.17%	4.26%	4.66%	4.66%	4.71%	4.49%	4.23%	4.72%	4.96%	5.20%	4.73%	5.03%	4.92%	4.79%	4.68%
LLP/Loans (Gross)	-1.91%	-0.60%	-0.03%	-0.36%	-0.79%	-0.14%	-0.29%	0.01%	-0.46%	-0.38%	-0.75%	-0.12%	-0.48%	-0.63%	-0.67%	-0.72%
LLP/Loans (Net)	-1.84%	-0.53%	0.04%	-0.30%	-0.61%	0.03%	-0.19%	0.21%	-0.41%	-0.26%	-0.64%	0.00%	-0.40%	-0.52%	-0.57%	-0.59%
Loan/Assets	51.2%	52.0%	53.2%	53.5%	54.0%	54.1%	54.8%	56.5%	57.7%	58.7%	60.4%	62.4%	63.9%	64.1%	64.3%	64.6%
Other Income/Assets	0.07%	0.02%	-0.04%	0.01%	-0.02%	-0.05%	0.04%	0.00%	-0.02%	0.02%	0.12%	0.09%	0.00%	0.00%	0.00%	0.00%
Operating ROA	3.13%	3.89%	4.28%	4.50%	4.33%	4.73%	4.38%	4.35%	4.49%	4.81%	4.81%	4.73%	4.77%	4.58%	4.43%	4.30%
Pre-Tax ROA	3.20%	3.91%	4.23%	4.51%	4.31%	4.68%	4.42%	4.35%	4.46%	4.83%	4.93%	4.82%	4.77%	4.58%	4.43%	4.30%
Tax Rate	-18.9%	-19.1%	-19.2%	-19.6%	-18.9%	-19.1%	-19.1%	-19.5%	-19.1%	-19.1%	-19.4%	-20.8%	-19.6%	-19.6%	-19.6%	-19.6%
ROA	2.59%	3.16%	3.42%	3.62%	3.50%	3.78%	3.57%	3.50%	3.61%	3.90%	3.97%	3.82%	3.83%	3.68%	3.56%	3.46%
RoRWA	4.20%	5.13%	5.53%	5.82%	5.96%	6.80%	6.27%	6.02%	6.09%	6.44%	6.47%	6.15%	6.10%	5.86%	5.67%	5.51%
Equity/Assets	16.0%	15.8%	16.3%	16.6%	16.4%	16.3%	16.8%	17.1%	16.5%	16.3%	17.4%	18.0%	17.5%	17.2%	17.6%	17.9%
ROE	16.2%	20.1%	21.0%	21.8%	21.3%	23.2%	21.3%	20.4%	21.9%	23.9%	22.9%	21.2%	21.9%	21.4%	20.3%	19.3%

Source: Company reports and J.P. Morgan estimates.

Price Performance



	YTD	1m	3m	12m
Abs	-18.4%	-12.2%	-18.1%	-22.0%
Rel	-6.8%	-4.2%	-7.7%	-7.3%

Company Data

Shares O/S (bn)	123
52-week range (Rp)	10,950-7,900
Market cap (\$ bn)	59.08
Exchange rate	16,485.33
Free float (%)	42.4%
3M ADV (mn)	110.32
3M ADV (\$ mn)	60.6
Volatility (90 Day)	30
Index	JCI
BBG ANR (Buy Hold Sell)	31 4 0

Key Metrics (FYE Dec)

Rp in billions	FY24A	FY25E	FY26E	FY27E
Financial Estimates				
Net interest income	82,519	85,768	91,787	99,502
Non interest income	25,005	26,866	29,222	31,797
Operating expenses	(37,271)	(40,626)	(43,876)	(46,947)
Adj. PPOP	70,252	72,008	77,133	84,352
Provision for loan losses	(2,768)	(4,967)	(5,394)	(5,908)
Adj. PBT	68,218	67,040	71,740	78,443
Adj. net income	54,836	53,884	57,663	63,053
Adj. EPS	444.83	437.11	467.76	511.48
BBG EPS	445.22	476.32	511.31	556.57
DPS	300.00	305.98	327.43	358.04
Loans	888,328	957,004	1,039,206	1,139,107
Deposits	1,133,612	1,200,961	1,292,719	1,391,559
Total Assets	1,449,301	1,538,462	1,656,104	1,784,108
Margins and Growth				
NIM	5.8%	5.8%	5.8%	5.8%
Ratios				
Loan/ Deposit ratio	78.4%	79.7%	80.4%	81.9%
NPL / Loans	1.9%	1.9%	1.9%	1.8%
Coverage	195.4%	196.9%	192.5%	197.1%
CET 1	-	-	-	-
Non-int. income/ Income	23.3%	23.9%	24.1%	24.2%
Cost/Income	34.7%	36.1%	36.3%	35.8%
LLP/Loans	(0.3%)	(0.5%)	(0.5%)	(0.5%)
ROA	3.8%	3.6%	3.6%	3.7%
ROE	21.7%	19.9%	19.9%	20.3%
Valuation				
Dividend yield	3.8%	3.9%	4.1%	4.5%
Adj. P/E	17.8	18.1	16.9	15.4
P/ BV	3.7	3.5	3.3	3.0

Summary Investment Thesis and Valuation

Investment Thesis

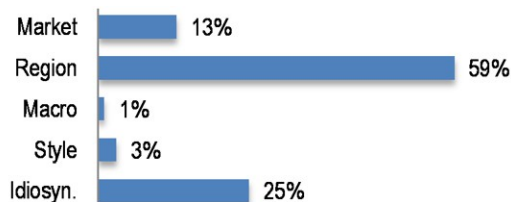
We are Neutral on BCA.

- The bank has one of the best, if not the best, deposit franchise across EM, in our view. This is the key driver of premium valuations for the bank. Yet, re-rating from current level appears tough, with limited EPS revisions.
- Cost growth for the bank has lagged revenue growth in the last five years. This is quite tough going forward, as we expect revenue growth to slow. Accordingly, we do not expect operating leverage to benefit the bottom line in a meaningful manner in 2025/26.
- We expect gross credit costs to increase to ~60bps over 2025-27, resp vs. 29/42bps in 2023/24.
- The institution has made money primarily on the liability side of the balance sheet in the past 20 years. In case rates come off, so will the profitability of the liability franchise, limiting RoE.

Valuation

Our Dec-25 price target of Rp8,000 is based on a two-stage DDM. We use a fair P/BV multiple of 3.21x with a normalized RoE of 20.5%, a risk-free rate of 7.0%, a cost of equity of 11.6% and long-term growth of 7.5%.

Performance Drivers



Factors	6M Corr	1Y Corr
Market: MSCI Asia Pac ex JP	0.19	0.36
Region: Indonesia	0.80	0.82
Macro:		
HSI Volatility Index	-0.49	-0.33
JP Morgan GBI-EM Global Div	0.06	0.24
JPM China A-shares Sentiment	-0.33	-0.19
Quant Styles:		
Size	0.24	0.25
LowVol	0.27	0.12
Momentum	0.19	0.12

Investment Thesis, Valuation and Risks

Bank Central Asia (BCA) *(Neutral; Price Target: Rp8,000)*

Investment Thesis

We are Neutral on BCA.

- The bank has one of the best, if not the best, deposit franchises across EM, in our view. This is the key driver of premium valuations for the bank. Yet, re-rating from current level appears tough, with limited EPS revisions.
- Cost growth for the bank has lagged revenue growth in the last five years. This is quite tough going forward, as we expect revenue growth to slow. Accordingly, we do not expect operating leverage to benefit the bottom line in a meaningful manner in 2025/26.
- We expect gross credit costs to increase to ~60bps over 2025-27, resp vs. 29/42bps in 2023/24.
- The institution has made money primarily on the liability side of the balance sheet in the past 20 years. In case rates come off, so will the profitability of the liability franchise, limiting RoE.

Valuation

Our Dec-25 price target of Rp8,000 is based on a two-stage DDM. We use a fair P/BV multiple of 3.21x with a normalized RoE of 20.5%, a risk-free rate of 7.0%, a cost of equity of 11.6% and long-term growth of 7.5%.

Risks to Rating and Price Target

Upside risks include faster-than-anticipated loan growth, lower provisions, and better-than-expected cost control.

Downside risks include: lower-than-expected NIM, primarily on rate cuts; higher-than-expected credit costs amid slower improvements in LAR, as well as continued tech spend leading to higher CIR.

Bank Central Asia (BCA): Summary of Financials

Income Statement						Balance Sheet					
	FY23A	FY24A	FY25E	FY26E	FY27E		FY23A	FY24A	FY25E	FY26E	FY27E
Interest income	87,722	95,051	100,348	106,446	114,625	Cash and cash equivalents	0	0	0	0	0
Interest expense	(12,353)	(12,532)	(14,580)	(14,659)	(15,123)	Deposits with banks	125,137	85,538	90,441	109,757	121,175
Net interest income	75,369	82,519	85,768	91,787	99,502	Net loans	776,192	888,328	957,004	1,039,206	1,139,107
Non interest income	22,542	25,005	26,866	29,222	31,797	PP&E	26,825	28,251	29,381	30,556	31,778
o/w Fee income	16,653	17,980	19,778	21,756	23,931	Net intangibles	0	0	0	0	0
o/w Trading income	1,648	2,600	2,442	2,588	2,743	LT investments	445,246	412,613	424,991	437,741	450,873
Net revenues	97,910	107,523	112,633	121,009	131,299	Other assets	34,708	34,571	36,645	38,844	41,175
Non interest expense	(36,675)	(37,271)	(40,626)	(43,876)	(46,947)	Total assets	1,408,107	1,449,301	1,538,462	1,656,104	1,784,108
o/w Employee costs	0	0	0	0	0	Interest earning assets	1,359,876	1,414,309	1,484,949	1,589,505	1,713,625
Pre-Prov. Profits	61,236	70,252	72,008	77,133	84,352	Deposits	1,101,673	1,133,612	1,200,961	1,292,719	1,391,559
Provisions	(973)	(2,768)	(4,967)	(5,394)	(5,908)	Borrowings	20,559	12,915	14,755	16,832	19,203
Adj. PBT	60,180	68,218	67,040	71,740	78,443	Other liabilities	43,337	39,939	43,134	47,447	52,192
Income taxes	(11,522)	(13,367)	(13,136)	(14,057)	(15,370)	Total liabilities	1,165,569	1,186,466	1,258,850	1,356,998	1,462,954
Minority interest	(19)	(15)	(20)	(20)	(20)	Shareholder equity	242,356	262,641	279,397	298,872	320,899
Adj. Net profit	48,639	54,836	53,884	57,663	63,053	Minority interests	181	194	214	234	254
PPOP per share	496.74	569.88	584.12	625.70	684.26	Total liabilities and Shareholder equity	1,408,107	1,449,301	1,538,462	1,656,104	1,784,108
Reported EPS	394.56	444.83	437.11	467.76	511.48	Interest bearing liabilities	1,091,147	1,134,380	1,181,122	1,262,633	1,360,156
Adj. EPS	394.56	444.83	437.11	467.76	511.48	Book Value Per Share	1,965.98	2,130.53	2,266.46	2,424.43	2,603.12
DPS	270.00	300.00	305.98	327.43	358.04	Tangible Book Value Per Share	1,965.98	2,130.53	2,266.46	2,424.43	2,603.12
Diluted shares outstanding	123	123	123	123	123						
Balance Sheet Gearing						Asset Quality/Capital					
	FY23A	FY24A	FY25E	FY26E	FY27E		FY23A	FY24A	FY25E	FY26E	FY27E
Loans/Deposits	70.5%	78.4%	79.7%	80.4%	81.9%	Loan loss reserves/Loans	(4.2%)	(3.6%)	(3.7%)	(3.7%)	(3.6%)
Investment/Assets	32.0%	30.0%	28.0%	27.0%	25.8%	NPLs/Loans	1.9%	1.9%	1.9%	1.9%	1.8%
Loan/Assets	55.9%	60.6%	64.1%	64.9%	65.7%	Loan loss reserves/NPLs	253.0%	209.7%	196.2%	194.6%	194.9%
Customer deposits/Liabilities	94.5%	95.5%	95.4%	95.3%	95.1%	NPL y/y growth	23.9%	13.8%	8.1%	10.7%	5.3%
LT debt/Liabilities	1.8%	1.4%	1.1%	1.2%	1.3%	Tier 1 ratio	28.3%	28.1%	28.1%	27.7%	27.4%
Ratio Analysis (%)							FY23A	FY24A	FY25E	FY26E	FY27E
	FY23A	FY24A	FY25E	FY26E	FY27E		FY23A	FY24A	FY25E	FY26E	FY27E
Net interest margin	5.5%	5.8%	5.8%	5.8%	5.8%	Return on equity (ROE)	21.0%	21.7%	19.9%	19.9%	20.3%
Non interest income/Net revenue	23.0%	23.3%	23.9%	24.1%	24.2%	Return on assets (ROA)	3.6%	3.8%	3.6%	3.6%	3.7%
Non interest income/Avg. Assets	1.7%	1.8%	1.8%	1.8%	1.8%	Operating ROA	4.4%	4.7%	4.5%	4.5%	4.6%
Efficiency ratio	37.5%	34.7%	36.1%	36.3%	35.8%	Pre-Tax ROA	4.4%	4.8%	4.5%	4.5%	4.6%
Leverage ratio	17.2%	17.9%	18.2%	18.2%	18.1%	Pre-Provision ROA	4.5%	4.9%	4.8%	4.8%	4.9%
Revenue/Assets	7.2%	7.5%	7.5%	7.6%	7.6%	Tax rate	19.1%	19.6%	19.6%	19.6%	19.6%
RORWA	5.9%	6.3%	5.7%	5.7%	5.8%	Net loans y/y growth	14.8%	14.4%	7.7%	8.6%	9.6%
RWA	825,611	910,184	966,178	1,048,340	1,138,288	Assets y/y growth	7.1%	2.9%	6.2%	7.6%	7.7%
Avg. RWA	823,667	867,897	938,181	1,007,259	1,093,314	RWA y/y growth	0.5%	10.2%	6.2%	8.5%	8.6%
Avg. IEA	1,359,876	1,414,309	1,484,949	1,589,505	1,713,625	Deposits y/y growth	6.0%	2.9%	5.9%	7.6%	7.6%
Gross Loans	810,252	921,827	993,483	1,078,706	1,181,679	Net interest income y/y growth	17.5%	9.5%	3.9%	7.0%	8.4%
Avg. IBL	1,091,147	1,134,380	1,181,122	1,262,633	1,360,156	Revenues y/y growth	13.3%	9.8%	4.8%	7.4%	8.5%
LLR	(34,060)	(33,499)	(36,479)	(39,499)	(42,572)	Adj. EPS y/y growth	19.4%	12.7%	(1.7%)	7.0%	9.3%
NPLs	15,071	17,146	18,529	20,516	21,594	BVPS y/y growth	9.7%	8.4%	6.4%	7.0%	7.4%
P/BV (x)	4.0	3.7	3.5	3.3	3.0	IE assets/Assets	99.9%	99.0%	99.4%	99.5%	99.6%
Adj. P/E (x)	20.0	17.8	18.1	16.9	15.4	Margins (as % of Avg. Assets)	5.9%	5.9%	5.9%	5.9%	6.0%
Dividend yield	3.4%	3.8%	3.9%	4.1%	4.5%	LLP/Loans	(0.1%)	(0.3%)	(0.5%)	(0.5%)	(0.5%)
Dividend payout	68.4%	67.4%	70.0%	70.0%	70.0%	Equity/Assets	17.0%	17.7%	18.1%	18.1%	18.0%
						Cost/Assets	2.7%	2.6%	2.7%	2.7%	2.7%
						Assets/Equity	5.9	5.7	5.5	5.5	5.6

Source: Company reports and J.P. Morgan estimates.

Note: Rp in billions (except per-share data). Fiscal year ends Dec

Overweight

ARTO.JK, ARTO IJ

Price (21 Mar 25):Rp1,450

▼ **Price Target (Dec-25):Rp2,500**

Prior (Dec-25):Rp3,200

APAC Banks

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J.P. Morgan Securities Singapore Private Limited/
J.P. Morgan Securities (Asia Pacific) Limited/ J.P.
Morgan Broking (Hong Kong) Limited

Key Changes (FYE Dec)

	Prev	Cur
Adj. EPS - 25E (Rp)	27.33	24.18
Adj. EPS - 26E (Rp)	62.32	67.29

Quarterly Forecasts (FYE Dec)

Adj. EPS (Rp)	2024A	2025E	2026E
Q1	1.57	4.26	
Q2	2.04	4.64	
Q3	2.59	6.78	
Q4	3.08	8.50	
FY	9.27	24.18	67.29

Style Exposure

Quant Factors	Current %Rank	Hist %Rank (1=Top)			
		6M	1Y	3Y	5Y
Value	95	99	97	99	91
Growth	4	8	4	60	89
Momentum	83	53	43	1	1
Quality	87	91	91	93	95
Low Vol	93	97	100	85	100

Bank Jago

Stock at attractive multi-year entry point; stay OW

Bank Jago is one of the best digital banks in Indonesia, on track to scale up from a low base (23bps loan market share as of Dec-24). The stock is below what we believe is the replacement value (~3x book). The system liquidity issues do not have as much of an impact due to ability of the bank to pass through higher CoF, while any consolidation of ride hailing industry should have a significant positive impact on the bank, given Jago is part of GoTo ecosystem and has better delivery vs. other digital banks in last 5Y. At 2.27/2.05x 2025/26E book, the stock offers significant positive risk-return trade-off.

We are lowering our 2025 EPS estimates by 12%, while increasing our 2026/27 EPS estimates by 7/20%, resp. The negative revisions this year are led by lower loan growth, though partly offset by higher risk-adj NIM. We are also revising our valuation assumptions with RFR of 7% (prev: 6%) and ERP of 7% (prev: 6%), which along with our EPS changes is driving lower PT of Rp2500. Stay OW.

Valuation

Table 64: Jago: Valuation

	Net Income (Rp bn)	EPS (Rp)	P/E (x)	BVPS (Rp)	P/B (x)	Dividend (Rp)	Div Yld (%)	RoA (%)	RoRWA (%)	RoE (%)
2021	86	7	208.3	595	2.44	0	0.0%	1.19%	3.01%	1.8%
2022	16	1	1262.6	596	2.43	0	0.0%	0.11%	0.24%	0.2%
2023	72	5	277.7	603	2.40	0	0.0%	0.38%	0.72%	0.9%
2024	129	9	156.3	615	2.36	0	0.0%	0.52%	0.97%	1.5%
2025E	335	24	60.0	639	2.27	0	0.0%	1.03%	1.93%	3.9%
2026E	933	67	21.5	706	2.05	0	0.0%	2.09%	3.87%	10.0%
2027E	1,860	134	10.8	840	1.73	13	0.9%	2.92%	5.41%	17.4%
2028E	2,777	199	7.3	1,009	1.44	20	1.4%	3.07%	5.68%	21.5%
2029E	3,697	262	5.5	1,251	1.16	26	1.8%	2.95%	5.47%	23.2%
2030E	5,312	376	3.9	1,602	0.91	75	5.2%	3.18%	5.89%	26.4%
Price (Rp)		1,450	Number of shares (mn)			13,856	Market Cap (Rp bn)			20,092
Normalised RoE			PB based Valuation				PE based Valuation			
NIM (on avg. assets)		7.08%	Risk-free rate		7.0%	Fair PE		14.9x		
Non-IR/revenues		14.2%	Cost of capital		16.8%	2027E EPS		Rp 134		
Cost/income		27.0%	Long term growth		13.8%	PE based 12M fwd Fair Value		Rp 2,335		
Operating RoA		6.02%	Fair PB		3.75x	Implied Value of Growth				
LLP/Loans		-3.25%	PV of Terminal Value		Rp 2,125	12m Rolling EPS		Rp 6		
Net RoAA		3.02%	PV of Dividends		Rp 9	Capitalized Value (Rp)		Rp 36		
Equity/Assets		12.0%	PV of today's Fair Value		Rp 2,133	Value of Growth (Rp)		Rp 1,414		
Normalised RoE		25.2%	PB based Dec-25E Fair Value		Rp 2,492	Attributable to Growth		97.5%		

Source: J.P. Morgan estimates, Bloomberg Finance L.P.

Annual forecasts

Table 65: Jago: Annual P&L

Rp (in bn)	2018	2019	2020	2021	2022	2023	2024	2025E	2026E	2027E	2028E	2029E	2030E
Interest Income	67	53	90	652	1,500	1,875	2,053	3,161	4,709	6,976	9,593	12,757	17,209
Interest Expense	(40)	(41)	(25)	(63)	(147)	(309)	(499)	(817)	(1,257)	(1,981)	(2,928)	(4,129)	(5,538)
Net Interest Income	28	12	65	590	1,353	1,565	1,553	2,344	3,451	4,994	6,665	8,629	11,671
Non-Interest Income	2	(2)	2	20	78	193	285	418	630	891	1,174	1,442	1,781
Net Fee income	(0)	(0)	2	12	14	19	7	29	47	75	112	168	252
Trading income	-	-	-	-	-	-	-	-	-	-	-	-	-
Other operating income	2	(2)	-	8	64	174	278	389	583	817	1,062	1,274	1,529
Total Revenues	29	10	67	609	1,431	1,758	1,839	2,762	4,081	5,886	7,839	10,071	13,451
Costs	(44)	(49)	(238)	(543)	(1,026)	(1,274)	(1,360)	(1,564)	(1,798)	(2,068)	(2,378)	(2,735)	(3,145)
PPOP	(15)	(40)	(171)	67	405	484	479	1,198	2,283	3,818	5,460	7,336	10,306
Loan loss provisions (Gross)	(5)	(55)	(33)	(95)	(389)	(405)	(298)	(793)	(1,206)	(1,669)	(2,459)	(3,359)	(4,535)
Loan loss provisions (Net)	(3)	(52)	(10)	(59)	(389)	(401)	(292)	(743)	(1,063)	(1,409)	(1,876)	(2,571)	(3,471)
Pre-Tax	(18)	(119)	(190)	9	20	94	179	430	1,196	2,384	3,560	4,739	6,810
Tax	(5)	(3)	-	77	(5)	(21)	(51)	(95)	(263)	(524)	(783)	(1,043)	(1,498)
Net Profits	(23)	(122)	(190)	86	16	72	129	335	933	1,860	2,777	3,697	5,312

Source: Company reports and J.P. Morgan estimates.

Table 66: Jago: Annual DuPont

	2018	2019	2020	2021	2022	2023	2024	2025E	2026E	2027E	2028E	2029E	2030E
NIM (% of avg. IEA)	4.84%	2.05%	4.74%	10.72%	10.45%	9.45%	7.34%	8.47%	8.91%	8.85%	8.20%	7.61%	7.65%
IEA/Assets	76%	57%	78%	76%	88%	87%	85%	85%	87%	89%	90%	91%	91%
Margins (% of avg. Assets)	3.66%	1.16%	3.69%	8.14%	9.24%	8.18%	6.23%	7.23%	7.74%	7.84%	7.36%	6.89%	6.99%
Non-IR contribution	5.32%	-17.88%	2.92%	3.21%	5.44%	10.98%	15.51%	15.14%	15.44%	15.14%	14.97%	14.32%	13.24%
Non-IR/Avg. Assets	0.21%	-0.18%	0.11%	0.27%	0.53%	1.01%	1.14%	1.29%	1.41%	1.40%	1.30%	1.15%	1.07%
Revenue/Assets	3.87%	0.98%	3.80%	8.41%	9.77%	9.19%	7.38%	8.52%	9.15%	9.24%	8.66%	8.05%	8.05%
Cost/Income	153%	506%	357%	89%	72%	72%	74%	57%	44%	35%	30%	27%	23%
C/Assets	5.92%	4.98%	13.60%	7.49%	7.01%	6.66%	5.46%	4.82%	4.03%	3.25%	2.63%	2.19%	1.88%
Pre-Provision ROA	-2.05%	-3.99%	-9.79%	0.92%	2.77%	2.53%	1.92%	3.70%	5.12%	5.99%	6.03%	5.86%	6.17%
LLP/Loans (Gross)	-1.16%	-16.20%	-5.56%	-3.02%	-5.26%	-3.61%	-1.94%	-3.73%	-3.97%	-3.79%	-3.93%	-3.92%	-3.92%
LLP/Loans (Net)	-0.67%	-15.37%	-1.66%	-1.87%	-5.25%	-3.57%	-1.90%	-3.50%	-3.50%	-3.20%	-3.00%	-3.00%	-3.00%
Loan/Assets	59%	34%	34%	43%	51%	59%	62%	66%	68%	69%	69%	68%	69%
Other Income/Assets	0.00%	-2.73%	-0.47%	0.02%	0.03%	0.05%	-0.03%	-0.08%	-0.06%	-0.04%	-0.03%	-0.02%	-0.01%
Operating ROA	-2.44%	-11.96%	-10.83%	0.13%	0.14%	0.49%	0.72%	1.33%	2.68%	3.74%	3.93%	3.79%	4.08%
Pre-Tax ROA	-2.44%	-11.96%	-10.83%	0.13%	0.14%	0.49%	0.72%	1.33%	2.68%	3.74%	3.93%	3.79%	4.08%
Tax Rate	26.9%	2.7%	0.0%	841.8%	-22.1%	-22.7%	-28.3%	-22.0%	-22.0%	-22.0%	-22.0%	-22.0%	-22.0%
ROA	-3.10%	-12.28%	-10.83%	1.19%	0.11%	0.38%	0.52%	1.03%	2.09%	2.92%	3.07%	2.95%	3.18%
Equity/Assets	16.9%	40.1%	54.7%	65.4%	56.4%	43.4%	33.9%	26.8%	20.9%	16.8%	14.3%	12.7%	12.0%
ROE	-18.3%	-30.6%	-19.8%	1.8%	0.2%	0.9%	1.5%	3.9%	10.0%	17.4%	21.5%	23.2%	26.4%

Source: Company reports and J.P. Morgan estimates.

Quarterly forecasts

Table 67: Jago: Quarterly P&L

Rp (in bn)	1Q23	2Q23	3Q23	4Q23	1Q24	2Q24	3Q24	4Q24	1Q25E	2Q25E	3Q25E	4Q25E
Interest Income	487	497	452	438	442	469	500	641	688	744	821	908
Interest Expense	(64)	(87)	(76)	(82)	(97)	(106)	(131)	(164)	(177)	(195)	(213)	(233)
Net Interest Income	423	410	377	356	345	363	369	476	510	550	608	675
Non-Interest Income	28	63	42	59	58	71	77	79	87	96	111	124
Net Fee income	6	11	1	1	2	2	2	2	2	2	10	15
Trading income	0	0	0	0	0	0	0	0	0	0	0	0
Other operating income	22	52	41	58	57	69	75	77	85	93	101	109
Total Revenues	451	473	419	416	403	434	446	555	597	646	719	800
Costs	(303)	(315)	(316)	(341)	(325)	(336)	(347)	(352)	(365)	(380)	(398)	(422)
PPOP	148	158	104	75	78	98	99	203	233	266	322	378
Loan loss provisions (Net)	(136)	(128)	(86)	(50)	(50)	(59)	(53)	(130)	(151)	(177)	(195)	(220)
Other provisions	3	(0)	1	(0)	(1)	(1)	(0)	(3)	(5)	(5)	(5)	(5)
Other income	8	(0)	(0)	(0)	(0)	(1)	(0)	(0)	(1)	(1)	(1)	(2)
Pre-Tax	22	30	18	24	28	36	46	69	76	82	120	151
Tax	(5)	(7)	(8)	(1)	(6)	(8)	(10)	(27)	(17)	(18)	(27)	(33)
MI & EO	0	0	0	0	0	0	0	0	0	0	0	0
Net Profits	18	23	10	22	22	28	36	43	59	64	94	118

Source: Company reports and J.P. Morgan estimates.

Table 68: Jago: Quarterly DuPont

	1Q23	2Q23	3Q23	4Q23	1Q24	2Q24	3Q24	4Q24	1Q25E	2Q25E	3Q25E	4Q25E
NIM (% of avg. IEA)	10.99%	9.93%	8.99%	7.89%	7.45%	7.19%	6.66%	8.06%	8.09%	8.40%	8.75%	9.01%
IEA/Assets	88%	90%	88%	89%	85%	86%	87%	85%	86%	85%	85%	86%
Margins (% of avg. Assets)	9.67%	8.89%	7.93%	7.05%	6.30%	6.21%	5.78%	6.88%	6.99%	7.14%	7.44%	7.72%
Non-IR contribution	6.24%	13.35%	10.11%	14.28%	14.43%	16.30%	17.28%	14.24%	14.56%	14.86%	15.42%	15.54%
Non-IR/Avg. Assets	0.64%	1.37%	0.89%	1.17%	1.06%	1.21%	1.21%	1.14%	1.19%	1.25%	1.36%	1.42%
Revenue/Assets	10.31%	10.26%	8.83%	8.22%	7.36%	7.42%	6.99%	8.02%	8.18%	8.38%	8.80%	9.14%
Cost/Income	67%	67%	75%	82%	81%	77%	78%	63%	61%	59%	55%	53%
C/Assets	6.93%	6.83%	6.64%	6.74%	5.93%	5.75%	5.43%	5.09%	4.99%	4.93%	4.86%	4.82%
Pre-Provision ROA	3.38%	3.42%	2.18%	1.48%	1.43%	1.67%	1.56%	2.93%	3.19%	3.45%	3.93%	4.32%
LLP/Loans (Net)	-5.37%	-4.65%	-3.14%	-1.69%	-1.45%	-1.58%	-1.30%	-2.99%	-3.30%	-3.60%	-3.60%	-3.69%
Loan/Assets	58%	60%	58%	59%	62%	64%	64%	63%	63%	64%	66%	68%
Other Income/Assets	0.25%	-0.01%	0.02%	-0.02%	-0.02%	-0.04%	0.00%	-0.05%	-0.08%	-0.08%	-0.07%	-0.08%
Operating ROA	0.27%	0.65%	0.36%	0.48%	0.53%	0.66%	0.72%	1.05%	1.12%	1.15%	1.55%	1.81%
Pre-Tax ROA	0.51%	0.64%	0.38%	0.47%	0.51%	0.62%	0.72%	1.00%	1.04%	1.07%	1.47%	1.73%
Tax Rate	-22.0%	-22.2%	-45.6%	-6.4%	-22.0%	-22.0%	-22.0%	-38.4%	-22.0%	-22.0%	-22.0%	-22.0%
ROA	0.40%	0.50%	0.21%	0.44%	0.40%	0.48%	0.56%	0.62%	0.81%	0.83%	1.15%	1.35%
RoRWA	0.8%	1.0%	0.4%	0.8%	0.7%	0.9%	1.0%	1.1%	1.5%	1.6%	2.1%	2.5%
Equity/Assets	47.3%	45.0%	43.8%	41.3%	38.2%	36.0%	33.1%	30.7%	29.2%	27.9%	26.6%	25.1%
ROE	0.8%	1.1%	0.5%	1.1%	1.0%	1.3%	1.7%	2.0%	2.8%	3.0%	4.3%	5.4%

Source: Company reports and J.P. Morgan estimates.

Price Performance



	YTD	1m	3m	12m
Abs	-40.3%	-28.2%	-35.3%	-45.9%
Rel	-28.7%	-20.2%	-24.9%	-31.2%

Company Data

Shares O/S (mn)	13,861
52-week range (Rp)	3,220-1,225
Market cap (\$ bn)	1.22
Exchange rate	16,485.33
Free float (%)	45.7%
3M ADV (mn)	4.33
3M ADV (\$ mn)	0.5
Volatility (90 Day)	51
Index	JCI
BBG ANR (Buy Hold Sell)	14 5 0

Key Metrics (FYE Dec)

Rp in billions	FY24A	FY25E	FY26E	FY27E
Financial Estimates				
Net interest income	1,553	2,344	3,451	4,994
Non interest income	285	418	630	891
Operating expenses	(1,360)	(1,564)	(1,798)	(2,068)
Adj. PPOP	479	1,198	2,283	3,818
Provision for loan losses	(292)	(743)	(1,063)	(1,409)
Adj. PBT	179	430	1,196	2,384
Adj. net income	129	335	933	1,860
Adj. EPS	9.27	24.18	67.29	134.18
BBG EPS	9.25	26.00	49.18	152.40
DPS	0.00	0.00	0.00	13.42
Loans	17,413	23,948	34,433	49,716
Deposits	18,806	25,719	35,343	51,223
Total Assets	28,543	36,288	52,937	74,488
Margins and Growth				
NIM	0.0%	0.0%	0.0%	0.0%
Ratios				
Loan/ Deposit ratio	92.6%	93.1%	97.4%	97.1%
NPL / Loans	0.2%	0.9%	1.3%	1.6%
Coverage	1019.2%	373.9%	318.8%	287.7%
CET 1	-	-	-	-
Non-int. income/ Income	15.5%	15.1%	15.4%	15.1%
Cost/Income	74.0%	56.6%	44.1%	35.1%
LLP/Loans	(1.9%)	(3.5%)	(3.5%)	(3.2%)
ROA	0.5%	1.0%	2.1%	2.9%
ROE	1.5%	3.9%	10.0%	17.4%
Valuation				
Dividend yield	0.0%	0.0%	0.0%	0.9%
Adj. P/E	156.3	60.0	21.5	10.8
P/ BV	2.4	2.3	2.1	1.7

Summary Investment Thesis and Valuation

Investment Thesis

We are OW on Bank Jago.

Bank Jago is one of the best digital banks in Indonesia, in our view, and now appears on track to scale up from a low base (23bps loan market share as of Dec-24). Replacement value of about 3x book offers a lower bound for the stock and if execution continues well, we think the stock should trade on a PB/RoE framework in the course of the next few years. We believe we are in the late stage of the discovery phase of the bank's balance sheet growth ability and earnings power. The outlook is promising, in our view. At 2.27/2.05x 2025/26E book, we think the stock offers positive risk-return.

Bank Jago's business model is based on a series of partnerships with multiple finance companies as well as digital economy players, in addition to their own payment, credit and deposit book. GoTo is an important partner for the bank, probably the most important, in our view. Yet, even in a significantly positive scenario, we do not expect GoTo to contribute more than a third of Bank Jago's loans in the next 2-3 years (~23% as of Dec-24). The outlook in outer years will evolve based on execution of these two businesses, as well as scale and closeness of partnership.

Valuation

We use 2028E book value with a fair P/B of 3.75x to value the stock. Our underlying assumptions are a normalized RoE of 25.2%, CoE of 16.8% and g of 13.8% (above nominal GDP growth). We discount back the fair value to Dec-25 to derive our PT of Rp2,500.

Performance Drivers

Market	2%
Region	35%
Macro	4%
Style	1%
Idiosyn.	58%

Factors	6M Corr	1Y Corr
Market: MSCI Asia Pac ex JP	0.29	0.15
Region: Indonesia	0.64	0.60
Macro:		
JP Morgan GBI-EM Global Div	0.24	0.26
JPM China A-shares Sentiment	-0.21	-0.20
JPM Global Equity Sentiment	-0.22	-0.17
Quant Styles:		
LowVol	0.34	0.24
DivYld	0.28	0.20
Value	0.22	0.15

Investment Thesis, Valuation and Risks

Bank Jago (Overweight; Price Target: Rp2,500)

Investment Thesis

We are OW on Bank Jago.

- Bank Jago is one of the best digital banks in Indonesia, in our view, and now appears on track to scale up from a low base (23bps loan market share as of Dec-24). Replacement value of about 3x book offers a lower bound for the stock and if execution continues well, we think the stock should trade on a PB/RoE framework in the course of the next few years. We believe we are in the late stage of the discovery phase of the bank's balance sheet growth ability and earnings power. The outlook is promising, in our view. At 2.27/2.05x 2025/26E book, we think the stock offers positive risk-return.
- Bank Jago's business model is based on a series of partnerships with multiple finance companies as well as digital economy players, in addition to their own payment, credit and deposit book. GoTo is an important partner for the bank, probably the most important, in our view. Yet, even in a significantly positive scenario, we do not expect GoTo to contribute more than a third of Bank Jago's loans in the next 2-3 years (~23% as of Dec-24). The outlook in outer years will evolve based on execution of these two businesses, as well as scale and closeness of partnership.
- Jago made tech investments early in the cycle, hence the need for incremental spend should be rather limited. Despite growing the book by ~45% over the next 2-3 years, we expect slower cost growth of 15%. The resultant operating leverage should drive CIR to ~45% through 2026 versus 74% in 2024.
- The long-term investment thesis for the stock rests on the bank's ability to scale up its low-risk and high-yield credit book by collaborating with partners that have deep underwriting data. This thesis is at risk of getting challenged if credit costs do not remain under check. The bank has shown meaningful improvements in asset quality in last 2 years, which should likely continue.
- Creating a transaction franchise, navigating the asset quality cycle, and scaling up market share are steps in building a high-quality bank. Managing this process in the first decade of a bank will determine returns and multiples for subsequent decades. Jago has been able to manage credit, asset quality and partnership lending for now despite some risk. This risk management gives us confidence that the bank will be able to scale.

Valuation

We use 2028E book value with a fair P/B of 3.75x to value the stock. Our underlying assumptions are a normalized RoE of 25.2%, CoE of 16.8% and g of 13.8% (above nominal GDP growth). We discount back the fair value to Dec-25 to derive our PT of Rp2,500.

Risks to Rating and Price Target

The key downside risk is liquidity tightness impacting credit growth and funding costs, with system deposit growth slowing. Further, higher CoF (in case of incremental rate cuts being postponed) and increasing mix of GoTo (lower risk-adjusted NIM) is likely to weigh on NIM. The bank has been guiding for 7-8% sustainable margins.

Upside risk could come from sustained high loan growth (direct, or through channels), along with AQ resilience. The bank has already scaled to ~15mn customers, and has a trove of transactional data, which could be leveraged to scale-up direct lending. Deeper collaboration with GoTo and other partners on fee and insurance products should support non-II growth at a faster clip than B/S growth.

Bank Jago: Summary of Financials

Income Statement						Balance Sheet					
	FY23A	FY24A	FY25E	FY26E	FY27E		FY23A	FY24A	FY25E	FY26E	FY27E
Interest income	1,875	2,053	3,161	4,709	6,976	Cash and cash equivalents	0	0	0	0	0
Interest expense	(309)	(499)	(817)	(1,257)	(1,981)	Deposits with banks	2,954	4,231	3,569	7,474	10,878
Net interest income	1,565	1,553	2,344	3,451	4,994	Net loans	12,778	17,413	23,948	34,433	49,716
Non interest income	193	285	418	630	891	PP&E	119	116	127	146	168
o/w Fee income	19	7	29	47	75	Net intangibles	0	0	0	0	0
o/w Trading income	0	0	0	0	0	LT investments	3,488	4,265	5,117	6,653	8,649
Net revenues	1,758	1,839	2,762	4,081	5,886	Other assets	1,957	2,518	3,526	4,231	5,077
Non interest expense	(1,274)	(1,360)	(1,564)	(1,798)	(2,068)	Total assets	21,296	28,543	36,288	52,937	74,488
o/w Employee costs	0	0	0	0	0	Interest earning assets	16,563	21,163	27,655	38,716	56,404
Pre-Prov. Profits	484	479	1,198	2,283	3,818	Deposits	12,067	18,806	25,719	35,343	51,223
Provisions	(401)	(292)	(743)	(1,063)	(1,409)	Borrowings	149	387	469	5,938	9,375
Adj. PBT	94	179	430	1,196	2,384	Other liabilities	723	831	1,246	1,869	2,242
Income taxes	(21)	(51)	(95)	(263)	(524)	Total liabilities	12,939	20,024	27,434	43,150	62,841
Minority interest	0	0	0	0	0	Shareholder equity	8,357	8,519	8,854	9,787	11,646
Adj. Net profit	72	129	335	933	1,860	Minority interests	0	0	0	0	0
PPOP per share	34.94	34.55	86.45	164.74	275.47	Total liabilities and Shareholder equity	21,296	28,543	36,288	52,937	74,488
Reported EPS	5.22	9.27	24.18	67.29	134.18	Interest bearing liabilities	10,245	15,705	22,691	33,735	50,940
Adj. EPS	5.22	9.27	24.18	67.29	134.18	Book Value Per Share	603.11	614.69	638.88	706.17	840.35
DPS	0.00	0.00	0.00	0.00	13.42	Tangible Book Value Per Share	603.11	614.69	638.88	706.17	840.35
Diluted shares outstanding	13,856	13,858	13,859	13,859	13,859	Asset Quality/Capital	FY23A	FY24A	FY25E	FY26E	FY27E
Balance Sheet Gearing	FY23A	FY24A	FY25E	FY26E	FY27E	Loan loss reserves/Loans	(1.9%)	(1.6%)	(3.4%)	(4.2%)	(4.6%)
Loans/Deposits	105.9%	92.6%	93.1%	97.4%	97.1%	NPLs/Loans	0.8%	0.2%	0.9%	1.3%	1.6%
Investment/Assets	21.7%	15.6%	14.5%	13.2%	12.0%	Loan loss reserves/NPLs	182.3%	385.5%	446.6%	336.5%	299.0%
Loan/Assets	58.7%	61.6%	65.5%	68.0%	69.1%	NPL y/y growth	(36.3%)	(74.1%)	687.5%	111.1%	76.3%
Customer deposits/Liabilities	93.3%	93.9%	93.7%	81.9%	81.5%	Tier 1 ratio	60.6%	43.3%	35.0%	27.3%	23.5%
LT debt/Liabilities	0.7%	1.6%	1.8%	9.1%	14.4%	CAR	61.8%	44.4%	36.0%	28.0%	24.1%
Ratio Analysis (%)	FY23A	FY24A	FY25E	FY26E	FY27E	Ratio Analysis (%)	FY23A	FY24A	FY25E	FY26E	FY27E
Net interest margin	0.0%	0.0%	0.0%	0.0%	0.0%	Return on equity (ROE)	0.9%	1.5%	3.9%	10.0%	17.4%
Non interest income/Net revenue	11.0%	15.5%	15.1%	15.4%	15.1%	Return on assets (ROA)	0.4%	0.5%	1.0%	2.1%	2.9%
Non interest income/Avg. Assets	1.0%	1.1%	1.3%	1.4%	1.4%	Operating ROA	0.4%	0.7%	1.4%	2.7%	3.8%
Efficiency ratio	72.5%	74.0%	56.6%	44.1%	35.1%	Pre-Tax ROA	0.5%	0.7%	1.3%	2.7%	3.7%
Leverage ratio	35.9%	26.2%	21.2%	17.5%	14.9%	Pre-Provision ROA	2.5%	1.9%	3.7%	5.1%	6.0%
Revenue/Assets	9.2%	7.4%	8.5%	9.1%	9.2%	Tax rate	22.7%	28.3%	22.0%	22.0%	22.0%
RORWA	0.7%	1.0%	1.9%	3.9%	5.4%	Net loans y/y growth	39.5%	36.3%	37.5%	43.8%	44.4%
RWA	11,319	15,090	19,596	28,586	40,223	Assets y/y growth	25.5%	34.0%	27.1%	45.9%	40.7%
Avg. RWA	10,113	13,204	17,343	24,091	34,404	RWA y/y growth	27.1%	33.3%	29.9%	45.9%	40.7%
Avg. IEA	0	0	0	0	0	Deposits y/y growth	45.8%	55.8%	36.8%	37.4%	44.9%
Gross Loans	13,020	17,701	24,782	35,934	52,104	Net interest income y/y growth	15.7%	(0.8%)	50.9%	47.3%	44.7%
Avg. IBL	0	0	0	0	0	Revenues y/y growth	22.9%	4.6%	50.2%	47.8%	44.2%
LLR	(242)	(289)	(834)	(1,501)	(2,389)	Adj. EPS y/y growth	354.7%	77.6%	160.8%	178.3%	99.4%
NPLs	109	28	223	471	830	BVPS y/y growth	1.1%	1.9%	3.9%	10.5%	19.0%
P/BV (x)	2.4	2.4	2.3	2.1	1.7	IE assets/Assets	0.0%	0.0%	0.0%	0.0%	0.0%
Adj. P/E (x)	277.7	156.3	60.0	21.5	10.8	Margins (as % of Avg. Assets)	0.0%	0.0%	0.0%	0.0%	0.0%
Dividend yield	0.0%	0.0%	0.0%	0.0%	0.9%	LLP/Loans	(3.6%)	(1.9%)	(3.5%)	(3.5%)	(3.2%)
Dividend payout	0.0%	0.0%	0.0%	0.0%	10.0%	Equity/Assets	43.4%	33.9%	26.8%	20.9%	16.8%
						Cost/Assets	6.7%	5.5%	4.8%	4.0%	3.2%
						Assets/Equity	2.3	3.0	3.7	4.8	5.9

Source: Company reports and J.P. Morgan estimates.

Note: Rp in millions (except per-share data). Fiscal year ends Dec

Overweight

BPI.PS, BPI PM

Price (21 Mar 25):Php134.50

▼ **Price Target (Dec-25):Php150.00**

Prior (Dec-25):Php155.00

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Morgan Broking (Hong Kong) Limited

Key Changes (FYE Dec)

	Prev	Cur
Adj. EPS - 26E (Php)	14.06	13.50

Quarterly Forecasts (FYE Dec)

Adj. EPS (Php)	2024A	2025E	2026E
Q1	2.90	3.15	
Q2	2.90	3.17	
Q3	3.30	3.17	
Q4	2.67	3.03	
FY	11.77	12.51	13.50

Style Exposure

Quant Factors	Current %Rank	Hist %Rank (1=Top)			
		6M	1Y	3Y	5Y
Value	78	78	78	66	70
Growth	20	51	12	35	35
Momentum	35	31	35	51	35
Quality	28	31	24	8	20
Low Vol	31	39	51	8	20
ESGQ	5	4	21	15	13

Bank of the Philippine Islands

ROE to stay elevated, consumer and digital shifts provide the delta

BPI has been most aggressive in shifting its loan book away from large corporates, which has been driving better NIM and non-II trends vs. peers. This shift should continue, albeit at slower pace vs. 2024. On the other hand, the bank has drawn down its NPL coverage to 106% in 2024 from 156% in 2023, suggesting lower scope to further draw down. Accordingly, we expect credit costs to move up to 50-60bps over next 3Y. Despite this, we see ROEs holding near 14.5%, suggesting scope for the stock to perform in line with book value growth. Better than expected performance of the bank's digital investments (revenue growth, efficiency improvements) can drive further performance.

Valuation

Table 69: BPI: Valuation

	Net Income (Php mn)	EPS (Php)	P/E (x)	BVPS (Php)	P/B (x)	Dividend (Php)	Div Yld (%)	RoA (%)	RoRWA (%)	RoE (%)
2022	35,905	7.30	18.4	64.6	2.08	1.95	1.4%	1.43%	2.02%	11.8%
2023	51,687	10.45	12.9	72.2	1.86	3.36	2.5%	1.88%	2.58%	15.3%
2024	62,049	11.77	11.4	81.7	1.65	3.96	2.9%	2.00%	2.61%	15.8%
2025E	65,956	12.51	10.8	89.7	1.50	4.50	3.3%	1.90%	2.38%	14.6%
2026E	71,187	13.50	10.0	98.5	1.37	4.70	3.5%	1.85%	2.31%	14.4%
2027E	78,810	14.95	9.0	108.5	1.24	4.90	3.6%	1.84%	2.30%	14.4%
Price (Php)		134.5		Number of shares (mn)		5,272		Market Cap (Php mn)		709,097
Normalised RoE				PB based Valuation				PE based Valuation		
NIM (on avg. assets)		3.98%		Risk-free rate		6.0%		Fair PE		10.5x
Non-IR/revenues		27.5%		Cost of capital		11.7%		12m Rolling EPS		PHP12.73
Cost/income		47.6%		Long term growth		6.0%		PE based Fair Value		PHP134
Operating RoA		2.88%		Fair PB		1.58x		Implied Value of Growth		
LLP/Loans		-0.55%		PV of Terminal Value		PHP130		12m Rolling EPS		PHP12.73
Net RoAA		1.93%		PV of Dividends		PHP4.1		Capitalized Value (PHP)		PHP109
Equity/Assets		12.9%		PV of today's Fair Value		PHP134		Value of Growth (PHP)		PHP26
Normalised RoE		15.0%		PB based Fair Value		PHP149		Attributable to Growth		19%

Source: J.P. Morgan estimates, Bloomberg Finance L.P.

Annual forecasts

Table 70: BPI: Annual P&L

Php Mn	2014	2015	2016	2017	2018	2019	2020	2021	2022	2023	2024	2025E	2026E	2027E
Interest Income	45,992	52,299	58,312	65,849	79,471	100,487	96,308	84,617	103,268	145,572	189,954	207,191	223,525	241,938
Interest Expense	(11,184)	(13,658)	(15,935)	(17,810)	(23,854)	(34,912)	(24,044)	(15,034)	(18,202)	(41,222)	(62,368)	(66,531)	(70,180)	(74,534)
Net Interest Income	34,808	38,641	42,377	48,039	55,617	65,575	72,264	69,583	85,066	104,350	127,586	140,660	153,345	167,404
Non-Interest Income	20,979	20,718	24,174	22,981	21,003	26,687	29,659	27,822	28,459	33,971	42,553	48,202	55,096	62,740
Net Fee income	7,370	7,530	7,425	7,716	7,828	9,068	8,899	11,204	11,339	12,717	15,162	16,678	19,180	22,057
Trading income	3,369	2,856	6,940	3,059	2,847	6,121	10,112	3,994	3,688	5,144	6,771	6,780	7,213	7,675
Other operating income	10,240	10,332	9,809	12,206	10,328	11,498	10,648	12,624	13,432	16,110	20,620	24,744	28,703	33,008
Total Revenues	55,787	59,359	66,551	71,020	76,620	92,262	101,923	97,405	113,525	138,321	170,139	188,862	208,440	230,144
Costs	(29,960)	(31,870)	(34,941)	(38,533)	(42,085)	(48,344)	(48,154)	(50,733)	(57,990)	(69,110)	(83,796)	(91,878)	(100,748)	(110,476)
PPOP	25,827	27,489	31,610	32,487	34,535	43,918	53,769	46,672	55,535	69,211	86,343	96,984	107,693	119,669
Loan loss provisions	(2,807)	(3,976)	(4,800)	(3,795)	(4,719)	(5,562)	(28,000)	(13,135)	(9,167)	(4,000)	(6,600)	(12,164)	(16,146)	(18,319)
Pre-Tax	23,020	23,513	26,810	28,692	29,880	38,398	25,558	33,537	46,368	65,211	79,743	84,820	91,547	101,350
Tax	(4,958)	(5,138)	(4,535)	(5,956)	(6,613)	(9,355)	(3,906)	(9,427)	(10,232)	(13,299)	(17,503)	(18,660)	(20,140)	(22,297)
MI & EO	(23)	(141)	(225)	(320)	(189)	(240)	(243)	(230)	(231)	(225)	(191)	(203)	(219)	(243)
Attributable Profits	18,039	18,234	22,050	22,416	23,078	28,803	21,409	23,880	39,605	51,687	62,049	65,956	71,187	78,810

Source: Company reports and J.P. Morgan estimates.

Table 71: BPI: Annual DuPont

	2014	2015	2016	2017	2018	2019	2020	2021	2022	2023	2024	2025E	2026E	2027E
NIM (% of avg. IEA)	3.03%	2.98%	2.85%	2.91%	3.11%	3.35%	3.49%	3.30%	3.59%	4.09%	4.31%	4.25%	4.19%	4.09%
IEA/Assets	86.8%	87.4%	91.7%	91.0%	89.7%	91.4%	93.4%	90.6%	94.3%	92.9%	95.4%	95.1%	95.2%	95.4%
Margins (% of avg. Assets)	2.63%	2.61%	2.61%	2.65%	2.79%	3.06%	3.26%	2.99%	3.39%	3.80%	4.11%	4.04%	3.99%	3.90%
Non-IR contribution	37.6%	34.9%	36.3%	32.4%	27.4%	28.9%	29.1%	28.6%	25.1%	24.6%	25.0%	25.5%	26.4%	27.3%
Non-IR/Avg. Assets	1.59%	1.40%	1.49%	1.27%	1.05%	1.25%	1.34%	1.20%	1.13%	1.24%	1.37%	1.39%	1.43%	1.46%
Revenue/Assets	4.22%	4.00%	4.11%	3.91%	3.85%	4.31%	4.60%	4.18%	4.52%	5.04%	5.48%	5.43%	5.42%	5.37%
Cost/Income	53.7%	53.7%	52.5%	54.3%	54.9%	52.4%	47.2%	52.1%	51.1%	50.0%	49.3%	48.6%	48.3%	48.0%
C/Assets	2.26%	2.15%	2.16%	2.12%	2.11%	2.26%	2.17%	2.18%	2.31%	2.52%	2.70%	2.64%	2.62%	2.58%
Pre-Provision ROA	1.95%	1.85%	1.95%	1.79%	1.73%	2.05%	2.43%	2.01%	2.21%	2.52%	2.78%	2.79%	2.80%	2.79%
LLP/Loans	-0.39%	-0.47%	-0.49%	-0.33%	-0.36%	-0.39%	-1.90%	-0.88%	-0.56%	-0.22%	-0.31%	-0.50%	-0.58%	-0.58%
Loan/Assets	55.1%	57.4%	60.1%	62.9%	65.3%	67.2%	66.6%	64.0%	65.4%	67.3%	68.1%	70.1%	71.8%	73.1%
Operating ROA	1.74%	1.59%	1.65%	1.58%	1.50%	1.79%	1.15%	1.44%	1.85%	2.37%	2.57%	2.44%	2.38%	2.36%
Pre-Tax ROA	1.74%	1.59%	1.65%	1.58%	1.50%	1.79%	1.15%	1.44%	1.85%	2.37%	2.57%	2.44%	2.38%	2.36%
Tax Rate	-21.5%	-21.9%	-16.9%	-20.8%	-22.1%	-24.4%	-15.3%	-28.1%	-22.1%	-20.4%	-21.9%	-22.0%	-22.0%	-22.0%
Minorities & Outside Int.	0.00%	-0.01%	-0.01%	-0.02%	-0.01%	-0.01%	-0.01%	-0.01%	-0.01%	-0.01%	-0.01%	-0.01%	-0.01%	-0.01%
Core ROA	1.36%	1.23%	1.36%	1.24%	1.16%	1.35%	0.97%	1.03%	1.43%	1.88%	2.00%	1.90%	1.85%	1.84%
Core RoRWA	2.30%	1.97%	2.07%	1.83%	1.67%	1.90%	1.38%	1.50%	2.02%	2.58%	2.61%	2.38%	2.31%	2.30%
Equity/Assets	9.4%	9.9%	9.7%	9.5%	10.7%	11.9%	12.3%	12.3%	12.2%	12.3%	12.7%	13.0%	12.9%	12.7%
ROE	14.5%	12.4%	14.0%	13.0%	10.9%	11.3%	7.9%	8.3%	13.0%	15.3%	15.8%	14.6%	14.4%	14.4%

Source: Company reports and J.P. Morgan estimates.

Quarterly forecasts

Table 72: BPI: Quarterly P&L

Php Mn	1Q23	2Q23	3Q23	4Q23	1Q24	2Q24	3Q24	4Q24	1Q25E	2Q25E	3Q25E	4Q25E
Interest Income	32,429	35,645	37,634	39,864	44,572	46,566	48,541	50,275	50,801	51,332	51,877	53,181
Interest Expense	(8,269)	(9,697)	(10,965)	(12,291)	(14,724)	(15,160)	(15,949)	(16,534)	(16,668)	(16,572)	(16,571)	(16,721)
Net Interest Income	24,159	25,949	26,668	27,574	29,848	31,405	32,592	33,741	34,134	34,760	35,307	36,460
Non-Interest Income	7,555	7,925	8,617	9,874	9,677	10,245	11,989	10,642	11,260	11,958	12,264	12,720
Net Fee income	3,077	3,087	3,218	3,335	3,392	3,874	3,908	3,987	3,828	4,096	4,300	4,454
Trading income	1,244	1,011	1,199	1,690	1,634	1,240	2,600	1,297	1,646	1,728	1,707	1,699
Other operating income	3,233	3,828	4,200	4,849	4,651	5,130	5,481	5,358	5,787	6,134	6,256	6,567
Total Revenues	31,714	33,874	35,286	37,448	39,525	41,650	44,580	44,383	45,394	46,718	47,570	49,181
Costs	(15,064)	(16,327)	(17,232)	(20,486)	(18,012)	(20,261)	(21,085)	(24,439)	(21,190)	(22,250)	(23,082)	(25,356)
PPOP	16,650	17,546	18,053	16,962	21,513	21,390	23,496	19,945	24,204	24,467	24,489	23,824
Loan loss provisions	(1,000)	(1,000)	(1,000)	(1,000)	(1,500)	(1,500)	(1,800)	(1,800)	(2,880)	(2,954)	(3,030)	(3,299)
Pre-Tax	15,650	16,546	17,053	15,962	20,013	19,890	21,696	18,145	21,323	21,513	21,458	20,525
Tax	(3,446)	(3,497)	(3,540)	(2,816)	(4,666)	(4,529)	(4,196)	(4,112)	(4,691)	(4,733)	(4,721)	(4,516)
Profit before minorities	12,204	13,049	13,513	13,146	15,347	15,361	17,500	14,032	16,632	16,780	16,737	16,010
MI and EO	(71)	(29)	(47)	(79)	(84)	(59)	(79)	31	(50)	(50)	(50)	(53)
Attributable Profit	12,134	13,020	13,466	13,067	15,263	15,302	17,421	14,064	16,582	16,730	16,687	15,957

Source: Company reports and J.P. Morgan estimates.

Table 73: BPI: Quarterly DuPont

	1Q23	2Q23	3Q23	4Q23	1Q24	2Q24	3Q24	4Q24	1Q25E	2Q25E	3Q25E	4Q25E
NIM (% of avg. IEA)	3.94%	4.11%	4.16%	4.14%	4.19%	4.32%	4.35%	4.38%	4.38%	4.37%	4.34%	4.32%
IEA/Assets	92.9%	94.3%	95.1%	95.2%	95.7%	94.1%	95.3%	94.9%	93.5%	94.1%	94.2%	94.8%
Margins (% of avg. Assets)	3.66%	3.87%	3.95%	3.94%	4.01%	4.07%	4.15%	4.16%	4.10%	4.11%	4.09%	4.09%
Non-IR contribution	23.8%	23.4%	24.4%	26.4%	24.5%	24.6%	26.9%	24.0%	24.8%	25.6%	25.8%	25.9%
Non-IR/Avg. Assets	1.15%	1.18%	1.28%	1.41%	1.30%	1.33%	1.53%	1.31%	1.35%	1.42%	1.42%	1.43%
Revenue/Assets	4.81%	5.06%	5.23%	5.35%	5.31%	5.39%	5.67%	5.47%	5.45%	5.53%	5.51%	5.52%
Cost/Income	47.5%	48.2%	48.8%	54.7%	45.6%	48.6%	47.3%	55.1%	46.7%	47.6%	48.5%	51.6%
C/Assets	2.28%	2.44%	2.56%	2.93%	2.42%	2.62%	2.68%	3.01%	2.54%	2.63%	2.67%	2.85%
Pre-Provision ROA	2.5%	2.6%	2.7%	2.4%	2.9%	2.8%	3.0%	2.5%	2.9%	2.9%	2.8%	2.7%
LLP/Loans	-0.23%	-0.23%	-0.22%	-0.21%	-0.30%	-0.29%	-0.34%	-0.33%	-0.50%	-0.51%	-0.51%	-0.53%
Loan/Assets	65.8%	65.2%	66.2%	66.7%	66.8%	66.8%	67.2%	68.1%	69.0%	69.1%	69.3%	70.3%
Operating ROA	2.4%	2.5%	2.5%	2.3%	2.7%	2.6%	2.8%	2.2%	2.6%	2.5%	2.5%	2.3%
Pre-Tax ROA	2.37%	2.47%	2.53%	2.28%	2.69%	2.58%	2.76%	2.23%	2.56%	2.55%	2.48%	2.30%
Tax Rate	-22.0%	-21.1%	-20.8%	-17.6%	-23.3%	-22.8%	-19.3%	-22.7%	-22.0%	-22.0%	-22.0%	-22.0%
Core ROA	1.84%	1.94%	2.00%	1.87%	2.05%	1.98%	2.22%	1.73%	1.99%	1.98%	1.93%	1.79%
Core RoRWA	2.55%	2.69%	2.74%	2.55%	2.72%	2.53%	2.80%	2.18%	2.50%	2.49%	2.43%	2.24%
Equity/Assets	12.3%	12.5%	12.7%	12.6%	12.8%	13.1%	13.4%	13.3%	13.2%	13.3%	13.3%	13.2%
ROE	14.9%	15.6%	15.7%	14.8%	16.1%	15.1%	16.6%	13.0%	15.1%	14.9%	14.5%	13.6%

Source: Company reports and J.P. Morgan estimates.

Price Performance



	YTD	1m	3m	12m
Abs	10.2%	5.0%	10.7%	9.8%
Rel	14.2%	2.2%	12.9%	19.8%

Company Data

Shares O/S (mn)	5,272
52-week range (Php)	149.60-108.40
Market cap (\$ mn)	12,395
Exchange rate	57.21
Free float (%)	52.3%
3M ADV (mn)	3.08
3M ADV (\$ mn)	6.8
Volatility (90 Day)	30
Index	PSE
BBG ANR (Buy Hold Sell)	17 3 1

Key Metrics (FYE Dec)

Php in millions	FY24A	FY25E	FY26E	FY27E
Financial Estimates				
Net interest income	127,586	140,660	153,345	167,404
Non interest income	42,553	48,202	55,096	62,740
Operating expenses	(83,796)	(91,878)	(100,748)	(110,476)
Adj. PPOP	86,343	96,984	107,693	119,669
Provision for loan losses	(6,600)	(12,164)	(16,146)	(18,319)
Adj. PBT	79,743	84,820	91,547	101,350
Adj. net income	62,049	65,956	71,187	78,810
Adj. EPS	11.77	12.51	13.50	14.95
BBG EPS	12.22	12.94	14.38	16.07
DPS	3.96	4.50	4.70	4.90
Loans	2,238,765	2,531,063	2,869,718	3,254,805
Deposits	2,614,802	2,871,024	3,217,903	3,613,627
Total Assets	3,318,813	3,637,043	4,051,411	4,522,750
Margins and Growth				
NIM	4.3%	4.3%	4.2%	4.1%
Ratios				
Loan/ Deposit ratio	85.6%	88.2%	89.2%	90.1%
NPL / Loans	2.1%	2.4%	2.5%	2.6%
Coverage	106.2%	93.6%	90.7%	88.4%
CET 1	-	-	-	-
Non-int. income/ Income	25.0%	25.5%	26.4%	27.3%
Cost/Income	49.3%	48.6%	48.3%	48.0%
LLP/Loans	(0.3%)	(0.5%)	(0.6%)	(0.6%)
ROA	2.0%	1.9%	1.9%	1.8%
ROE	15.8%	14.6%	14.4%	14.4%
Valuation				
Dividend yield	2.9%	3.3%	3.5%	3.6%
Adj. P/E	11.4	10.8	10.0	9.0
P/ BV	1.6	1.5	1.4	1.2

Summary Investment Thesis and Valuation

Investment Thesis

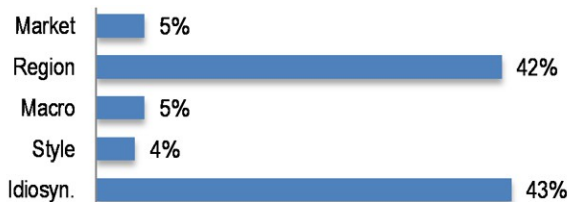
We are OW on BPI. Key reasons:

- BPI's digital push could place the bank on an accelerated medium-term growth path. Launches across digital and physical channels (via agency banking) allow the bank to reach new customers and potentially deliver higher growth over the next 2-3 years.
- The strategy is beginning to bear fruit, with the bank delivering market share gains in consumer and faster non-II growth. We expect 12% fee CAGR over the next 2Y, partly offsetting the NIM impact of lower rates.
- Further, following 3Y of significant increases in costs, we believe BPI is now in a position to focus on efficiency, leading to lower cost growth over the next 2Y.
- We expect the bank to deliver over 14-15% ROE over 2025/26, supporting the case for book value compounding.

Valuation

We use a two-stage DDM to arrive at our Dec-25 PT of Php150. Key assumptions include a CoE of 11.7%, Normalised RoE of 15.0% and terminal growth rate of 6.0%.

Performance Drivers



Factors	6M Corr	1Y Corr
Market: MSCI Asia Pac ex JP	0.42	0.23
Region: Philippines	0.62	0.67
Macro:		
Citi Economic Surprise - EM	0.43	0.17
Emerging Central Bank Rate	0.18	0.15
Emerging Economies CPI(YoY)	-0.17	-0.14
Quant Styles:		
Size	0.20	0.16
Growth	-0.09	-0.08
DivYld	0.02	0.04

Investment Thesis, Valuation and Risks

Bank of the Philippine Islands *(Overweight; Price Target: Php150.00)*

Investment Thesis

We are OW on BPI.

- BPI's digital push could place the bank on an accelerated medium-term growth path. Launches across digital and physical channels (via agency banking) allow the bank to reach new customers and potentially deliver higher growth over the next 2-3 years.
- The bank has impressive medium-term aspirations, highlighted by a target 50mn customers by 2026, a fourfold increase from the current 12mn. The strategy is underpinned by a shift to digital, including ramp up of its digital apps (led by e-wallet Vybe), a cut in branches, and a push in agency banking, among others.
- The strategy is beginning to bear fruit, with the bank delivering market share gains in consumer and faster non-II growth. We expect 12% fee CAGR over the next 2Y, partly offsetting the NIM impact of lower rates.
- Further, following 3Y of significant increases in costs, we believe BPI is now in a position to focus on efficiency, leading to lower cost growth over the next 2Y.
- We expect the bank to deliver over 14-15% ROE over 2025/26, supporting the case for book value compounding.
- The bank has utilized software-as-a-service (SaaS) from third-party technology providers in its digital push, which has helped accelerate rollout, but could limit economies of scale over the longer-term. A shift towards doing more in-house could lead to near-term cost impact, but pose medium-term upside.

Valuation

We use a two-stage DDM to arrive at our Dec-25 PT of Php150. Key assumptions include a CoE of 11.7%, RoE of 15.7% and terminal growth rate of 6.0%.

Risks to Rating and Price Target

Key upside catalysts include consistent market share gains, better-than-expected digital revenues, better cost control as the bank rationalizes branches, and stronger-than-expected non-II.

Downside risks include delays in launches of apps and functionality, a cost disappointment, and increased competition for digital by both FinTechs and banks, which could lead to lower-than-expected fees. Asset quality is a risk, given lower NPL coverage and faster growth targets at the bank.

Bank of the Philippine Islands: Summary of Financials

Income Statement						Balance Sheet					
	FY23A	FY24A	FY25E	FY26E	FY27E		FY23A	FY24A	FY25E	FY26E	FY27E
Interest income	145,572	189,954	207,191	223,525	241,938	Cash and cash equivalents	0	0	0	0	0
Interest expense	(41,222)	(62,368)	(66,531)	(70,180)	(74,534)	Deposits with banks	270,754	286,393	263,237	286,776	317,570
Net interest income	104,350	127,586	140,660	153,345	167,404	Net loans	1,882,007	2,238,765	2,531,063	2,869,718	3,254,805
Non interest income	33,971	42,553	48,202	55,096	62,740	PP&E	24,494	29,620	31,309	33,117	35,052
o/w Fee income	12,717	15,162	16,678	19,180	22,057	Net intangibles	0	0	0	0	0
o/w Trading income	5,144	6,771	6,780	7,213	7,675	LT investments	653,949	686,237	727,411	771,056	817,319
Net revenues	138,321	170,139	188,862	208,440	230,144	Other assets	2,863,878	3,289,193	3,605,733	4,018,294	4,487,698
Non interest expense	(69,110)	(83,796)	(91,878)	(100,748)	(110,476)	Total assets	2,888,372	3,318,813	3,637,043	4,051,411	4,522,750
o/w Employee costs	23,221	28,939	31,833	34,698	37,821	Interest earning assets	2,862,024	3,262,758	3,578,768	3,993,413	4,465,550
Pre-Prov. Profits	69,211	86,343	96,984	107,693	119,669	Deposits	2,295,106	2,614,802	2,871,024	3,217,903	3,613,627
Provisions	(4,000)	(6,600)	(12,164)	(16,146)	(18,319)	Borrowings	138,985	166,317	177,692	189,701	202,541
Adj. PBT	65,211	79,743	84,820	91,547	101,350	Other liabilities	233,896	271,321	291,096	312,178	334,816
Income taxes	(13,299)	(17,503)	(18,660)	(20,140)	(22,297)	Total liabilities	2,529,002	2,886,123	3,162,121	3,530,080	3,948,443
Minority interest	(225)	(191)	(203)	(219)	(243)	Shareholder equity	357,204	430,469	472,701	519,109	572,086
Adj. Net profit	51,687	62,049	65,956	71,187	78,810	Minority interests	2,166	2,221	2,221	2,221	2,221
PPOP per share	14.00	16.38	18.40	20.43	22.70	Total liabilities and Shareholder equity	2,888,372	3,318,813	3,637,043	4,051,411	4,522,750
Reported EPS	10.45	11.77	12.51	13.50	14.95	Interest bearing liabilities	2,315,241	2,607,605	2,914,918	3,228,160	3,611,886
Adj. EPS	10.45	11.77	12.51	13.50	14.95	Book Value Per Share	72.23	81.65	89.66	98.46	108.51
DPS	3.36	3.96	4.50	4.70	4.90	Tangible Book Value Per Share	72.23	81.65	89.66	98.46	108.51
Diluted shares outstanding	4,945	5,272	5,272	5,272	5,272						
Balance Sheet Gearing	FY23A	FY24A	FY25E	FY26E	FY27E	Asset Quality/Capital	FY23A	FY24A	FY25E	FY26E	FY27E
Loans/Deposits	82.0%	85.6%	88.2%	89.2%	90.1%	Loan loss reserves/Loans	(2.9%)	(2.2%)	(2.2%)	(2.2%)	(2.3%)
Investment/Assets	22.1%	21.6%	20.3%	19.5%	18.5%	NPLs/Loans	1.8%	2.1%	2.4%	2.5%	2.6%
Loan/Assets	67.3%	68.1%	70.1%	71.8%	73.1%	Loan loss reserves/NPLs	167.3%	127.3%	99.2%	92.0%	89.5%
Customer deposits/Liabilities	90.8%	90.6%	90.8%	91.2%	91.5%	NPL y/y growth	14.8%	36.5%	26.0%	19.1%	18.2%
LT debt/Liabilities	5.0%	5.6%	5.7%	5.5%	5.2%	Tier 1 ratio	15.3%	13.9%	14.0%	14.0%	14.0%
						CAR	16.2%	14.6%	14.7%	14.7%	14.6%
Ratio Analysis (%)	FY23A	FY24A	FY25E	FY26E	FY27E	Ratio Analysis (%)	FY23A	FY24A	FY25E	FY26E	FY27E
Net interest margin	4.1%	4.3%	4.3%	4.2%	4.1%	Return on equity (ROE)	15.3%	15.8%	14.6%	14.4%	14.4%
Non interest income/Net revenue	24.6%	25.0%	25.5%	26.4%	27.3%	Return on assets (ROA)	1.9%	2.0%	1.9%	1.9%	1.8%
Non interest income/Avg. Assets	1.2%	1.4%	1.4%	1.4%	1.5%	Operating ROA	2.4%	2.6%	2.4%	2.4%	2.4%
Efficiency ratio	50.0%	49.3%	48.6%	48.3%	48.0%	Pre-Tax ROA	2.4%	2.6%	2.4%	2.4%	2.4%
Leverage ratio	11.8%	11.8%	11.7%	11.8%	11.8%	Pre-Provision ROA	2.5%	2.8%	2.8%	2.8%	2.8%
Revenue/Assets	5.0%	5.5%	5.4%	5.4%	5.4%	Tax rate	20.4%	21.9%	22.0%	22.0%	22.0%
RORWA	2.6%	2.6%	2.4%	2.3%	2.3%						
RWA	2,118,317	2,641,674	2,909,634	2,411,283	2,618,200	Net loans y/y growth	10.5%	19.0%	13.1%	13.4%	13.4%
Avg. RWA	2,004,440	2,379,996	2,775,654	2,075,381	2,429,664	Assets y/y growth	10.9%	14.9%	9.6%	11.4%	11.6%
Avg. IEA	2,551,370	2,960,232	3,306,649	2,659,790	2,088,390	RWA y/y growth	12.0%	24.7%	10.1%	11.4%	11.6%
Gross Loans	1,937,321	2,290,128	2,588,120	2,935,582	3,330,660	Deposits y/y growth	9.5%	13.9%	9.8%	12.1%	12.3%
Avg. IBL	2,315,241	2,607,605	2,914,918	2,228,160	2,611,886	Net interest income y/y growth	22.7%	22.3%	10.2%	9.0%	9.2%
LLR	(55,314)	(51,363)	(57,056)	(65,863)	(75,855)	Revenues y/y growth	21.8%	23.0%	11.0%	10.4%	10.4%
NPLs	35,435	48,364	60,960	72,606	85,816	Adj. EPS y/y growth	29.8%	12.6%	6.3%	7.9%	10.7%
P/BV (x)	1.9	1.6	1.5	1.4	1.2	BVPS y/y growth	11.8%	13.0%	9.8%	9.8%	10.2%
Adj. P/E (x)	12.9	11.4	10.8	10.0	9.0	IE assets/Assets	92.9%	95.4%	95.1%	95.2%	95.4%
Dividend yield	2.5%	2.9%	3.3%	3.5%	3.6%	Margins (as % of Avg. Assets)	3.6%	4.0%	3.9%	3.9%	3.8%
Dividend payout	32.1%	33.6%	36.0%	34.8%	32.8%	LLP/Loans	(0.2%)	(0.3%)	(0.5%)	(0.6%)	(0.6%)
						Equity/Assets	12.3%	12.7%	13.0%	12.9%	12.7%
						Cost/Assets	2.5%	2.7%	2.6%	2.6%	2.6%
						Assets/Equity	8.1	7.9	7.7	7.8	7.9

Source: Company reports and J.P. Morgan estimates.

Note: Php in millions (except per-share data). Fiscal year ends Dec

Overweight

SECB.PS, SECB PM

Price (21 Mar 25):Php71.50

Price Target (Dec-25):Php120.00

Asia-ex Banks

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Morgan Broking (Hong Kong) Limited

Key Changes (FYE Dec)

	Prev	Cur
Adj. EPS - 25E (Php)	17.79	18.34

Quarterly Forecasts (FYE Dec)

Adj. EPS (Php)	2023A	2024E	2025E
Q1	3.13	3.49A	4.31
Q2	3.39	3.74A	5.08
Q3	3.52	3.99A	4.56
Q4	2.04	3.69	4.39
FY	12.08	14.91	18.34

Style Exposure

Quant Factors	Current %Rank	Hist %Rank (1=Top)			
		6M	1Y	3Y	5Y
Value	8	12	12	28	51
Growth	16	54	4	51	28
Momentum	20	85	85	93	39
Quality	78	74	1	35	39
Low Vol	51	12	8	31	70

Security Bank Corporation

A deep value play

We see SECB as a deep value play, with the stock trading at 0.35x 2025E PB for 9.7% ROE over next 3Y. Capital levels (~12% CET1 pro-forma post Home Credit deal) limits growth at the bank to ~10%, but we expect ROE improvement in 2025 to 9.4%, driven by NII, trading, and cost growth deceleration. Managing asset quality will be key following strong growth in consumer over last 12-18 months. The bank is a potential beneficiary in a scenario of faster rate cuts, posing upside to NIM and trading. A capital call would be negative.

Valuation

Table 74: SECB: Valuation

	Net Income (Php mn)	EPS (Php)	P/E (x)	BVPS (Php)	P/B (x)	Dividend (Php)	Div Yld (%)	RoA (%)	RoRWA (%)	RoE (%)
2021	6,917	9.2	7.8	166	0.43	3.00	4.2%	1.02%	1.24%	5.6%
2022	10,556	14.0	5.1	167	0.43	3.00	4.2%	1.37%	1.74%	8.4%
2023	9,105	12.1	5.9	181	0.40	3.00	4.2%	1.06%	1.33%	7.0%
2024E	11,238	14.9	4.8	187	0.38	3.00	4.2%	1.12%	1.39%	8.1%
2025E	13,819	18.3	3.9	203	0.35	3.00	4.2%	1.17%	1.46%	9.4%
2026E	15,117	20.1	3.6	220	0.33	3.00	4.2%	1.17%	1.46%	9.5%
2027E	17,655	23.4	3.1	240	0.30	3.00	4.2%	1.24%	1.54%	10.2%
Price (Php)		71.50		Number of shares (mn)		754		Market Cap (Php mn)		53,878
Normalised RoE				PB based Valuation				PE based Valuation		
NIM (on avg. assets)		4.07%		Risk-free rate		6.0%		Fair PE		5.9x
Non-IR/revenues		25.1%		Cost of capital		13.2%		12m Rolling EPS		PHP 19.1
Cost/income		58.6%		Long term growth		5.0%		PE based Fair Value		PHP 111.8
Operating RoA		2.25%		Fair PB		0.56x		Implied Value of Growth		
LLP/Loans		-1.10%		PV of Terminal Value		PHP 102		12m Rolling EPS		PHP 19.1
Net RoAA		1.18%		PV of Dividends		PHP 3		Capitalized Value (PHP)		PHP 144.7
Equity/Assets		12.3%		PV of today's Fair Value		PHP 105		Value of Growth (PHP)		-PHP 73.2
Normalised RoE		9.6%		PB based Fair Value		PHP 119		Attributable to Growth		-102.3%

Source: J.P. Morgan estimates, Bloomberg Finance L.P.

Sources for: Style Exposure – J.P. Morgan Quantitative and Derivatives Strategy; all other tables are company data and J.P. Morgan estimates.

Annual forecasts

Table 75: SECB: Annual P&L

Php Mn	2014	2015	2016	2017	2018	2019	2020	2021	2022	2023	2024	2025E	2026E	2027E
Interest Income	15,394	18,349	22,825	28,795	33,962	44,204	40,353	32,903	36,755	49,095	62,806	76,467	82,437	90,871
Interest Expense	(4,233)	(5,950)	(6,932)	(9,409)	(13,142)	(17,360)	(9,703)	(5,447)	(7,509)	(14,361)	(19,084)	(28,153)	(30,156)	(32,571)
Net Interest Income	11,161	12,399	15,893	19,386	20,820	26,844	30,650	27,456	29,246	34,734	43,722	48,314	52,281	58,300
Non-Interest Income	5,609	5,910	4,938	5,699	4,779	7,105	18,790	9,354	10,389	8,225	11,212	15,101	17,084	19,335
Net Fee income	1,515	2,110	2,173	2,320	2,927	4,084	3,632	4,531	5,285	6,068	8,921	9,099	10,191	11,414
Trading income	3,422	3,166	1,906	2,502	742	1,962	13,794	1,328	945	(1,804)	(1,474)	1,408	1,610	1,845
Other operating income	672	635	859	877	1,110	1,059	1,363	3,495	4,159	3,961	3,766	4,594	5,283	6,076
Total Revenues	16,769	18,309	20,832	25,085	25,599	33,949	49,439	36,811	39,635	42,959	54,935	63,415	69,365	77,635
Costs	(7,935)	(9,388)	(10,457)	(12,483)	(13,791)	(17,350)	(19,701)	(21,284)	(22,909)	(26,099)	(33,084)	(37,841)	(41,292)	(45,285)
PPOP	8,834	8,921	10,375	12,602	11,808	16,599	29,738	15,527	16,727	16,860	21,850	25,574	28,073	32,350
Loan loss provisions	(790)	(628)	(938)	(656)	(714)	(4,174)	(26,383)	(5,281)	(2,634)	(4,666)	(6,654)	(7,270)	(8,051)	(8,965)
Other provisions	36	9	(7)	5	(7)	(9)	(35)	15	(207)	(135)	44	-	-	-
Pre-Tax	8,080	8,302	9,431	11,951	11,086	12,415	3,320	10,262	13,885	12,059	15,240	18,304	20,022	23,385
Tax	(869)	(915)	(877)	(1,686)	(2,476)	(2,313)	3,319	(3,345)	(3,330)	(2,953)	(4,002)	(4,484)	(4,905)	(5,729)
MI & EO	(57)	(56)	(0)	(0)	(1)	(0)	-	-	-	-	-	-	-	-
Attributable Profits	7,155	7,699	8,554	10,265	8,609	10,102	7,432	6,917	10,556	9,105	11,238	13,819	15,117	17,655

Source: Company reports and J.P. Morgan estimates.

Table 76: SECB: Annual DuPont

	2014	2015	2016	2017	2018	2019	2020	2021	2022	2023	2024	2025E	2026E	2027E
NIM (% of avg. IEA)	3.37%	3.27%	3.12%	3.20%	3.27%	3.93%	4.71%	4.43%	4.23%	4.49%	4.73%	4.55%	4.50%	4.54%
IEA/Assets	88.9%	81.6%	83.0%	83.5%	83.6%	87.6%	90.0%	91.7%	89.7%	90.3%	92.4%	89.9%	89.7%	89.9%
Margins (% of avg. Assr)	3.00%	2.67%	2.59%	2.67%	2.73%	3.44%	4.24%	4.06%	3.79%	4.05%	4.37%	4.09%	4.03%	4.08%
Non-IR contribution	33.4%	32.3%	23.7%	22.7%	18.7%	20.9%	38.0%	25.4%	26.2%	19.1%	20.4%	23.8%	24.6%	24.9%
Non-IR/Avg. Assets	1.51%	1.27%	0.80%	0.79%	0.63%	0.91%	2.60%	1.38%	1.35%	0.96%	1.12%	1.28%	1.32%	1.35%
Revenue/Assets	4.50%	3.94%	3.40%	3.46%	3.36%	4.35%	6.84%	5.44%	5.14%	5.01%	5.49%	5.36%	5.35%	5.44%
Cost/Income	47.3%	51.3%	50.2%	49.8%	53.9%	51.1%	39.8%	57.8%	57.8%	60.8%	60.2%	59.7%	59.5%	58.3%
C/Assets	2.13%	2.02%	1.70%	1.72%	1.81%	2.22%	2.73%	3.15%	2.97%	3.05%	3.31%	3.20%	3.19%	3.17%
Pre-Provision ROA	2.37%	1.92%	1.69%	1.74%	1.55%	2.13%	4.11%	2.30%	2.17%	1.97%	2.18%	2.16%	2.17%	2.27%
LLP/Loans	-0.43%	-0.29%	-0.35%	-0.20%	-0.18%	-0.95%	-5.77%	-1.14%	-0.54%	-0.87%	-1.07%	-1.00%	-1.00%	-1.00%
Loan/Assets	49.0%	47.2%	43.7%	46.2%	52.4%	56.1%	63.2%	68.4%	63.9%	62.6%	62.4%	61.7%	62.2%	62.7%
Operating ROA	2.17%	1.79%	1.54%	1.65%	1.46%	1.59%	0.46%	1.52%	1.80%	1.41%	1.52%	1.55%	1.54%	1.64%
Pre-Tax ROA	2.17%	1.79%	1.54%	1.65%	1.46%	1.59%	0.46%	1.52%	1.80%	1.41%	1.52%	1.55%	1.54%	1.64%
Tax Rate	-10.8%	-11.0%	-9.3%	-14.1%	-22.3%	-18.6%	100.0%	-32.6%	-24.0%	-24.5%	-26.3%	-24.5%	-24.5%	-24.5%
Core ROA	1.92%	1.58%	1.39%	1.41%	1.13%	1.30%	0.92%	1.02%	1.37%	1.06%	1.12%	1.17%	1.17%	1.24%
Core RoRWA	2.57%	2.08%	1.86%	1.81%	1.39%	1.61%	1.11%	1.24%	1.74%	1.33%	1.39%	1.46%	1.46%	1.54%
Equity/Assets	11.8%	10.8%	12.3%	13.9%	14.1%	14.6%	16.7%	18.4%	16.3%	15.3%	13.9%	12.4%	12.3%	12.1%
Core ROE	16.3%	14.6%	11.4%	10.2%	8.0%	8.9%	5.5%	5.6%	8.4%	7.0%	8.1%	9.4%	9.5%	10.2%

Source: Company reports and J.P. Morgan estimates.

Quarterly forecasts

Table 77: SECB: Quarterly P&L

Php Mn	1Q23	2Q23	3Q23	4Q23	1Q24	2Q24	3Q24	4Q24	1Q25E	2Q25E	3Q25E	4Q25E
Interest Income	11,143	11,990	12,627	13,335	13,919	14,961	16,137	17,789	18,566	18,869	19,227	19,804
Interest Expense	(3,689)	(3,698)	(3,647)	(3,327)	(3,191)	(4,026)	(5,416)	(6,450)	(6,855)	(6,855)	(7,152)	(7,292)
Net Interest Income	7,454	8,292	8,980	10,008	10,728	10,935	10,721	11,339	11,711	12,014	12,075	12,513
Non-Interest Income	2,347	2,530	1,590	1,758	1,754	2,243	3,638	3,577	3,285	3,771	3,861	4,183
Net Fee income	1,312	1,486	1,506	1,764	3,099	1,768	1,809	2,244	2,020	2,181	2,247	2,652
Trading income	240	(7)	(944)	(1,093)	(2,142)	(504)	986	186	325	367	367	349
Other operating income	794	1,051	1,028	1,088	797	979	843	1,147	941	1,223	1,248	1,183
Total Revenues	9,800	10,822	10,570	11,766	12,482	13,178	14,359	14,916	14,997	15,786	15,936	16,696
Costs	(6,120)	(6,316)	(6,485)	(7,177)	(7,581)	(7,402)	(8,536)	(9,566)	(8,929)	(8,906)	(9,528)	(10,478)
PPOP	3,680	4,506	4,085	4,589	4,900	5,777	5,823	5,350	6,068	6,880	6,408	6,218
Loan loss provisions	(616)	(983)	(1,032)	(2,035)	(1,527)	(1,785)	(1,794)	(1,548)	(1,762)	(1,814)	(1,860)	(1,834)
Pre-Tax	3,064	3,523	3,053	2,419	3,374	3,991	4,029	3,846	4,306	5,066	4,548	4,384
Tax	(705)	(967)	(403)	(879)	(745)	(1,176)	(1,019)	(1,063)	(1,055)	(1,241)	(1,114)	(1,074)
Non recurring items (net of tax)	-	-	-	-	-	-	-	-	-	-	-	-
Attributable Profit	2,360	2,555	2,650	1,540	2,629	2,816	3,010	2,783	3,251	3,825	3,434	3,310

Source: Company reports and J.P. Morgan estimates.

Table 78: SECB: Quarterly DuPont

	1Q23	2Q23	3Q23	4Q23	1Q24	2Q24	3Q24	4Q24	1Q25E	2Q25E	3Q25E	4Q25E
NIM (% of avg. IEA)	4.06%	4.58%	4.86%	5.20%	5.32%	5.18%	4.66%	4.49%	4.57%	4.60%	4.51%	4.56%
IEA/Assets	89.8%	91.1%	91.8%	91.3%	91.7%	92.0%	93.1%	93.7%	90.1%	89.9%	89.9%	89.8%
Margins (% of avg. Assets)	3.64%	4.17%	4.46%	4.75%	4.88%	4.77%	4.34%	4.21%	4.12%	4.14%	4.05%	4.10%
Non-IR contribution	23.9%	23.4%	15.0%	14.9%	14.0%	17.0%	25.3%	24.0%	21.9%	23.9%	24.2%	25.1%
Non-IR/Avg. Assets	1.15%	1.27%	0.79%	0.83%	0.80%	0.98%	1.47%	1.33%	1.16%	1.30%	1.30%	1.37%
Revenue/Assets	4.79%	5.45%	5.25%	5.58%	5.68%	5.74%	5.81%	5.53%	5.27%	5.44%	5.35%	5.47%
Cost/Income	62.5%	58.4%	61.4%	61.0%	60.7%	56.2%	59.4%	64.1%	59.5%	56.4%	59.8%	62.8%
C/Assets	2.99%	3.18%	3.22%	3.40%	3.45%	3.23%	3.46%	3.55%	3.14%	3.07%	3.20%	3.43%
Pre-Provision ROA	1.80%	2.27%	2.03%	2.18%	2.23%	2.52%	2.36%	1.98%	2.13%	2.37%	2.15%	2.04%
LLP/Loans	-0.48%	-0.78%	-0.81%	-1.52%	-1.10%	-1.24%	-1.17%	-0.93%	-1.01%	-1.01%	-1.01%	-0.97%
Loan/Assets	62.5%	63.2%	63.2%	63.5%	63.4%	62.9%	62.3%	61.8%	61.5%	61.6%	61.6%	61.8%
Other Income/Assets	0.00%	0.00%	0.00%	-0.06%	0.00%	0.00%	0.00%	0.02%	0.00%	0.00%	0.00%	0.00%
Operating ROA	1.50%	1.77%	1.52%	1.21%	1.53%	1.74%	1.63%	1.41%	1.51%	1.74%	1.53%	1.44%
Pre-Tax ROA	1.50%	1.77%	1.52%	1.15%	1.53%	1.74%	1.63%	1.43%	1.51%	1.74%	1.53%	1.44%
Tax Rate	-23.0%	-27.5%	-13.2%	-36.3%	-22.1%	-29.5%	-25.3%	-27.6%	-24.5%	-24.5%	-24.5%	-24.5%
Core ROA	1.15%	1.29%	1.32%	0.73%	1.20%	1.23%	1.22%	1.03%	1.14%	1.32%	1.15%	1.08%
Core RoRWA	1.45%	1.58%	1.61%	0.89%	1.42%	1.44%	1.44%	1.26%	1.43%	1.64%	1.44%	1.35%
Equity/Assets	15.6%	16.3%	16.3%	15.9%	15.5%	15.0%	14.2%	13.2%	12.5%	12.5%	12.5%	12.4%
ROE	7.4%	7.9%	8.1%	4.6%	7.7%	8.2%	8.6%	7.8%	9.1%	10.5%	9.2%	8.7%

Source: Company reports and J.P. Morgan estimates.

Price Performance



	YTD	1m	3m	12m
Abs	-17.8%	-2.4%	-18.3%	5.5%
Rel	-13.8%	-5.2%	-16.1%	15.5%

Company Data

Shares O/S (mn)	754
52-week range (Php)	99.30-60.00
Market cap (\$ mn)	942
Exchange rate	57.21
Free float (%)	64.4%
3M ADV (mn)	0.27
3M ADV (\$ mn)	0.4
Volatility (90 Day)	36
Index	PSE
BBG ANR (Buy Hold Sell)	13 1 0

Key Metrics (FYE Dec)

Php in millions	FY23A	FY24E	FY25E	FY26E
Financial Estimates				
Net interest income	34,734	43,722	48,314	52,281
Non interest income	8,225	11,212	15,101	17,084
Operating expenses	(26,099)	(33,084)	(37,841)	(41,292)
Adj. PPOP	16,860	21,850	25,574	28,073
Provision for loan losses	(4,666)	(6,654)	(7,270)	(8,051)
Adj. PBT	12,059	15,240	18,304	20,022
Adj. net income	9,105	11,238	13,819	15,117
Adj. EPS	12.08	14.91	18.34	20.06
BBG EPS	13.57	15.16	18.07	20.28
DPS	3.00	3.00	3.00	3.00
Loans	538,329	677,813	746,272	825,518
Deposits	606,531	801,079	865,947	946,195
Total Assets	871,509	1,129,141	1,234,939	1,357,015
Margins and Growth				
NIM	4.5%	4.7%	4.5%	4.5%
Ratios				
Loan/ Deposit ratio	88.8%	84.6%	86.2%	87.2%
NPL / Loans	3.4%	2.9%	3.0%	3.1%
Coverage	83.0%	81.2%	83.0%	84.7%
CET 1	-	-	-	-
Non-int. income/ Income	19.1%	20.4%	23.8%	24.6%
Cost/Income	60.8%	60.2%	59.7%	59.5%
LLP/Loans	(0.9%)	(1.1%)	(1.0%)	(1.0%)
ROA	1.1%	1.1%	1.2%	1.2%
ROE	7.0%	8.1%	9.4%	9.5%
Valuation				
Dividend yield	4.2%	4.2%	4.2%	4.2%
Adj. P/E	5.9	4.8	3.9	3.6
P/ BV	0.4	0.4	0.4	0.3

Summary Investment Thesis and Valuation

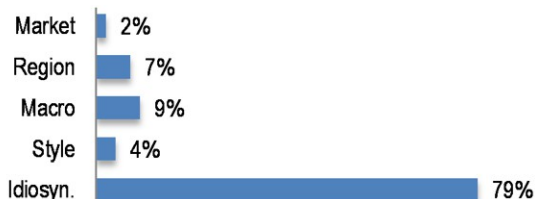
Investment Thesis

We are OW on Security Bank. Key reasons:

- We see SECB as a deep value play, with the stock trading at 0.35x 2025E PB for 9.7% ROE over next 3Y.
- Capital levels (~12% CET1 pro-forma post Home Credit deal) limits growth at the bank to ~10%, but we expect ROE improvement in 2025 to 9.4%, driven by NII, trading, and cost growth deceleration.
- The bank has retooled its underwriting models, with changes to underwriting models for retail, increased use of data, and improved collection processes. Managing asset quality will be key following strong growth in consumer over last 12-18 months.
- The bank has a fairly large investment book, with FVOCI at 16% of assets. This suggests opportunities to book gains, as rates decline. We factor in an increase in treasury income in 2025-26E vs. losses in 2024E.

We use a two-stage DDM to arrive at our Dec-25 PT of Php120. Key assumptions include a normalized RoE of 9.6%, CoE of 13.2% and terminal growth rate of 5%.

Performance Drivers



Factors	6M Corr	1Y Corr
Market: MSCI Asia Pac ex JP	0.21	0.14
Region: Philippines	0.42	0.26
Macro:		
JP Morgan GBI-EM Global Div	0.27	0.26
JPM China A-shares Sentiment	-0.16	-0.16
US 10 Year Yield	-0.20	-0.16
Quant Styles:		
Quality	-0.07	-0.14
Growth	-0.13	-0.08
Momentum	0.02	-0.08

Source: J.P. Morgan Quantitative and Derivatives Strategy for Performance Drivers; company data, Bloomberg Finance L.P. and J.P. Morgan estimates for all other tables. Note: Price history may not be complete or exact.

Investment Thesis, Valuation and Risks

Security Bank Corporation *(Overweight; Price Target: Php120.00)*

Investment Thesis

We are OW on Security Bank. Key reasons:

- We see SECB as a deep value play, with the stock trading at 0.35x 2025E PB for 9.7% ROE over next 3Y.
- Capital levels (~12% CET1 pro-forma post Home Credit deal) limits growth at the bank to ~10%, but we expect ROE improvement in 2025 to 9.4%, driven by NII, trading, and cost growth deceleration.
- The bank has had multiple disappointments on asset quality since 2020. NPL formation of 7.3% during 2020-21 was one of the highest in the sector. However, the bank has retooled its underwriting models, with changes to underwriting models for retail, increased use of data, and improved collection processes. Managing asset quality will be key following strong growth in consumer over last 12-18 months.
- The bank has a fairly large investment book, with FVOCI at 16% of assets. This suggests opportunities to book gains, as rates decline. We factor in an increase in treasury income in 2025-26E vs. losses in 2024E.
- SECB is in the investment phase, and is in the process of building out capabilities in digital (retail platform launched in 1H24, corporate in 2H24). We expect deceleration in cost growth from 2025.

Valuation

We use a two-stage DDM to arrive at our Dec-25 PT of Php120. Key assumptions include a normalized RoE of 9.6%, CoE of 13.2% and terminal growth rate of 5%.

Risks to Rating and Price Target

The key downside risk to our view is a further disappointment in asset quality, which would limit the case for a re-rating of the stock. Inability to accelerate growth and a sharp increase in costs would also be negative. A capital call would be negative as well.

Upside catalysts include earnings growth delivery, stability in asset quality, and large trading gains. Better-than-expected NIM would also be positive.

Security Bank Corporation: Summary of Financials

Income Statement						Balance Sheet					
	FY22A	FY23A	FY24E	FY25E	FY26E		FY22A	FY23A	FY24E	FY25E	FY26E
Interest income	36,755	49,095	62,806	76,467	82,437	Cash and cash equivalents	0	0	0	0	0
Interest expense	(7,509)	(14,361)	(19,084)	(28,153)	(30,156)	Deposits with banks	123,804	75,871	73,034	76,561	80,048
Net interest income	29,246	34,734	43,722	48,314	52,281	Net loans	502,617	538,329	677,813	746,272	825,518
Non interest income	10,389	8,225	11,212	15,101	17,084	PP&E	5,279	6,429	8,035	8,678	9,372
o/w Fee income	5,285	6,068	8,921	9,099	10,191	Net intangibles	0	0	0	0	0
o/w Trading income	945	(1,804)	(1,474)	1,408	1,610	LT investments	192,129	229,529	340,653	361,092	397,201
Net revenues	39,635	42,959	54,935	63,415	69,365	Other assets	837,012	865,080	1,121,106	1,226,261	1,347,643
Non interest expense	(22,909)	(26,099)	(33,084)	(37,841)	(41,292)	Total assets	842,291	871,509	1,129,141	1,234,939	1,357,015
o/w Employee costs	7,539	8,913	10,839	12,464	13,586	Interest earning assets	835,029	859,246	1,107,812	1,202,915	1,324,724
Pre-Prov. Profits	16,727	16,860	21,850	25,574	28,073	Deposits	605,837	606,531	801,079	865,947	946,195
Provisions	(2,634)	(4,666)	(6,654)	(7,270)	(8,051)	Borrowings	88,032	100,303	152,375	178,291	203,463
Adj. PBT	13,885	12,059	15,240	18,304	20,022	Other liabilities	110,606	128,848	186,924	216,295	245,268
Income taxes	(3,330)	(2,953)	(4,002)	(4,484)	(4,905)	Total liabilities	716,443	735,379	988,003	1,082,242	1,191,463
Minority interest	0	0	0	0	0	Shareholder equity	125,848	136,130	141,138	152,696	165,552
Adj. Net profit	10,556	9,105	11,238	13,819	15,117	Minority interests	0	0	0	0	0
PPOP per share	22.20	22.37	29.00	33.94	37.25	Total liabilities and Shareholder equity	842,291	871,509	1,129,141	1,234,939	1,357,015
Reported EPS	14.01	12.08	14.91	18.34	20.06	Interest bearing liabilities	624,822	700,352	830,144	998,846	1,096,948
Adj. EPS	14.01	12.08	14.91	18.34	20.06	Book Value Per Share	167.01	180.65	187.30	202.64	219.70
DPS	3.00	3.00	3.00	3.00	3.00	Tangible Book Value Per Share	167.01	180.65	187.30	202.64	219.70
Diluted shares outstanding	754	754	754	754	754	Asset Quality/Capital	FY22A	FY23A	FY24E	FY25E	FY26E
Loans/Deposits	83.0%	88.8%	84.6%	86.2%	87.2%	Loan loss reserves/Loans	(3.2%)	(2.8%)	(2.4%)	(2.5%)	(2.6%)
Investment/Assets	19.7%	24.6%	28.5%	29.7%	29.3%	NPLs/Loans	3.1%	3.4%	2.9%	3.0%	3.1%
Loan/Assets	63.9%	62.6%	62.4%	61.7%	62.2%	Loan loss reserves/NPLs	97.8%	92.3%	82.0%	82.1%	83.9%
Customer deposits/Liabilities	84.6%	82.5%	81.1%	80.0%	79.4%	NPL y/y growth	(13.0%)	17.1%	7.5%	13.8%	13.4%
LT debt/Liabilities	9.3%	13.0%	14.7%	16.0%	16.8%	Tier 1 ratio	16.1%	15.3%	12.9%	12.3%	12.3%
Ratio Analysis (%)	FY22A	FY23A	FY24E	FY25E	FY26E	CAR	16.6%	16.2%	13.8%	13.1%	13.1%
Net interest margin	4.2%	4.5%	4.7%	4.5%	4.5%	Ratio Analysis (%)	FY22A	FY23A	FY24E	FY25E	FY26E
Non interest income/Net revenue	26.2%	19.1%	20.4%	23.8%	24.6%	Return on equity (ROE)	8.4%	7.0%	8.1%	9.4%	9.5%
Non interest income/Avg. Assets	1.3%	1.0%	1.1%	1.3%	1.3%	Return on assets (ROA)	1.4%	1.1%	1.1%	1.2%	1.2%
Efficiency ratio	57.8%	60.8%	60.2%	59.7%	59.5%	Operating ROA	1.8%	1.4%	1.5%	1.5%	1.5%
Leverage ratio	13.6%	12.7%	11.7%	10.3%	10.4%	Pre-Tax ROA	1.8%	1.4%	1.5%	1.5%	1.5%
Revenue/Assets	5.1%	5.0%	5.5%	5.4%	5.4%	Pre-Provision ROA	2.2%	2.0%	2.2%	2.2%	2.2%
RORWA	1.7%	1.3%	1.4%	1.5%	1.5%	Tax rate	24.0%	24.5%	26.3%	24.5%	24.5%
RWA	652,590	714,078	905,091	989,896	1,087,750	Net loans y/y growth	12.0%	7.1%	25.9%	10.1%	10.6%
Avg. RWA	607,902	683,334	809,585	947,494	1,038,823	Assets y/y growth	20.4%	3.5%	29.6%	9.4%	9.9%
Avg. IEA	691,395	773,578	924,365	1,062,935	1,162,714	RWA y/y growth	15.9%	9.4%	26.7%	9.4%	9.9%
Gross Loans	519,096	553,847	694,125	765,262	847,475	Deposits y/y growth	15.7%	0.1%	32.1%	8.1%	9.3%
Avg. IBL	624,822	700,352	830,144	998,846	1,096,948	Net interest income y/y growth	6.5%	18.8%	25.9%	10.5%	8.2%
LLR	(16,478)	(15,517)	(16,312)	(18,990)	(21,957)	Revenues y/y growth	7.7%	8.4%	27.9%	15.4%	9.4%
NPLs	15,958	18,694	20,100	22,877	25,938	Adj. EPS y/y growth	52.6%	(13.7%)	23.4%	23.0%	9.4%
P/BV (x)	0.4	0.4	0.4	0.4	0.3	BVPS y/y growth	0.6%	8.2%	3.7%	8.2%	8.4%
Adj. P/E (x)	5.1	5.9	4.8	3.9	3.6	IE assets/Assets	89.7%	90.3%	92.4%	89.9%	89.7%
Dividend yield	4.2%	4.2%	4.2%	4.2%	4.2%	Margins (as % of Avg. Assets)	3.4%	3.7%	4.1%	3.8%	3.7%
Dividend payout	21.4%	24.8%	20.1%	16.4%	15.0%	LLP/Loans	(0.5%)	(0.9%)	(1.1%)	(1.0%)	(1.0%)
						Equity/Assets	16.3%	15.3%	13.9%	12.4%	12.3%
						Cost/Assets	3.0%	3.0%	3.3%	3.2%	3.2%
						Assets/Equity	6.1	6.5	7.2	8.0	8.1

Source: Company reports and J.P. Morgan estimates.

Note: Php in millions (except per-share data). Fiscal year ends Dec

Overweight

ACB.HM, ACB VN

Price (21 Mar 25):D26100

Price Target (Dec-25):D32,000.00

Asia-ex Banks

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Quarterly Forecasts (FYE Dec)

Adj. EPS (D)

	2024A	2025E	2026E
Q1	874.35	937.64	
Q2	1,000.43	949.32	
Q3	866.51	1,013.87	
Q4	1,017.62	1,094.34	
FY	3,725.33	3,961.59	4,682.17

Style Exposure

Quant Factors	Current %Rank	Hist %Rank (1=Top)			
		6M	1Y	3Y	5Y
Value	29	29	29	15	43
Growth	43	58	58	29	43
Momentum	1	29	15	43	43
Quality	43	43	15	43	43
Low Vol	15	1	43	58	43

Asia Commercial Bank

Risk-reward remains attractive

The stock is trading at 1.2x 2025E PB, for 20% ROE over the next 3 years. This offers attractive risk-reward. The operating outlook is steady, with NIM broadly holding near 4Q range and credit growth intact at 16%. The bank has increasingly shifted transactions to digital, allowing for improved operating efficiency over next few years. Asset quality is manageable, with minimal restructured loans (0.2%). That said, the bank's consumer/SME-led business could see challenges if tariffs are worse than expected.

Valuation

Table 79: ACB: Valuation

	Core Net (VND bn)	Core EPS (VND)	P/E (x)	BVPS (VND)	P/B (x)	Dividend (VND)	Div Yld (%)	Core RoA (%)	Core RoRWA (%)	Core RoE (%)
2021	9,603	2,116	12.3	10,052	2.60	-	0.0%	1.94%		23.5%
2022	13,688	3,031	8.6	13,083	1.99	-	0.0%	2.38%		26.2%
2023	16,045	3,559	7.3	15,886	1.64	756	2.9%	2.40%		24.6%
2024	16,790	3,725	7.0	18,685	1.40	870	3.3%	2.10%		21.6%
2025E	17,845	3,962	6.6	21,681	1.20	1,000	3.8%	1.92%		19.6%
2026E	21,064	4,682	5.6	25,196	1.04	1,200	4.6%	2.00%		20.0%
2027E	24,966	5,556	4.7	29,586	0.88	1,200	4.6%	2.11%		20.3%

Price (VND)	26,100	Number of shares (mn)	4,467	Market Cap (VND bn)	116,580
Normalised RoE		PB based Valuation		PE based Valuation	
NIM (on avg. assets)	3.31%	Risk-free rate	6.00%	Fair PE	8.0x
Non-IR/revenues	15.8%	Cost of capital	13.5%	12m Rolling EPS	VND4,121
Cost/income	31.0%	Long term growth	3.50%	PE based Fair Value	VND32,992
Operating RoA	2.71%	Fair PB	1.40x	Implied Value of Growth	
LLP/Loans	-0.70%	PV of Terminal Value	VND27,699	12m Rolling EPS	VND4,121
Net RoAA	1.77%	PV of Dividends	VND906	Capitalized Value (VND)	VND30,526
Equity/Assets	10.1%	PV of today's Fair Value	VND28,605	Value of Growth (VND)	-VND4,426
Normalised RoE	17.5%	PB based Fair Value	VND32,467	Attributable to Growth	-17.0%

Source: J.P. Morgan estimates, Bloomberg Finance L.P.

Sources for: Style Exposure – J.P. Morgan Quantitative and Derivatives Strategy; all other tables are company data and J.P. Morgan estimates.

Annual forecasts

Table 80: ACB: Annual P&L

In VND bn	2016	2017	2018	2019	2020	2021	2022	2023	2024	2025E	2026E	2027E
Interest Income	16,448	20,320	24,015	28,318	31,856	33,714	40,699	52,347	50,903	57,980	67,468	77,759
Interest Expense	(9,556)	(11,862)	(13,652)	(16,205)	(17,274)	(14,769)	(17,165)	(27,387)	(23,108)	(28,418)	(32,835)	(37,681)
Net Interest Income	6,892	8,458	10,363	12,112	14,582	18,945	23,534	24,960	27,795	29,563	34,633	40,078
Non-Interest Income	591	2,612	1,905	2,557	3,370	4,403	4,470	6,907	4,979	5,718	6,476	7,343
Net Fee income	944	1,188	1,498	1,896	1,695	2,894	3,526	2,922	3,239	3,692	4,283	4,968
Trading income	(584)	865	332	560	1,586	1,566	681	3,926	1,821	1,945	2,104	2,277
Other operating income	231	558	76	101	90	(56)	262	59	(81)	81	89	98
Total Revenues	7,483	11,070	12,268	14,670	17,953	23,348	28,003	31,866	32,774	35,281	41,109	47,421
Costs	(4,678)	(6,217)	(6,712)	(8,308)	(7,624)	(8,230)	(11,605)	(10,874)	(10,903)	(11,679)	(12,711)	(13,837)
PPOP	2,805	4,852	5,556	6,362	10,328	15,118	16,398	20,992	21,871	23,602	28,399	33,584
Loan loss provisions	(1,138)	(2,196)	833	1,154	(732)	(3,120)	716	(924)	(865)	(1,296)	(2,069)	(2,377)
Pre-Tax	1,667	2,656	6,389	7,516	9,596	11,998	17,114	20,068	21,006	22,306	26,330	31,207
Tax	(342)	(538)	(1,252)	(1,506)	(1,913)	(2,395)	(3,426)	(4,023)	(4,216)	(4,461)	(5,266)	(6,241)
Net income	1,325	2,118	5,137	6,010	7,683	9,603	13,688	16,045	16,790	17,845	21,064	24,966
Attributable profit	1,275	1,968	4,987	5,910	7,583	9,453	13,538	15,895	16,640	17,695	20,914	24,816

Source: Company reports and J.P. Morgan estimates.

Table 81: ACB: Annual DuPont

	2016	2017	2018	2019	2020	2021	2022	2023	2024	2025E	2026E	2027E
NIM (% of avg. IEA)	3.17%	3.27%	3.38%	3.40%	3.52%	3.90%	4.14%	3.76%	3.62%	3.44%	3.56%	3.66%
IEA/Assets	100%	100%	100%	100%	100%	100%	100%	100%	97%	93%	93%	93%
Margins (% of avg. Assets)	3.17%	3.27%	3.38%	3.40%	3.52%	3.90%	4.14%	3.76%	3.51%	3.20%	3.32%	3.41%
Non-IR/Avg. Assets	0.27%	1.01%	0.62%	0.72%	0.81%	0.91%	0.79%	1.04%	0.63%	0.62%	0.62%	0.63%
Revenue/Assets	3.44%	4.27%	4.00%	4.12%	4.34%	4.80%	4.93%	4.80%	4.14%	3.82%	3.94%	4.04%
Cost/Income	62.5%	56.2%	54.7%	56.6%	42.5%	35.2%	41.4%	34.1%	33.3%	33.1%	30.9%	29.2%
C/Assets	2.15%	2.40%	2.19%	2.33%	1.84%	1.69%	2.04%	1.64%	1.38%	1.26%	1.22%	1.18%
Pre-Provision ROA	1.29%	1.87%	1.81%	1.78%	2.49%	3.11%	2.89%	3.16%	2.76%	2.55%	2.72%	2.86%
LLP/Loans	-0.76%	-1.21%	0.39%	0.46%	-0.25%	-0.93%	0.18%	-0.21%	-0.16%	-0.21%	-0.29%	-0.29%
Pre-Tax ROA	0.77%	1.03%	2.08%	2.11%	2.32%	2.47%	3.01%	3.03%	2.65%	2.41%	2.52%	2.66%
Tax Rate	-20.5%	-20.3%	-19.6%	-20.0%	-19.9%	-20.0%	-20.0%	-20.0%	-20.1%	-20.0%	-20.0%	-20.0%
Minorities & Outside Int.	0.00%	0.00%	0.00%	0.00%	0.00%	0.00%	0.00%	0.00%	0.00%	0.00%	0.00%	0.00%
ROA	0.59%	0.76%	1.63%	1.66%	1.83%	1.94%	2.38%	2.40%	2.10%	1.92%	2.00%	2.11%
Equity/Assets	6.2%	5.8%	6.0%	6.8%	7.6%	8.3%	9.1%	9.8%	9.8%	9.8%	10.0%	10.4%
ROE	9.5%	13.1%	26.9%	24.2%	24.0%	23.5%	26.2%	24.6%	21.6%	19.6%	20.0%	20.3%

Source: Company reports and J.P. Morgan estimates.

Quarterly forecasts

Table 82: ACB: Quarterly P&L

In VND bn	1Q23	2Q23	3Q23	4Q23	1Q24	2Q24	3Q24	4Q24	1Q25E	2Q25E	3Q25E	4Q25E
Net Interest Income	6,215	6,246	6,209	6,290	6,722	7,112	6,881	7,080	7,041	7,095	7,520	7,907
Non-Interest Income	1,172	1,640	2,117	1,978	1,271	1,391	1,063	1,254	1,312	1,427	1,473	1,506
Net Fee income	627	804	764	727	745	878	747	869	808	905	977	1,002
Trading income	480	807	1,265	1,373	634	371	285	531	482	502	475	486
Other operating income	65	29	88	(123)	(108)	142	31	(146)	22	20	21	19
Total Revenues	7,387	7,886	8,326	8,268	7,993	8,502	7,944	8,334	8,353	8,522	8,993	9,413
Costs	(2,508)	(2,485)	(2,868)	(3,013)	(2,764)	(2,466)	(2,934)	(2,739)	(2,827)	(2,928)	(3,025)	(2,899)
PPOP	4,879	5,400	5,458	5,254	5,229	6,037	5,011	5,595	5,526	5,594	5,969	6,514
Loan loss provisions	277	(568)	(423)	(211)	(337)	(439)	(167)	76	(290)	(293)	(308)	(404)
Pre-Tax	5,156	4,832	5,035	5,044	4,892	5,598	4,844	5,671	5,235	5,300	5,661	6,110
Tax	(1,021)	(967)	(998)	(1,037)	(987)	(1,130)	(974)	(1,126)	(1,047)	(1,060)	(1,132)	(1,222)
Net income	4,135	3,866	4,038	4,006	3,905	4,469	3,870	4,545	4,188	4,240	4,529	4,888
Attributable profit	4,135	3,866	4,038	4,006	3,905	4,469	3,870	4,545	4,188	4,240	4,529	4,888

Source: Company reports and J.P. Morgan estimates.

Table 83: ACB: Quarterly DuPont

	1Q23	2Q23	3Q23	4Q23	1Q24	2Q24	3Q24	4Q24	1Q25E	2Q25E	3Q25E	4Q25E
NIM (% of avg. IEA)	4.08%	4.02%	3.88%	3.68%	3.72%	3.66%	3.51%	3.59%	3.55%	3.51%	3.58%	3.60%
IEA/Assets	101%	99%	98%	94%	101%	101%	100%	91%	91%	91%	91%	91%
Margins (% of avg. Assets)	4.13%	3.96%	3.80%	3.47%	3.75%	3.70%	3.51%	3.25%	3.21%	3.18%	3.25%	3.26%
Non-IR/Avg. Assets	0.77%	1.06%	1.32%	1.19%	0.70%	0.74%	0.55%	0.62%	0.63%	0.65%	0.65%	0.64%
Revenue/Assets	4.85%	5.08%	5.21%	4.97%	4.42%	4.54%	4.11%	4.15%	3.98%	3.88%	3.98%	4.01%
Cost/Income	33.9%	31.5%	34.4%	36.4%	34.6%	29.0%	36.9%	32.9%	33.8%	34.4%	33.6%	30.8%
C/Assets	1.65%	1.60%	1.79%	1.81%	1.53%	1.32%	1.52%	1.36%	1.35%	1.33%	1.34%	1.23%
Pre-Provision ROA	3.20%	3.48%	3.41%	3.16%	2.89%	3.23%	2.59%	2.78%	2.63%	2.55%	2.64%	2.77%
LLP/Loans	0.27%	-0.54%	-0.38%	-0.18%	-0.27%	-0.33%	-0.12%	0.05%	-0.20%	-0.20%	-0.20%	-0.25%
Pre-Tax ROA	3.38%	3.11%	3.15%	3.03%	2.71%	2.99%	2.50%	2.82%	2.50%	2.41%	2.51%	2.60%
Tax Rate	-19.8%	-20.0%	-19.8%	-20.6%	-20.2%	-20.2%	-20.1%	-19.9%	-20.0%	-20.0%	-20.0%	-20.0%
Minorities & Outside Int.	0.00%	0.00%	0.00%	0.00%	0.00%	0.00%	0.00%	0.00%	0.00%	0.00%	0.00%	0.00%
ROA	2.71%	2.49%	2.52%	2.41%	2.16%	2.39%	2.00%	2.26%	2.00%	1.93%	2.00%	2.08%
Equity/Assets	9.9%	10.1%	10.1%	10.3%	10.1%	10.0%	9.9%	10.1%	10.2%	10.0%	9.9%	10.0%
ROE	27.3%	24.7%	24.9%	23.3%	21.4%	23.9%	20.2%	22.4%	19.6%	19.4%	20.2%	20.7%

Source: Company reports and J.P. Morgan estimates.

Price Performance



Company Data

Shares O/S (mn)	4,467
52-week range (D)	26,800.00-23,000.00
Market cap (\$ mn)	4,561.77
Exchange rate	25,555.84
Free float (%)	82.8%
3M ADV (mn)	6.55
3M ADV (\$ mn)	6.6
Volatility (90 Day)	12
Index	VNINDEX
BBG ANR (Buy Hold Sell)	13 2 0

Key Metrics (FYE Dec)

D in billions	FY24A	FY25E	FY26E	FY27E
Financial Estimates				
Net interest income	27,795	29,563	34,633	40,078
Non interest income	4,979	5,718	6,476	7,343
Operating expenses	(10,903)	(11,679)	(12,711)	(13,837)
Adj. PPOP	21,871	23,602	28,399	33,584
Provision for loan losses	(865)	(1,296)	(2,069)	(2,377)
Adj. PBT	21,006	22,306	26,330	31,207
Adj. net income	16,640	17,695	20,914	24,816
Adj. EPS	3,725.33	3,961.59	4,682.17	5,555.75
BBG EPS	3,811.12	4,380.01	5,114.64	6,099.17
DPS	869.57	1,000.00	1,200.00	1,200.00
Loans	573,947	664,497	762,346	874,928
Deposits	537,305	625,471	712,914	812,588
Total Assets	864,006	983,950	1,105,038	1,243,393
Margins and Growth				
NIM	3.6%	3.4%	3.6%	3.7%
Ratios				
Loan/ Deposit ratio	106.8%	106.2%	106.9%	107.7%
NPL / Loans	1.5%	1.5%	1.5%	1.4%
Coverage	77.9%	81.2%	95.6%	109.2%
CET 1	-	-	-	-
Non-int. income/ Income	15.2%	16.2%	15.8%	15.5%
Cost/Income	33.3%	33.1%	30.9%	29.2%
LLP/Loans	(0.2%)	(0.2%)	(0.3%)	(0.3%)
ROA	2.1%	1.9%	2.0%	2.1%
ROE	21.6%	19.6%	20.0%	20.3%
Valuation				
Dividend yield	3.3%	3.8%	4.6%	4.6%
Adj. P/E	7.0	6.6	5.6	4.7
P/ BV	1.4	1.2	1.0	0.9

Summary Investment Thesis and Valuation

Investment Thesis

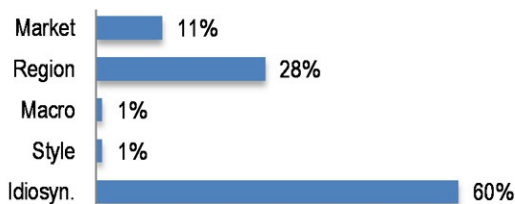
We have an OW rating on ACB.

- ACB has navigated asset quality issues to build one of the largest retail and SME portfolios in Vietnam. These segments have been the bank's focus since its inception in 1993 and now account for 93% of loans. ACB's growth has been supported by conservative underwriting (98% of loans secured, 56% effective LTV), which has led to sector-low credit costs since 2013. These continue to drive the franchise, even as ACB looks to navigate the digital shift.
- ACB has relatively low real estate exposure at 4% of loans and no corporate bonds on its balance sheet. This limits potential risks from the sector. We expect relative resilience and high ROE (~20%) from 2025-27E.
- Non-interest income remains a driver at ACB. On top of its US\$370mn upfront fee (booked at the beginning of 2021 for 15 years), bancassurance should begin to recover following challenges in the past 12 months. We expect bancassurance to drive an 18% fee income CAGR in the next two years as ACB increases cross-selling to its 7mn customers.

Valuation

Our Dec-25 PT of D32,000 is based on a two-stage DDM. Key assumptions include a normalized ROE of 17.5%, a risk-free rate of 6%, a cost of capital of 13.5% and terminal growth of 3.5%.

Performance Drivers



Factors	6M Corr	1Y Corr
Market: MSCI Asia Pac ex JP	0.48	0.32
Region: Vietnam	0.63	0.56
Macro:		
HSI Volatility Index	-0.28	-0.23
US 10 Year Yield	-0.31	-0.20
Emerging Central Bank Rate	-0.34	-0.19
Quant Styles:		
DivYld	-0.03	-0.19
Value	-0.05	-0.18
Growth	0.13	0.17

Source: J.P. Morgan Quantitative and Derivatives Strategy for Performance Drivers; company data, Bloomberg Finance L.P. and J.P. Morgan estimates for all other tables. Note: Price history may not be complete or exact.

Investment Thesis, Valuation and Risks

Asia Commercial Bank *(Overweight; Price Target: D32,000.00)*

Investment Thesis

We have an OW rating on ACB.

- ACB has navigated asset quality issues to build one of the largest retail and SME portfolios in Vietnam. These segments have been the bank's focus since its inception in 1993 and now account for 93% of loans. ACB's growth has been supported by conservative underwriting (98% of loans secured, 56% effective LTV), which has led to sector-low credit costs since 2013. These continue to drive the franchise, even as ACB looks to navigate the digital shift.
- ACB has relatively low real estate exposure at 4% of loans and no corporate bonds in its balance sheet. This limits potential risks from the sector. We expect relative resilience and high ROE (~20%) from 2025-27E.
- Non-interest income remains a driver at ACB. On top of its US\$370mn upfront fee (booked at the beginning of 2021 for 15 years), bancassurance should begin to recover following challenges in the past 12 months. We expect bancassurance to drive an 17% fee income CAGR in the next two years as ACB increases cross-selling to its 7mn customers.
- Management's preference is to maintain capital near current levels, owing to a focus on RoE. However, lower capital, along with the bank's conservatism on underwriting, suggests slower volume growth. We expect low teens loan growth.
- These are not being priced in at current valuations of 1.2x 2025E P/B and 6.6x P/E, in our view.

Valuation

Our Dec-25 PT of D32,000 is based on a two-stage DDM. Key assumptions include a normalized ROE of 17.5%, a risk-free rate of 6%, a cost of capital of 13.5% and terminal growth of 3.5%.

Risks to Rating and Price Target

Key downside risks include a worse-than-expected asset quality outcome; weaker-than-expected NIM, as lower CASA suggests risks of sharp CoF moves as overall liquidity remains fairly tight; disappointment in fees; and costs, as the bank invests in operational and technological infrastructure.

Key upside catalysts could include better-than-expected loan growth and NIM; lower provisions and NPLs; and better-than-expected cost efficiency.

Asia Commercial Bank: Summary of Financials

Income Statement						Balance Sheet					
	FY23A	FY24A	FY25E	FY26E	FY27E		FY23A	FY24A	FY25E	FY26E	FY27E
Interest income	52,347	50,903	57,980	67,468	77,759	Cash and cash equivalents	0	0	0	0	0
Interest expense	(27,387)	(23,108)	(28,418)	(32,835)	(37,681)	Deposits with banks	140,288	148,798	164,112	172,090	181,089
Net interest income	24,960	27,795	29,563	34,633	40,078	Net loans	482,235	573,947	664,497	762,346	874,928
Non interest income	6,907	4,979	5,718	6,476	7,343	PP&E	4,763	5,412	5,693	5,989	6,301
o/w Fee income	2,922	3,239	3,692	4,283	4,968	Net intangibles	0	0	0	0	0
o/w Trading income	3,926	1,821	1,945	2,104	2,277	LT investments	80,780	125,096	137,606	151,367	166,503
Net revenues	31,866	32,774	35,281	41,109	47,421	Other assets	91,509	135,848	149,648	164,613	181,074
Non interest expense	(10,874)	(10,903)	(11,679)	(12,711)	(13,837)	Total assets	718,795	864,006	983,9501	1,105,0381	1,243,393
o/w Employee costs	6,215	6,468	6,921	7,475	8,073	Interest earning assets	708,670	854,581	974,6541	1,096,6981	1,236,238
Pre-Prov. Profits	20,992	21,871	23,602	28,399	33,584	Deposits	482,703	537,305	625,471	712,914	812,588
Provisions	(924)	(865)	(1,296)	(2,069)	(2,377)	Borrowings	141,958	221,225	237,424	252,943	269,354
Adj. PBT	20,068	21,006	22,306	26,330	31,207	Other liabilities	165,136	243,239	261,640	279,580	298,655
Income taxes	(4,023)	(4,216)	(4,461)	(5,266)	(6,241)	Total liabilities	647,839	780,544	887,110	992,4951	1,111,244
Minority interest	0	0	0	0	0	Shareholder equity	70,956	83,462	96,840	112,544	132,149
Adj. Net profit	15,895	16,640	17,695	20,914	24,816	Minority interests	0	0	0	0	0
PPOP per share	4,699.72	4,896.55	5,284.10	6,357.89	7,518.93	Total liabilities and Shareholder equity	718,795	864,006	983,9501	1,105,0381	1,243,393
Reported EPS	3,558.53	3,725.33	3,961.59	4,682.17	5,555.75	Interest bearing liabilities	624,661	758,530	862,894	965,8571	1,081,943
Adj. EPS	3,558.53	3,725.33	3,961.59	4,682.17	5,555.75	Book Value Per Share	15,885.6918	18,685.4921	16,80.6625	19,641.29	15,585.75
DPS	756.14	869.57	1,000.00	1,200.00	1,200.00	Tangible Book Value Per Share	15,885.6918	18,685.4921	16,80.6625	19,641.29	15,585.75
Diluted shares outstanding	4,467	4,467	4,467	4,467	4,467	Asset Quality/Capital	FY23A	FY24A	FY25E	FY26E	FY27E
Balance Sheet Gearing	FY23A	FY24A	FY25E	FY26E	FY27E	Loan loss reserves/Loans	(1.1%)	(1.2%)	(1.3%)	(1.4%)	(1.5%)
Loans/Deposits	99.9%	106.8%	106.2%	106.9%	107.7%	NPLs/Loans	1.2%	1.5%	1.5%	1.5%	1.4%
Investment/Assets	11.9%	13.0%	14.2%	13.8%	13.5%	Loan loss reserves/NPLs	114.4%	83.3%	79.7%	88.7%	102.7%
Loan/Assets	67.9%	67.5%	67.8%	69.2%	70.8%	NPL y/y growth	93.3%	46.9%	20.1%	9.7%	10.2%
Customer deposits/Liabilities	74.5%	68.8%	70.5%	71.8%	73.1%	Tier 1 ratio	12.9%	12.5%	13.0%	13.4%	14.0%
LT debt/Liabilities	21.3%	25.4%	27.5%	26.1%	24.8%	CAR	12.5%	11.9%	12.4%	12.9%	13.6%
Ratio Analysis (%)	FY23A	FY24A	FY25E	FY26E	FY27E	Ratio Analysis (%)	FY23A	FY24A	FY25E	FY26E	FY27E
Net interest margin	3.8%	3.6%	3.4%	3.6%	3.7%	Return on equity (ROE)	24.6%	21.6%	19.6%	20.0%	20.3%
Non interest income/Net revenue	21.7%	15.2%	16.2%	15.8%	15.5%	Return on assets (ROA)	2.4%	2.1%	1.9%	2.0%	2.1%
Non interest income/Avg. Assets	1.0%	0.6%	0.6%	0.6%	0.6%	Operating ROA	3.0%	2.7%	2.4%	2.5%	2.7%
Efficiency ratio	34.1%	33.3%	33.1%	30.9%	29.2%	Pre-Tax ROA	3.0%	2.7%	2.4%	2.5%	2.7%
Leverage ratio	10.6%	10.5%	10.5%	10.8%	11.3%	Pre-Provision ROA	3.2%	2.8%	2.6%	2.7%	2.9%
Revenue/Assets	4.8%	4.1%	3.8%	3.9%	4.0%	Tax rate	20.0%	20.1%	20.0%	20.0%	20.0%
RORWA	3.2%	2.7%	2.5%	2.6%	2.8%	Net loans y/y growth	17.9%	19.0%	15.8%	14.7%	14.8%
RWA	545,026	665,670	746,080	837,895	942,803	Assets y/y growth	18.2%	20.2%	13.9%	12.3%	12.5%
Avg. RWA	500,000	605,348	705,875	791,988	890,349	RWA y/y growth	19.8%	22.1%	12.1%	12.3%	12.5%
Avg. IEA	663,818	768,338	859,741	973,5351	1,096,480	Deposits y/y growth	16.6%	11.3%	16.4%	14.0%	14.0%
Gross Loans	487,602	580,686	672,936	773,241	888,645	Net interest income y/y growth	6.1%	11.4%	6.4%	17.2%	15.7%
Avg. IBL	575,663	691,595	810,712	914,3761	1,023,900	Revenues y/y growth	13.8%	2.8%	7.7%	16.5%	15.4%
LLR	(5,367)	(6,740)	(8,439)	(10,895)	(13,717)	Adj. EPS y/y growth	17.4%	4.7%	6.3%	18.2%	18.7%
NPLs	5,887	8,650	10,392	11,401	12,561	BVPS y/y growth	21.4%	17.6%	16.0%	16.2%	17.4%
P/BV (x)	1.6	1.4	1.2	1.0	0.9	IE assets/Assets	100.1%	97.1%	93.0%	93.2%	93.4%
Adj. P/E (x)	7.3	7.0	6.6	5.6	4.7	Margins (as % of Avg. Assets)	3.8%	3.5%	3.0%	3.1%	3.2%
Dividend yield	2.9%	3.3%	3.8%	4.6%	4.6%	LLP/Loans	(0.2%)	(0.2%)	(0.2%)	(0.3%)	(0.3%)
Dividend payout	21.2%	23.3%	25.2%	25.6%	21.6%	Equity/Assets	9.8%	9.8%	9.8%	10.0%	10.4%
						Cost/Assets	1.6%	1.4%	1.3%	1.2%	1.2%
						Assets/Equity	10.3	10.3	10.2	10.0	9.6

Source: Company reports and J.P. Morgan estimates.

Note: D in billions (except per-share data), Fiscal year ends Dec

Overweight

TCB.HM, TCB VN

Price (21 Mar 25):D27350

▲ **Price Target (Dec-25):D32,000.00**

Prior (Dec-25):D28,000.00

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Morgan Broking (Hong Kong) Limited

Key Changes (FYE Dec)

	Prev	Cur
Adj. EPS - 25E (D)	3,651.43	3,395.48
Adj. EPS - 26E (D)	4,489.93	4,263.05

Quarterly Forecasts (FYE Dec)

Adj. EPS (D)	2024A	2025E	2026E
Q1	883.03	722.06	
Q2	879.11	773.23	
Q3	814.41	912.99	
Q4	477.83	987.20	
FY	3,050.76	3,395.48	4,263.05

Style Exposure

Quant Factors	Current %Rank	Hist %Rank (1=Top)			
		6M	1Y	3Y	5Y
Value	15	15	15	29	58
Growth	72	72	15	43	15
Momentum	43	1	1	15	58
Quality	58	72	58	86	29
Low Vol	72	72	72	72	58

Techcombank

Beneficiary of real estate recovery, emerging TCBS listing possibility

TCB is set to benefit from the improving trends of the real estate sector, with mortgage demand driving better growth. NIM can also benefit, if the bank begins to collect deferred interest from its flexible pricing book. Non-II is likely to have bottomed in 4Q, as the bank has entered into non-exclusive agreements with AIA and TCA, leading to resumption of bancassurance fees. Overall, we are expecting sequential improvement in earnings over the course of the year, from 4Q24 lows.

We expect potential stock price moves from increased discussion of potential listing of Techcom Securities. TCBS reported 2024 net income of VND3.85tn, and at similar trailing PE with Top 5 securities companies of 20x, would imply valuation in the range of ~VND77tn. This is 40% of TCB market cap. Asset quality challenges of large corporate accounts remain the key risk at TCB. We increase our PT to VND32k from VND28k, reflecting the improvements in real estate and the longer-term ROE outlook.

Valuation

Table 84: TCB: Valuation

	Core Net (VND bn)	Core EPS (VND)	P/E (x)	BVPS (VND)	P/B (x)	Dividend (VND)	Div Yld (%)	Core RoA (%)	Core RoRWA (%)	Core RoE (%)
2021	18,038	2,572	10.6	13,132	2.08	0	0.0%	3.58%		21.7%
2022	20,150	2,867	9.5	15,964	1.71	0	0.0%	3.18%		19.7%
2023	18,004	2,557	10.7	18,497	1.48	750	2.7%	2.33%		14.8%
2024	21,523	3,051	9.0	20,583	1.33	750	2.7%	2.35%		15.6%
2025E	23,989	3,395	8.1	23,229	1.18	750	2.7%	2.27%		15.5%
2026E	30,118	4,263	6.4	26,742	1.02	750	2.7%	2.44%		17.1%
2027E	36,379	5,149	5.3	31,141	0.88	750	2.7%	2.51%		17.8%
Price (VND)		27,350	Number of shares (mn)			7,065	Market Cap (VND bn)			193,224
Normalised RoE			PB based Valuation				PE based Valuation			
NIM (on avg. assets)		3.79%	Risk-free rate			6.00%	Fair PE		7.6x	
Non-IR/revenues		22.2%	Cost of capital			14.4%	12m Rolling EPS		VND3,587	
Cost/income		29.3%	Long term growth			6.0%	PE based Fair Value		VND27,422	
Operating RoA		3.45%	Fair PB			1.28x	Implied Value of Growth			
LLP/Loans		-0.55%	PV of Terminal Value			VND26,891	12m Rolling EPS		VND3,587	
Net RoAA		2.40%	PV of Dividends			VND1,448	Capitalized Value (VND)		VND24,913	
Equity/Assets		14.3%	PV of today's Fair Value			VND28,339	Value of Growth (VND)		VND2,437	
Normalised RoE		16.8%	PB based Fair Value			VND32,420	Attributable to Growth		8.9%	

Source: J.P. Morgan estimates, Bloomberg Finance L.P.

Sources for: Style Exposure – J.P. Morgan Quantitative and Derivatives Strategy; all other tables are company data and J.P. Morgan estimates.

Annual forecasts

Table 85: TCB: Annual P&L

In VND bn	2016	2017	2018	2019	2020	2021	2022	2023	2024	2025E	2026E	2027E
Interest Income	15,736	17,595	21,414	25,016	29,002	35,503	44,753	56,708	60,089	67,343	82,038	98,657
Interest Expense	(7,594)	(8,664)	(10,024)	(10,758)	(10,251)	(8,805)	(14,463)	(29,017)	(24,581)	(28,968)	(34,615)	(41,833)
Net Interest Income	8,142	8,930	11,390	14,258	18,751	26,699	30,290	27,691	35,508	38,376	47,423	56,825
Non-Interest Income	3,287	6,422	5,537	5,730	7,032	9,256	9,301	11,538	10,344	11,552	13,416	15,606
Net Fee income	1,956	3,937	3,273	3,253	4,189	6,382	8,527	8,715	8,042	8,846	10,439	12,318
Trading income	846	1,531	1,159	1,746	1,819	2,188	(91)	1,186	3,033	1,975	2,100	2,236
Other operating income	485	954	1,106	731	1,024	686	865	1,637	(731)	731	877	1,053
Total Revenues	11,429	15,352	16,927	19,988	25,783	35,955	39,591	39,229	45,852	49,928	60,839	72,431
Costs	(4,175)	(4,824)	(5,843)	(7,313)	(8,631)	(11,173)	(13,398)	(13,252)	(15,370)	(15,414)	(17,679)	(20,281)
PPOP	7,254	10,529	11,084	12,675	17,152	24,782	26,193	25,978	30,482	34,514	43,160	52,150
Loan loss provisions	(3,257)	(2,492)	(423)	163	(1,351)	(1,543)	(625)	(3,089)	(2,944)	(3,821)	(4,625)	(5,603)
Pre-Tax	3,997	8,036	10,661	12,838	15,800	23,238	25,568	22,888	27,538	30,693	38,535	46,546
Tax	(848)	(1,591)	(2,187)	(2,612)	(3,218)	(4,840)	(5,131)	(4,697)	(5,778)	(6,440)	(8,086)	(9,767)
Net income	3,149	6,446	8,474	10,226	12,582	18,399	20,436	18,191	21,760	24,253	30,450	36,780
Profit before MI	3,149	6,446	8,474	10,226	12,582	18,399	20,436	18,191	21,760	24,253	30,450	36,780
MI & EO	0	0	(11)	(151)	(258)	(361)	(286)	(187)	(237)	(264)	(332)	(401)
Attributable profit	3,129	6,446	8,443	10,043	12,325	18,038	20,150	18,004	21,523	23,989	30,118	36,379

Source: Company reports and J.P. Morgan estimates.

Table 86: TCB: Annual DuPont

	2016	2017	2018	2019	2020	2021	2022	2023	2024	2025E	2026E	2027E
NIM (% of avg. IEA)	4.12%	4.02%	3.80%	4.28%	4.93%	5.63%	5.11%	3.94%	4.20%	3.90%	4.11%	4.18%
IEA/Assets	92.4%	88.0%	101.4%	94.5%	92.4%	94.1%	93.5%	90.8%	92.6%	92.8%	93.2%	93.6%
Margins (% of avg. Assets)	3.81%	3.54%	3.86%	4.05%	4.56%	5.30%	4.78%	3.58%	3.88%	3.62%	3.83%	3.91%
Non-IR/Avg. Assets	1.54%	2.54%	1.88%	1.63%	1.71%	1.84%	1.47%	1.49%	1.13%	1.09%	1.08%	1.08%
Revenue/Assets	5.35%	6.08%	5.73%	5.67%	6.26%	7.13%	6.25%	5.07%	5.02%	4.71%	4.92%	4.99%
Cost/Income	36.5%	31.4%	34.5%	36.6%	33.5%	31.1%	33.8%	33.8%	33.5%	30.9%	29.1%	28.0%
C/Assets	1.95%	1.91%	1.98%	2.08%	2.10%	2.22%	2.11%	1.71%	1.68%	1.46%	1.43%	1.40%
Pre-Provision ROA	3.39%	4.17%	3.75%	3.60%	4.17%	4.91%	4.13%	3.36%	3.33%	3.26%	3.49%	3.59%
LLP/Loans	-2.56%	-1.64%	-0.26%	0.08%	-0.53%	-0.49%	-0.16%	-0.66%	-0.51%	-0.55%	-0.55%	-0.55%
Pre-Tax ROA	1.87%	3.18%	3.61%	3.64%	3.84%	4.61%	4.03%	2.96%	3.01%	2.90%	3.12%	3.21%
Tax Rate	-21.2%	-19.8%	-20.5%	-20.3%	-20.4%	-20.8%	-20.1%	-20.5%	-21.0%	-21.0%	-21.0%	-21.0%
Minorities & Outside Int.	0.00%	0.00%	0.00%	-0.04%	-0.06%	-0.07%	-0.05%	-0.02%	-0.03%	-0.02%	-0.03%	-0.03%
ROA	1.46%	2.55%	2.86%	2.85%	2.99%	3.58%	3.18%	2.33%	2.35%	2.27%	2.44%	2.51%
Equity/Assets	8.43%	9.22%	13.32%	16.11%	16.51%	16.50%	16.13%	15.67%	15.08%	14.61%	14.27%	14.09%
ROE	17.4%	27.7%	21.5%	17.7%	18.1%	21.7%	19.7%	14.8%	15.6%	15.5%	17.1%	17.8%

Source: Company reports and J.P. Morgan estimates.

Quarterly forecasts

Table 87: TCB: Quarterly P&L

In VND bn	1Q23	2Q23	3Q23	4Q23	1Q24	2Q24	3Q24	4Q24	1Q25E	2Q25E	3Q25E	4Q25E
Interest Income	13,732	13,998	14,533	14,445	14,507	15,349	15,168	15,065	15,482	16,241	17,365	18,256
Interest Expense	(7,205)	(7,703)	(7,261)	(6,848)	(6,008)	(5,871)	(6,240)	(6,463)	(6,749)	(7,065)	(7,392)	(7,762)
Net Interest Income	6,527	6,295	7,272	7,597	8,500	9,478	8,929	8,602	8,733	9,176	9,973	10,493
Non-Interest Income	2,654	2,837	2,938	3,108	3,619	3,648	2,434	644	2,384	2,731	3,122	3,316
Net Fee income	1,944	2,019	2,256	2,496	2,171	2,461	1,947	1,463	1,755	2,106	2,422	2,562
Trading income	(231)	72	753	592	1,594	1,162	450	(172)	467	446	504	558
Other operating income	940	746	(70)	20	(147)	25	38	(647)	162	178	196	196
Total Revenues	9,181	9,132	10,211	10,706	12,118	13,126	11,363	9,246	11,116	11,907	13,095	13,809
Costs	(3,142)	(2,869)	(3,631)	(3,610)	(3,249)	(3,949)	(3,431)	(4,741)	(3,600)	(4,014)	(3,890)	(3,910)
PPOP	6,039	6,263	6,580	7,096	8,869	9,177	7,932	4,505	7,516	7,893	9,205	9,899
Loan loss provisions	(415)	(614)	(737)	(1,322)	(1,067)	(1,350)	(718)	191	(965)	(878)	(922)	(1,056)
Pre-Tax	5,623	5,649	5,843	5,773	7,802	7,827	7,214	4,696	6,551	7,015	8,284	8,843
Tax	(1,086)	(1,146)	(1,174)	(1,291)	(1,525)	(1,557)	(1,421)	(1,276)	(1,376)	(1,473)	(1,740)	(1,852)
Net income	4,537	4,503	4,669	4,482	6,277	6,270	5,793	3,420	5,175	5,542	6,544	6,991
Profit before MI	4,537	4,503	4,669	4,482	6,277	6,270	5,793	3,420	5,175	5,542	6,544	6,991
MI & EO	(40)	(48)	(56)	(43)	(56)	(77)	(56)	(49)	(74)	(79)	(94)	(17)
Core profit	4,497	4,455	4,613	4,439	6,221	6,193	5,738	3,371	5,101	5,463	6,450	6,974
Attributable profit	4,497	4,455	4,613	4,439	6,221	6,193	5,738	3,371	5,101	5,463	6,450	6,974

Source: Company reports and J.P. Morgan estimates.

Table 88: TCB: Quarterly DuPont

	1Q23	2Q23	3Q23	4Q23	1Q24	2Q24	3Q24	4Q24	1Q25E	2Q25E	3Q25E	4Q25E
NIM (% of avg. IEA)	4.10%	3.90%	4.30%	4.20%	4.40%	4.60%	4.10%	3.90%	3.83%	3.83%	3.96%	4.01%
IEA/Assets	88.9%	88.2%	85.9%	84.5%	87.2%	90.8%	92.2%	88.7%	93.0%	93.2%	93.3%	93.4%
Margins (% of avg. Assets)	3.65%	3.44%	3.69%	3.55%	3.84%	4.17%	3.78%	3.46%	3.56%	3.57%	3.70%	3.74%
Non-IR/Avg. Assets	1.49%	1.56%	1.55%	1.52%	1.67%	1.63%	1.06%	0.27%	0.96%	1.06%	1.16%	1.19%
Revenue/Assets	5.16%	5.02%	5.40%	5.25%	5.59%	5.85%	4.95%	3.88%	4.46%	4.60%	4.88%	4.95%
Cost/Income	34.2%	31.4%	35.6%	33.7%	26.8%	30.1%	30.2%	51.3%	32.4%	33.7%	29.7%	28.3%
C/Assets	1.77%	1.58%	1.92%	1.77%	1.50%	1.76%	1.50%	1.99%	1.44%	1.55%	1.45%	1.40%
Pre-Provision ROA	3.40%	3.44%	3.48%	3.48%	4.09%	4.09%	3.46%	1.89%	3.02%	3.05%	3.43%	3.55%
LLP/Loans	-0.37%	-0.53%	-0.63%	-1.06%	-0.79%	-0.94%	-0.47%	0.12%	-0.59%	-0.51%	-0.51%	-0.56%
Pre-Tax ROA	3.16%	3.10%	3.09%	2.83%	3.60%	3.49%	3.14%	1.97%	2.63%	2.71%	3.09%	3.17%
Tax Rate	-19.3%	-20.3%	-20.1%	-22.4%	-19.5%	-19.9%	-19.7%	-27.2%	-21.0%	-21.0%	-21.0%	-20.9%
Minorities & Outside Int.	-0.02%	-0.03%	-0.03%	-0.02%	-0.03%	-0.03%	-0.02%	-0.02%	-0.03%	-0.03%	-0.03%	-0.01%
ROA	2.53%	2.45%	2.44%	2.18%	2.87%	2.76%	2.50%	1.42%	2.05%	2.11%	2.40%	2.50%
Equity/Assets	16.3%	16.5%	16.5%	15.9%	15.5%	15.4%	15.4%	15.3%	15.1%	14.8%	14.6%	14.6%
ROE	15.5%	14.8%	14.8%	13.7%	18.5%	17.9%	16.2%	9.2%	13.6%	14.3%	16.5%	17.1%

Source: Company reports and J.P. Morgan estimates.

Price Performance



	YTD	1m	3m	12m
Abs	11.0%	3.2%	14.9%	21.3%
Rel	6.7%	1.3%	9.8%	17.7%

Company Data

Shares O/S (mn)	7,065
52-week range (D)	28,300.00-20,750.00
Market cap (\$ mn)	7,560.84
Exchange rate	25,555.84
Free float (%)	68.3%
3M ADV (mn)	12.28
3M ADV (\$ mn)	12.4
Volatility (90 Day)	19
Index	VNINDEX
BBG ANR (Buy Hold Sell)	13 3 0

Key Metrics (FYE Dec)

D in billions	FY24A	FY25E	FY26E	FY27E
Financial Estimates				
Net interest income	35,508	38,376	47,423	56,825
Non interest income	10,344	11,552	13,416	15,606
Operating expenses	(15,370)	(15,414)	(17,679)	(20,281)
Adj. PPOP	30,482	34,514	43,160	52,150
Provision for loan losses	(2,944)	(3,821)	(4,625)	(5,603)
Adj. PBT	27,538	30,693	38,535	46,546
Adj. net income	21,523	23,989	30,118	36,379
Adj. EPS	3,050.76	3,395.48	4,263.05	5,149.28
BBG EPS	3,110.66	3,727.80	4,560.39	5,321.05
DPS	750.00	750.00	750.00	750.00
Loans	623,634	753,816	911,790	1,104,173
Deposits	533,392	649,226	790,688	963,541
Total Assets	978,799	1,139,383	1,334,084	1,568,997
Margins and Growth				
NIM	4.2%	3.9%	4.1%	4.2%
Ratios				
Loan/ Deposit ratio	116.9%	116.1%	115.3%	114.6%
NPL / Loans	1.1%	1.3%	1.3%	1.4%
Coverage	113.9%	107.8%	107.0%	106.3%
CET 1	-	-	-	-
Non-int. income/ Income	22.6%	23.1%	22.1%	21.5%
Cost/Income	33.5%	30.9%	29.1%	28.0%
LLP/Loans	(0.5%)	(0.5%)	(0.5%)	(0.5%)
ROA	2.4%	2.3%	2.4%	2.5%
ROE	15.6%	15.5%	17.1%	17.8%
Valuation				
Dividend yield	2.7%	2.7%	2.7%	2.7%
Adj. P/E	9.0	8.1	6.4	5.3
P/ BV	1.3	1.2	1.0	0.9

Summary Investment Thesis and Valuation

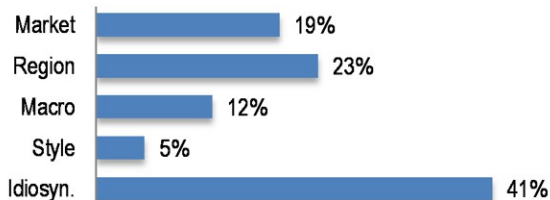
Investment Thesis

We have an OW rating on TCB.

- TCB has built up one of the most profitable bank franchises in ASEAN, with ~2.9% average RoA in the past 4 years. The bank has achieved high returns with its product and digital-led deposit strategy, on top of its niche in debt capital markets across both origination and distribution.
- The bank has been able to deliver growth in CASA, with the CASA ratio improving to 37% in 2024 from 24% in 2017. This was driven by TCB's digital offering, zero-fee programs and promotions (e.g., 1% cash-back debit cards, auto earning product). While competition is increasing, the bank continues to improve its digital functionality, which should remain an advantage.
- The bank's niche in debt capital markets leads to multiple benefits, including: (1) fee income strength, which drives sector-high non-IL/assets; (2) the ability to manage credit, as the warehousing of bonds allows for flexibility in the balance sheet mix; and (3) potential trading gains.

Our Dec-25 PT of D32,000 is based on DDM, assuming a fair P/BV of 1.28x with a normalized RoE of 16.8%, a risk-free rate of 6.0%, a cost of capital of 14.4% and a growth rate of 6.0%.

Performance Drivers



Factors	6M Corr	1Y Corr
Market: MSCI Asia Pac ex JP	0.51	0.44
Region: Vietnam	0.49	0.53
Macro:		
JPM EM Currency(EMCI) Fixing	-0.14	-0.26
US 10 Year Yield	-0.18	-0.23
HSI Volatility Index	-0.21	-0.21
Quant Styles:		
DivYld	-0.20	-0.29
Quality	-0.16	-0.28
Value	-0.13	-0.23

Source: J.P. Morgan Quantitative and Derivatives Strategy for Performance Drivers; company data, Bloomberg Finance L.P. and J.P. Morgan estimates for all other tables. Note: Price history may not be complete or exact.

Investment Thesis, Valuation and Risks

Techcombank (Overweight; Price Target: D32,000.00)

Investment Thesis

We hold an OW rating on TCB.

- TCB has built up one of the most profitable bank franchises in ASEAN, with ~2.9% average RoA in the past 4 years. The bank has achieved high returns with its product and digital-led deposit strategy, on top of its niche in debt capital markets across both origination and distribution.
- The bank has been able to deliver growth in CASA, with the CASA ratio improving to 37% in 2024 from 24% in 2017. This was driven by TCB's digital offering, zero-fee programs and promotions (e.g., 1% cash-back debit cards, auto earning product). While competition is increasing, the bank continues to improve its digital functionality, which should remain an advantage. The recent rate cuts and improved capital market activity provide a case for a reversal of CASA outflows.
- The bank's niche in debt capital markets leads to multiple benefits, including: (1) fee income strength, which drives sector-high non-II/assets; (2) the ability to manage credit, as the warehousing of bonds allows for flexibility in the balance sheet mix; and (3) potential trading gains.
- However, the bank has a high concentration in real estate, with over 37% of loans in corporate real estate and 31% in mortgages. Risks are discounted at current valuations, in our view, and bond payment extensions, payments in kind, asset sales by corporates and loan restructuring have eased asset quality pressures for banks. Further, recovery in the segment can pose upside to mortgage and corporate loan growth at TCB.
- We expect increasing discussions of the potential TCBS listing, which could drive the stock. TCBS reported 2024 net income of VND3.85tn, and at similar trailing PE with Top 5 securities companies of 20x, would imply valuation in the range of ~VND77tn. This is 40% of TCB market cap.
- The longer-term bull case for the bank depends on its ability to manage through credit cycles. A favorable outcome over the next 12 months could lead to premium valuations for the stock, in our view.

Valuation

Our Dec-25 PT of D32,000 is based on DDM, assuming a fair P/BV of 1.28x with a normalized RoE of 16.8%, a risk-free rate of 6.0%, a cost of capital of 14.4% and a growth rate of 6.0%.

Risks to Rating and Price Target

The key downside risk is a worse-than-expected outcome on asset quality, particularly from real estate. Other downside risks include mark-to-market losses on the bond portfolio (due to credit or interest rate risk); devolved losses on portfolio on-sold to clients; and weaker-than-expected NIM and fee income.

Upside catalysts include resilience in asset quality, better-than-expected NIM, and EPS growth. A better-than-expected CASA trend is also an upside risk.

Techcombank: Summary of Financials

Income Statement						Balance Sheet					
	FY23A	FY24A	FY25E	FY26E	FY27E		FY23A	FY24A	FY25E	FY26E	FY27E
Interest income	56,708	60,089	67,343	82,038	98,657	Cash and cash equivalents	0	0	0	0	0
Interest expense	(29,017)	(24,581)	(28,968)	(34,615)	(41,833)	Deposits with banks	134,834	142,328	148,243	157,648	169,692
Net interest income	27,691	35,508	38,376	47,423	56,825	Net loans	512,514	623,634	753,816	911,790	1,104,173
Non interest income	11,538	10,344	11,552	13,416	15,606	PP&E	8,893	12,467	13,701	15,057	16,548
o/w Fee income	8,715	8,042	8,846	10,439	12,318	Net intangibles	0	0	0	0	0
o/w Trading income	1,186	3,033	1,975	2,100	2,236	LT investments	112,555	160,868	180,173	201,793	226,009
Net revenues	39,229	45,852	49,928	60,839	72,431	Other assets	193,242	200,369	223,623	249,589	278,584
Non interest expense	(13,252)	(15,370)	(15,414)	(17,679)	(20,281)	Total assets	849,482	978,799	1,139,383	1,334,084	1,568,997
o/w Employee costs	6,574	6,894	7,583	8,721	10,029	Interest earning assets	766,030	934,922	1,092,615	1,284,389	1,516,394
Pre-Prov. Profits	25,978	30,482	34,514	43,160	52,150	Deposits	454,661	533,392	649,226	790,688	963,541
Provisions	(3,089)	(2,944)	(3,821)	(4,625)	(5,603)	Borrowings	237,876	272,673	295,930	321,192	348,634
Adj. PBT	22,888	27,538	30,693	38,535	46,546	Other liabilities	263,193	297,467	323,203	351,192	381,634
Income taxes	(4,697)	(5,778)	(6,440)	(8,086)	(9,767)	Total liabilities	717,854	830,859	972,429	1,141,881	1,345,175
Minority interest	(187)	(237)	(264)	(332)	(401)	Shareholder equity	130,311	145,419	164,109	188,928	220,009
Adj. Net profit	18,004	21,523	23,989	30,118	36,379	Minority interests	1,317	2,520	2,844	3,275	3,813
PPOP per share	3,690.12	4,320.73	4,885.33	6,109.14	7,381.60	Total liabilities and Shareholder equity	849,482	978,799	1,139,383	1,334,084	1,568,997
Reported EPS	2,557.45	3,050.76	3,395.48	4,263.05	5,149.28	Interest bearing liabilities	692,537	806,065	945,156	1,111,880	1,312,175
Adj. EPS	2,557.45	3,050.76	3,395.48	4,263.05	5,149.28	Book Value Per Share	18,496.9220	583.4723	228.9526	742.0031	141.28
DPS	750.00	750.00	750.00	750.00	750.00	Tangible Book Value Per Share	18,496.9220	583.4723	228.9526	742.0031	141.28
Diluted shares outstanding	7,040	7,055	7,065	7,065	7,065	Asset Quality/Capital	FY23A	FY24A	FY25E	FY26E	FY27E
Balance Sheet Gearing	FY23A	FY24A	FY25E	FY26E	FY27E	Loan loss reserves/Loans	(1.2%)	(1.3%)	(1.4%)	(1.4%)	(1.5%)
Loans/Deposits	112.7%	116.9%	116.1%	115.3%	114.6%	NPLs/Loans	1.2%	1.1%	1.3%	1.3%	1.4%
Investment/Assets	14.0%	15.0%	16.1%	15.4%	14.7%	Loan loss reserves/NPLs	111.0%	108.5%	110.4%	107.3%	106.6%
Loan/Assets	60.6%	62.9%	65.9%	68.3%	70.5%	NPL y/y growth	57.1%	18.4%	35.6%	27.8%	26.3%
Customer deposits/Liabilities	63.3%	64.2%	66.8%	69.2%	71.6%	Tier 1 ratio	13.4%	14.6%	14.4%	14.2%	14.0%
LT debt/Liabilities	33.7%	33.0%	31.5%	29.2%	26.9%	CAR	12.4%	15.3%	15.0%	14.7%	14.5%
Ratio Analysis (%)	FY23A	FY24A	FY25E	FY26E	FY27E	Ratio Analysis (%)	FY23A	FY24A	FY25E	FY26E	FY27E
Net interest margin	3.9%	4.2%	3.9%	4.1%	4.2%	Return on equity (ROE)	14.8%	15.6%	15.5%	17.1%	17.8%
Non interest income/Net revenue	29.4%	22.6%	23.1%	22.1%	21.5%	Return on assets (ROA)	2.3%	2.4%	2.3%	2.4%	2.5%
Non interest income/Avg. Assets	1.5%	1.1%	1.1%	1.1%	1.1%	Operating ROA	3.0%	3.0%	2.9%	3.1%	3.2%
Efficiency ratio	33.8%	33.5%	30.9%	29.1%	28.0%	Pre-Tax ROA	3.0%	3.0%	2.9%	3.1%	3.2%
Leverage ratio	15.2%	15.9%	15.8%	15.5%	15.4%	Pre-Provision ROA	3.4%	3.3%	3.3%	3.5%	3.6%
Revenue/Assets	5.1%	5.0%	4.7%	4.9%	5.0%	Tax rate	20.5%	21.0%	21.0%	21.0%	21.0%
RORWA	2.2%	2.3%	2.2%	2.4%	2.5%	Net loans y/y growth	23.3%	21.7%	20.9%	21.0%	21.1%
RWA	874,642	995,853	1,159,235	1,357,328	1,596,335	Assets y/y growth	21.5%	15.2%	16.4%	17.1%	17.6%
Avg. RWA	806,129	935,248	1,077,544	1,258,282	1,476,832	RWA y/y growth	18.6%	13.9%	16.4%	17.1%	17.6%
Avg. IEA	703,265	846,224	983,355	1,152,847	1,358,380	Deposits y/y growth	26.9%	17.3%	21.7%	21.8%	21.9%
Gross Loans	518,642	631,725	764,199	924,948	1,120,694	Net interest income y/y growth	(8.6%)	28.2%	8.1%	23.6%	19.8%
Avg. IBL	626,259	749,301	875,611	1,028,518	1,212,028	Revenues y/y growth	(0.9%)	16.9%	8.9%	21.9%	19.1%
LLR	(6,128)	(8,091)	(10,383)	(13,158)	(16,520)	Adj. EPS y/y growth	(10.8%)	19.3%	11.3%	25.6%	20.8%
NPLs	5,999	7,101	9,628	12,302	15,540	BVPS y/y growth	15.9%	11.3%	12.9%	15.1%	16.5%
P/BV (x)	1.5	1.3	1.2	1.0	0.9	IE assets/Assets	90.8%	92.6%	92.8%	93.2%	93.6%
Adj. P/E (x)	10.7	9.0	8.1	6.4	5.3	Margins (as % of Avg. Assets)	3.6%	3.9%	3.5%	3.7%	3.8%
Dividend yield	2.7%	2.7%	2.7%	2.7%	2.7%	LLP/Loans	(0.7%)	(0.5%)	(0.5%)	(0.5%)	(0.5%)
Dividend payout	29.3%	24.6%	22.1%	17.6%	14.6%	Equity/Assets	15.7%	15.1%	14.6%	14.3%	14.1%
						Cost/Assets	1.7%	1.7%	1.5%	1.4%	1.4%
						Assets/Equity	6.4	6.6	6.8	7.0	7.1

Source: Company reports and J.P. Morgan estimates.

Note: D in billions (except per-share data), Fiscal year ends Dec

Overweight

VCB.HM, VCB VN

Price (21 Mar 25):D66000

▲ **Price Target (Dec-25):D75,000.00**

Prior (Dec-25):D74,000.00

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Morgan Broking (Hong Kong) Limited

Key Changes (FYE Dec)

	Prev	Cur
Adj. EPS - 25E (D)	4,447.71	4,267.08
Adj. EPS - 26E (D)	5,288.81	5,025.40

Quarterly Forecasts (FYE Dec)

Adj. EPS (D)	2024A	2025E	2026E
Q1	1,026.84	1,036.50	
Q2	971.72	1,119.11	
Q3	1,025.24	1,244.54	
Q4	716.81	866.92	
FY	3,740.62	4,267.08	5,025.40

Style Exposure

Quant	Current	Hist %Rank (1=Top)			
Factors	%Rank	6M	1Y	3Y	5Y
Value	100	100	100	100	100
Growth	29	15	72	100	86
Momentum	100	100	58	86	15
Quality	29	15	29	72	86
Low Vol	1	15	29	29	29

Vietcombank

Growth to accelerate, FTSE re-classification and private placement are key catalysts

VCB is emerging from the recent credit cycle in a position of relative strength, with NPL ratio at 0.96% and NPL coverage at 223%. This positions the bank for sustained growth, and we expect acceleration to 17% EPS growth over next 3Y, supported by 16% loan CAGR and improved margins. These offset fee income challenges this year, as booking of the bancassurance upfront fee has concluded in 2024.

VCB also expects to complete its ~US\$1bn private placement by early 2026. This could add 7% to EPS and BVPS, in a scenario where growth accelerates by 5% points. Further, the stock stands to benefit from the potential FTSE re-classification of Vietnam to EM, with potential passive flows of \$45mn. On the other hand, significant trade tariffs could be a risk to VCB, given its linkage to trade (e.g., FDI segment accounts for 20% of loan book, trade finance accounts for 30% of fee income).

Valuation

Table 89: VCB: Valuation

	Core Net (VND bn)	Core EPS (VND)	P/E (x)	BVPS (VND)	P/B (x)	Dividend (VND)	Div Yld (%)	Core RoA (%)	Core RoE (%)	
2022	27,558	3,298	20.0	16,504	4.00	0	0.0%	1.71%	22.1%	
2023	30,457	3,645	18.1	20,160	3.27	0	0.0%	1.67%	19.9%	
2024	31,255	3,741	17.6	23,799	2.77	0	0.0%	1.59%	17.0%	
2025E	35,654	4,267	15.5	28,066	2.35	0	0.0%	1.61%	16.5%	
2026E	41,991	5,025	13.1	32,092	2.06	1000	1.5%	1.67%	16.7%	
2027E	50,114	5,998	11.0	37,089	1.78	1000	1.5%	1.76%	17.3%	
Price (VND)		66,000		Number of shares (mn)		8,356		Market Cap (VND bn)		551,476
Normalised RoE				PB based Valuation				PE based Valuation		
NIM (on avg. assets)		2.90%		Risk-free rate		6.00%		Fair PE		13.4x
Non-IR/revenues		22.5%		Cost of capital		10.8%		12m Rolling EPS		VND4,435
Cost/income		30.7%		Long term growth		5.50%		PE based Fair Value		VND59,493
Operating RoA		2.59%		Fair PB		2.55x		Implied Value of Growth		
LLP/Loans		-0.25%		PV of Terminal Value		VND66,720		12m Rolling EPS		VND4,435
Net RoAA		1.90%		PV of Dividends		VND833		Capitalized Value (VND)		VND41,063
Equity/Assets		10.0%		PV of today's Fair Value		VND67,553		Value of Growth (VND)		VND24,937
Normalised RoE		19.0%		PB based Fair Value		VND74,849		Attributable to Growth		37.8%

Source: J.P. Morgan estimates, Bloomberg Finance L.P.

Annual forecasts

Table 90: VCB: Annual P&L

In VND bn	2016	2017	2018	2019	2020	2021	2022	2023	2024	2025E	2026E	2027E
Interest Income	37,718	46,159	55,864	67,724	69,205	70,749	88,113	108,122	93,655	105,491	124,424	142,972
Interest Expense	(19,185)	(24,221)	(27,455)	(33,147)	(32,920)	(28,362)	(34,866)	(54,501)	(38,249)	(43,035)	(51,164)	(58,741)
Net Interest Income	18,533	21,938	28,409	34,577	36,285	42,387	53,246	53,621	55,406	62,456	73,261	84,231
Non-Interest Income	4,232	5,283	7,598	7,974	10,355	11,412	12,442	12,012	9,422	11,891	13,704	15,794
Net Fee income	2,107	2,538	3,402	4,307	6,607	7,407	6,839	5,780	5,137	5,034	5,839	6,774
Trading income	2,256	2,499	2,517	3,531	3,908	4,394	5,735	5,784	5,357	6,429	7,393	8,502
Other operating income	(132)	246	1,678	135	(160)	(389)	(132)	449	(1,072)	429	472	519
Total Revenues	22,764	27,221	36,006	42,551	46,641	53,799	65,688	65,633	64,827	74,348	86,965	100,025
Costs	(11,357)	(13,782)	(16,262)	(17,715)	(18,462)	(19,944)	(24,594)	(24,491)	(25,603)	(26,989)	(28,838)	(30,825)
PPOP	11,407	13,439	19,744	24,836	28,179	33,855	41,094	41,143	39,224	47,359	58,127	69,200
Loan loss provisions	(4,247)	(4,013)	(4,126)	(3,611)	(7,553)	(8,849)	(6,069)	(2,475)	436	(2,117)	(4,845)	(5,609)
Pre-Tax	7,160	9,425	15,618	21,225	20,626	25,007	35,024	38,668	39,660	45,242	53,282	63,590
Tax	(1,683)	(2,231)	(3,647)	(4,596)	(4,577)	(5,447)	(7,446)	(8,189)	(8,383)	(9,563)	(11,262)	(13,441)
Net income	5,477	7,195	11,971	16,628	16,049	19,559	27,578	30,479	31,277	35,679	42,020	50,149
Profit before MI	5,477	7,195	11,971	16,628	16,049	19,559	27,578	30,479	31,277	35,679	42,020	50,149
MI & EO	(19)	(20)	(16)	(15)	(21)	(20)	(20)	(21)	(22)	(25)	(29)	(35)
Attributable profit	5,458	7,175	11,955	16,613	16,028	19,539	27,558	30,457	31,255	35,654	41,991	50,114

Source: Company reports and J.P. Morgan estimates.

Table 91: VCB: Annual DuPont

	2016	2017	2018	2019	2020	2021	2022	2023	2024	2025E	2026E	2027E
NIM (% of avg. IEA)	2.64%	2.66%	2.95%	3.13%	2.95%	3.16%	3.42%	2.98%	2.98%	2.97%	3.08%	3.12%
IEA/Assets	96.0%	90.5%	91.4%	96.2%	96.5%	97.9%	96.4%	98.5%	94.8%	94.9%	94.9%	94.9%
Margins (% of avg. Assets)	2.53%	2.41%	2.69%	3.01%	2.85%	3.09%	3.30%	2.94%	2.82%	2.81%	2.92%	2.96%
Non-IR/Avg. Assets	0.58%	0.58%	0.72%	0.69%	0.81%	0.83%	0.77%	0.66%	0.48%	0.54%	0.55%	0.56%
Revenue/Assets	3.11%	2.99%	3.41%	3.71%	3.66%	3.93%	4.07%	3.59%	3.30%	3.35%	3.47%	3.52%
Cost/Income	49.9%	50.6%	45.2%	41.6%	39.6%	37.1%	37.4%	37.3%	39.5%	36.3%	33.2%	30.8%
C/Assets	1.55%	1.51%	1.54%	1.54%	1.45%	1.46%	1.52%	1.34%	1.30%	1.22%	1.15%	1.08%
Pre-Provision ROA	1.56%	1.47%	1.87%	2.16%	2.21%	2.47%	2.55%	2.25%	2.00%	2.13%	2.32%	2.44%
LLP/Loans	-1.00%	-0.80%	-0.70%	-0.53%	-0.96%	-0.98%	-0.58%	-0.20%	0.03%	-0.14%	-0.27%	-0.27%
Pre-Tax ROA	0.98%	1.03%	1.48%	1.85%	1.62%	1.82%	2.17%	2.12%	2.02%	2.04%	2.12%	2.24%
Tax Rate	-23.5%	-23.7%	-23.4%	-21.7%	-22.2%	-21.8%	-21.3%	-21.2%	-21.1%	-21.1%	-21.1%	-21.1%
Minorities & Outside Int.	0.00%	0.00%	0.00%	0.00%	0.00%	0.00%	0.00%	0.00%	0.00%	0.00%	0.00%	0.00%
ROA	0.75%	0.79%	1.13%	1.45%	1.26%	1.43%	1.71%	1.67%	1.59%	1.61%	1.67%	1.76%
Equity/Assets	6.36%	5.51%	5.43%	6.22%	6.86%	7.48%	7.71%	8.39%	9.36%	9.76%	10.02%	10.17%
ROE	11.7%	14.3%	20.9%	23.2%	18.3%	19.1%	22.1%	19.9%	17.0%	16.5%	16.7%	17.3%

Source: Company reports and J.P. Morgan estimates.

Quarterly forecasts

Table 92: VCB: Quarterly P&L

In VND bn	1Q23	2Q23	3Q23	4Q23	1Q24	2Q24	3Q24	4Q24	1Q25E	2Q25E	3Q25E	4Q25E
Interest Income	27,690	28,822	26,512	25,098	24,020	22,863	23,191	23,581	24,412	25,526	27,098	28,454
Interest Expense	(13,487)	(14,802)	(13,916)	(12,297)	(9,942)	(8,955)	(9,614)	(9,739)	(10,275)	(10,456)	(10,897)	(11,407)
Net Interest Income	14,203	14,021	12,596	12,801	14,078	13,908	13,578	13,842	14,137	15,070	16,202	17,047
Non-Interest Income	3,918	3,060	2,636	2,399	2,493	2,178	2,506	2,244	2,731	2,993	3,068	3,099
Net Fee income	1,456	1,622	891	1,810	1,442	1,499	1,272	924	1,109	1,275	1,300	1,350
Trading income	1,736	1,540	1,623	886	1,220	1,160	1,382	1,595	1,527	1,617	1,665	1,620
Other operating income	726	(102)	122	(298)	(169)	(481)	(148)	(275)	96	101	103	129
Total Revenues	18,121	17,081	15,232	15,200	16,572	16,085	16,084	16,087	16,869	18,063	19,270	20,146
Costs	(5,274)	(5,656)	(5,233)	(8,328)	(5,054)	(5,122)	(5,811)	(9,616)	(5,530)	(5,860)	(5,722)	(9,877)
PPOP	12,847	11,425	10,000	6,872	11,518	10,964	10,272	6,471	11,338	12,203	13,548	10,269
Loan loss provisions	(1,625)	(2,147)	(948)	2,246	(799)	(847)	426	1,656	(505)	(506)	(540)	(565)
Pre-Tax	11,221	9,278	9,051	9,118	10,718	10,116	10,699	8,127	10,833	11,697	13,008	9,704
Tax	(2,229)	(1,850)	(1,777)	(2,333)	(2,132)	(1,992)	(2,126)	(2,133)	(2,167)	(2,339)	(2,602)	(2,455)
Net income	8,992	7,428	7,275	6,784	8,586	8,125	8,572	5,994	8,667	9,358	10,406	7,249
Profit before MI	8,992	7,428	7,275	6,784	8,586	8,125	8,572	5,994	8,667	9,358	10,406	7,249
MI & EO	(5)	(5)	(6)	(5)	(6)	(5)	(6)	(5)	(6)	(7)	(7)	(5)
Core profit	8,986	7,423	7,269	6,779	8,580	8,119	8,567	5,989	8,661	9,351	10,399	7,244

Source: Company reports and J.P. Morgan estimates.

Table 93: VCB: Quarterly DuPont

	1Q23	2Q23	3Q23	4Q23	1Q24	2Q24	3Q24	4Q24	1Q25E	2Q25E	3Q25E	4Q25E
NIM (% of avg. IEA)	3.18%	3.20%	2.96%	2.90%	3.16%	3.05%	3.00%	2.90%	2.88%	2.98%	3.07%	3.09%
IEA/Assets	99.0%	103.2%	97.2%	95.6%	100.8%	95.9%	93.6%	94.2%	94.2%	94.3%	94.3%	94.3%
Margins (% of avg. Assets)	3.15%	3.30%	2.88%	2.77%	3.19%	2.92%	2.81%	2.73%	2.71%	2.80%	2.89%	2.91%
Non-IR/Avg. Assets	0.86%	0.69%	0.61%	0.54%	0.55%	0.47%	0.52%	0.45%	0.52%	0.56%	0.55%	0.53%
Revenue/Assets	3.96%	3.85%	3.55%	3.41%	3.67%	3.50%	3.35%	3.20%	3.22%	3.35%	3.43%	3.47%
Cost/Income	29.1%	33.1%	34.4%	54.8%	30.5%	31.8%	36.1%	59.8%	32.8%	32.4%	29.7%	49.0%
C/Assets	1.15%	1.27%	1.22%	1.87%	1.12%	1.11%	1.21%	1.91%	1.06%	1.09%	1.02%	1.70%
Pre-Provision ROA	2.81%	2.57%	2.33%	1.54%	2.55%	2.38%	2.14%	1.29%	2.17%	2.26%	2.41%	1.77%
LLP/Loans	-0.56%	-0.73%	-0.32%	0.73%	-0.25%	-0.26%	0.12%	0.46%	-0.14%	-0.13%	-0.14%	-0.14%
Pre-Tax ROA	2.45%	2.09%	2.11%	2.04%	2.37%	2.20%	2.23%	1.62%	2.07%	2.17%	2.31%	1.67%
Tax Rate	-19.9%	-19.9%	-19.6%	-25.6%	-19.9%	-19.7%	-19.9%	-26.2%	-20.0%	-20.0%	-20.0%	-25.3%
Minorities & Outside Int.	0.00%	0.00%	0.00%	0.00%	0.00%	0.00%	0.00%	0.00%	0.00%	0.00%	0.00%	0.00%
ROA	1.96%	1.67%	1.69%	1.52%	1.90%	1.77%	1.79%	1.19%	1.66%	1.74%	1.85%	1.25%
Equity/Assets	7.72%	8.35%	9.05%	9.17%	9.46%	9.65%	9.69%	9.68%	9.71%	9.85%	9.87%	9.95%
ROE	25.5%	20.0%	18.7%	16.6%	20.1%	18.3%	18.4%	12.3%	17.0%	17.6%	18.7%	12.5%

Source: Company reports and J.P. Morgan estimates.

Price Performance



	YTD	1m	3m	12m
Abs	-27.6%	-29.1%	-28.6%	-30.7%
Rel	-31.9%	-31.0%	-33.8%	-34.2%

Company Data

Shares O/S (mn)	8,356
52-week range (D)	68,600.00-56,856.19
Market cap (\$ mn)	21,579.24
Exchange rate	25,555.84
Free float (%)	25.2%
3M ADV (mn)	2.72
3M ADV (\$ mn)	6.7
Volatility (90 Day)	13
Index	VNINDEX
BBG ANR (Buy Hold Sell)	17 1 0

Key Metrics (FYE Dec)

D in billions	FY24A	FY25E	FY26E	FY27E
Financial Estimates				
Net interest income	55,406	62,456	73,261	84,231
Non interest income	9,422	11,891	13,704	15,794
Operating expenses	(25,603)	(26,989)	(28,838)	(30,825)
Adj. PPOP	39,224	47,359	58,127	69,200
Provision for loan losses	436	(2,117)	(4,845)	(5,609)
Adj. PBT	39,660	45,242	53,282	63,590
Adj. net income	31,255	35,654	41,991	50,114
Adj. EPS	3,740.62	4,267.08	5,025.40	5,997.63
BBG EPS	3,950.13	4,346.04	5,100.74	5,938.94
DPS	0.00	0.00	1,000.00	1,000.00
Loans	1,418,037	1,644,995	1,907,429	2,211,742
Deposits	1,514,665	1,725,874	1,977,801	2,266,826
Total Assets	2,085,397	2,353,214	2,663,307	3,020,195
Margins and Growth				
NIM	3.0%	3.0%	3.1%	3.1%
Ratios				
Loan/ Deposit ratio	93.6%	95.3%	96.4%	97.6%
NPL / Loans	1.0%	1.0%	1.0%	1.0%
Coverage	223.3%	197.5%	183.8%	171.8%
CET 1	-	-	-	-
Non-int. income/ Income	14.5%	16.0%	15.8%	15.8%
Cost/Income	39.5%	36.3%	33.2%	30.8%
LLP/Loans	0.0%	(0.1%)	(0.3%)	(0.3%)
ROA	1.6%	1.6%	1.7%	1.8%
ROE	17.0%	16.5%	16.7%	17.3%
Valuation				
Dividend yield	0.0%	0.0%	1.5%	1.5%
Adj. P/E	17.6	15.5	13.1	11.0
P/ BV	2.8	2.4	2.1	1.8

Summary Investment Thesis and Valuation

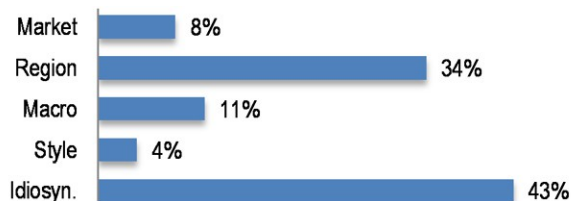
Investment Thesis

We hold an OW rating on VCB.

- VCB is one of those rare EM banks that has a large enough market share to benefit from an inexpensive deposit franchise, solid underwriting to deliver low provisions, and enough of a footprint to grow the consumer business without incurring significant costs. These attributes should lead to consistently high ROE and EPS growth for long periods of time, in our view.
- The bank has been relatively resilient through multiple crises in the country and has pioneered various services, such as FX, Internet banking and credit cards. These helped drive the bank to a leading position in the industry. CoF and costs are key advantages at VCB, while historically prudent underwriting gives us comfort on the sustainability of growth.
- Retail loans have grown to 44% of loans from just 14% in 2013. This is significant, given the ~300bps yield gap between retail and corporate. Accordingly, this led to 55bps NIM expansion over 2014-20. This shift could resume as the economy recovers from challenges in the past 18 months, in our view.

Our Dec-25 PT of D75,000 is based on DDM, assuming a fair P/BV of 2.55x with a normalized RoE of 19.0%, a risk-free rate of 6.0%, a cost of capital of 10.8% and a growth rate of 5.5%.

Performance Drivers



Factors	6M Corr	1Y Corr
Market: MSCI Asia Pac ex JP	0.36	0.29
Region: Vietnam	0.46	0.63
Macro:		
US 10 Year Yield	-0.37	-0.32
Citi Economic Surprise - EM	-0.06	0.26
JP Morgan GBI-EM Global Div	0.20	0.18
Quant Styles:		
Size	-0.01	-0.27
DivYld	0.17	-0.22
Momentum	-0.03	-0.20

Source: J.P. Morgan Quantitative and Derivatives Strategy for Performance Drivers; company data, Bloomberg Finance L.P. and J.P. Morgan estimates for all other tables. Note: Price history may not be complete or exact.

Investment Thesis, Valuation and Risks

Vietcombank (*Overweight; Price Target: D75,000.00*)

Investment Thesis

We hold an OW rating on VCB.

- VCB is one of those rare EM banks that has a large enough market share to benefit from an inexpensive deposit franchise, solid underwriting to deliver low provisions, and enough of a footprint to grow the consumer business without incurring significant costs. These attributes should lead to consistently high ROE and EPS growth for long periods of time, in our view.
- The bank has been relatively resilient through multiple crises in the country and has pioneered various services, such as FX, Internet banking and credit cards. These helped drive the bank to a leading position in the industry. CoF and costs are key advantages at VCB, while historically prudent underwriting provides comfort on the sustainability of growth.
- Retail loans have grown to 44% of loans from just 14% in 2013. This is significant, given the ~300bps yield gap between retail and corporate. Accordingly, this led to 55bps NIM expansion over 2014-20. This shift could resume as the economy recovers from challenges in the past 18 months, in our view.
- The bank has taken a conservative stance and built up NPL coverage to 223%, with LLR/loans at 2.15%. Further, exposure to real estate appears quite manageable at ~4% of loans, with construction adding ~3%. Hence, we expect credit costs to remain low over the next three years.
- We think the stock will be a beneficiary of the potential FTSE re-classification of Vietnam to EM from Frontier. In this scenario, we estimate potential \$45mn passive flows into VCB, equivalent to 9 days' ADV.
- The bank is in the process of completing a private placement worth \$1bn. We estimate that this could add 7% to EPS and BVPS in a scenario where growth accelerates by 5% points.

Valuation

Our Dec-25 PT of D75,000 is based on DDM, assuming a fair P/BV of 2.55x with a normalized RoE of 19.0%, a risk-free rate of 6.0%, a cost of capital of 10.8% and a growth rate of 5.5%.

Risks to Rating and Price Target

Asset quality expectations for VCB are rather benign; negative surprises due to large corporate exposures are a downside risk. Lower-than-expected NIM is a downside risk if interest rate support is greater than expected. Weaker-than-expected non-II and higher-than-expected costs are also key downside risks to watch.

On the other hand, better-than-expected asset quality and NIM are key upside catalysts. If the bank is able to successfully complete a private placement, this could be accretive to book value and earnings if growth accelerates. Significant trade tariffs could be a risk to VCB, given its linkage to trade (e.g., FDI segment accounts for 20% of loan book, trade finance accounts for 30% of fee income).

Vietcombank: Summary of Financials

Income Statement						Balance Sheet					
	FY23A	FY24A	FY25E	FY26E	FY27E		FY23A	FY24A	FY25E	FY26E	FY27E
Interest income	108,122	93,655	105,491	124,424	142,972	Cash and cash equivalents	0	0	0	0	0
Interest expense	(54,501)	(38,249)	(43,035)	(51,164)	(58,741)	Deposits with banks	408,226	452,904	466,314	482,925	500,300
Net interest income	53,621	55,406	62,456	73,261	84,231	Net loans	1,241,675	1,418,037	1,644,995	1,907,429	2,211,742
Non interest income	12,012	9,422	11,891	13,704	15,794	PP&E	7,708	8,093	8,502	8,874	9,263
o/w Fee income	5,780	5,137	5,034	5,839	6,774	Net intangibles	0	0	0	0	0
o/w Trading income	5,784	5,357	6,429	7,393	8,502	LT investments	150,500	175,502	200,072	228,082	260,014
Net revenues	65,633	64,827	74,348	86,965	100,025	Other assets	181,614	206,363	233,403	264,079	298,890
Non interest expense	(24,491)	(25,603)	(26,989)	(28,838)	(30,825)	Total assets	1,839,232,085,397,353,214,663,307,3,020,195				
o/w Employee costs	14,294	14,839	15,432	16,358	17,340	Interest earning assets	1,829,085,2,077,626,2,344,681,2,654,055,3,010,358				
Pre-Prov. Profits	41,143	39,224	47,359	58,127	69,200	Deposits	1,395,695	1,514,665	1,725,874	1,977,801	2,266,826
Provisions	(2,475)	436	(2,117)	(4,845)	(5,609)	Borrowings	235,426	337,016	356,214	378,904	403,072
Adj. PBT	38,668	39,660	45,242	53,282	63,590	Other liabilities	274,985	371,776	392,712	417,227	443,311
Income taxes	(8,189)	(8,383)	(9,563)	(11,262)	(13,441)	Total liabilities	1,670,680,1,886,441,2,118,586,2,395,028,2,710,138				
Minority interest	(21)	(22)	(25)	(29)	(35)	Shareholder equity	168,449	198,860	234,514	268,149	309,908
Adj. Net profit	30,457	31,255	35,654	41,991	50,114	Minority interests	94	96	114	130	150
PPOP per share	4,923.89	4,694.30	5,667.82	6,956.57	8,281.75	Total liabilities and Shareholder equity	1,839,232,085,397,353,214,663,307,3,020,195				
Reported EPS	3,645.09	3,740.62	4,267.08	5,025.40	5,997.63	Interest bearing liabilities	1,631,120,1,851,681,2,082,088,2,356,706,2,669,899				
Adj. EPS	3,645.09	3,740.62	4,267.08	5,025.40	5,997.63	Book Value Per Share	20,159.83	23,799.33	28,066.41	32,091.80	37,089.43
DPS	0.00	0.00	0.00	1,000.00	1,000.00	Tangible Book Value Per Share	20,159.83	23,799.33	28,066.41	32,091.80	37,089.43
Diluted shares outstanding	8,356	8,356	8,356	8,356	8,356	Asset Quality/Capital	FY23A	FY24A	FY25E	FY26E	FY27E
Balance Sheet Gearing	FY23A	FY24A	FY25E	FY26E	FY27E	Loan loss reserves/Loans	(2.3%)	(2.2%)	(2.0%)	(1.8%)	(1.7%)
Loans/Deposits	89.0%	93.6%	95.3%	96.4%	97.6%	NPLs/Loans	1.0%	1.0%	1.0%	1.0%	1.0%
Investment/Assets	9.6%	8.3%	8.5%	8.5%	8.6%	Loan loss reserves/NPLs	263.8%	226.6%	209.2%	190.2%	177.4%
Loan/Assets	66.1%	69.3%	70.5%	72.2%	73.8%	NPL y/y growth	59.5%	12.1%	20.8%	14.9%	15.0%
Customer deposits/Liabilities	83.5%	80.3%	81.5%	82.6%	83.6%	Tier 1 ratio	10.0%	11.0%	11.5%	11.6%	11.8%
LT debt/Liabilities	16.7%	16.1%	17.3%	16.3%	15.3%	CAR	11.4%	12.3%	12.6%	12.6%	12.7%
Ratio Analysis (%)	FY23A	FY24A	FY25E	FY26E	FY27E	Ratio Analysis (%)	FY23A	FY24A	FY25E	FY26E	FY27E
Net interest margin	3.0%	3.0%	3.0%	3.1%	3.1%	Return on equity (ROE)	19.9%	17.0%	16.5%	16.7%	17.3%
Non interest income/Net revenue	18.3%	14.5%	16.0%	15.8%	15.8%	Return on assets (ROA)	1.7%	1.6%	1.6%	1.7%	1.8%
Non interest income/Avg. Assets	0.7%	0.5%	0.5%	0.5%	0.6%	Operating ROA	2.1%	2.0%	2.0%	2.1%	2.2%
Efficiency ratio	37.3%	39.5%	36.3%	33.2%	30.8%	Pre-Tax ROA	2.1%	2.0%	2.0%	2.1%	2.2%
Leverage ratio	9.2%	10.1%	10.6%	10.7%	10.9%	Pre-Provision ROA	2.3%	2.0%	2.1%	2.3%	2.4%
Revenue/Assets	3.6%	3.3%	3.4%	3.5%	3.5%	Tax rate	21.2%	21.1%	21.1%	21.1%	21.1%
RORWA	1.8%	1.8%	1.8%	1.9%	2.0%	Net loans y/y growth	10.8%	14.2%	16.0%	16.0%	16.0%
RWA	1,689,139,1,812,802,2,045,611,2,315,170,2,625,407					Assets y/y growth	1.4%	13.4%	12.8%	13.2%	13.4%
Avg. RWA	1,647,380,1,750,971,1,929,206,2,180,390,2,470,289					RWA y/y growth	5.2%	7.3%	12.8%	13.2%	13.4%
Avg. IEA	1,799,358,1,859,594,2,105,018,2,379,398,2,696,261					Deposits y/y growth	12.2%	8.5%	13.9%	14.6%	14.6%
Gross Loans	1,270,359,1,449,220,1,678,295,1,943,048,2,250,045					Net interest income y/y growth	0.7%	3.3%	12.7%	17.3%	15.0%
Avg. IBL	1,599,878,1,741,401,1,966,885,2,219,397,2,513,302					Revenues y/y growth	(0.1%)	(1.2%)	14.7%	17.0%	15.0%
LLR	(28,684)	(31,183)	(33,300)	(35,619)	(38,303)	Adj. EPS y/y growth	10.5%	2.6%	14.1%	17.8%	19.3%
NPLs	12,455	13,964	16,862	19,380	22,294	BVPS y/y growth	22.2%	18.1%	17.9%	14.3%	15.6%
P/BV (x)	3.3	2.8	2.4	2.1	1.8	IE assets/Assets	98.5%	94.8%	94.9%	94.9%	94.9%
Adj. P/E (x)	18.1	17.6	15.5	13.1	11.0	Margins (as % of Avg. Assets)	2.9%	2.7%	2.7%	2.8%	2.8%
Dividend yield	0.0%	0.0%	0.0%	1.5%	1.5%	LLP/Loans	(0.2%)	0.0%	(0.1%)	(0.3%)	(0.3%)
Dividend payout	0.0%	0.0%	0.0%	19.9%	16.7%	Equity/Assets	8.4%	9.4%	9.8%	10.0%	10.2%
						Cost/Assets	1.3%	1.3%	1.2%	1.1%	1.1%
						Assets/Equity	11.9	10.7	10.2	10.0	9.8

Source: Company reports and J.P. Morgan estimates.

Note: D in billions (except per-share data), Fiscal year ends Dec

Neutral

VPB.HM, VPB VN

Price (21 Mar 25):D19500

▲ **Price Target (Dec-25):D21,000.00**

Prior (Dec-25):D20,000.00

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J.P. Morgan Securities (Asia Pacific) Limited/ J.P.

Morgan Broking (Hong Kong) Limited

Key Changes (FYE Dec)

	Prev	Cur
Adj. EPS - 25E (D)	2,045.78	2,314.47
Adj. EPS - 26E (D)	2,499.54	2,783.67

Quarterly Forecasts (FYE Dec)

Adj. EPS (D)	2024A	2025E	2026E
Q1	512.54	530.17	
Q2	447.87	606.93	
Q3	507.67	616.64	
Q4	583.68	560.73	
FY	1,988.78	2,314.47	2,783.67

Style Exposure

Quant Factors	Current %Rank	Hist %Rank (1=Top)			
		6M	1Y	3Y	5Y
Value	58	72	43	72	1
Growth	58	43	29	1	72
Momentum	29	58	86	29	1
Quality	86	86	86	15	72
Low Vol	43	58	58	86	100

VPBank

Watching for a sustained recovery

The bank has delivered improving trends over the last two quarters, but we watch for a sustained recovery as expiry of Circular 02 can lead to a short-term clean up on asset quality, while FE Credit could see further clean-up of legacy bad debt as well. Further, in a scenario of increased tariffs on Vietnam, FE Credit's client base could be among the most affected. We do not expect near-term impact from the transfer of GPBank to VPB, but a successful turnaround could provide value over the longer-term, and FOL could be increased to 49%. We increase our FY25-26E EPS estimates by 13%/11% and our PT to VND21k to reflect the improving trends, but remain Neutral due to the risks above.

Valuation

Table 94: VPB: Valuation

	Core Net	Core EPS	P/E	BVPS	P/B	Dividend	Div Yld	Core RoA	Core RoE
	(VND bn)	(VND)	(x)	(VND)	(x)	(VND)	(%)	(%)	(%)
2021	11,808	1,771	11.0	11,779	1.66	0	0.0%	2.44%	18.0%
2022	13,700	2,049	9.5	14,426	1.35	0	0.0%	2.32%	15.6%
2023	10,053	1,445	13.5	16,980	1.15	1000	5.1%	1.39%	8.7%
2024	15,779	1,989	9.8	17,886	1.09	1000	5.1%	1.81%	11.4%
2025E	18,363	2,314	8.4	19,200	1.02	1000	5.1%	1.85%	12.5%
2026E	22,085	2,784	7.0	20,984	0.93	1000	5.1%	1.93%	13.9%
2027E	26,482	3,338	5.8	23,322	0.84	1000	5.1%	2.01%	15.1%
Price (VND)		19,500	Number of shares (mn)			7,934	Market Cap (VND bn)		154,712
Normalised RoE			PB based Valuation				PE based Valuation		
NIM (on avg. assets)	5.97%	Risk-free rate			6.00%	Fair PE		7.0x	
Non-IR/revenues	11.8%	Cost of capital			14.4%	12m Rolling EPS		VND2,418	
Cost/income	23.0%	Long term growth			6.00%	PE based Fair Value		VND16,819	
Operating RoA	5.22%	Fair PB			1.00x	Implied Value of Growth			
LLP/Loans	-3.60%	PV of Terminal Value			VND17,191	12m Rolling EPS		VND2,418	
Net RoAA	1.88%	PV of Dividends			VND901	Capitalized Value (VND)		VND16,793	
Equity/Assets	13.0%	PV of today's Fair Value			VND18,092	Value of Growth (VND)		VND2,707	
Normalised RoE	14.4%	PB based Fair Value			VND20,697	Attributable to Growth		13.9%	

Source: J.P. Morgan estimates, Bloomberg Finance L.P.

Annual forecasts

Table 95: VPB: Annual P&L

In VND bn	2016	2017	2018	2019	2020	2021	2022	2023	2024	2025E	2026E	2027E
Interest Income	25,631	34,133	40,280	49,875	52,362	50,827	62,200	76,557	80,112	96,212	113,452	133,892
Interest Expense	(10,463)	(13,519)	(15,579)	(19,204)	(20,016)	(16,478)	(21,179)	(38,383)	(31,031)	(37,669)	(45,218)	(54,106)
Net Interest Income	15,168	20,614	24,702	30,670	32,346	34,349	41,021	38,175	49,080	58,544	68,234	79,785
Non-Interest Income	980	3,177	4,292	3,820	4,559	6,665	7,436	9,074	7,600	7,953	9,150	10,531
Net Fee income	853	1,462	1,612	2,792	3,356	4,059	6,438	7,096	6,126	6,433	7,398	8,507
Trading income	(376)	360	89	871	1,090	3,083	(258)	(176)	1,658	1,244	1,434	1,658
Other operating income	504	1,355	2,590	157	113	(478)	1,257	2,154	(184)	277	318	366
Total Revenues	16,148	23,791	28,994	34,491	36,905	41,014	48,457	47,248	56,680	66,497	77,384	90,316
Costs	(6,621)	(8,758)	(10,634)	(12,344)	(11,392)	(10,719)	(14,116)	(13,912)	(14,340)	(16,031)	(17,864)	(19,700)
PPOP	9,527	15,033	18,360	22,147	25,513	30,295	34,341	33,337	42,340	50,465	59,520	70,616
Loan loss provisions	(4,597)	(6,903)	(9,161)	(11,823)	(12,493)	(15,714)	(18,715)	(22,349)	(22,328)	(26,720)	(31,039)	(36,553)
Pre-Tax	4,929	8,130	9,199	10,324	13,019	14,580	15,626	10,987	20,013	23,746	28,482	34,063
Tax	(994)	(1,689)	(1,843)	(2,064)	(2,606)	(2,930)	(3,177)	(2,346)	(4,026)	(4,777)	(5,730)	(6,852)
Net income	3,935	6,441	7,356	8,260	10,414	11,651	12,449	8,641	15,987	18,969	22,752	27,211
Profit before MI	3,935	6,441	7,356	8,260	10,414	11,651	12,449	8,641	15,987	18,969	22,752	27,211
MI & EO	-	-	-	-	-	157	1,251	1,412	(208)	(606)	(667)	(729)
Core profit	3,935	6,441	7,356	8,260	10,414	11,808	13,700	10,053	15,779	18,363	22,085	26,482
Non recurring items (net of tax)	0	0	0	0	0	0	4,475	0	0	0	0	0
Attributable profit	3,935	6,441	7,356	8,260	10,414	11,808	18,175	10,053	15,779	18,363	22,085	26,482

Source: Company reports and J.P. Morgan estimates.

Table 96: VPB: Annual DuPont

	2016	2017	2018	2019	2020	2021	2022	2023	2024	2025E	2026E	2027E
NIM (% of avg. IEA)	7.90%	9.00%	9.00%	9.70%	8.93%	8.10%	8.39%	6.27%	6.98%	7.22%	7.31%	7.40%
IEA/Assets	90.9%	90.4%	91.3%	90.3%	91.0%	87.7%	83.0%	84.0%	80.8%	81.6%	81.6%	81.8%
Margins (% of avg. Assets)	7.18%	8.14%	8.22%	8.76%	8.12%	7.11%	6.96%	5.27%	5.64%	5.89%	5.97%	6.06%
Non-IR/Avg. Assets	0.46%	1.25%	1.43%	1.09%	1.15%	1.38%	1.26%	1.25%	0.87%	0.80%	0.80%	0.80%
Revenue/Assets	7.64%	9.39%	9.65%	9.85%	9.27%	8.49%	8.22%	6.52%	6.51%	6.69%	6.77%	6.86%
Cost/Income	41.0%	36.8%	36.7%	35.8%	30.9%	26.1%	29.1%	29.4%	25.3%	24.1%	23.1%	21.8%
C/Assets	3.13%	3.46%	3.54%	3.52%	2.86%	2.22%	2.40%	1.92%	1.65%	1.61%	1.56%	1.50%
Pre-Provision ROA	4.51%	5.94%	6.11%	6.32%	6.41%	6.27%	5.83%	4.60%	4.86%	5.08%	5.21%	5.36%
LLP/Loans	-3.52%	-4.22%	-4.53%	-4.93%	-4.56%	-4.86%	-4.72%	-4.45%	-3.55%	-3.54%	-3.50%	-3.50%
Loan/Assets	61.9%	64.6%	67.3%	68.4%	68.8%	66.8%	67.3%	69.3%	72.3%	75.9%	77.7%	79.4%
Other Income/Assets	0.00%	0.00%	0.00%	0.00%	0.00%	0.00%	0.00%	0.00%	0.00%	0.00%	0.00%	0.00%
Operating ROA	2.33%	3.21%	3.06%	2.95%	3.27%	3.02%	2.65%	1.52%	2.30%	2.39%	2.49%	2.59%
Pre-Tax ROA	2.33%	3.21%	3.06%	2.95%	3.27%	3.02%	2.65%	1.52%	2.30%	2.39%	2.49%	2.59%
Tax Rate	-20.2%	-20.8%	-20.0%	-20.0%	-20.0%	-20.1%	-20.3%	-21.4%	-20.1%	-20.1%	-20.1%	-20.1%
Minorities & Outside Int.	0.00%	0.00%	0.00%	0.00%	0.00%	0.03%	0.21%	0.19%	-0.02%	-0.06%	-0.06%	-0.06%
ROA	1.79%	2.49%	2.45%	2.36%	2.62%	2.44%	3.08%	1.39%	1.81%	1.85%	1.93%	2.01%
Equity/Assets	7.2%	9.3%	10.7%	11.0%	11.9%	13.6%	14.9%	16.0%	15.9%	14.8%	13.9%	13.3%
ROE	24.8%	26.9%	22.8%	21.5%	21.9%	18.0%	20.7%	8.7%	11.4%	12.5%	13.9%	15.1%

Source: Company reports and J.P. Morgan estimates.

Quarterly forecasts

Table 97: VPB: Quarterly P&L

In VND bn	1Q23	2Q23	3Q23	4Q23	1Q24	2Q24	3Q24	4Q24	1Q25E	2Q25E	3Q25E	4Q25E
Interest Income	18,029	18,775	19,323	20,431	19,346	19,757	19,607	21,401	22,209	23,483	24,843	25,678
Interest Expense	(8,495)	(10,013)	(10,486)	(9,389)	(8,023)	(7,349)	(7,451)	(8,208)	(8,683)	(9,167)	(9,661)	(10,158)
Net Interest Income	9,534	8,762	8,837	11,042	11,323	12,408	12,156	13,193	13,526	14,315	15,183	15,520
Non-Interest Income	2,265	3,393	1,902	1,512	1,714	2,418	1,331	2,137	1,842	2,081	1,949	2,081
Net Fee income	1,668	1,657	1,889	1,881	1,554	1,881	1,148	1,544	1,467	1,687	1,552	1,726
Trading income	(221)	190	37	(182)	309	639	230	479	312	328	332	272
Other operating income	818	1,546	(24)	(186)	(148)	(102)	(47)	114	62	66	66	83
Total Revenues	11,799	12,156	10,739	12,554	13,038	14,826	13,486	15,330	15,368	16,396	17,132	17,601
Costs	(3,423)	(3,679)	(3,195)	(3,615)	(3,467)	(3,331)	(3,751)	(3,791)	(3,752)	(3,754)	(4,101)	(4,425)
PPOP	8,376	8,477	7,544	8,939	9,571	11,495	9,736	11,539	11,616	12,642	13,031	13,176
Loan loss provisions	(5,827)	(5,864)	(4,427)	(6,231)	(5,389)	(7,016)	(4,549)	(5,374)	(6,147)	(6,454)	(6,747)	(7,371)
Pre-Tax	2,550	2,613	3,117	2,708	4,182	4,478	5,187	6,165	5,469	6,188	6,284	5,804
Tax	(900)	(160)	(689)	(597)	(1,040)	(851)	(1,023)	(1,112)	(1,094)	(1,238)	(1,257)	(1,189)
Net income	1,650	2,452	2,428	2,111	3,142	3,628	4,164	5,053	4,375	4,950	5,027	4,616
Profit before MI	1,650	2,452	2,428	2,111	3,142	3,628	4,164	5,053	4,375	4,950	5,027	4,616
MI & EO	886	610	(3)	(81)	425	(74)	(136)	(422)	(169)	(135)	(135)	(167)
Core profit	2,536	3,062	2,425	2,030	3,567	3,553	4,028	4,631	4,206	4,815	4,892	4,449
Attributable profit	2,536	3,062	2,425	2,030	3,567	3,553	4,028	4,631	4,206	4,815	4,892	4,449

Source: Company reports and J.P. Morgan estimates.

Table 98: VPB: Quarterly DuPont

	1Q23	2Q23	3Q23	4Q23	1Q24	2Q24	3Q24	4Q24	1Q25E	2Q25E	3Q25E	4Q25E
NIM (% of avg. IEA)	6.95%	5.85%	5.59%	6.62%	6.80%	7.09%	6.99%	7.05%	6.95%	7.01%	7.12%	7.03%
IEA/Assets	85.0%	84.7%	82.5%	82.8%	81.4%	83.3%	80.1%	83.3%	83.6%	83.7%	83.7%	83.7%
Margins (% of avg. Assets)	5.91%	4.96%	4.61%	5.48%	5.54%	5.90%	5.60%	5.87%	5.81%	5.87%	5.96%	5.89%
Non-IR contribution	19.2%	27.9%	17.7%	12.0%	13.1%	16.3%	9.9%	13.9%	12.0%	12.7%	11.4%	11.8%
Non-IR/Avg. Assets	1.38%	1.92%	1.00%	0.76%	0.84%	1.15%	0.62%	0.96%	0.78%	0.85%	0.77%	0.80%
Revenue/Assets	7.21%	6.86%	5.65%	6.29%	6.36%	7.03%	6.26%	6.88%	6.51%	6.70%	6.78%	6.73%
Cost/Income	29.0%	30.3%	29.7%	28.8%	26.6%	22.5%	27.8%	24.7%	24.4%	22.9%	23.9%	25.1%
C/Assets	2.09%	2.08%	1.68%	1.81%	1.69%	1.58%	1.74%	1.70%	1.59%	1.53%	1.62%	1.69%
Pre-Provision ROA	5.12%	4.78%	3.97%	4.48%	4.67%	5.45%	4.52%	5.18%	4.92%	5.17%	5.16%	5.04%
LLP/Loans	-5.17%	-4.93%	-3.51%	-4.58%	-3.75%	-4.65%	-2.89%	-3.24%	-3.46%	-3.46%	-3.47%	-3.67%
Loan/Assets	68.9%	67.2%	66.5%	68.1%	70.1%	71.6%	73.1%	74.5%	75.2%	76.2%	77.0%	76.9%
Other Income/Assets	0.00%	0.00%	0.00%	0.00%	0.00%	0.00%	0.00%	0.00%	0.00%	0.00%	0.00%	0.00%
Operating ROA	1.56%	1.47%	1.64%	1.36%	2.04%	2.12%	2.41%	2.77%	2.32%	2.53%	2.49%	2.22%
Pre-Tax ROA	1.56%	1.47%	1.64%	1.36%	2.04%	2.12%	2.41%	2.77%	2.32%	2.53%	2.49%	2.22%
Tax Rate	-35.3%	-6.1%	-22.1%	-22.0%	-24.9%	-19.0%	-19.7%	-18.0%	-20.0%	-20.0%	-20.0%	-20.5%
Minorities & Outside Int.	0.54%	0.34%	0.00%	-0.04%	0.21%	-0.04%	-0.06%	-0.19%	-0.07%	-0.06%	-0.05%	-0.06%
ROA	1.55%	1.73%	1.28%	1.02%	1.74%	1.69%	1.87%	2.08%	1.78%	1.97%	1.94%	1.70%
Equity/Assets	15.9%	15.0%	14.3%	15.6%	17.2%	16.7%	16.3%	16.2%	15.8%	15.3%	14.9%	14.9%
ROE	9.7%	11.5%	8.9%	6.5%	10.1%	10.1%	11.5%	12.8%	11.3%	12.8%	13.0%	11.4%

Source: Company reports and J.P. Morgan estimates.

Price Performance



	YTD	1m	3m	12m
Abs	1.6%	0.3%	3.2%	4.0%
Rel	-2.7%	-1.7%	-1.9%	0.4%

Company Data

Shares O/S (mn)	7,934
52-week range (D)	21,050.00-17,500.00
Market cap (\$ mn)	6,053.86
Exchange rate	25,555.84
Free float (%)	90.9%
3M ADV (mn)	14.82
3M ADV (\$ mn)	11.1
Volatility (90 Day)	17
Index	VNINDEX
BBG ANR (Buy Hold Sell)	12 2 0

Key Metrics (FYE Dec)

D in billions	FY24A	FY25E	FY26E	FY27E
Financial Estimates				
Net interest income	49,080	58,544	68,234	79,785
Non interest income	7,600	7,953	9,150	10,531
Operating expenses	(14,340)	(16,031)	(17,864)	(19,700)
Adj. PPOP	42,340	50,465	59,520	70,616
Provision for loan losses	(22,328)	(26,720)	(31,039)	(36,553)
Adj. PBT	20,013	23,746	28,482	34,063
Adj. net income	15,779	18,363	22,085	26,482
Adj. EPS	1,988.78	2,314.47	2,783.67	3,337.82
BBG EPS	1,858.45	2,476.74	3,295.26	4,313.09
DPS	1,000.00	1,000.00	1,000.00	1,000.00
Loans	676,546	797,594	941,138	1,111,426
Deposits	485,667	575,194	681,320	807,136
Total Assets	923,848	1,063,138	1,222,681	1,410,926
Margins and Growth				
NIM	7.0%	7.2%	7.3%	7.4%
Ratios				
Loan/ Deposit ratio	139.3%	138.7%	138.1%	137.7%
NPL / Loans	4.2%	4.1%	3.9%	3.7%
Coverage	56.2%	53.5%	49.8%	46.3%
CET 1	-	-	-	-
Non-int. income/ Income	13.4%	12.0%	11.8%	11.7%
Cost/Income	25.3%	24.1%	23.1%	21.8%
LLP/Loans	(3.5%)	(3.5%)	(3.5%)	(3.5%)
ROA	1.8%	1.8%	1.9%	2.0%
ROE	11.4%	12.5%	13.9%	15.1%
Valuation				
Dividend yield	5.1%	5.1%	5.1%	5.1%
Adj. P/E	9.8	8.4	7.0	5.8
P/ BV	1.1	1.0	0.9	0.8

Summary Investment Thesis and Valuation

Investment Thesis

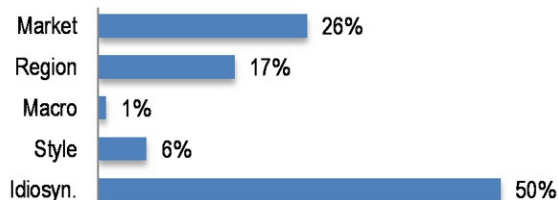
We hold a Neutral rating on VPBank.

- VPBank has managed a successful shift toward retail and SME, away from its corporate focus in 2010. As part of this shift, the bank has built FE Credit, by far the largest consumer finance company in Vietnam, which has helped growth and returns at the group.
- VPB owns 51% of FE Credit, following the sale of 49% stake to SMBC in 2021. FE Credit booked losses in FY22-23, due to the impact of unemployment, higher rates, and tighter liquidity. We expect further recovery at FE Credit in 2025, following improvements in 2024.
- The bank is one of the best-capitalized banks in the industry, which allows the bank to accelerate growth. However, accelerating growth could be more challenging amid a higher risk environment.

Valuation

Our Dec-25 PT of D21,000 is based on DDM, assuming a fair P/BV of 1.00x with a normalized ROE of 14.4%, a risk-free rate of 6.0%, a cost of capital of 14.4% and a growth rate of 6.0%.

Performance Drivers



Factors	6M Corr	1Y Corr
Market: MSCI Asia Pac ex JP	0.62	0.51
Region: Vietnam	0.51	0.48
Macro:		
US 10 Year Yield	0.02	-0.18
Generic 1st 'CO' Future	-0.10	0.10
Emerging Central Bank Rate	-0.15	-0.08
Quant Styles:		
Quality	-0.04	-0.31
DivYld	-0.23	-0.27
Value	-0.14	-0.20

Investment Thesis, Valuation and Risks

VPBank (Neutral; Price Target: D21,000.00)

Investment Thesis

We hold a Neutral rating on VPBank.

- VPBank has managed a successful shift toward retail and SME, away from its corporate focus in 2010. As part of this shift, the bank has built FE Credit, by far the largest consumer finance company in Vietnam, which has helped growth and returns at the group.
- VPB owns 51% of FE Credit, following the sale of 49% stake to SMBC in 2021. FE Credit booked losses in FY22-23, due to the impact of unemployment, higher rates, and tighter liquidity. We expect further recovery at FE Credit in 2025, following improvements in 2024.
- The bank is one of the best-capitalized banks in the industry, which allows the bank to accelerate growth. However, accelerating growth could be more challenging amid a higher risk environment.
- VPB has ~20% of credit to real estate companies, including bond exposure, as well as another ~5% to construction companies. This suggests asset quality risks, particularly with expiry of Cir. 02. On the other hand, the bank's real estate portfolio is 100% collateralized with 70-80% LTV, which should help limit losses.
- The bank's larger capital base provides buffers which limit downside, in our view. However, lower leverage drags ROE over next 3Y (12-15%). From here, we expect capital use to be the key driver, with the possibility of inorganic growth, which bears two-sided risks.

Valuation

Our Dec-25 PT of D21,000 is based on DDM, assuming a fair P/BV of 1.00x with a normalized ROE of 14.4%, a risk-free rate of 6.0%, a cost of capital of 14.4% and a growth rate of 6.0%.

Risks to Rating and Price Target

Downside risks include sharp EPS disappointment on credit cost increases and larger-than-expected NPLs; lower-than-expected loan growth; and larger-than-expected NIM compression. A value-eroding acquisition is also a key downside risk.

Upside risks include a better-than-expected asset quality outcome; sharp acceleration of loan growth and fee income; and lower-than-expected costs and credit costs.

VPBank: Summary of Financials

Income Statement						Balance Sheet					
	FY23A	FY24A	FY25E	FY26E	FY27E		FY23A	FY24A	FY25E	FY26E	FY27E
Interest income	76,557	80,112	96,212	113,452	133,892	Cash and cash equivalents	0	0	0	0	0
Interest expense	(38,383)	(31,031)	(37,669)	(45,218)	(54,106)	Deposits with banks	104,801	151,119	160,982	169,288	178,976
Net interest income	38,175	49,080	58,544	68,234	79,785	Net loans	551,622	676,546	797,594	941,138	1,111,426
Non interest income	9,074	7,600	7,953	9,150	10,531	PP&E	1,924	2,024	2,110	2,202	2,298
o/w Fee income	7,096	6,126	6,433	7,398	8,507	Net intangibles	0	0	0	0	0
o/w Trading income	(176)	1,658	1,244	1,434	1,658	LT investments	107,102	66,083	72,692	78,507	84,787
Net revenues	47,248	56,680	66,497	77,384	90,316	Other assets	159,352	94,159	102,452	110,053	118,226
Non interest expense	(13,912)	(14,340)	(16,031)	(17,864)	(19,700)	Total assets	817,700	923,848	1,063,138	1,222,681	1,410,926
o/w Employee costs	8,609	8,396	9,403	10,531	11,585	Interest earning assets	778,175	910,078	1,049,041	1,207,514	1,394,698
Pre-Prov. Profits	33,337	42,340	50,465	59,520	70,616	Deposits	442,368	485,667	575,194	681,320	807,136
Provisions	(22,349)	(22,328)	(26,720)	(31,039)	(36,553)	Borrowings	208,284	268,749	305,704	342,388	383,474
Adj. PBT	10,987	20,013	23,746	28,482	34,063	Other liabilities	235,385	290,906	329,634	368,232	411,386
Income taxes	(2,346)	(4,026)	(4,777)	(5,730)	(6,852)	Total liabilities	677,753	776,572	904,828	1,049,552	1,218,521
Minority interest	1,412	(208)	(606)	(667)	(729)	Shareholder equity	134,714	141,905	152,334	166,485	185,033
Adj. Net profit	10,053	15,779	18,363	22,085	26,482	Minority interests	5,232	5,370	5,976	6,643	7,372
PPOP per share	4,790.53	5,336.63	6,360.70	7,502.00	8,900.49	Total liabilities and Shareholder equity	817,700	923,848	1,063,138	1,222,681	1,410,926
Reported EPS	1,444.58	1,988.78	2,314.47	2,783.67	3,337.82	Interest bearing liabilities	650,653	754,415	880,899	1,023,708	1,190,610
Adj. EPS	1,444.58	1,988.78	2,314.47	2,783.67	3,337.82	Book Value Per Share	16,979.51	17,885.85	19,200.32	20,983.99	23,321.81
DPS	1,000.00	1,000.00	1,000.00	1,000.00	1,000.00	Tangible Book Value Per Share	16,979.51	17,885.85	19,200.32	20,983.99	23,321.81
Diluted shares outstanding	6,959	7,934	7,934	7,934	7,934	Asset Quality/Capital	FY23A	FY24A	FY25E	FY26E	FY27E
Balance Sheet Gearing	FY23A	FY24A	FY25E	FY26E	FY27E	Loan loss reserves/Loans	(2.6%)	(2.4%)	(2.2%)	(1.9%)	(1.7%)
Loans/Deposits	124.7%	139.3%	138.7%	138.1%	137.7%	NPLs/Loans	5.0%	4.2%	4.1%	3.9%	3.7%
Investment/Assets	13.7%	9.9%	7.0%	6.6%	6.2%	Loan loss reserves/NPLs	53.0%	54.0%	54.7%	51.5%	48.0%
Loan/Assets	69.3%	72.3%	75.9%	77.7%	79.4%	NPL y/y growth	12.8%	2.6%	14.3%	12.3%	12.9%
Customer deposits/Liabilities	65.3%	62.5%	63.6%	64.9%	66.2%	Tier 1 ratio	16.3%	14.8%	15.3%	14.5%	13.9%
LT debt/Liabilities	34.4%	32.8%	34.2%	33.2%	32.0%	CAR	17.1%	15.5%	15.9%	15.0%	14.4%
Ratio Analysis (%)	FY23A	FY24A	FY25E	FY26E	FY27E	Ratio Analysis (%)	FY23A	FY24A	FY25E	FY26E	FY27E
Net interest margin	6.3%	7.0%	7.2%	7.3%	7.4%	Return on equity (ROE)	8.7%	11.4%	12.5%	13.9%	15.1%
Non interest income/Net revenue	19.2%	13.4%	12.0%	11.8%	11.7%	Return on assets (ROA)	1.4%	1.8%	1.8%	1.9%	2.0%
Non interest income/Avg. Assets	1.3%	0.9%	0.8%	0.8%	0.8%	Operating ROA	1.5%	2.3%	2.4%	2.5%	2.6%
Efficiency ratio	29.4%	25.3%	24.1%	23.1%	21.8%	Pre-Tax ROA	1.5%	2.3%	2.4%	2.5%	2.6%
Leverage ratio	18.6%	15.9%	16.5%	15.7%	15.1%	Pre-Provision ROA	4.6%	4.9%	5.1%	5.2%	5.4%
Revenue/Assets	6.5%	6.5%	6.7%	6.8%	6.9%	Tax rate	21.4%	20.1%	20.1%	20.1%	20.1%
RORWA	1.3%	1.8%	1.8%	1.9%	2.0%	Net loans y/y growth	29.9%	22.6%	17.9%	18.0%	18.1%
RWA	826,161	933,408	1,074,140	1,235,333	1,425,527	Assets y/y growth	29.6%	13.0%	15.1%	15.0%	15.4%
Avg. RWA	751,919	879,784	1,003,774	1,154,736	1,330,430	RWA y/y growth	21.9%	13.0%	15.1%	15.0%	15.4%
Avg. IEA	608,847	703,158	810,526	932,967	1,077,592	Deposits y/y growth	45.9%	9.8%	18.4%	18.5%	18.5%
Gross Loans	566,271	692,876	815,368	959,719	1,130,935	Net interest income y/y growth	(6.9%)	28.6%	19.3%	16.6%	16.9%
Avg. IBL	579,865	702,534	817,657	952,303	1,107,159	Revenues y/y growth	(2.5%)	20.0%	17.3%	16.4%	16.7%
LLR	(14,649)	(16,330)	(17,773)	(18,581)	(19,509)	Adj. EPS y/y growth	(29.5%)	37.7%	16.4%	20.3%	19.9%
NPLs	28,344	29,070	33,227	37,304	42,103	BVPS y/y growth	17.7%	5.3%	7.3%	9.3%	11.1%
P/BV (x)	1.1	1.1	1.0	0.9	0.8	IE assets/Assets	84.0%	80.8%	81.6%	81.6%	81.8%
Adj. P/E (x)	13.5	9.8	8.4	7.0	5.8	Margins (as % of Avg. Assets)	4.7%	4.7%	4.9%	4.9%	5.0%
Dividend yield	5.1%	5.1%	5.1%	5.1%	5.1%	LLP/Loans	(4.4%)	(3.5%)	(3.5%)	(3.5%)	(3.5%)
Dividend payout	69.2%	50.3%	43.2%	35.9%	30.0%	Equity/Assets	16.0%	15.9%	14.8%	13.9%	13.3%
						Cost/Assets	1.9%	1.6%	1.6%	1.6%	1.5%
						Assets/Equity	6.3	6.3	6.8	7.2	7.5

Source: Company reports and J.P. Morgan estimates.

Note: D in billions (except per-share data), Fiscal year ends Dec

Not Rated

AMMB.KL, AMM MK
Price (21 Mar 25):RM5.61

APAC Banks

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J.P. Morgan Securities Singapore Private Limited/
J.P. Morgan Securities (Asia Pacific) Limited/ J.P.
Morgan Broking (Hong Kong) Limited

Key Changes (FYE Mar)

	Prev	Cur
Adj. EPS - 25E (RM)	0.50	0.63
Adj. EPS - 26E (RM)	0.54	0.66

Quarterly Forecasts (FYE Mar)

Adj. EPS (RM)	2024A	2025E	2026E
Q1			
Q2			
Q3			
Q4			
FY	0.56	0.63	0.66

Style Exposure

Quant Factors	Current	Hist %Rank (1=Top)			
	%Rank	6M	1Y	3Y	5Y
Value	17	15	11	1	3
Growth	24	30	100	80	65
Momentum	19	32	32	19	61
Quality	24	9	49	88	42
Low Vol	44	42	32	67	36
ESGQ	91	85	22	88	7

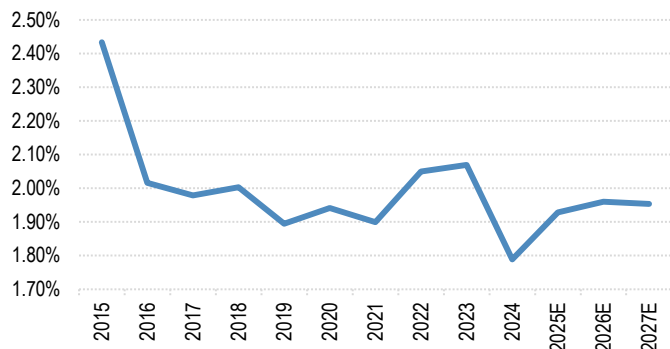
AMMB Holdings

Steady b/s and earnings growth; capital management an important driver

We have updated our estimates for AmBank, with FY25/26/27 EPS estimates of 63/66/69sen, and RoE of 10.3%/10.2%/10.2%, resp. We expect loan growth of 4-6% over next 3 years, with increasing mix of SME loans. We expect the bank to pay 50/55% of profits as dividends this and next year.

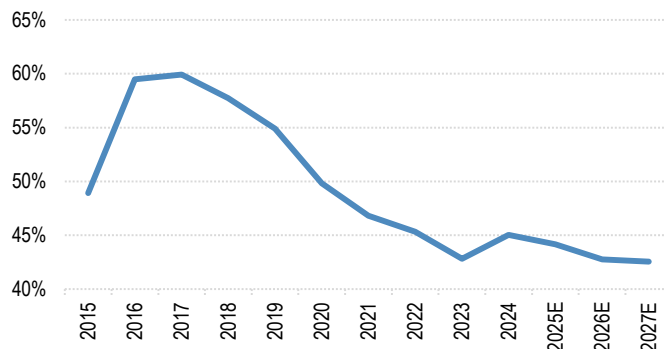
Sources for: Style Exposure – J.P. Morgan Quantitative and Derivatives Strategy; all other tables are company data and J.P. Morgan estimates.

Figure 62: AMM: NIM



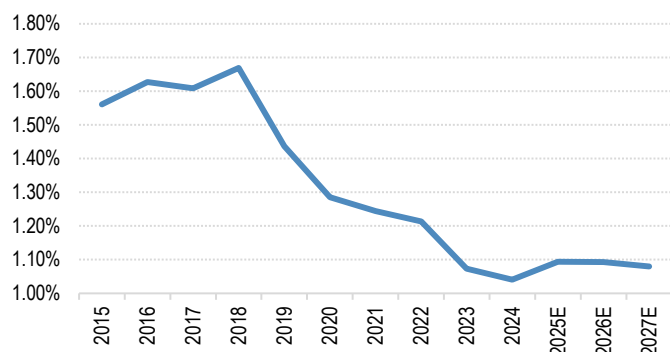
Source: Company reports and J.P. Morgan estimates.

Figure 63: AMM: Cost to Income ratio



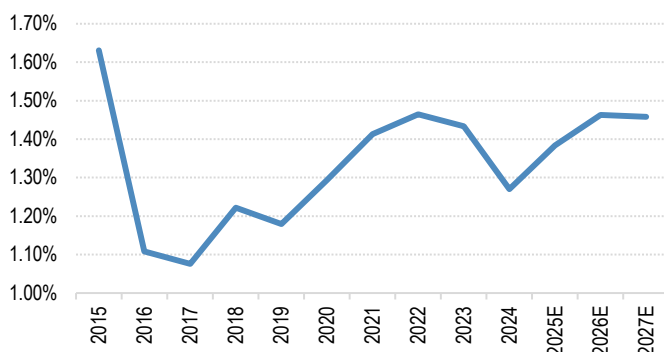
Source: Company reports and J.P. Morgan estimates.

Figure 64: AMM: Cost/Assets



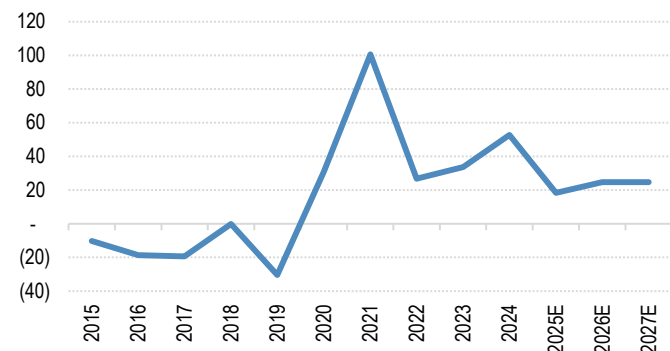
Source: Company reports and J.P. Morgan estimates.

Figure 65: AMM: PPOP ROA



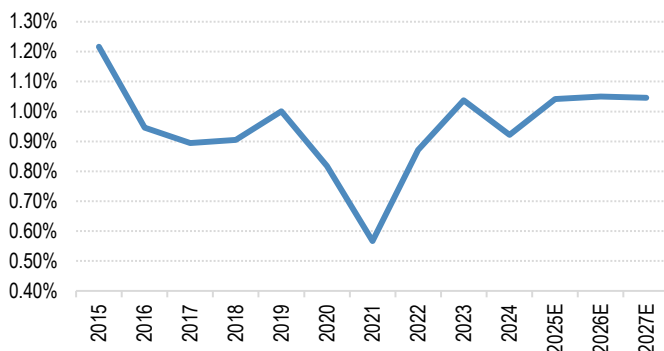
Source: Company reports and J.P. Morgan estimates.

Figure 66: AMM: Credit costs (bps)



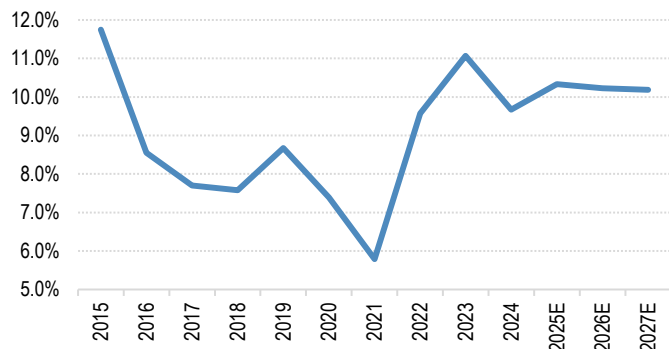
Source: Company reports and J.P. Morgan estimates.

Figure 67: AMM: Core ROA



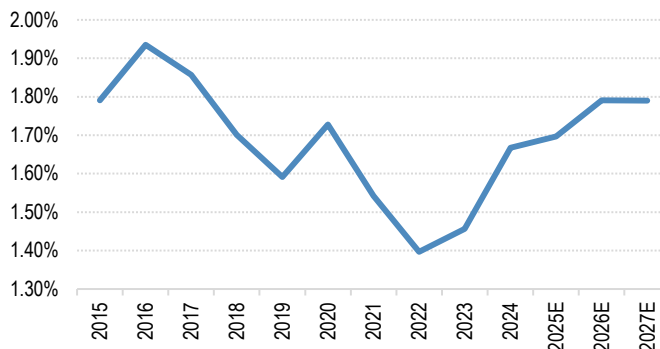
Source: Company reports and J.P. Morgan estimates.

Figure 68: AMM: Core ROE



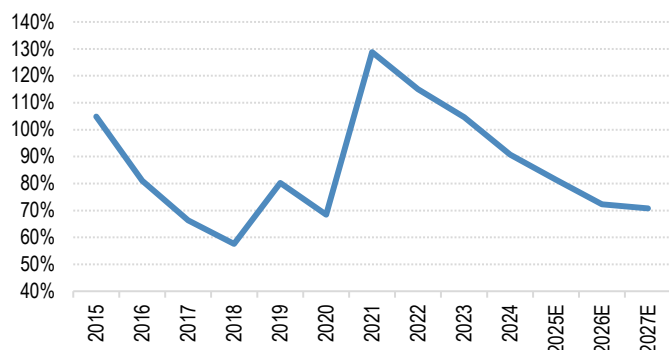
Source: Company reports and J.P. Morgan estimates.

Figure 69: AMM: NPL ratio



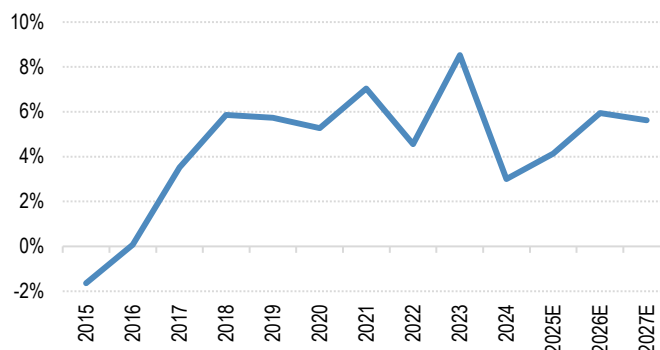
Source: Company reports and J.P. Morgan estimates.

Figure 70: AMM: NPL coverage (ex-RR)



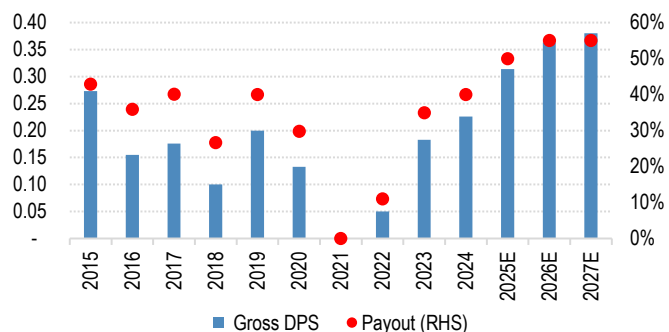
Source: Company reports and J.P. Morgan estimates.

Figure 71: AMM: Loan growth



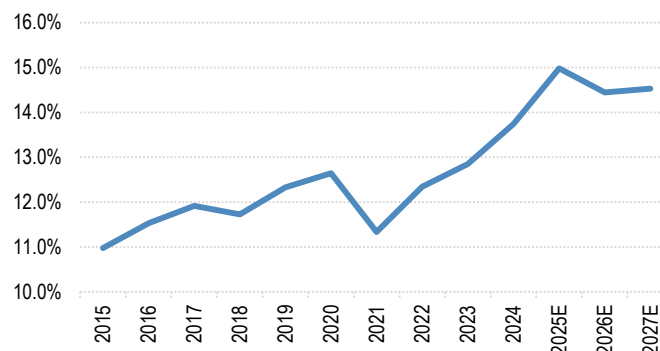
Source: Company reports and J.P. Morgan estimates.

Figure 72: AMM: DPS and payout ratio



Source: Company reports and J.P. Morgan estimates.

Figure 73: AMM: CET1 ratio



Source: Company reports and J.P. Morgan estimates.

Annual forecasts

Table 99: AMM: Annual P&L

P&L (RM mn)	2014	2015	2016	2017	2018	2019	2020	2021	2022	2023	2024	2025E	2026E	2027E
Interest Income	6,471	6,185	6,104	5,833	6,278	6,952	7,023	5,985	5,994	7,413	9,068	9,178	9,598	9,892
Interest Expense	(3,223)	(3,349)	(3,722)	(3,534)	(3,783)	(4,389)	(4,176)	(2,966)	(2,666)	(3,926)	(5,747)	(5,532)	(5,726)	(5,822)
Net Interest Income	3,248	2,836	2,381	2,299	2,494	2,562	2,847	3,019	3,329	3,488	3,321	3,646	3,873	4,070
Fee income	714	657	524	558	553	516	544	582	604	597	653	676	698	718
Investment income	238	241	256	261	254	190	247	383	155	316	414	454	573	595
Life Insurance Income	472	418	379	384	465	453	441	494	477	129	0	0	0	0
Other operating income	75	83	57	31	63	46	40	28	27	44	36	31	31	32
Non-Interest Income	1,541	1,418	1,278	1,305	1,447	1,318	1,383	1,490	1,292	1,180	1,234	1,294	1,439	1,484
Total Revenues	4,789	4,254	3,660	3,604	3,941	3,881	4,230	4,509	4,622	4,668	4,555	4,940	5,311	5,554
Costs	(2,201)	(2,080)	(2,177)	(2,160)	(2,275)	(2,131)	(2,108)	(2,111)	(2,094)	(1,999)	(2,052)	(2,181)	(2,271)	(2,363)
PPOP	2,588	2,174	1,483	1,444	1,666	1,750	2,122	2,398	2,527	2,669	2,504	2,759	3,040	3,191
Loan loss provisions	(68)	91	164	174	1	301	(323)	(1,117)	(314)	(422)	(696)	(251)	(355)	(375)
Impairment Loss	(64)	7	45	23	(17)	3	(13)	(20)	(452)	68	(153)	100	50	50
Pre-Tax	2,478	2,274	1,695	1,677	1,644	2,074	1,783	1,305	1,805	2,385	1,694	2,698	2,835	2,971
Tax	(577)	(527)	(332)	(392)	(289)	(492)	(330)	(229)	(210)	(513)	148	(620)	(652)	(683)
MI & EO	(89)	(126)	(97)	(84)	(122)	(98)	(112)	(114)	(92)	59	(25)	0	0	0
Net profits	1,812	1,621	1,266	1,201	1,233	1,484	1,341	962	1,503	1,931	1,817	2,077	2,183	2,288
Reported profits	1,782	1,919	1,302	1,325	1,132	1,505	1,341	(3,826)	1,503	1,735	1,868	2,077	2,183	2,288

Source: Company reports and J.P. Morgan estimates.

Table 100: AMM: Annual DuPont

	2014	2015	2016	2017	2018	2019	2020	2021	2022	2023	2024	2025E	2026E	2027E
NIM (% of avg. IEA)	2.70%	2.43%	2.02%	1.98%	2.00%	1.89%	1.94%	1.90%	2.05%	2.07%	1.79%	1.93%	1.96%	1.95%
IEA/Assets	92.4%	87.4%	88.3%	86.5%	91.4%	91.2%	89.4%	93.6%	94.1%	90.5%	94.2%	94.8%	95.1%	95.2%
Margins (% of avg. Ass)	2.50%	2.13%	1.78%	1.71%	1.83%	1.73%	1.74%	1.78%	1.93%	1.87%	1.68%	1.83%	1.86%	1.86%
Non-IR contribution	32.18%	33.33%	34.93%	36.21%	36.71%	33.97%	32.69%	33.03%	27.95%	25.28%	27.09%	26.20%	27.09%	26.73%
Non-IR/Avg. Assets	1.18%	1.06%	0.96%	0.97%	1.06%	0.89%	0.84%	0.88%	0.75%	0.63%	0.63%	0.65%	0.69%	0.68%
Revenue/Assets	3.68%	3.19%	2.74%	2.68%	2.89%	2.62%	2.58%	2.66%	2.68%	2.51%	2.31%	2.48%	2.56%	2.54%
Cost/Income	45.95%	48.90%	59.48%	59.92%	57.74%	54.91%	49.84%	46.82%	45.31%	42.83%	45.04%	44.15%	42.75%	42.55%
C/Assets	1.69%	1.56%	1.63%	1.61%	1.67%	1.44%	1.29%	1.24%	1.21%	1.07%	1.04%	1.09%	1.09%	1.08%
Pre-Provision ROA	1.99%	1.63%	1.11%	1.08%	1.22%	1.18%	1.29%	1.41%	1.46%	1.43%	1.27%	1.38%	1.46%	1.46%
LLP/Loans	-0.08%	0.10%	0.19%	0.19%	0.00%	0.30%	-0.31%	-1.01%	-0.27%	-0.34%	-0.53%	-0.18%	-0.25%	-0.25%
Loan/Assets	66.9%	66.4%	65.7%	66.6%	68.7%	66.8%	63.7%	65.4%	68.0%	67.2%	67.0%	68.7%	69.2%	69.5%
Other Income/Assets	-0.03%	0.01%	0.04%	0.04%	-0.02%	0.02%	-0.01%	0.01%	-0.24%	0.07%	-0.06%	0.10%	0.07%	0.07%
OpRoA	1.94%	1.70%	1.23%	1.21%	1.22%	1.38%	1.10%	0.75%	1.28%	1.21%	0.92%	1.26%	1.29%	1.29%
Pre-Tax ROA	1.90%	1.71%	1.27%	1.25%	1.21%	1.40%	1.09%	0.77%	1.05%	1.28%	0.86%	1.35%	1.36%	1.36%
Tax Rate	-23.3%	-23.2%	-19.6%	-23.4%	-17.6%	-23.7%	-18.5%	-17.5%	-11.6%	-21.5%	8.8%	-23.0%	-23.0%	-23.0%
ROA	1.37%	1.44%	0.97%	0.99%	0.83%	1.01%	0.82%	-2.25%	0.87%	0.93%	0.95%	1.04%	1.05%	1.05%
RoRWA	1.89%	2.00%	1.37%	1.38%	1.14%	1.48%	1.26%	-3.44%	1.30%	1.44%	1.50%	1.69%	1.72%	1.69%
Equity/Assets	9.7%	10.4%	11.1%	11.6%	11.9%	11.5%	11.1%	9.8%	9.1%	9.4%	9.5%	10.1%	10.3%	10.3%
Core ROE	14.37%	11.75%	8.55%	7.70%	7.58%	8.68%	7.39%	5.79%	9.57%	11.07%	9.67%	10.33%	10.23%	10.19%

Source: Company reports and J.P. Morgan estimates.

Quarterly forecasts

Table 101: AMM: Quarterly P&L

P&L (RM mn)	1Q23	2Q23	3Q23	4Q23	1Q24	2Q24	3Q24	4Q24	1Q25	2Q25	3Q25	4Q25E	1Q26E	2Q26E	3Q26E	4Q26E
Interest Income	1,565	1,790	1,994	2,065	2,213	2,283	2,280	2,293	2,259	2,286	2,296	2,336	2,356	2,379	2,415	2,448
Interest Expense	(698)	(870)	(1,071)	(1,286)	(1,397)	(1,439)	(1,451)	(1,460)	(1,390)	(1,355)	(1,373)	(1,414)	(1,412)	(1,415)	(1,433)	(1,465)
Net Interest Income	867	920	922	779	815	845	828	833	870	931	922	923	944	963	982	983
Fee income	139	137	163	158	156	149	173	175	172	167	160	176	170	174	178	176
Investment income	2	55	107	152	83	84	161	85	92	11	191	161	144	147	151	131
Life Insurance Income	129	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0
Other operating income	7	8	10	19	10	9	9	8	7	8	7	9	8	8	8	8
Non-Interest Income	292	243	289	356	326	261	338	309	276	280	298	439	355	362	370	351
Total Revenues	1,159	1,163	1,211	1,135	1,141	1,106	1,166	1,142	1,146	1,212	1,221	1,362	1,299	1,326	1,352	1,334
Costs	(544)	(476)	(497)	(482)	(508)	(493)	(522)	(530)	(521)	(530)	(571)	(560)	(542)	(559)	(572)	(598)
PPOP	615	686	714	653	633	613	645	613	626	682	650	802	757	767	781	736
Loan loss provisions	(60)	(74)	(204)	(84)	(166)	(56)	(435)	(39)	(36)	(96)	(36)	(83)	(85)	(86)	(87)	(97)
Impairment Loss	(4)	(14)	54	32	(24)	43	(191)	19	24	51	(2)	27	12	12	12	14
Pre-Tax	554	611	585	636	453	618	4	620	646	654	632	767	709	718	730	678
Tax	(120)	(141)	(132)	(120)	(100)	(148)	540	(143)	(146)	(153)	(145)	(177)	(163)	(166)	(168)	(155)
MI & EO	(15)	74	(0)	(0)	(25)	(0)	(0)	(0)	0	(0)	0	0	0	0	0	0
Net profits	419	543	453	516	327	470	543	477	500	501	486	590	546	553	562	523
Reported profits	419	435	453	428	378	470	543	477	500	501	486	590	546	553	562	523

Source: Company reports and J.P. Morgan estimates.

Table 102: AMM: Quarterly DuPont

	1Q23	2Q23	3Q23	4Q23	1Q24	2Q24	3Q24	4Q24	1Q25	2Q25	3Q25	4Q25E	1Q26E	2Q26E	3Q26E	4Q26E
NIM (% of avg. IEA)	2.12%	2.12%	2.13%	1.84%	1.76%	1.79%	1.79%	1.79%	1.88%	1.96%	1.96%	1.94%	1.97%	1.97%	1.99%	1.95%
IEA/Assets	92.6%	96.8%	94.8%	88.5%	94.6%	97.3%	95.6%	95.4%	94.2%	96.5%	95.2%	95.2%	95.1%	96.3%	95.4%	95.4%
Margins (% of avg. Asses)	2.0%	2.1%	2.0%	1.6%	1.7%	1.7%	1.7%	1.7%	1.8%	1.9%	1.9%	1.8%	1.9%	1.9%	1.9%	1.9%
Non-IR contribution	25.2%	20.9%	23.9%	31.3%	28.6%	23.6%	29.0%	27.1%	24.1%	23.1%	24.4%	32.2%	27.3%	27.3%	27.4%	26.3%
Non-IR/Avg. Assets	0.7%	0.5%	0.6%	0.7%	0.7%	0.5%	0.7%	0.6%	0.6%	0.6%	0.6%	0.9%	0.7%	0.7%	0.7%	0.7%
Revenue/Assets	2.6%	2.6%	2.7%	2.4%	2.3%	2.3%	2.4%	2.3%	2.3%	2.5%	2.5%	2.7%	2.6%	2.6%	2.6%	2.5%
Cost/Income	46.9%	41.0%	41.1%	42.4%	44.5%	44.6%	44.7%	46.4%	45.4%	43.7%	46.8%	41.1%	41.7%	42.1%	42.3%	44.8%
C/Assets	1.2%	1.1%	1.1%	1.0%	1.0%	1.0%	1.1%	1.1%	1.1%	1.1%	1.2%	1.1%	1.1%	1.1%	1.1%	1.1%
Pre-Provision ROA	1.39%	1.53%	1.56%	1.37%	1.29%	1.26%	1.33%	1.25%	1.27%	1.39%	1.32%	1.61%	1.50%	1.51%	1.51%	1.39%
LLP/Loans	-0.2%	-0.2%	-0.6%	-0.3%	-0.5%	-0.2%	-1.3%	-0.1%	-0.1%	-0.3%	-0.1%	-0.2%	-0.2%	-0.2%	-0.2%	-0.3%
Loan/Assets	67.9%	68.1%	68.6%	67.0%	66.2%	66.9%	67.5%	67.9%	67.9%	68.0%	68.8%	69.3%	69.7%	70.0%	69.7%	69.4%
Other Income/Assets	0.0%	0.0%	0.2%	0.1%	0.0%	0.1%	-0.4%	0.1%	0.1%	0.1%	0.0%	0.1%	0.1%	0.1%	0.1%	0.1%
OpRoA	1.26%	1.37%	1.12%	1.19%	0.95%	1.15%	0.43%	1.17%	1.20%	1.19%	1.25%	1.44%	1.33%	1.34%	1.34%	1.21%
Pre-Tax ROA	1.3%	1.4%	1.3%	1.3%	0.9%	1.3%	0.0%	1.3%	1.3%	1.3%	1.3%	1.5%	1.4%	1.4%	1.4%	1.3%
Tax Rate	-21.7%	-23.2%	-22.6%	-18.8%	-22.2%	-24.0%	14261.8%	-23.1%	-22.5%	-23.4%	-23.0%	-23.0%	-23.0%	-23.0%	-23.0%	-22.9%
Core ROA	0.95%	1.21%	0.99%	1.08%	0.67%	0.97%	1.12%	0.98%	1.02%	0.99%	1.02%	1.18%	1.08%	1.09%	1.09%	0.99%
Core RoRWA	1.43%	1.84%	1.51%	1.69%	1.06%	1.53%	1.76%	1.54%	1.62%	1.71%	1.74%	2.01%	1.80%	1.79%	1.77%	1.60%
Equity/Assets	9.6%	9.6%	9.5%	9.3%	9.4%	9.5%	9.7%	9.9%	10.0%	10.2%	10.2%	10.2%	10.3%	10.3%	10.4%	10.3%
Core ROE	9.93%	12.67%	10.39%	11.55%	7.15%	10.15%	11.54%	9.88%	10.14%	10.02%	9.72%	11.56%	10.55%	10.58%	10.48%	9.58%

Source: Company reports and J.P. Morgan estimates.

Price Performance



	YTD	1m	3m	12m
Abs	2.4%	-2.6%	5.4%	36.2%
Rel	10.7%	2.8%	10.9%	38.5%

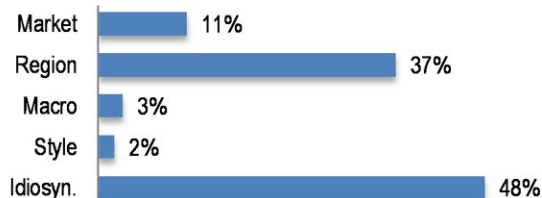
Company Data

Shares O/S (mn)	3,300
52-week range (RM)	5.94-4.08
Market cap (\$ mn)	4,184
Exchange rate	4.42
Free float (%)	77.3%
3M ADV (mn)	5.39
3M ADV (\$ mn)	6.8
Volatility (90 Day)	22
Index	FBMKLCI - FTSE BURSA MALAYSIA KLCI
BBG ANR (Buy Hold Sell)	10 6 0

Key Metrics (FYE Mar)

RM in millions	FY24A	FY25E	FY26E	FY27E
Financial Estimates				
Net interest income	3,321	3,646	3,873	4,070
Non interest income	1,234	1,294	1,439	1,484
Operating expenses	(2,052)	(2,181)	(2,271)	(2,363)
Adj. PPOP	2,504	2,759	3,040	3,191
Provision for loan losses	(696)	(251)	(355)	(375)
Adj. PBT	1,694	2,698	2,835	2,971
Adj. net income	1,868	2,077	2,183	2,288
Adj. EPS	0.56	0.63	0.66	0.69
BBG EPS	0.51	0.59	0.62	0.66
DPS	0.23	0.31	0.36	0.38
Loans	132,102	137,754	146,075	154,341
Deposits	142,395	141,773	150,295	159,885
Total Assets	196,764	202,006	213,687	223,884
Margins and Growth				
NIM	1.8%	1.9%	2.0%	2.0%
Ratios				
Loan/ Deposit ratio	92.8%	97.2%	97.2%	96.5%
NPL / Loans	1.7%	1.7%	1.8%	1.8%
Coverage	90.7%	81.4%	72.3%	70.7%
CET 1	-	-	-	-
Non-int. income/ Income	27.1%	26.2%	27.1%	26.7%
Cost/Income	45.0%	44.1%	42.8%	42.5%
LLP/Loans	(0.5%)	(0.2%)	(0.2%)	(0.2%)
ROA	0.9%	1.0%	1.1%	1.0%
ROE	9.9%	10.3%	10.2%	10.2%
Valuation				
Dividend yield	4.0%	5.6%	6.5%	6.8%
Adj. P/E	9.9	8.9	8.5	8.1
P/ BV	0.95	0.89	0.85	0.81

Performance Drivers



Factors	6M Corr	1Y Corr
Market: MSCI Asia Pac ex JP	0.41	0.33
Region: Malaysia	0.69	0.64
Macro:		
JP Morgan GBI-EM Global Div	0.45	0.31
US 10 Year Yield	-0.33	-0.28
HSI Volatility Index	-0.30	-0.20
Quant Styles:		
Momentum	0.56	0.22
Size	0.45	0.12
Value	-0.12	-0.12

Source: J.P. Morgan Quantitative and Derivatives Strategy for Performance Drivers; company data, Bloomberg Finance L.P. and J.P. Morgan estimates for all other tables. Note: Price history may not be complete or exact.

AMMB Holdings: Summary of Financials

Income Statement						Balance Sheet					
	FY23A	FY24A	FY25E	FY26E	FY27E		FY23A	FY24A	FY25E	FY26E	FY27E
Interest income	7,413	9,068	9,178	9,598	9,892	Cash and cash equivalents	0	0	0	0	0
Interest expense	(3,926)	(5,747)	(5,532)	(5,726)	(5,822)	Deposits with banks	8,699	6,493	5,849	11,000	11,863
Net interest income	3,488	3,321	3,646	3,873	4,070	Net loans	128,243	132,102	137,754	146,075	154,341
Non interest income	1,180	1,234	1,294	1,439	1,484	PP&E	162	145	145	148	150
o/w Fee income	597	653	676	698	718	Net intangibles	511	431	431	431	431
o/w Trading income	316	414	454	573	595	LT investments	51,851	47,717	48,194	46,266	47,192
Net revenues	4,668	4,555	4,940	5,311	5,554	Other assets	8,076	9,876	9,632	9,767	9,906
Non interest expense	(1,999)	(2,052)	(2,181)	(2,271)	(2,363)	Total assets	197,541	196,764	202,006	213,687	223,884
o/w Employee costs	(1,318)	(1,340)	(1,434)	(1,491)	(1,551)	Interest earning assets	188,792	186,312	191,797	203,341	213,396
Pre-Prov. Profits	2,669	2,504	2,759	3,040	3,191	Deposits	130,332	142,395	141,773	150,295	159,885
Provisions	(422)	(696)	(251)	(355)	(375)	Borrowings	35,461	23,097	28,814	30,829	30,136
Adj. PBT	2,385	1,694	2,698	2,835	2,971	Other liabilities	13,613	11,830	10,647	10,647	10,860
Income taxes	(513)	148	(620)	(652)	(683)	Total liabilities	179,405	177,322	181,234	191,771	200,881
Minority interest	59	(25)	0	0	0	Shareholder equity	18,135	19,441	20,771	21,915	23,002
Adj. Net profit	1,735	1,868	2,077	2,183	2,288	Minority interests	1	1	1	1	1
PPOP per share	0.81	0.76	0.83	0.92	0.96	Total liabilities and Shareholder equity	197,541	196,764	202,006	213,687	223,884
Reported EPS	0.52	0.56	0.63	0.66	0.69	Interest bearing liabilities	165,792	165,492	170,587	181,124	190,021
Adj. EPS	0.52	0.56	0.63	0.66	0.69	Book Value Per Share	5.48	5.88	6.28	6.63	6.96
DPS	0.18	0.23	0.31	0.36	0.38	Tangible Book Value Per Share	5.48	5.88	6.28	6.63	6.95
Diluted shares outstanding	3,311	3,307	3,307	3,307	3,307						
Balance Sheet Gearing						Asset Quality/Capital					
	FY23A	FY24A	FY25E	FY26E	FY27E		FY23A	FY24A	FY25E	FY26E	FY27E
Loans/Deposits	98.4%	92.8%	97.2%	97.2%	96.5%	Loan loss reserves/Loans	(1.5%)	(1.5%)	(1.4%)	(1.3%)	(1.3%)
Investment/Assets	23.3%	25.3%	24.1%	22.7%	21.4%	NPLs/Loans	1.5%	1.7%	1.7%	1.8%	1.8%
Loan/Assets	67.2%	67.0%	68.7%	69.2%	69.5%	Loan loss reserves/NPLs	109.5%	97.1%	85.9%	76.6%	71.5%
Customer deposits/Liabilities	72.6%	80.3%	78.2%	78.4%	79.6%	NPL y/y growth	13.2%	17.9%	6.0%	11.8%	5.6%
LT debt/Liabilities	16.1%	16.4%	14.5%	16.0%	15.5%	Tier 1 ratio	12.8%	13.7%	15.0%	14.4%	14.5%
Ratio Analysis (%)							FY23A	FY24A	FY25E	FY26E	FY27E
	FY23A	FY24A	FY25E	FY26E	FY27E		FY23A	FY24A	FY25E	FY26E	FY27E
Net interest margin	2.1%	1.8%	1.9%	2.0%	2.0%	CAR	16.0%	16.9%	18.3%	17.4%	17.4%
Non interest income/Net revenue	25.3%	27.1%	26.2%	27.1%	26.7%	Return on equity (ROE)	9.9%	9.9%	10.3%	10.2%	10.2%
Non interest income/Avg. Assets	0.6%	0.6%	0.6%	0.7%	0.7%	Return on assets (ROA)	0.9%	0.9%	1.0%	1.1%	1.0%
Efficiency ratio	42.8%	45.0%	44.1%	42.8%	42.5%	Operating ROA	1.2%	0.9%	1.3%	1.3%	1.3%
Leverage ratio	8.5%	8.7%	9.1%	9.2%	9.2%	Pre-Tax ROA	1.3%	0.9%	1.4%	1.4%	1.4%
Revenue/Assets	2.5%	2.3%	2.5%	2.6%	2.5%	Pre-Provision ROA	1.4%	1.3%	1.4%	1.5%	1.5%
RORWA	1.4%	1.5%	1.7%	1.7%	1.7%	Tax rate	21.5%	8.8%	23.0%	23.0%	23.0%
RWA	123,731	124,546	121,203	132,486	138,808	Net loans y/y growth	8.6%	3.0%	4.3%	6.0%	5.7%
Avg. RWA	120,766	124,139	122,875	126,845	135,647	Assets y/y growth	13.0%	(0.4%)	2.7%	5.8%	4.8%
Avg. IEA	168,573	185,677	189,055	197,569	208,369	RWA y/y growth	5.0%	0.7%	(2.7%)	9.3%	4.8%
Gross Loans	130,227	134,130	139,684	147,991	156,319	Deposits y/y growth	6.0%	9.3%	(0.4%)	6.0%	6.4%
Avg. IBL	153,659	165,642	168,040	175,856	185,573	Net interest income y/y growth	4.8%	(4.8%)	9.8%	6.2%	5.1%
LLR	(1,984)	(2,028)	(1,930)	(1,916)	(1,978)	Revenues y/y growth	1.0%	(2.4%)	8.4%	7.5%	4.6%
NPLs	1,896	2,236	2,370	2,650	2,798	Adj. EPS y/y growth	15.1%	7.8%	11.2%	5.1%	4.8%
P/BV (x)	1.02	0.95	0.89	0.85	0.81	BVPS y/y growth	7.8%	7.3%	6.8%	5.5%	5.0%
Adj. P/E (x)	10.7	9.9	8.9	8.5	8.1	IE assets/Assets	90.5%	94.2%	94.8%	95.1%	95.2%
Dividend yield	3.3%	4.0%	5.6%	6.5%	6.8%	Margins (as % of Avg. Assets)	1.8%	1.7%	1.8%	1.9%	1.9%
Dividend payout	34.9%	40.0%	50.0%	55.0%	55.0%	LLP/Loans	(0.3%)	(0.5%)	(0.2%)	(0.2%)	(0.2%)
						Equity/Assets	9.4%	9.5%	10.1%	10.3%	10.3%
						Cost/Assets	1.1%	1.0%	1.1%	1.1%	1.1%
						Assets/Equity	10.7	10.5	9.9	9.7	9.7

Source: Company reports and J.P. Morgan estimates.

Note: RM in millions (except per-share data). Fiscal year ends Mar

Overweight

CIMB.KL, CIMB MK

Price (21 Mar 25):RM6.85

▼ **Price Target (Dec-25):RM8.60**

Prior (Dec-25):RM9.70

APAC Banks

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J.P. Morgan Securities Singapore Private Limited/
J.P. Morgan Securities (Asia Pacific) Limited/ J.P.
Morgan Broking (Hong Kong) Limited

Key Changes (FYE Dec)

	Prev	Cur
Adj. EPS - 25E (RM)	0.80	0.77
Adj. EPS - 26E (RM)	0.91	0.86

Quarterly Forecasts (FYE Dec)

Adj. EPS (RM)	2024A	2025E	2026E
Q1	0.18	0.19	
Q2	0.18	0.20	
Q3	0.19	0.20	
Q4	0.17	0.18	
FY	0.72	0.77	0.86

Style Exposure

Quant Factors	Current %Rank	Hist %Rank (1=Top)			
		6M	1Y	3Y	5Y
Value	24	24	17	21	13
Growth	11	5	9	9	76
Momentum	36	30	24	11	63
Quality	3	11	24	61	34
Low Vol	28	28	28	55	24
ESGQ	14	86	85	88	96

CIMB Group Holdings

Re-rating to continue, but cautious on Niaga

The bank is on track to deliver 12-13% RoE in next 3Y. We forecast 11.5-12.5% RoE during the period. CIMB has addressed capital allocation issues in last five years, and is now in the process of managing costs, as well as revenue focus towards higher RoRWA (deposits over loans, fees, cross-sell). These changes are hard to extract, but have lasting impact on returns. We have high degree of confidence in the bank's ability to deliver these shifts, based on the plans presented earlier this month ([link](#)). Hence, we stay OW. Yet, the liquidity challenges in Indonesia will weigh on returns (Niaga consumes 19% of group RWA and contributed 25% of profits last year) will limit the pace of growth. Hence, this is our medium term pick. We are revising our 2025/26 EPS estimates by 4/6%, driven by slightly lower contribution at Niaga, as well as normalisation in credit costs. This is driving our lower Dec-25 PT estimate of RM8.6. We continue to maintain OW.

Valuation

Table 103: CIMB: Valuation

	Net Inc (RM mn)	EPS (RM)	P/E (x)	BVPS (RM)	P/B (x)	Dividend (RM)	Div Yld (%)	RoA (%)	RoRWA (%)	RoE (%)
2020	1,194	0.12	56.3	5.64	1.22	0.05	0.7%	0.20%	0.37%	2.1%
2021	4,295	0.48	14.4	5.87	1.17	0.23	3.4%	0.77%	1.34%	8.3%
2022	5,440	0.53	12.9	5.99	1.14	0.26	3.8%	0.84%	1.67%	8.9%
2023	6,981	0.66	10.3	6.41	1.07	0.43	6.3%	1.00%	2.01%	10.7%
2024	7,728	0.72	9.5	6.46	1.06	0.47	6.9%	1.04%	2.11%	11.2%
2025E	8,230	0.77	8.9	6.76	1.01	0.42	6.2%	1.06%	2.12%	11.6%
2026E	9,203	0.86	8.0	7.19	0.95	0.52	7.5%	1.13%	2.20%	12.3%
2027E	9,905	0.92	7.4	7.60	0.90	0.55	8.1%	1.14%	2.21%	12.5%

Price (RM)	6.85	Number of shares (mn)	10,721	Market Cap (RM mn)	73,440
Normalised RoE		PB based Valuation		PE based Valuation	
NIM (on avg. assets)	2.19%	Risk-free rate	4.5%	Fair PE	9.7x
Non-IR/revenues	29.4%	Cost of capital	11.1%	12m Rolling EPS	RM0.78
Cost/income	45.3%	Long term growth	5.0%	PE based Dec-25 Fair Value	RM7.5
Operating RoA	1.70%	Fair PB	1.19x	Implied Value of Growth	
LLP/Loans	-0.30%	PV of Terminal Value	RM7.3	12m Rolling EPS	RM0.8
Net RoAA	1.12%	PV of Dividends	RM0.4	Capitalized Value	RM7.0
Equity/Assets	9.2%	PV of today's Fair Value	RM7.7	Value of Growth	-RM0.2
Normalised RoE	12.3%	PV of Dec-25 fair value	RM8.6	Attributable to Growth	-2.3%

Source: J.P. Morgan estimates, Bloomberg Finance L.P.

Annual earnings

Table 104: CIMB: Annual P&L

P&L (RM mn)	2015	2016	2017	2018	2019	2020	2021	2022	2023	2024	2025E	2026E	2027E
Interest Income	21,179	22,249	23,776	24,561	26,467	23,328	21,694	25,396	34,283	36,569	37,493	38,637	40,277
Interest Expense	(10,273)	(10,756)	(11,239)	(12,316)	(13,342)	(10,171)	(7,286)	(9,767)	(18,939)	(20,465)	(20,999)	(20,645)	(20,865)
Net Interest Income	10,906	11,493	12,537	12,245	13,125	13,156	14,408	15,629	15,344	16,104	16,494	17,991	19,411
Fee income	1,969	2,032	2,198	2,245	2,218	1,749	2,067	2,206	2,234	2,349	2,651	2,875	3,119
Investment income	1,474	1,462	1,823	1,419	1,846	1,992	1,705	1,767	2,964	3,523	4,058	4,258	4,468
Other operating income	1,046	893	976	382	356	291	182	225	473	325	332	338	345
Non-Interest Income	4,489	4,423	5,052	4,046	4,419	4,033	3,955	4,198	5,670	6,197	7,041	7,472	7,933
Total Revenues	15,395	15,916	17,588	16,291	17,544	17,189	18,362	19,827	21,014	22,301	23,535	25,463	27,344
Costs	(8,565)	(8,652)	(9,134)	(8,656)	(9,507)	(8,977)	(8,937)	(9,346)	(9,865)	(10,420)	(10,963)	(11,508)	(12,079)
PPOP	6,830	7,264	8,455	7,635	8,037	8,212	9,426	10,482	11,149	11,881	12,572	13,955	15,264
Loan loss provisions	(2,169)	(2,409)	(2,231)	(1,433)	(1,639)	(5,342)	(2,614)	(1,953)	(1,534)	(1,369)	(1,439)	(1,542)	(1,928)
Impairment Loss	(150)	(236)	(165)	(127)	(63)	(1,456)	(544)	(209)	(57)	(135)	(50)	(50)	(50)
Associate	86	116	13	34	31	116	83	40	(17)	19	10	10	10
Pre-Tax	4,597	4,735	6,072	6,109	6,366	1,530	6,351	8,361	9,541	10,396	11,092	12,373	13,296
Tax	(1,141)	(1,251)	(1,502)	(1,537)	(1,611)	(384)	(1,515)	(2,778)	(2,379)	(2,477)	(2,662)	(2,970)	(3,191)
MI & EO	(46)	(69)	(133)	(80)	12	48	(97)	(153)	(181)	(191)	(200)	(200)	(200)
Net profits	3,409	3,415	4,437	4,492	4,768	1,194	4,739	5,429	6,981	7,728	8,230	9,203	9,905
Reported profits	2,850	3,564	4,475	5,584	4,560	1,194	4,295	5,440	6,981	7,728	8,230	9,203	9,905

Source: J.P. Morgan estimates, company data.

Table 105: CIMB: Annual DuPont

	2015	2016	2017	2018	2019	2020	2021	2022	2023	2024	2025E	2026E	2027E
NIM (% of avg. IEA)	2.66%	2.63%	2.63%	2.50%	2.46%	2.32%	2.45%	2.51%	2.22%	2.21%	2.22%	2.30%	2.34%
IEA/Assets	93.6%	92.2%	96.2%	94.2%	96.5%	96.4%	96.2%	96.6%	98.8%	98.0%	95.8%	95.8%	95.9%
Margins (% of avg. Asset)	2.49%	2.43%	2.53%	2.35%	2.37%	2.24%	2.35%	2.43%	2.19%	2.16%	2.13%	2.20%	2.24%
Non-IR contribution	29.2%	27.8%	28.7%	24.8%	25.2%	23.5%	21.5%	21.2%	27.0%	27.8%	29.9%	29.3%	29.0%
Non-IR/Avg. Assets	1.03%	0.93%	1.02%	0.78%	0.80%	0.69%	0.65%	0.65%	0.81%	0.83%	0.91%	0.91%	0.92%
Revenue/Assets	3.52%	3.36%	3.55%	3.13%	3.17%	2.92%	3.00%	3.08%	3.00%	3.00%	3.04%	3.12%	3.16%
Cost/Income	55.6%	54.4%	51.9%	53.1%	54.2%	52.2%	48.7%	47.1%	46.9%	46.7%	46.6%	45.2%	44.2%
C/Assets	1.96%	1.83%	1.84%	1.66%	1.72%	1.53%	1.46%	1.45%	1.41%	1.40%	1.42%	1.41%	1.40%
Pre-Provision ROA	1.56%	1.53%	1.70%	1.47%	1.45%	1.40%	1.54%	1.63%	1.59%	1.60%	1.62%	1.71%	1.76%
LLP/Loans	-0.77%	-0.77%	-0.69%	-0.43%	-0.46%	-1.45%	-0.70%	-0.50%	-0.36%	-0.31%	-0.31%	-0.31%	-0.36%
Loan/Assets	64.3%	65.6%	65.3%	64.4%	64.6%	62.6%	60.8%	60.9%	60.5%	60.0%	60.2%	60.8%	61.6%
Operating ROA	1.06%	1.03%	1.25%	1.19%	1.16%	0.49%	1.11%	1.32%	1.37%	1.41%	1.44%	1.52%	1.54%
Pre-Tax ROA	1.05%	1.00%	1.22%	1.17%	1.15%	0.26%	1.04%	1.30%	1.36%	1.40%	1.43%	1.51%	1.54%
Tax Rate	-24.8%	-26.4%	-24.7%	-25.2%	-25.3%	-25.1%	-23.9%	-33.2%	-24.9%	-23.8%	-24.0%	-24.0%	-24.0%
Core RoA	0.78%	0.72%	0.89%	0.86%	0.86%	0.20%	0.77%	0.84%	1.00%	1.04%	1.06%	1.13%	1.14%
Core RoRWA	1.29%	1.22%	1.54%	1.51%	1.53%	0.37%	1.48%	1.67%	2.01%	2.11%	2.12%	2.20%	2.21%
Equity/Assets	9.0%	9.1%	9.4%	9.6%	9.7%	9.5%	9.4%	9.4%	9.3%	9.2%	9.1%	9.1%	9.2%
Core RoE	8.7%	7.9%	9.5%	9.0%	8.9%	2.1%	8.3%	8.9%	10.7%	11.2%	11.6%	12.3%	12.5%
ROE	7.3%	8.3%	9.6%	11.2%	8.5%	2.1%	7.5%	9.0%	10.7%	11.2%	11.6%	12.3%	12.5%

Source: J.P. Morgan estimates, company data.

Quarterly earnings

Table 106: CIMB: Quarterly P&L

P&L (RM mn)	1Q23	2Q23	3Q23	4Q23	1Q24	2Q24	3Q24	4Q24	1Q25E	2Q25E	3Q25E	4Q25E
Interest Income	7,829	8,441	8,921	9,092	9,245	9,139	9,170	9,015	9,271	9,343	9,375	9,504
Interest Expense	(4,126)	(4,623)	(4,991)	(5,199)	(5,259)	(5,097)	(5,091)	(5,018)	(5,165)	(5,225)	(5,276)	(5,333)
Net Interest Income	3,703	3,818	3,930	3,894	3,986	4,042	4,079	3,997	4,105	4,118	4,100	4,172
Fee income	511	518	553	652	576	621	604	548	625	652	675	700
Investment income	680	797	762	724	923	875	1,001	724	959	1,062	1,064	973
Other operating income	104	201	63	106	143	64	58	60	69	79	87	96
Non-Interest Income	1,295	1,516	1,378	1,482	1,643	1,560	1,662	1,331	1,653	1,793	1,826	1,769
Total Revenues	4,997	5,334	5,308	5,375	5,629	5,603	5,742	5,328	5,758	5,911	5,926	5,940
Costs	(2,344)	(2,405)	(2,492)	(2,625)	(2,552)	(2,573)	(2,670)	(2,625)	(2,609)	(2,667)	(2,737)	(2,950)
PPOP	2,654	2,929	2,816	2,750	3,077	3,029	3,071	2,704	3,148	3,244	3,189	2,991
Loan loss provisions	(306)	(558)	(297)	(374)	(404)	(316)	(249)	(399)	(358)	(360)	(365)	(356)
Impairment Loss	(139)	123	(16)	(26)	(99)	17	(94)	41	(12)	(12)	(12)	(14)
Associate	27	(12)	(12)	(20)	(0)	(0)	3	17	3	3	3	3
Pre-Tax	2,236	2,482	2,492	2,331	2,573	2,730	2,731	2,362	2,781	2,874	2,814	2,623
Tax	(547)	(661)	(601)	(570)	(590)	(721)	(657)	(509)	(667)	(690)	(675)	(630)
MI & EO	(45)	(48)	(43)	(45)	(47)	(48)	(43)	(53)	(45)	(45)	(45)	(65)
Reported profits	1,645	1,773	1,848	1,715	1,936	1,961	2,030	1,800	2,069	2,139	2,094	1,928

Source: J.P. Morgan estimates, company data.

Table 107: CIMB: Quarterly DuPont

	1Q23	2Q23	3Q23	4Q23	1Q24	2Q24	3Q24	4Q24	1Q25E	2Q25E	3Q25E	4Q25E
NIM (% of avg. IEA)	2.26%	2.24%	2.25%	2.15%	2.18%	2.22%	2.23%	2.17%	2.18%	2.17%	2.17%	2.18%
IEA/Assets	96.2%	96.2%	96.0%	98.3%	98.0%	96.9%	98.2%	98.4%	99.1%	98.6%	98.0%	97.6%
Margins (% of avg. Asset)	2.17%	2.16%	2.16%	2.12%	2.14%	2.15%	2.19%	2.13%	2.16%	2.14%	2.12%	2.13%
Non-IR contribution	25.9%	28.4%	26.0%	27.6%	29.2%	27.9%	29.0%	25.0%	28.7%	30.3%	30.8%	29.8%
Non-IR/Avg. Assets	0.76%	0.86%	0.76%	0.81%	0.88%	0.83%	0.89%	0.71%	0.87%	0.93%	0.95%	0.90%
Revenue/Assets	2.93%	3.01%	2.91%	2.92%	3.02%	2.99%	3.09%	2.84%	3.03%	3.08%	3.07%	3.03%
Cost/Income	46.9%	45.1%	46.9%	48.8%	45.3%	45.9%	46.5%	49.3%	45.3%	45.1%	46.2%	49.7%
C/Assets	1.38%	1.36%	1.37%	1.43%	1.37%	1.37%	1.44%	1.40%	1.37%	1.39%	1.42%	1.51%
Pre-Provision ROA	1.6%	1.7%	1.5%	1.5%	1.7%	1.6%	1.7%	1.4%	1.7%	1.7%	1.7%	1.5%
LLP/Loans	-0.30%	-0.53%	-0.28%	-0.34%	-0.37%	-0.29%	-0.23%	-0.36%	-0.31%	-0.31%	-0.31%	-0.30%
Loan/Assets	60.2%	59.3%	58.9%	59.3%	59.2%	59.1%	59.2%	59.3%	59.9%	59.9%	60.2%	60.5%
Other Income/Assets	-0.07%	0.06%	-0.02%	-0.03%	-0.05%	0.01%	-0.05%	0.03%	0.00%	0.00%	0.00%	-0.01%
Operating ROA	1.4%	1.3%	1.4%	1.3%	1.4%	1.4%	1.5%	1.2%	1.5%	1.5%	1.5%	1.3%
Pre-Tax ROA	1.31%	1.40%	1.37%	1.27%	1.38%	1.45%	1.47%	1.26%	1.46%	1.50%	1.46%	1.34%
Tax Rate	-24.4%	-26.6%	-24.1%	-24.5%	-22.9%	-26.4%	-24.1%	-21.5%	-24.0%	-24.0%	-24.0%	-24.0%
Core RoA	0.97%	1.00%	1.01%	0.93%	1.04%	1.04%	1.09%	0.96%	1.09%	1.11%	1.08%	0.98%
Core RoRWA	1.91%	1.97%	2.03%	1.88%	2.13%	2.15%	2.25%	1.98%	2.21%	2.24%	2.16%	1.94%
Equity/Assets	9.4%	9.4%	9.3%	9.3%	9.1%	9.1%	9.1%	9.1%	9.1%	9.2%	9.3%	9.2%
Core RoE	10.3%	10.7%	10.9%	10.0%	11.4%	11.4%	11.9%	10.6%	11.9%	12.1%	11.7%	10.7%
ROE	10.3%	10.7%	10.9%	10.0%	11.4%	11.4%	11.9%	10.6%	11.9%	12.1%	11.7%	10.7%

Source: J.P. Morgan estimates, company data.

Price Performance



	YTD	1m	3m	12m
Abs	-16.5%	-18.1%	-13.8%	4.6%
Rel	-8.2%	-12.7%	-8.4%	6.9%

Company Data

Shares O/S (mn)	10,735
52-week range (RM)	8.50-6.39
Market cap (\$ mn)	16,621
Exchange rate	4.42
Free float (%)	64.9%
3M ADV (mn)	21.97
3M ADV (\$ mn)	38.7
Volatility (90 Day)	23
Index	FBMKLCI - FTSE BURSA MALAYSIA KLCI
BBG ANR (Buy Hold Sell)	16 5 0

Key Metrics (FYE Dec)

RM in millions	FY24A	FY25E	FY26E	FY27E
Financial Estimates				
Net interest income	16,104	16,494	17,991	19,411
Non interest income	6,197	7,041	7,472	7,933
Operating expenses	(10,420)	(10,963)	(11,508)	(12,079)
Adj. PPOP	11,881	12,572	13,955	15,264
Provision for loan losses	(1,369)	(1,439)	(1,542)	(1,928)
Adj. PBT	10,396	11,092	12,373	13,296
Adj. net income	7,728	8,230	9,203	9,905
Adj. EPS	0.72	0.77	0.86	0.92
BBG EPS	0.73	0.75	0.79	0.84
DPS	0.47	0.42	0.52	0.55
Loans	442,163	469,270	503,090	539,099
Deposits	471,951	503,670	541,942	583,223
Total Assets	755,131	794,251	840,607	889,849
Margins and Growth				
NIM	2.2%	2.2%	2.3%	2.3%
Ratios				
Loan/ Deposit ratio	93.7%	93.2%	92.8%	92.4%
NPL / Loans	2.1%	2.1%	2.1%	2.1%
Coverage	105.3%	103.0%	103.2%	104.8%
CET 1	-	-	-	-
Non-int. income/ Income	27.8%	29.9%	29.3%	29.0%
Cost/Income	46.7%	46.6%	45.2%	44.2%
LLP/Loans	(0.3%)	(0.3%)	(0.3%)	(0.4%)
ROA	1.0%	1.1%	1.1%	1.1%
ROE	11.2%	11.6%	12.3%	12.5%
Valuation				
Dividend yield	6.9%	6.2%	7.5%	8.1%
Adj. P/E	9.5	8.9	8.0	7.4
P/ BV	1.06	1.01	0.95	0.90

Summary Investment Thesis and Valuation

Investment Thesis

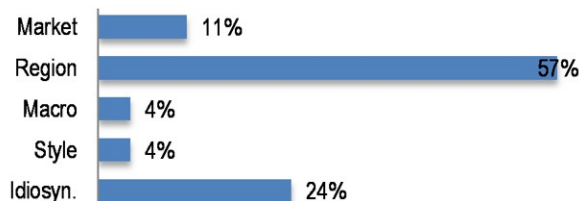
We are OW on CIMB.

CIMB's focus on sustainable RoE, led by the new CEO, remains strong. While top-line growth is crucial, the emphasis on managing cost lines (CoF, opex, and provisions) to achieve higher through-the-cycle RoE is notable. Key strategies include prioritizing deposit collection over loans, broadening fee collection, re-architecting processes to reduce costs, and reallocating capital towards higher RoRWA geographies and businesses. These initiatives, along with structural reforms in Malaysia, position the bank to achieve 11.5-12.5% RoE and 8-15% EPS growth over the next three years, leading to a re-rating. The key risk and opportunity lie in the bank's excess capital, currently at 15% CET1.

Valuation

Our Dec-25 PT of RM8.6 is based on a two-stage DDM methodology using the following valuation assumptions: RFR of 4.5%, CoE of 11.1%, normalized RoE of 12.3% and terminal growth of 5.0%.

Performance Drivers



Factors	6M Corr	1Y Corr
Market: MSCI Asia Pac ex JP	0.35	0.34
Region: Malaysia	0.84	0.81
Macro:		
JP Morgan GBI-EM Global Div	0.44	0.42
Emerging Central Bank Rate	-0.40	-0.34
US 10 Year Yield	-0.17	-0.31
Quant Styles:		
Momentum	0.53	0.33
Size	0.52	0.26
Growth	0.37	0.16

Investment Thesis, Valuation and Risks

CIMB Group Holdings (*Overweight; Price Target: RM8.60*)

Investment Thesis

We are OW on CIMB.

CIMB's focus on sustainable RoE, led by the new CEO, remains strong. While top-line growth is crucial, the emphasis on managing cost lines (CoF, opex, and provisions) to achieve higher through-the-cycle RoE is notable. Key strategies include prioritizing deposit collection over loans, broadening fee collection, re-architecting processes to reduce costs, and reallocating capital towards higher RoRWA geographies and businesses. These initiatives, along with structural reforms in Malaysia, position the bank to achieve 11.5-12.5% RoE and 6-12% EPS growth over the next three years, leading to a re-rating.

- The bank's focus on cost management amongst others should deliver steady returns of 11.5-12.5% RoE, higher than Street forecasts. Hence, we believe the re-rating should likely continue.
- The bank has delivered a good turnaround on the cost base, as well as AQ over the last couple of years. NIM is picking up on the back of lower CoF, with limited loan pricing power for now. Credit growth should be steady at ~6-7% over 2025/26, with banks competing for quality borrowers.
- CIMB is strategically prioritizing deposit collection over lending, with revised KPIs to incentivize deposits. This proven approach enhances deposit duration and pricing, setting a strong foundation for sustainable RoE.
- We are forecasting credit costs of 31-36bps over 2025-27E (last 10Y avg 64bps), which factors in a reasonable degree of AQ resilience despite the mix shift towards structurally riskier commercial loans.
- Management sees CET1 level of 14.5-15% as appropriate in the current operating environment, higher than the formal guidance of >14%. While the payout ratio may exceed guidance of 55%, a special dividend is unlikely to recur from here.
- CIMB is effectively reallocating capital based on long-term RoRWA, focusing on high-return areas such as corporate banking in Malaysia and Indonesia. This strategic capital deployment is poised to maximize returns and drive growth.
- The bank has among the strongest corporate relationships and holds top-tier positions in MYR ECM and DCM markets. This positions it well for a rebound in corporate credit issuance, as and when it happens.

Valuation

Our Dec-25 PT of RM8.6 is based on a two-stage DDM methodology using the following valuation assumptions: RFR of 4.5%, CoE of 11.1%, normalized RoE of 12.3% and terminal growth of 5.0%.

Risks to Rating and Price Target

Upside risks to our rating and price target include: 1) a meaningful increase in the payout ratio (or special) which drives higher RoE; 2) write-back in net provisions vs. JPMe credit costs of 31bps this year; and 3) better ability to manage CoF, especially as rates move lower, driving higher-than-expected NIM.

Downside risks include: 1) weaker-than-expected loan growth; 2) NIM compression due to more intense competition in Malaysia and overseas markets; 3) potential AQ issues, especially in SME; 4) strategy execution risks with management change; and 5) a value eroding deal.

CIMB Group Holdings: Summary of Financials

Income Statement					Balance Sheet				
	FY24A	FY25E	FY26E	FY27E		FY24A	FY25E	FY26E	FY27E
Interest income	36,569	37,493	38,637	40,277	Cash and cash equivalents	0	0	0	0
Interest expense	(20,465)	(20,999)	(20,645)	(20,865)	Deposits with banks	45,424	55,452	61,450	67,920
Net interest income	16,104	16,494	17,991	19,411	Net loans	442,163	469,270	503,090	539,099
Non interest income	6,197	7,041	7,472	7,933	PP&E	1,971	2,069	2,172	2,281
o/w Fee income	2,349	2,651	2,875	3,119	Net intangibles	8,297	8,131	7,969	7,809
o/w Trading income	3,523	4,058	4,258	4,468	LT investments	221,110	221,110	225,533	230,043
Net revenues	22,301	23,535	25,463	27,344	Other assets	36,165	38,218	40,393	42,697
Non interest expense	(10,420)	(10,963)	(11,508)	(12,079)	Total assets	755,131	794,251	840,607	889,849
o/w Employee costs	0	0	0	0	Interest earning assets	708,698	745,833	790,073	837,062
Pre-Prov. Profits	11,881	12,572	13,955	15,264	Deposits	471,951	503,670	541,942	583,223
Provisions	(1,369)	(1,439)	(1,542)	(1,928)	Borrowings	129,946	130,882	130,884	130,922
Adj. PBT	10,396	11,092	12,373	13,296	Other liabilities	82,594	85,869	89,274	92,814
Income taxes	(2,477)	(2,662)	(2,970)	(3,191)	Total liabilities	684,492	720,421	762,100	806,959
Minority interest	(191)	(200)	(200)	(200)	Shareholder equity	69,244	72,435	77,112	81,495
Adj. Net profit	7,728	8,230	9,203	9,905	Minority interests	1,395	1,395	1,395	1,395
PPOP per share	1.11	1.17	1.30	1.42	Total liabilities and Shareholder equity	755,131	794,251	840,607	889,849
Reported EPS	0.72	0.77	0.86	0.92	Interest bearing liabilities	601,897	634,552	672,826	714,145
Adj. EPS	0.72	0.77	0.86	0.92	Book Value Per Share	6.46	6.76	7.19	7.60
DPS	0.47	0.42	0.52	0.55	Tangible Book Value Per Share	6.33	6.63	7.06	7.47
Diluted shares outstanding	10,721	10,721	10,721	10,721					
Balance Sheet Gearing	FY24A	FY25E	FY26E	FY27E	Asset Quality/Capital	FY24A	FY25E	FY26E	FY27E
Loans/Deposits	93.7%	92.8%	92.8%	92.4%	Loan loss reserves/Loans	(2.2%)	(2.2%)	(2.2%)	(2.2%)
Investment/Assets	28.8%	28.5%	27.3%	26.3%	NPLs/Loans	2.1%	2.1%	2.1%	2.1%
Loan/Assets	60.0%	60.2%	60.8%	61.6%	Loan loss reserves/NPLs	100.7%	104.1%	103.1%	104.0%
Customer deposits/Liabilities	68.9%	69.9%	71.1%	72.3%	NPL y/y growth	(18.7%)	7.1%	4.7%	5.7%
LT debt/Liabilities	18.8%	18.6%	17.7%	16.7%	Tier 1 ratio	15.2%	14.8%	14.8%	14.7%
					CAR	18.3%	17.5%	17.4%	17.1%
Ratio Analysis (%)	FY24A	FY25E	FY26E	FY27E	Ratio Analysis (%)	FY24A	FY25E	FY26E	FY27E
Net interest margin	2.2%	2.2%	2.3%	2.3%	Return on equity (ROE)	11.2%	11.6%	12.3%	12.5%
Non interest income/Net revenue	27.8%	29.9%	29.3%	29.0%	Return on assets (ROA)	1.0%	1.1%	1.1%	1.1%
Non interest income/Avg. Assets	0.8%	0.9%	0.9%	0.9%	Operating ROA	1.4%	1.4%	1.5%	1.5%
Efficiency ratio	46.7%	46.6%	45.2%	44.2%	Pre-Tax ROA	1.4%	1.4%	1.5%	1.5%
Leverage ratio	7.6%	7.7%	7.8%	7.9%	Pre-Provision ROA	1.6%	1.6%	1.7%	1.8%
Revenue/Assets	3.0%	3.0%	3.1%	3.2%	Tax rate	23.8%	24.0%	24.0%	24.0%
RORWA	2.1%	2.1%	2.2%	2.2%					
RWA	369,762	405,068	432,912	462,722	Net loans y/y growth	3.0%	6.1%	7.2%	7.2%
Avg. RWA	366,668	387,415	418,990	447,817	Assets y/y growth	2.9%	5.2%	5.8%	5.9%
Avg. IEA	729,350	741,810	783,312	829,839	RWA y/y growth	1.7%	9.5%	6.9%	6.9%
Gross Loans	452,241	479,827	514,161	550,997	Deposits y/y growth	1.8%	6.7%	7.6%	7.6%
Avg. IBL	594,381	618,225	653,689	693,486	Net interest income y/y growth	5.0%	2.4%	9.1%	7.9%
LLR	(10,078)	(10,557)	(11,072)	(11,898)	Revenues y/y growth	6.1%	5.5%	8.2%	7.4%
NPLs	9,575	10,253	10,733	11,350	Adj. EPS y/y growth	10.1%	6.5%	11.8%	7.6%
P/BV (x)	1.06	1.01	0.95	0.90	BVPS y/y growth	0.8%	4.6%	6.5%	5.7%
Adj. P/E (x)	9.5	8.9	8.0	7.4	IE assets/Assets	98.0%	95.8%	95.8%	95.9%
Dividend yield	6.9%	6.2%	7.5%	8.1%	Margins (as % of Avg. Assets)	2.3%	2.2%	2.2%	2.3%
Dividend payout	65.4%	55.0%	60.0%	60.0%	LLP/Loans	(0.3%)	(0.3%)	(0.3%)	(0.4%)
					Equity/Assets	9.2%	9.1%	9.1%	9.2%
					Cost/Assets	1.4%	1.4%	1.4%	1.4%
					Assets/Equity	10.8	10.9	10.9	10.9

Source: Company reports and J.P. Morgan estimates.
Note: RM in millions (except per-share data). Fiscal year ends Dec

Overweight

HLBB.KL, HLBK MK
Price (21 Mar 25):RM20.48
Price Target (Dec-25):RM24.00

APAC Banks

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Morgan Broking (Hong Kong) Limited

Quarterly Forecasts (FYE Jun)

Adj. EPS (RM)	2024A	2025E	2026E
Q1	0.50	0.53A	
Q2	0.53	0.56A	
Q3	0.51	0.56	
Q4	0.50	0.54	
FY	2.05	2.19	2.57

Style Exposure

Quant Factors	Current %Rank	Hist %Rank (1=Top)			
		6M	1Y	3Y	5Y
Value	9	7	3	17	15
Growth	17	38	34	59	44
Momentum	38	65	69	21	69
Quality	17	19	21	42	40
Low Vol	5	5	5	15	15
ESGQ	17	12	22	91	100

Hong Leong Bank

Steady growth and earnings visibility; BoCD an added tailwind; stay OW

HLBK is slowly but steadily increasing RoA and RoE, with consistent market share gains. The bank's digitalization efforts are helping growth and risk management. BoCD continues to contribute ~30% to earnings, with an increase in the associate's stock price allowing opportunity to trim. At 13% CET1 ratio, capital release from Basel IV and consistent RoE, the bank anticipates a 38-50% payout in FY25-27. Maintain OW.

Valuation

Table 108: HLBK: Valuation

	Net Inc (RM mn)	EPS (RM)	P/E (x)	BVPS (RM)	P/B (x)	Dividend (RM)	Div Yld (%)	RoA (%)	RoRWA (%)	RoE (%)	
2020	2,495	1.22	16.8	13.1	1.57	0.36	1.8%	1.16%	1.81%	9.5%	
2021	2,861	1.40	14.7	14.1	1.45	0.50	2.4%	1.25%	1.97%	10.1%	
2022	3,289	1.61	12.8	15.1	1.35	0.55	2.7%	1.34%	2.17%	10.9%	
2023	3,818	1.86	11.0	16.6	1.23	0.59	2.9%	1.43%	2.42%	11.8%	
2024	4,196	2.05	10.0	18.2	1.13	0.68	3.3%	1.45%	2.50%	11.8%	
2025E	4,488	2.19	9.4	19.5	1.05	0.90	4.4%	1.48%	2.53%	11.6%	
2026E	5,268	2.57	8.0	21.1	0.97	1.00	4.9%	1.42%	2.81%	11.0%	
2027E	4,986	2.43	8.4	22.3	0.92	1.20	5.9%	1.45%	2.49%	11.2%	
Price (RM)		20.48		Number of shares (mn)			2,049		Market Cap (RM mn)		41,958

Normalised RoE		PB based Valuation		PE based Valuation	
NIM (on avg. assets)	1.79%	Risk-free rate		4.0%	
Non-IR/revenues	18.1%	Cost of capital		10.7%	
Cost/income	38.5%	Long term growth		4.0%	
Operating RoA	1.34%	Fair PB		1.08x	
LLP/Loans	-0.10%	PV of Terminal Value		RM20.1	
Net RoAA	1.43%	PV of Dividends		RM1.3	
Equity/Assets	12.7%	PV of today's Fair Value		RM21.4	
Normalised RoE	11.2%	PV of Dec-25 Fair value		RM23.7	

PE based Valuation	
Fair PE	9.6x
12m Rolling EPS	RM2.5
PE based 12M fwd Fair Value	RM23.7
Implied Value of Growth	
12m Rolling EPS	RM2.5
Capitalized Value	RM23.0
Value of Growth	-RM2.5
Attributable to Growth	-12.4%

Source: J.P. Morgan estimates, Bloomberg Finance L.P.

Annual forecasts

Table 109: HLBK: Annual P&L

P&L (RMmn)	FY15	FY16	FY17	FY18	FY19	FY20	FY21	FY22	FY23	FY24	FY25E	FY26E	FY27E
Interest Income	7,100	7,414	7,399	7,775	8,314	7,943	7,151	7,287	9,684	11,352	12,020	12,467	13,130
Interest Expense	(3,940)	(4,292)	(3,995)	(4,236)	(4,843)	(4,332)	(2,774)	(2,626)	(5,037)	(6,544)	(6,737)	(6,655)	(6,845)
Net Interest Income	3,161	3,123	3,405	3,539	3,471	3,611	4,377	4,660	4,647	4,808	5,283	5,813	6,285
Fee income	601	617	609	574	585	521	570	610	599	680	730	774	819
Investment income	232	418	518	667	548	616	500	307	418	250	464	455	485
Islamic banking income	0	0	0	0	0	0	0	0	0	0	0	0	0
Other operating income	29	20	19	(1)	31	31	19	21	22	33	35	36	37
Non-Interest Income	861	1,055	1,146	1,239	1,164	1,167	1,090	937	1,038	963	1,228	1,266	1,341
Total Revenues	4,022	4,178	4,551	4,779	4,636	4,778	5,467	5,597	5,686	5,771	6,511	7,078	7,626
Costs	(1,814)	(1,915)	(2,008)	(2,060)	(2,092)	(2,104)	(2,078)	(2,098)	(2,233)	(2,339)	(2,541)	(2,725)	(2,888)
PPOP	2,208	2,263	2,543	2,718	2,544	2,675	3,389	3,499	3,452	3,432	3,970	4,354	4,738
Loan loss provisions	52	(53)	(161)	(77)	(12)	(328)	(654)	(164)	(115)	114	(68)	(162)	(175)
Impairment Loss	23	10	2	7	1	0	(0)	1	0	(1)	0	0	0
Associate	418	333	364	537	563	642	736	1,030	1,289	1,589	1,589	1,398	1,538
Pre-Tax	2,702	2,553	2,748	3,185	3,096	2,989	3,471	4,367	4,627	5,134	5,492	5,589	6,101
Tax	(513)	(478)	(603)	(608)	(522)	(495)	(610)	(1,078)	(808)	(938)	(1,003)	(1,021)	(1,115)
Net profits	2,189	2,075	2,145	2,577	2,574	2,495	2,861	3,289	3,818	4,196	4,488	4,568	4,986
Disposals/ Exceptionals	45	(172)	0	61	90	0	0	0	0	0	0	700	0
Reported profits	2,233	1,903	2,145	2,638	2,665	2,495	2,861	3,289	3,818	4,196	4,488	5,268	4,986

Source: Company reports and J.P. Morgan estimates.

Table 110: HLBK: Annual DuPont

	FY15	FY16	FY17	FY18	FY19	FY20	FY21	FY22	FY23	FY24	FY25E	FY26E	FY27E
NIM (% of avg. IEA)	2.06%	1.94%	2.09%	2.10%	1.96%	1.88%	2.14%	2.14%	1.98%	1.86%	1.92%	2.00%	2.01%
IEA/Assets	86.7%	86.1%	84.6%	84.4%	86.5%	89.6%	89.2%	88.7%	88.0%	89.5%	90.4%	90.4%	90.5%
Margins (% of avg. Assets)	1.78%	1.67%	1.77%	1.78%	1.69%	1.68%	1.91%	1.90%	1.74%	1.66%	1.74%	1.81%	1.82%
Non-IR contribution	21%	25%	25%	26%	25%	24%	20%	17%	18%	17%	19%	18%	18%
Non-IR/Avg. Assets	0.49%	0.56%	0.59%	0.62%	0.57%	0.54%	0.48%	0.38%	0.39%	0.33%	0.40%	0.39%	0.39%
Revenue/Assets	2.27%	2.24%	2.36%	2.40%	2.26%	2.23%	2.39%	2.28%	2.13%	2.00%	2.14%	2.20%	2.21%
Cost/Income	45.1%	45.8%	44.1%	43.1%	45.1%	44.0%	38.0%	37.5%	39.3%	40.5%	39.0%	38.5%	37.9%
C/Assets	1.02%	1.02%	1.04%	1.03%	1.02%	0.98%	0.91%	0.85%	0.84%	0.81%	0.84%	0.85%	0.84%
Pre-Provision ROA	1.25%	1.21%	1.32%	1.36%	1.24%	1.25%	1.48%	1.42%	1.29%	1.19%	1.30%	1.35%	1.37%
LLP/Loans	0.05%	-0.04%	-0.13%	-0.06%	-0.01%	-0.23%	-0.43%	-0.10%	-0.07%	0.06%	-0.03%	-0.08%	-0.08%
Loan/Assets	61.4%	62.6%	63.8%	63.8%	65.0%	66.1%	65.8%	65.9%	65.5%	65.2%	66.2%	67.0%	67.4%
Pre-Tax ROA	1.52%	1.37%	1.43%	1.60%	1.51%	1.39%	1.51%	1.78%	1.73%	1.78%	1.80%	1.74%	1.77%
Tax Rate	-19.0%	-18.7%	-21.9%	-19.1%	-16.8%	-16.6%	-17.6%	-24.7%	-17.5%	-18.3%	-18.3%	-18.3%	-18.3%
Disposals/ Exceptionals	0.03%	-0.09%	0.00%	0.03%	0.04%	0.00%	0.00%	0.00%	0.00%	0.00%	0.00%	0.22%	0.00%
Core ROA	1.24%	1.11%	1.11%	1.29%	1.26%	1.16%	1.25%	1.34%	1.43%	1.45%	1.48%	1.42%	1.45%
ROA	1.26%	1.02%	1.11%	1.32%	1.30%	1.16%	1.25%	1.34%	1.43%	1.45%	1.48%	1.64%	1.45%
RoRWA	1.99%	1.59%	1.75%	2.08%	2.00%	1.81%	1.97%	2.17%	2.42%	2.50%	2.53%	2.81%	2.49%
Equity/Assets	8.8%	10.1%	11.4%	11.7%	12.0%	12.3%	12.4%	12.3%	12.2%	12.3%	12.7%	12.9%	12.9%
Core ROE	14.0%	10.9%	9.8%	11.1%	10.4%	9.5%	10.1%	10.9%	11.8%	11.8%	11.6%	11.0%	11.2%
ROE	14.3%	10.0%	9.8%	11.3%	10.8%	9.5%	10.1%	10.9%	11.8%	11.8%	11.6%	12.7%	11.2%

Source: Company reports and J.P. Morgan estimates.

Quarterly forecasts

Table 111: HLBK: Quarterly P&L

P&L (RMmn)	1Q23	2Q23	3Q23	4Q23	1Q24	2Q24	3Q24	4Q24	1Q25	2Q25	3Q25E	4Q25E
Interest Income	2,158	2,465	2,449	2,613	2,750	2,839	2,865	2,898	2,955	2,942	3,024	3,100
Interest Expense	(917)	(1,237)	(1,394)	(1,490)	(1,598)	(1,648)	(1,642)	(1,657)	(1,654)	(1,651)	(1,688)	(1,744)
Net Interest Income	1,241	1,228	1,056	1,123	1,152	1,191	1,223	1,241	1,301	1,290	1,336	1,356
Fee income	156	149	147	147	160	168	168	184	163	188	197	182
Investment income	99	104	188	27	76	99	38	38	130	149	90	95
Islamic banking income	0	0	0	0	0	0	0	0	0	0	0	0
Other operating income	5	6	5	6	6	7	6	14	7	5	8	14
Non-Interest Income	259	258	341	180	242	273	212	236	300	342	295	291
Total Revenues	1,500	1,486	1,396	1,303	1,394	1,465	1,436	1,477	1,601	1,632	1,631	1,647
Costs	(541)	(546)	(559)	(587)	(556)	(578)	(577)	(628)	(626)	(627)	(622)	(665)
PPOP	959	940	837	716	838	887	859	848	976	1,005	1,009	981
Loan loss provisions	(38)	(25)	(38)	(14)	51	6	26	31	(7)	(5)	(24)	(31)
Impairment Loss	0	(1)	0	0	(0)	0	(1)	0	(0)	1	0	(0)
Associate	265	373	313	339	354	448	384	402	375	400	408	406
Pre-Tax	1,187	1,287	1,112	1,040	1,243	1,341	1,268	1,282	1,343	1,401	1,393	1,355
Tax	(206)	(245)	(182)	(176)	(213)	(253)	(224)	(248)	(249)	(252)	(255)	(247)
Net profits	981	1,042	930	865	1,030	1,088	1,044	1,034	1,093	1,148	1,138	1,109
Reported profits	981	1,042	930	865	1,030	1,088	1,044	1,034	1,093	1,148	1,138	1,109

Source: Company reports and J.P. Morgan estimates.

Table 112: HLBK: Quarterly DuPont

	1Q23	2Q23	3Q23	4Q23	1Q24	2Q24	3Q24	4Q24	1Q25	2Q25	3Q25E	4Q25E
NIM (% of avg. IEA)	2.18%	2.09%	1.82%	1.83%	1.84%	1.85%	1.87%	1.89%	1.92%	1.91%	1.92%	1.90%
IEA/Assets	88.2%	89.0%	86.7%	89.2%	89.0%	90.7%	91.0%	89.1%	91.6%	91.7%	93.4%	93.3%
Margins (% of avg. Assets)	1.92%	1.86%	1.58%	1.64%	1.64%	1.68%	1.70%	1.69%	1.76%	1.75%	1.79%	1.77%
Non-IR contribution	17.3%	17.4%	24.4%	13.8%	17.4%	18.7%	14.8%	16.0%	18.7%	21.0%	18.1%	17.7%
Non-IR/Avg. Assets	0.40%	0.39%	0.51%	0.26%	0.34%	0.39%	0.29%	0.32%	0.41%	0.46%	0.40%	0.38%
Revenue/Assets	2.32%	2.25%	2.09%	1.90%	1.98%	2.06%	1.99%	2.01%	2.17%	2.22%	2.19%	2.15%
Cost/Income	36.0%	36.7%	40.1%	45.1%	39.9%	39.4%	40.2%	42.5%	39.1%	38.4%	38.2%	40.4%
C/Assets	0.84%	0.83%	0.84%	0.86%	0.79%	0.81%	0.80%	0.85%	0.85%	0.85%	0.83%	0.87%
Pre-Provision ROA	1.48%	1.42%	1.25%	1.04%	1.19%	1.25%	1.19%	1.15%	1.32%	1.36%	1.35%	1.28%
LLP/Loans	-0.09%	-0.06%	-0.09%	-0.03%	0.11%	0.01%	0.06%	0.07%	-0.02%	-0.01%	-0.05%	-0.06%
Loan/Assets	65.3%	64.7%	64.8%	64.8%	64.6%	64.6%	64.7%	65.0%	65.9%	66.8%	67.3%	67.1%
Other Income/Assets	0.41%	0.56%	0.47%	0.49%	0.50%	0.63%	0.53%	0.55%	0.51%	0.54%	0.55%	0.53%
Pre-Tax ROA	1.84%	1.95%	1.66%	1.52%	1.77%	1.89%	1.76%	1.74%	1.82%	1.90%	1.87%	1.77%
Tax Rate	-17.3%	-19.1%	-16.3%	-16.9%	-17.2%	-18.9%	-17.7%	-19.3%	-18.6%	-18.0%	-18.3%	-18.2%
ROA	1.52%	1.58%	1.39%	1.26%	1.46%	1.53%	1.45%	1.40%	1.48%	1.56%	1.53%	1.45%
RoRWA	2.55%	2.67%	2.37%	2.16%	2.51%	2.63%	2.50%	2.42%	2.54%	2.63%	2.56%	2.47%
Equity/Assets	12.0%	12.0%	12.2%	12.2%	12.1%	12.3%	12.5%	12.5%	12.5%	12.6%	12.8%	12.8%
ROE	12.6%	13.2%	11.4%	10.3%	12.1%	12.5%	11.6%	11.2%	11.9%	12.3%	11.9%	11.3%

Source: Company reports and J.P. Morgan estimates.

Price Performance



	YTD	1m	3m	12m
Abs	-0.4%	-0.1%	2.4%	6.0%
Rel	7.9%	5.3%	7.8%	8.3%

Company Data

Shares O/S (mn)	2,168
52-week range (RM)	21.88-18.72
Market cap (\$ mn)	10,034
Exchange rate	4.42
Free float (%)	33.5%
3M ADV (mn)	0.79
3M ADV (\$ mn)	3.7
Volatility (90 Day)	13
Index	FBMKLCI - FTSE BURSA MALAYSIA KLCI
BBG ANR (Buy Hold Sell)	17 0 0

Key Metrics (FYE Jun)

RM in millions	FY24A	FY25E	FY26E	FY27E
Financial Estimates				
Net interest income	4,808	5,283	5,813	6,285
Non interest income	963	1,228	1,266	1,341
Operating expenses	(2,339)	(2,541)	(2,725)	(2,888)
Adj. PPOP	3,432	3,970	4,354	4,738
Provision for loan losses	114	(68)	(162)	(175)
Adj. PBT	5,134	5,492	5,589	6,101
Adj. net income	4,196	4,488	5,268	4,986
Adj. EPS	2.05	2.19	2.57	2.43
BBG EPS	2.00	2.16	2.31	2.49
DPS	0.68	0.90	1.00	1.20
Loans	193,304	206,215	222,386	239,685
Deposits	220,433	234,405	251,643	270,171
Total Assets	297,789	310,732	333,249	356,628
Margins and Growth				
NIM	1.9%	1.9%	2.0%	2.0%
Ratios				
Loan/ Deposit ratio	87.7%	88.0%	88.4%	88.7%
NPL / Loans	0.5%	0.6%	0.5%	0.6%
Coverage	155.0%	124.1%	118.6%	107.3%
CET 1	-	-	-	-
Non-int. income/ Income	16.7%	18.9%	17.9%	17.6%
Cost/Income	40.5%	39.0%	38.5%	37.9%
LLP/Loans	0.1%	(0.0%)	(0.1%)	(0.1%)
ROA	1.5%	1.5%	1.6%	1.4%
ROE	11.8%	11.6%	12.7%	11.2%
Valuation				
Dividend yield	3.3%	4.4%	4.9%	5.9%
Adj. P/E	10.0	9.4	8.0	8.4
P/ BV	1.19	1.11	1.03	0.97

Summary Investment Thesis and Valuation

Investment Thesis

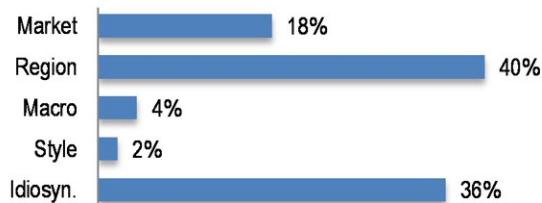
We have an OW rating on HLBK.

- The bank offers a solid track record on credit underwriting and has one of the most conservative LDRs among Malaysian banks, at 89%. Furthermore, we think RoA and RoE are on track to be industry-leading over the next three to five years. Hence, we see a path towards steady re-rating.
- The bank has been one of the first to operationalize large-scale digitalization across the institution. This should benefit its growth, as well as risk management. We think a sharp improvement in loan growth and fee income is likely to be the largest source of positive surprise in the next 6-12 months.

Valuation

Our Dec-25 PT of RM24 is based on a two-stage DDM methodology using the following valuation assumptions: RFR of 4.0%, CoE of 10.7%, normalized RoE of 11.2% and terminal growth of 4%.

Performance Drivers



Factors	6M Corr	1Y Corr
Market: MSCI Asia Pac ex JP	0.57	0.43
Region: Malaysia	0.72	0.70
Macro:		
US 10 Year Yield	-0.31	-0.33
JP Morgan GBI-EM Global Div	0.47	0.33
Emerging Central Bank Rate	-0.29	-0.22
Quant Styles:		
Quality	0.26	0.16
LowVol	-0.04	0.14
DivYld	0.07	0.09

Source: J.P. Morgan Quantitative and Derivatives Strategy for Performance Drivers; company data, Bloomberg Finance L.P. and J.P. Morgan estimates for all other tables. Note: Price history may not be complete or exact.

Investment Thesis, Valuation and Risks

Hong Leong Bank (*Overweight; Price Target: RM24.00*)

Investment Thesis

We have an OW rating on HLBK.

- The bank offers a solid track record on credit underwriting and has one of the most conservative LDRs among Malaysian banks, at 89%. Furthermore, we think RoA and RoE are on track to be industry-leading over the next three to five years. Hence, we see a path towards steady re-rating.
- The bank has been one of the first to operationalize large-scale digitalization across the institution. This should benefit its growth, as well as risk management. We think a sharp improvement in loan growth and fee income is likely to be the largest source of positive surprise in the next 6-12 months.
- BoCD (601838 CH, Not Covered) is one of the key drivers of earnings for the bank (31% contribution to PBT in FY24). We do not rule out the possibility of corporate action from HLBK to at least partly realise the value in BoCD, which in turn can lead to sharp share price moves. We have factored in one-off gains of RM700mn in FY26 from part stake sale in BoCD.
- HLBK stands out to us as one of the best credit underwriters in the region. The bank's NPL ratio is low, at 0.55%, while the coverage ratio (excl. RR) is high, at 139%. The bank has guided for net credit costs of <10bps for FY25 (JPMe 3bps). We think this will allow it to deliver a respectable 1.48% RoA, despite PPOP RoA at levels similar to the industry.
- The CET1 of 13% is understated, as it has a high risk weight intensity, at 59% vs. 43% for MAY. Given the technological investments by the bank in the last few years, we believe RWA release is likely, leading to higher CET1. This, in turn, should lead to a higher payout and DPS. We forecast a 38-50% payout in FY25-27, leading to a 4-6% dividend yield.

Valuation

Our Dec-25 PT of RM24 is based on a two-stage DDM methodology using the following valuation assumptions: RFR of 4.0%, CoE of 10.7%, normalized RoE of 11.4% and terminal growth of 4%.

Risks to Rating and Price Target

Downside risks to our rating and price target include: (1) an inability or unwillingness to lever up its deposit base, which would lead to NIM pressure; and (2) a significant reduction in the contribution from BoCD.

Hong Leong Bank: Summary of Financials

Income Statement	FY23A	FY24A	FY25E	FY26E	FY27E	Balance Sheet	FY23A	FY24A	FY25E	FY26E	FY27E
Interest income	9,684	11,352	12,020	12,467	13,130	Cash and cash equivalents	0	0	0	0	0
Interest expense	(5,037)	(6,544)	(6,737)	(6,655)	(6,845)	Deposits with banks	12,041	9,666	13,250	15,654	17,599
Net interest income	4,647	4,808	5,283	5,813	6,285	Net loans	179,903	193,304	206,215	222,386	239,685
Non interest income	1,038	963	1,228	1,266	1,341	PP&E	1,055	994	994	1,004	1,014
o/w Fee income	599	680	730	774	819	Net intangibles	2,370	2,352	2,352	2,352	2,352
o/w Trading income	418	250	464	455	485	LT investments	70,736	75,964	71,406	74,262	77,233
Net revenues	5,686	5,771	6,511	7,078	7,626	Other assets	13,746	15,508	16,514	17,591	18,744
Non interest expense	(2,233)	(2,339)	(2,541)	(2,725)	(2,888)	Total assets	279,850	297,789	310,732	333,249	356,628
o/w Employee costs	(1,203)	(1,284)	(1,362)	(1,443)	(1,530)	Interest earning assets	262,679	278,934	290,871	312,302	334,517
Pre-Prov. Profits	3,452	3,432	3,970	4,354	4,738	Deposits	211,652	220,433	234,405	251,643	270,171
Provisions	(115)	114	(68)	(162)	(175)	Borrowings	22,465	26,580	22,093	23,289	24,697
Adj. PBT	4,627	5,134	5,492	5,589	6,101	Other liabilities	11,747	13,482	14,296	15,160	16,077
Income taxes	(808)	(938)	(1,003)	(1,021)	(1,115)	Total liabilities	245,864	260,495	270,794	290,093	310,944
Minority interest	0	0	0	0	0	Shareholder equity	33,987	37,294	39,938	43,157	45,684
Adj. Net profit	3,818	4,196	4,488	5,268	4,986	Minority interests	0	0	0	0	0
PPOP per share	1.69	1.68	1.94	2.12	2.31	Total liabilities and Shareholder equity	279,850	297,789	310,732	333,249	356,628
Reported EPS	1.86	2.05	2.19	2.57	2.43	Interest bearing liabilities	234,117	247,013	256,497	274,933	294,868
Adj. EPS	1.86	2.05	2.19	2.57	2.43	Book Value Per Share	15.68	17.20	18.42	19.91	21.07
DPS	0.59	0.68	0.90	1.00	1.20	Tangible Book Value Per Share	15.68	17.20	18.42	19.91	21.07
Diluted shares outstanding	2,048	2,048	2,049	2,049	2,049						
Balance Sheet Gearing	FY23A	FY24A	FY25E	FY26E	FY27E	Asset Quality/Capital	FY23A	FY24A	FY25E	FY26E	FY27E
Loans/Deposits	85.0%	87.7%	88.0%	88.4%	88.7%	Loan loss reserves/Loans	(1.0%)	(0.8%)	(0.7%)	(0.7%)	(0.6%)
Investment/Assets	25.6%	25.4%	24.2%	22.6%	22.0%	NPLs/Loans	0.6%	0.5%	0.6%	0.5%	0.6%
Loan/Assets	65.5%	65.2%	66.2%	67.0%	67.4%	Loan loss reserves/NPLs	187.8%	161.9%	138.5%	121.3%	112.7%
Customer deposits/Liabilities	86.1%	84.6%	86.6%	86.7%	86.9%	NPL y/y growth	27.1%	(0.1%)	14.0%	3.5%	9.1%
LT debt/Liabilities	8.2%	9.7%	9.2%	8.1%	8.0%	Tier 1 ratio	14.4%	14.8%	15.5%	15.9%	16.0%
						CAR	16.4%	16.8%	17.4%	17.6%	17.7%
Ratio Analysis (%)	FY23A	FY24A	FY25E	FY26E	FY27E	Ratio Analysis (%)	FY23A	FY24A	FY25E	FY26E	FY27E
Net interest margin	2.0%	1.9%	1.9%	2.0%	2.0%	Return on equity (ROE)	11.8%	11.8%	11.6%	12.7%	11.2%
Non interest income/Net revenue	18.3%	16.7%	18.9%	17.9%	17.6%	Return on assets (ROA)	1.4%	1.5%	1.5%	1.6%	1.4%
Non interest income/Avg. Assets	0.4%	0.3%	0.4%	0.4%	0.4%	Operating ROA	1.2%	1.2%	1.3%	1.3%	1.3%
Efficiency ratio	39.3%	40.5%	39.0%	38.5%	37.9%	Pre-Tax ROA	1.7%	1.8%	1.8%	1.7%	1.8%
Leverage ratio	8.8%	8.9%	9.2%	9.5%	9.6%	Pre-Provision ROA	1.3%	1.2%	1.3%	1.4%	1.4%
Revenue/Assets	2.1%	2.0%	2.1%	2.2%	2.2%	Tax rate	17.5%	18.3%	18.3%	18.3%	18.3%
RORWA	2.4%	2.5%	2.5%	2.8%	2.5%						
RWA	162,870	172,949	181,778	193,285	206,844	Net loans y/y growth	8.1%	7.4%	6.7%	7.8%	7.8%
Avg. RWA	157,596	167,909	177,363	187,531	200,064	Assets y/y growth	10.0%	6.4%	4.3%	7.2%	7.0%
Avg. IEA	235,134	258,620	274,931	291,031	312,090	RWA y/y growth	6.9%	6.2%	5.1%	6.3%	7.0%
Gross Loans	181,662	194,918	207,689	223,843	241,124	Deposits y/y growth	7.3%	4.1%	6.3%	7.4%	7.4%
Avg. IBL	224,021	240,812	252,049	266,032	285,243	Net interest income y/y growth	(0.3%)	3.4%	9.9%	10.0%	8.1%
LLR	(1,759)	(1,614)	(1,474)	(1,457)	(1,439)	Revenues y/y growth	1.6%	1.5%	12.8%	8.7%	7.7%
NPLs	1,042	1,041	1,187	1,229	1,341	Adj. EPS y/y growth	16.1%	9.9%	6.9%	17.4%	(5.3%)
P/BV (x)	1.31	1.19	1.11	1.03	0.97	BVPS y/y growth	9.7%	9.7%	7.1%	8.1%	5.9%
Adj. P/E (x)	11.0	10.0	9.4	8.0	8.4	IE assets/Assets	88.0%	89.5%	90.4%	90.4%	90.5%
Dividend yield	2.9%	3.3%	4.4%	4.9%	5.9%	Margins (as % of Avg. Assets)	1.6%	1.6%	1.7%	1.7%	1.8%
Dividend payout	31.6%	33.2%	41.1%	38.9%	49.3%	LLP/Loans	(0.1%)	0.1%	(0.0%)	(0.1%)	(0.1%)
						Equity/Assets	12.2%	12.3%	12.7%	12.9%	12.9%
						Cost/Assets	0.8%	0.8%	0.8%	0.8%	0.8%
						Assets/Equity	8.2	8.1	7.9	7.7	7.8

Source: Company reports and J.P. Morgan estimates.

Note: RM in millions (except per-share data). Fiscal year ends Jun

Overweight

MBBM.KL, MAY MK

Price (21 Mar 25):RM10.18

Price Target (Dec-25):RM11.30

APAC Banks

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J.P. Morgan Securities (Asia Pacific) Limited/ J.P.
Morgan Broking (Hong Kong) Limited

Key Changes (FYE Dec)

	Prev	Cur
Adj. EPS - 26E (RM)	1.00	0.95

Quarterly Forecasts (FYE Dec)

Adj. EPS (RM)	2024A	2025E	2026E
Q1	0.21	0.21	
Q2	0.21	0.23	
Q3	0.21	0.23	
Q4	0.21	0.22	
FY	0.84	0.88	0.95

Style Exposure

Quant Factors	Current %Rank	Hist %Rank (1=Top)				
		6M	1Y	3Y	5Y	
Value	30	28	32	30	32	
Growth	26	40	21	38	49	
Momentum	46	51	51	32	57	
Quality	19	13	7	34	28	
Low Vol	1	1	3	7	5	
ESGQ	20	20	19	19	14	

Maybank (Malayan Banking)

Steady earnings growth, dividend yields to support the stock; stay OW

The bank is one of the biggest beneficiaries of accelerating investments in Malaysia, both from corporate and retail segments. We forecast ~7% loan growth at Maybank over the course of next 2-3 years, with similar EPSg. Management's focus on TSR and RoRWAs supports ~70% payout, with forecasted 6-7% dividend yields for 2025-27E. Maintain OW.

Valuation

Table 113: MAY: Valuation

	Net Inc (RM mn)	EPS (RM)	P/E (x)	BVPS (RM)	P/B (x)	Dividend (RM)	Div Yld (%)	RoA (%)	RoRWA (%)	RoE (%)	
2021	8,096	0.70	14.9	7.22	1.43	0.58	5.6%	0.93%	2.0%	9.5%	
2022	8,235	0.69	15.1	7.13	1.45	0.58	5.6%	0.90%	2.0%	9.6%	
2023	9,350	0.78	13.4	7.85	1.32	0.60	5.8%	0.95%	2.2%	10.4%	
2024	10,089	0.84	12.4	7.79	1.33	0.61	5.9%	0.96%	2.3%	10.7%	
2025E	10,648	0.88	11.7	8.05	1.29	0.63	6.1%	0.97%	2.3%	11.1%	
2026E	11,415	0.95	11.0	8.33	1.24	0.70	6.8%	0.98%	2.2%	11.6%	
2027E	12,280	1.02	10.2	8.62	1.20	0.75	7.2%	1.00%	2.2%	12.0%	
Price (RM)		10.18		Number of shares (mn)		12,067		Market Cap (RM mn)		125,014	
Normalised RoE				PB based Valuation				PE based Valuation			
NIM (on avg. assets)		2.07%		Risk-free rate		4.00%		Fair PE		10.6x	
Non-IR/revenues		27.3%		Cost of capital		10.0%		12m Rolling EPS		RM0.90	
Cost/income		47.8%		Long term growth		3.0%		PE based Dec-25 Fair Value		RM9.5	
Operating RoA		1.49%		Fair PB		1.23x		Implied Value of Growth			
LLP/Loans		-0.30%		PV of Terminal Value		RM9.1		12m Rolling EPS		RM0.9	
Net RoAA		0.98%		PV of Dividends		RM1.2		Capitalized Value		RM9.0	
Equity/Assets		8.4%		PV of today's Fair Value		RM10.2		Value of Growth		RM1.4	
Normalised RoE		11.6%		PV of Dec-25 fair value		RM11.3		Attributable to Growth		13.5%	

Source: J.P. Morgan estimates, Bloomberg Finance L.P.

Annual forecasts

Table 114: MAY: Annual P&L

P&L (RMmn)	2015	2016	2017	2018	2019	2020	2021	2022	2023	2024	2025E	2026E	2027E
Interest Income	26,984	29,059	31,031	33,636	35,199	29,405	27,526	32,861	43,992	47,954	49,585	51,185	54,043
Interest Expense	(12,601)	(13,925)	(14,817)	(16,750)	(18,138)	(13,242)	(8,933)	(11,617)	(24,035)	(27,081)	(27,279)	(27,209)	(28,097)
Net Interest Income	14,383	15,134	16,214	16,887	17,061	16,163	18,593	21,244	19,957	20,873	22,306	23,976	25,946
Fee income	3,821	3,649	3,564	3,358	3,370	3,374	3,638	3,343	3,514	3,830	4,020	4,202	4,392
Investment income	1,208	1,528	1,654	858	3,406	4,320	366	92	4,211	4,736	4,116	4,139	4,176
Other operating income	547	367	630	704	501	(394)	466	1,191	263	500	525	551	579
Insurance Income	412	336	194	1,026	(611)	238	1,371	1,742	(996)	(647)	(259)	259	285
Non-Interest Income	5,988	5,881	6,041	5,945	6,666	7,537	5,842	6,304	7,040	8,468	8,454	9,205	9,487
Total Revenues	20,371	21,015	22,255	22,832	23,727	23,700	24,435	27,548	26,997	29,341	30,760	33,182	35,433
Costs	(9,615)	(9,954)	(10,523)	(10,416)	(10,548)	(10,182)	(10,505)	(12,740)	(13,024)	(14,229)	(14,901)	(15,795)	(16,743)
PPOP	10,756	11,061	11,731	12,416	13,179	13,518	13,930	14,808	13,972	15,112	15,859	17,386	18,690
Loan loss provisions	(1,684)	(2,833)	(1,959)	(1,591)	(2,287)	(4,599)	(2,659)	(2,189)	(1,826)	(1,671)	(1,768)	(2,285)	(2,452)
Impairment Loss	(329)	(182)	(69)	(22)	(36)	(472)	(571)	(596)	145	24	0	0	0
Associate	211	173	215	98	158	209	186	131	240	236	248	248	248
Pre-Tax	8,954	8,219	9,918	10,901	11,014	8,657	10,887	12,153	12,532	13,702	14,340	15,349	16,486
Tax	(2,165)	(1,881)	(2,301)	(2,545)	(2,538)	(1,938)	(2,565)	(3,780)	(2,917)	(3,195)	(3,442)	(3,684)	(3,957)
MI and EO	(150)	(221)	(276)	(243)	(278)	(238)	(225)	(138)	(265)	(418)	(250)	(250)	(250)
Core Profits	6,639	6,118	7,341	8,113	8,198	6,481	8,096	8,235	9,350	10,089	10,648	11,415	12,280
Net Profits	6,836	6,743	7,521	8,113	8,198	6,481	8,096	8,235	9,350	10,089	10,648	11,415	12,280

Source: Company reports and J.P. Morgan estimates.

Table 115: MAY: Annual DuPont

	2015	2016	2017	2018	2019	2020	2021	2022	2023	2024	2025E	2026E	2027E
NIM (% of avg. IEA)	2.31%	2.27%	2.36%	2.33%	2.27%	2.13%	2.36%	2.44%	2.15%	2.05%	2.07%	2.11%	2.16%
IEA/Assets	92.3%	92.3%	91.4%	92.3%	91.7%	89.8%	90.1%	95.0%	94.1%	96.8%	98.0%	98.0%	98.0%
Margins (% of avg. Assets)	2.13%	2.10%	2.16%	2.15%	2.08%	1.91%	2.13%	2.31%	2.02%	1.99%	2.02%	2.07%	2.12%
Non-IR contribution	29.4%	28.0%	27.1%	26.0%	28.1%	31.8%	23.9%	22.9%	26.1%	28.9%	27.5%	27.7%	26.8%
Non-IR/Avg. Assets	0.89%	0.81%	0.80%	0.76%	0.81%	0.89%	0.67%	0.69%	0.71%	0.81%	0.77%	0.79%	0.77%
Revenue/Assets	3.02%	2.91%	2.96%	2.90%	2.89%	2.80%	2.80%	3.00%	2.73%	2.79%	2.79%	2.86%	2.89%
Cost/Income	47.2%	47.4%	47.3%	45.6%	44.5%	43.0%	43.0%	46.2%	48.2%	48.5%	48.4%	47.6%	47.3%
C/Assets	1.43%	1.38%	1.40%	1.32%	1.29%	1.20%	1.20%	1.39%	1.32%	1.35%	1.35%	1.36%	1.37%
Pre-Provision ROA	1.60%	1.53%	1.56%	1.58%	1.61%	1.60%	1.60%	1.61%	1.41%	1.44%	1.44%	1.50%	1.52%
LLP/Loans	-0.39%	-0.60%	-0.40%	-0.31%	-0.44%	-0.88%	-0.49%	-0.38%	-0.30%	-0.25%	-0.25%	-0.30%	-0.30%
Loan/Assets	64.4%	65.5%	65.3%	64.3%	63.4%	61.9%	61.7%	62.1%	62.1%	62.4%	63.4%	64.7%	65.7%
Other Income/Assets	-0.02%	0.00%	0.02%	0.01%	0.01%	-0.03%	-0.04%	-0.05%	0.04%	0.02%	0.02%	0.02%	0.02%
Operating ROA	1.33%	1.14%	1.32%	1.39%	1.34%	1.02%	1.25%	1.32%	1.27%	1.30%	1.30%	1.32%	1.34%
Pre-Tax ROA	1.33%	1.14%	1.32%	1.39%	1.34%	1.02%	1.25%	1.32%	1.27%	1.30%	1.30%	1.32%	1.34%
Tax Rate	-24.2%	-22.9%	-23.2%	-23.3%	-23.0%	-22.4%	-23.6%	-31.1%	-23.3%	-23.3%	-24.0%	-24.0%	-24.0%
Core ROA	0.98%	0.85%	0.98%	1.03%	1.00%	0.77%	0.93%	0.90%	0.95%	0.96%	0.97%	0.98%	1.00%
Core RoRWA	1.83%	1.63%	1.95%	2.16%	2.17%	1.65%	2.00%	2.03%	2.20%	2.27%	2.26%	2.21%	2.23%
Equity/Assets	8.5%	9.0%	9.4%	9.4%	9.6%	9.8%	9.8%	9.4%	9.1%	9.0%	8.7%	8.5%	8.3%
Core ROE	11.6%	9.4%	10.4%	10.9%	10.4%	7.8%	9.5%	9.6%	10.4%	10.7%	11.1%	11.6%	12.0%

Source: Company reports and J.P. Morgan estimates.

Quarterly forecasts

Table 116: MAY: Quarterly P&L

P&L (RMmn)	1Q22	2Q22	3Q22	4Q22	1Q23	2Q23	3Q23	4Q23	1Q24	2Q24	3Q24	4Q24	1Q25E	2Q25E	3Q25E	4Q25E
Interest Income	6,936	7,542	8,533	9,850	10,209	10,779	11,176	11,828	12,042	12,111	11,898	11,904	12,140	12,333	12,495	12,616
Interest Expense	(1,965)	(2,203)	(3,100)	(4,349)	(5,276)	(5,827)	(6,232)	(6,701)	(6,875)	(6,846)	(6,782)	(6,578)	(6,770)	(6,800)	(6,838)	(6,870)
Net Interest Income	4,971	5,338	5,433	5,501	4,933	4,953	4,944	5,127	5,167	5,264	5,116	5,326	5,370	5,532	5,657	5,747
Fee income	802	847	842	851	803	823	950	938	947	941	996	946	963	980	1,003	1,075
Investment income	231	(1,214)	567	508	649	1,598	740	1,223	1,660	1,272	938	865	1,070	1,045	1,033	969
Other operating income	(101)	734	137	422	267	38	175	(216)	261	(18)	68	189	114	125	138	149
Insurance Income	525	1,182	404	(370)	(415)	(254)	(159)	(168)	(535)	(222)	9	101	(65)	(65)	(65)	(64)
Non-Interest Income	1,457	1,549	1,950	1,348	1,305	2,251	1,706	1,777	2,333	2,022	2,012	2,102	2,082	2,130	2,108	2,135
Total Revenues	6,428	6,888	7,383	6,849	6,238	7,204	6,650	6,904	7,500	7,286	7,128	7,428	7,452	7,662	7,765	7,881
Costs	(2,908)	(3,109)	(3,363)	(3,359)	(2,966)	(3,315)	(3,197)	(3,547)	(3,580)	(3,535)	(3,420)	(3,693)	(3,567)	(3,618)	(3,693)	(4,023)
PPOP	3,520	3,779	4,020	3,490	3,272	3,889	3,453	3,358	3,920	3,750	3,707	3,735	3,885	4,044	4,072	3,858
Loan loss provisions	(443)	(838)	(600)	(309)	(360)	(562)	(440)	(464)	(468)	(381)	(377)	(445)	(470)	(437)	(445)	(416)
Impairment Loss	(154)	(319)	(242)	118	67	(13)	98	(7)	(76)	1	27	71	0	0	0	0
Associate	50	44	30	8	77	55	46	63	67	72	44	53	60	60	64	64
Pre-Tax	2,972	2,666	3,208	3,307	3,056	3,370	3,156	2,949	3,442	3,443	3,402	3,414	3,475	3,667	3,691	3,506
Tax	(886)	(757)	(1,039)	(1,099)	(723)	(972)	(750)	(471)	(846)	(792)	(817)	(739)	(834)	(880)	(886)	(841)
MI and EO	(42)	(52)	(4)	(41)	(67)	(59)	(48)	(90)	(108)	(121)	(47)	(143)	(60)	(60)	(60)	(70)
Core Profits	2,045	1,857	2,166	2,167	2,265	2,339	2,358	2,388	2,488	2,530	2,538	2,532	2,581	2,727	2,745	2,595
Net Profits	2,045	1,857	2,166	2,167	2,265	2,339	2,358	2,388	2,488	2,530	2,538	2,532	2,581	2,727	2,745	2,595

Source: Company reports and J.P. Morgan estimates.

Table 117: MAY: Quarterly DuPont

	1Q22	2Q22	3Q22	4Q22	1Q23	2Q23	3Q23	4Q23	1Q24	2Q24	3Q24	4Q24	1Q25E	2Q25E	3Q25E	4Q25E
NIM (% of avg. IEA)	2.34%	2.41%	2.42%	2.39%	2.19%	2.14%	2.13%	2.09%	2.03%	2.06%	2.03%	2.06%	2.07%	2.08%	2.08%	2.09%
IEA/Assets	94.3%	96.4%	95.8%	97.0%	94.6%	95.2%	93.4%	96.7%	97.6%	96.3%	95.2%	97.1%	95.9%	96.6%	96.9%	97.6%
Margins (% of avg. Asse	2.21%	2.33%	2.32%	2.32%	2.07%	2.03%	1.99%	2.02%	1.98%	1.99%	1.94%	2.00%	1.98%	2.01%	2.02%	2.04%
Non-IR contribution	22.7%	22.5%	26.4%	19.7%	20.9%	31.3%	25.7%	25.7%	31.1%	27.7%	28.2%	28.3%	27.9%	27.8%	27.1%	27.1%
Non-IR/Avg. Assets	0.65%	0.67%	0.83%	0.57%	0.55%	0.92%	0.69%	0.70%	0.90%	0.76%	0.76%	0.79%	0.77%	0.77%	0.75%	0.76%
Revenue/Assets	2.85%	3.00%	3.15%	2.88%	2.62%	2.96%	2.67%	2.72%	2.88%	2.75%	2.70%	2.80%	2.75%	2.78%	2.77%	2.79%
Cost/Income	45.2%	45.1%	45.6%	49.0%	47.5%	46.0%	48.1%	51.4%	47.7%	48.5%	48.0%	49.7%	47.9%	47.2%	47.6%	51.0%
C/Assets	1.29%	1.35%	1.43%	1.41%	1.24%	1.36%	1.29%	1.40%	1.37%	1.33%	1.29%	1.39%	1.32%	1.31%	1.32%	1.43%
Pre-Provision ROA	1.56%	1.65%	1.71%	1.47%	1.37%	1.60%	1.39%	1.32%	1.50%	1.41%	1.40%	1.41%	1.43%	1.47%	1.45%	1.37%
LLP/Loans	-0.32%	-0.59%	-0.41%	-0.21%	-0.24%	-0.38%	-0.29%	-0.30%	-0.29%	-0.23%	-0.23%	-0.27%	-0.28%	-0.25%	-0.25%	-0.23%
Loan/Assets	61.9%	61.9%	62.0%	61.8%	61.8%	61.4%	61.4%	61.9%	62.1%	62.4%	62.9%	62.8%	62.7%	62.8%	62.9%	63.6%
Other Income/Assets	-0.01%	-0.03%	-0.02%	0.01%	0.02%	0.00%	0.01%	0.01%	0.00%	0.01%	0.01%	0.01%	0.01%	0.01%	0.01%	0.01%
Operating ROA	1.37%	1.28%	1.46%	1.34%	1.22%	1.37%	1.21%	1.14%	1.32%	1.27%	1.26%	1.24%	1.26%	1.31%	1.29%	1.22%
Pre-Tax ROA	1.35%	1.25%	1.44%	1.35%	1.24%	1.37%	1.23%	1.15%	1.32%	1.28%	1.27%	1.25%	1.27%	1.31%	1.30%	1.23%
Tax Rate	-29.8%	-28.4%	-32.4%	-33.2%	-23.7%	-28.9%	-23.8%	-16.0%	-24.6%	-23.0%	-24.0%	-21.7%	-24.0%	-24.0%	-24.0%	-24.0%
Core ROA	0.95%	0.89%	0.97%	0.90%	0.94%	0.97%	0.93%	0.95%	0.99%	0.97%	0.96%	0.97%	0.96%	0.99%	0.98%	0.93%
Core RoRWA	2.1%	2.0%	2.2%	2.0%	2.2%	2.3%	2.2%	2.2%	2.3%	2.3%	2.3%	2.3%	2.3%	2.3%	2.3%	2.1%
Equity/Assets	9.4%	9.2%	9.0%	9.0%	9.0%	9.0%	9.1%	9.2%	9.0%	8.9%	8.8%	8.7%	8.8%	8.9%	9.0%	8.8%
Core ROE	10.1%	9.7%	10.8%	10.0%	10.4%	10.7%	10.2%	10.4%	10.9%	10.9%	10.9%	11.1%	10.9%	11.2%	10.9%	10.5%

Source: Company reports and J.P. Morgan estimates.

Price Performance



Company Data

Shares O/S (mn)	12,067
52-week range (RM)	11.04-9.52
Market cap (\$ mn)	27,765
Exchange rate	4.42
Free float (%)	54.3%
3M ADV (mn)	9.64
3M ADV (\$ mn)	22.6
Volatility (90 Day)	13
Index	FBMKLCI - FTSE BURSA MALAYSIA KLCI
BBG ANR (Buy Hold Sell)	13 6 2

Key Metrics (FYE Dec)

RM in millions	FY24A	FY25E	FY26E	FY27E
Financial Estimates				
Net interest income	20,873	22,306	23,976	25,946
Non interest income	8,468	8,454	9,205	9,487
Operating expenses	(14,229)	(14,901)	(15,795)	(16,743)
Adj. PPOP	15,112	15,859	17,386	18,690
Provision for loan losses	(1,671)	(1,768)	(2,285)	(2,452)
Adj. PBT	13,702	14,340	15,349	16,486
Adj. net income	10,089	10,648	11,415	12,280
Adj. EPS	0.84	0.88	0.95	1.02
BBG EPS	0.83	0.88	0.92	0.97
DPS	0.61	0.63	0.70	0.75
Loans	662,741	713,807	765,864	821,857
Deposits	741,897	782,173	830,936	883,044
Total Assets	1,075,322	1,128,871	1,192,267	1,259,676
Margins and Growth				
NIM	2.1%	2.1%	2.1%	2.2%
Ratios				
Loan/ Deposit ratio	89.3%	91.3%	92.2%	93.1%
NPL / Loans	1.2%	1.2%	1.3%	1.3%
Coverage	122.4%	116.8%	115.6%	114.5%
CET 1	-	-	-	-
Non-int. income/ Income	28.9%	27.5%	27.7%	26.8%
Cost/Income	48.5%	48.4%	47.6%	47.3%
LLP/Loans	(0.3%)	(0.3%)	(0.3%)	(0.3%)
ROA	1.0%	1.0%	1.0%	1.0%
ROE	10.7%	11.1%	11.6%	12.0%
Valuation				
Dividend yield	6.0%	6.2%	6.9%	7.4%
Adj. P/E	12.2	11.5	10.8	10.0
P/ BV	1.31	1.26	1.22	1.18

Summary Investment Thesis and Valuation

Investment Thesis

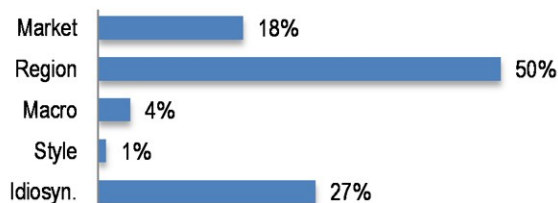
We are OW on MAY.

- The Malaysian banking sector is delivering a good combination of growth (6-8% loan and PPOPg), benign AQ, improving quality and quantity of payouts (all cash, above 50% payout) as well as a re-rating following domestic fund allocation shifts. Maybank has come off, and provides a good entry point to these trends, with management confirming the outlook for improved cash dividends on the back of steady NIMs which benefit from best CASA franchise.
- We believe management's commitment to TSR has strengthened, which is showing in commitment to upstream capital and increase focus on RoRWA. This should lead to an almost 70% payout till at least next year, if not longer.
- We forecast 6-7.2% dividend yields over 2025-27, one of the highest across Malaysia banks. The bank stays at 15% CET1 for 2026E, based on our forecasts of ~70% payout.

Valuation

Our Dec-25 PT of RM11.3 is based on a two-stage DDM methodology using the following valuation assumptions: RFR of 4.0%, CoE of 10%, normalized RoE of 11.6% and terminal growth of 3.0%.

Performance Drivers



Factors	6M Corr	1Y Corr
Market: MSCI Asia Pac ex JP	0.50	0.42
Region: Malaysia	0.81	0.78
Macro:		
JP Morgan GBI-EM Global Div	0.55	0.43
US 10 Year Yield	-0.19	-0.29
JPM Global Equity Sentiment	-0.23	-0.26
Quant Styles:		
Momentum	0.36	0.25
Size	0.34	0.19
Quality	0.26	0.17

Source: J.P. Morgan Quantitative and Derivatives Strategy for Performance Drivers; company data, Bloomberg Finance L.P. and J.P. Morgan estimates for all other tables. Note: Price history may not be complete or exact.

Investment Thesis, Valuation and Risks

Maybank (Malayan Banking) *(Overweight; Price Target: RM11.30)*

Investment Thesis

We are OW on MAY.

- The Malaysian banking sector is delivering a good combination of growth (6-8% loan and PPOpG), benign AQ, improving quality and quantity of payouts (all cash, above 50% payout) as well as a re-rating following domestic fund allocation shifts. Maybank has come off, and provides a good entry point to these trends, with management confirming the outlook for improved cash dividends on the back of steady NIMs which benefit from best CASA franchise.
- We believe management's commitment to TSR has strengthened, which is showing in commitment to upstream capital and increase focus on RoRWA. This should lead to an almost 70% payout till at least next year, if not longer.
- We forecast 6-7% dividend yields over 2025-27, one of the highest across Malaysia banks. The bank stays at 15% CET1 for 2026E, based on our forecasts of ~70% payout.
- Valuations appear attractive at 11.7x/1.29x 2025E PE/PB for 11% ROE. Our 2025/26E estimates are in-line/3% higher vs. the Street.

Valuation

Our Dec-25 PT of RM11.3 is based on a two-stage DDM methodology using the following valuation assumptions: RFR of 4.0%, CoE of 10%, normalized RoE of 11.6% and terminal growth of 3.0%.

Risks to Rating and Price Target

Upside risks to our rating and price target include: 1) resiliency in asset quality, leading to lower credit costs; 2) further improvement in retail market share (loans and deposits) on the back of M25+ initiatives; and 3) a pick-up in corporate loan demand.

Downside risks include further NIM deterioration across home and overseas markets.

Maybank (Malayan Banking): Summary of Financials

Income Statement						Balance Sheet					
	FY23A	FY24A	FY25E	FY26E	FY27E		FY23A	FY24A	FY25E	FY26E	FY27E
Interest income	43,992	47,954	49,585	51,185	54,043	Cash and cash equivalents	0	0	0	0	0
Interest expense	(24,035)	(27,081)	(27,279)	(27,209)	(28,097)	Deposits with banks	58,115	79,964	76,436	76,088	75,371
Net interest income	19,957	20,873	22,306	23,976	25,946	Net loans	628,923	662,741	713,807	765,864	821,857
Non interest income	7,040	8,468	8,454	9,205	9,487	PP&E	3,329	3,322	3,411	3,503	3,597
o/w Fee income	3,514	3,830	4,020	4,202	4,392	Net intangibles	7,362	6,993	7,133	7,276	7,421
o/w Trading income	4,211	4,736	4,116	4,139	4,176	LT investments	283,260	270,394	273,097	281,290	289,729
Net revenues	26,997	29,341	30,760	33,182	35,433	Other assets	46,685	51,908	54,986	58,246	61,701
Non interest expense	(13,024)	(14,229)	(14,901)	(15,795)	(16,743)	Total assets	1,027,675	1,075,322	1,128,871	1,192,267	1,259,676
o/w Employee costs	(7,779)	(8,596)	(9,026)	(9,568)	(10,142)	Interest earning assets	970,298	1,013,098	1,063,341	1,123,242	1,186,957
Pre-Prov. Profits	13,972	15,112	15,859	17,386	18,690	Deposits	696,835	741,897	782,173	830,936	883,044
Provisions	(1,826)	(1,671)	(1,768)	(2,285)	(2,452)	Borrowings	126,763	120,878	126,346	132,763	139,514
Adj. PBT	12,532	13,702	14,340	15,349	16,486	Other liabilities	106,429	115,340	119,978	124,803	129,822
Income taxes	(2,917)	(3,195)	(3,442)	(3,684)	(3,957)	Total liabilities	930,026	978,115	1,028,498	1,088,502	1,152,380
Minority interest	(265)	(418)	(250)	(250)	(250)	Shareholder equity	94,642	93,971	97,137	100,528	104,059
Adj. Net profit	9,350	10,089	10,648	11,415	12,280	Minority interests	3,007	3,237	3,237	3,237	3,237
PPOP per share	1.16	1.25	1.31	1.44	1.55	Total liabilities and Shareholder equity	1,027,675	1,075,322	1,128,871	1,192,267	1,259,676
Reported EPS	0.78	0.84	0.88	0.95	1.02	Interest bearing liabilities	823,597	862,775	908,520	963,699	1,022,558
Adj. EPS	0.78	0.84	0.88	0.95	1.02	Book Value Per Share	7.85	7.79	8.05	8.33	8.62
DPS	0.60	0.61	0.63	0.70	0.75	Tangible Book Value Per Share	7.60	7.52	7.78	8.06	8.36
Diluted shares outstanding	12,056	12,066	12,067	12,067	12,067	Asset Quality/Capital	FY23A	FY24A	FY25E	FY26E	FY27E
Loans/Deposits	90.3%	89.3%	91.3%	92.2%	93.1%	Loan loss reserves/Loans	(1.6%)	(1.5%)	(1.5%)	(1.4%)	(1.4%)
Investment/Assets	26.8%	26.3%	24.7%	23.9%	23.3%	NPLs/Loans	1.3%	1.2%	1.2%	1.3%	1.3%
Loan/Assets	62.1%	62.4%	63.4%	64.7%	65.7%	Loan loss reserves/NPLs	123.9%	121.2%	119.5%	116.2%	115.0%
Customer deposits/Liabilities	74.9%	75.8%	76.1%	76.3%	76.6%	NPL y/y growth	(6.6%)	(3.2%)	8.1%	8.0%	8.0%
LT debt/Liabilities	13.4%	13.0%	12.3%	12.2%	12.2%	Tier 1 ratio	16.8%	16.1%	15.1%	14.6%	14.5%
Ratio Analysis (%)	FY23A	FY24A	FY25E	FY26E	FY27E	CAR	19.4%	18.9%	17.6%	17.0%	16.7%
Net interest margin	2.1%	2.1%	2.1%	2.1%	2.2%	Ratio Analysis (%)	FY23A	FY24A	FY25E	FY26E	FY27E
Non interest income/Net revenue	26.1%	28.9%	27.5%	27.7%	26.8%	Return on equity (ROE)	10.4%	10.7%	11.1%	11.6%	12.0%
Non interest income/Avg. Assets	0.7%	0.8%	0.8%	0.8%	0.8%	Return on assets (ROA)	0.9%	1.0%	1.0%	1.0%	1.0%
Efficiency ratio	48.2%	48.5%	48.4%	47.6%	47.3%	Operating ROA	1.2%	1.3%	1.3%	1.3%	1.3%
Leverage ratio	7.5%	6.9%	6.8%	6.8%	6.7%	Pre-Tax ROA	1.3%	1.3%	1.3%	1.3%	1.3%
Revenue/Assets	2.7%	2.8%	2.8%	2.9%	2.9%	Pre-Provision ROA	1.4%	1.4%	1.4%	1.5%	1.5%
RORWA	2.2%	2.3%	2.3%	2.2%	2.2%	Tax rate	23.3%	23.3%	24.0%	24.0%	24.0%
RWA	440,887	446,471	496,703	536,520	566,854	Net loans y/y growth	9.3%	5.4%	7.7%	7.3%	7.3%
Avg. RWA	424,748	443,679	471,587	516,612	551,687	Assets y/y growth	8.4%	4.6%	5.0%	5.6%	5.7%
Avg. IEA	929,596	1,017,482	1,079,749	1,137,023	1,201,303	RWA y/y growth	7.9%	1.3%	11.3%	8.0%	5.7%
Gross Loans	639,246	672,931	724,316	777,104	833,881	Deposits y/y growth	9.0%	6.5%	5.4%	6.2%	6.3%
Avg. IBL	787,638	843,186	885,647	936,110	993,129	Net interest income y/y growth	(6.1%)	4.6%	6.9%	7.5%	8.2%
LLR	(10,323)	(10,190)	(10,509)	(11,240)	(12,024)	Revenues y/y growth	(2.0%)	8.7%	4.8%	7.9%	6.8%
NPLs	8,600	8,326	8,999	9,723	10,500	Adj. EPS y/y growth	12.7%	7.8%	5.5%	7.2%	7.6%
P/BV (x)	1.30	1.31	1.26	1.22	1.18	BVPS y/y growth	10.0%	(0.8%)	3.4%	3.5%	3.5%
Adj. P/E (x)	13.1	12.2	11.5	10.8	10.0	IE assets/Assets	94.1%	96.8%	98.0%	98.0%	98.0%
Dividend yield	5.9%	6.0%	6.2%	6.9%	7.4%	Margins (as % of Avg. Assets)	2.0%	2.0%	2.1%	2.1%	2.2%
Dividend payout	77.4%	73.0%	71.4%	74.0%	73.7%	LLP/Loans	(0.3%)	(0.3%)	(0.3%)	(0.3%)	(0.3%)
						Equity/Assets	9.1%	9.0%	8.7%	8.5%	8.3%
						Cost/Assets	1.3%	1.4%	1.4%	1.4%	1.4%
						Assets/Equity	10.9	11.1	11.5	11.7	12.0

Source: Company reports and J.P. Morgan estimates.
Note: RM in millions (except per-share data). Fiscal year ends Dec

Neutral

PUBM.KL, PBK MK

Price (21 Mar 25):RM4.49

Price Target (Dec-25):RM4.80

APAC Banks

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J.P. Morgan Securities (Asia Pacific) Limited/ J.P.

Morgan Broking (Hong Kong) Limited

Quarterly Forecasts (FYE Dec)

Adj. EPS (RM)

	2024A	2025E	2026E
Q1	0.09		
Q2	0.09		
Q3	0.10		
Q4	0.12		
FY	0.39	0.39	0.40

Style Exposure

Quant Factors	Current	Hist %Rank (1=Top)			
	%Rank	6M	1Y	3Y	5Y
Value	44	44	46	63	51
Growth	13	13	7	17	3
Momentum	53	63	42	36	82
Quality	1	3	3	9	7
Low Vol	19	21	17	34	11
ESGQ	10	5	3	13	3

Public Bank

Technical overhang to limit upside; stay Neutral

The bank is one of the highest quality franchises in the country, yet a large shareholder selling ~13% of the bank creates an overhang, limiting stock performance. We are lowering our 2025/26 EPS estimates by 1/3%, which is broadly in-line with Street estimates. We forecast dividend payouts to stay at 65% over next 3 years. Our Dec-24 PT of RM4.8 remains unchanged. Maintain Neutral.

Valuation

Table 118: PBK: Valuation

	Net Inc (RM mn)	EPS (RM)	P/E (x)	BVPS (RM)	P/B (x)	Dividend (RM)	Div Yld (%)	RoA (%)	RoRWA (%)	RoE (%)
2020	4,872	0.25	17.9	2.43	1.84	0.13	2.9%	1.10%	1.71%	10.7%
2021	5,657	0.29	15.4	2.48	1.81	0.15	3.4%	1.24%	1.91%	11.9%
2022	6,119	0.32	14.2	2.59	1.74	0.17	3.8%	1.28%	2.00%	12.4%
2023	6,649	0.34	13.1	2.82	1.59	0.19	4.2%	1.32%	2.05%	12.7%
2024E	7,147	0.37	12.2	2.95	1.52	0.21	4.7%	1.45%	2.09%	13.6%
2025E	7,513	0.39	11.6	3.13	1.43	0.25	5.6%	1.35%	2.10%	12.7%
2026E	7,727	0.40	11.3	3.28	1.37	0.26	5.8%	1.32%	2.07%	12.4%
2027E	8,018	0.41	10.9	3.43	1.31	0.27	6.0%	1.29%	2.07%	12.3%
Price (RM)		4.49	Number of shares (mn)			19,411	Market Cap (RM mn)			87,154
Normalised RoE			PB based Valuation				PE based Valuation			
NIM (on avg. assets)		2.06%	Risk-free rate			4.00%	Fair PE			11.1x
Non-IR/revenues		21.1%	Cost of capital			10.00%	12m Rolling EPS			RM0.4
Cost/income		35.8%	Long term growth			3.50%	PE based 12M forward Fair Va			RM4.3
Operating RoA		1.68%	Fair PB			1.38x	Implied Value of Growth			
LLP/Loans		-0.05%	PV of Terminal Value			RM4.0	12m Rolling EPS			RM0.4
Net RoAA		1.32%	PV of Dividends			RM0.45	Capitalized Value			RM3.9
Equity/Assets		10.6%	PV of today's Fair Value			RM4.4	Value of Growth			RM0.6
Normalised RoE		12.4%	PV of Dec-25 fair value			RM4.9	Attributable to Growth			13.3%

Source: J.P. Morgan estimates, Bloomberg Finance L.P.

Sources for: Style Exposure – J.P. Morgan Quantitative and Derivatives Strategy; all other tables are company data and J.P. Morgan estimates.

Annual forecasts

Table 119: PBK: Annual P&L

RM mn	2015	2016	2017	2018	2019	2020	2021	2022	2023	2024	2025E	2026E	2027E
Interest Income	16,169	17,345	17,748	19,038	19,365	16,797	16,110	18,115	21,921	23,121	24,160	24,797	25,900
Interest Expense	(8,963)	(9,482)	(9,333)	(10,409)	(10,691)	(8,306)	(6,182)	(7,093)	(11,304)	(11,963)	(12,555)	(12,715)	(13,226)
Net Interest Income	7,206	7,863	8,416	8,629	8,674	8,491	9,929	11,023	10,617	11,158	11,604	12,082	12,674
Fee income	1,553	1,565	1,737	1,778	1,740	1,929	2,147	1,915	1,950	2,187	2,245	2,354	2,470
Investment income	592	348	433	290	504	750	316	380	410	520	627	688	759
Other operating income	95	98	162	147	135	142	153	120	116	146	182	191	201
Non-Interest Income	2,240	2,011	2,331	2,215	2,406	2,821	2,616	2,416	2,476	2,853	3,054	3,233	3,429
Total Revenues	9,446	9,874	10,747	10,843	11,080	11,312	12,544	13,438	13,093	14,011	14,658	15,314	16,103
Costs	(2,915)	(3,211)	(3,428)	(3,573)	(3,819)	(3,909)	(3,965)	(4,235)	(4,415)	(4,828)	(5,128)	(5,501)	(5,903)
PPOP	6,530	6,662	7,319	7,270	7,261	7,403	8,579	9,203	8,678	9,183	9,530	9,813	10,201
Loan loss provisions	(146)	(193)	(203)	(169)	(154)	(1,106)	(1,201)	(366)	(157)	(1)	(179)	(237)	(250)
Impairment Loss	(1)	0	6	(5)	2	(14)	(6)	(13)	(1)	(122)	(20)	0	0
Associate	8	1	(3)	5	3	2	(5)	7	19	241	320	350	350
Pre-Tax	6,391	6,471	7,118	7,101	7,112	6,285	7,367	8,831	8,539	9,301	9,651	9,927	10,300
Tax	(1,370)	(1,287)	(1,571)	(1,436)	(1,555)	(1,353)	(1,637)	(2,661)	(1,884)	(1,808)	(2,123)	(2,184)	(2,266)
MI & EO	(59)	(61)	(77)	(74)	(68)	(61)	(73)	(50)	(6)	128	(15)	(15)	(16)
Reported profits	5,062	5,208	5,470	5,591	5,512	4,872	5,657	6,119	6,649	7,147	7,513	7,727	8,018

Source: Company reports and J.P. Morgan estimates.

Table 120: PBK: Annual DuPont

	2015	2016	2017	2018	2019	2020	2021	2022	2023	2024	2025E	2026E	2027E
NIM (% of avg. IEA)	2.16%	2.20%	2.28%	2.22%	2.15%	1.95%	2.22%	2.39%	2.20%	2.21%	2.21%	2.19%	2.17%
IEA/Assets	93.9%	96.0%	95.3%	95.5%	94.7%	98.5%	97.9%	96.3%	96.3%	95.9%	94.1%	94.0%	94.1%
Margins (% of avg. Asse	2.03%	2.11%	2.17%	2.12%	2.03%	1.92%	2.17%	2.31%	2.12%	2.12%	2.08%	2.06%	2.05%
Non-IR contribution	24%	20%	22%	20%	22%	25%	21%	18%	19%	20%	21%	21%	21%
Non-IR/Avg. Assets	0.63%	0.54%	0.60%	0.54%	0.56%	0.64%	0.57%	0.51%	0.49%	0.54%	0.55%	0.55%	0.55%
Revenue/Assets	2.66%	2.65%	2.77%	2.66%	2.60%	2.56%	2.74%	2.81%	2.61%	2.66%	2.63%	2.61%	2.60%
Cost/Income	30.9%	32.5%	31.9%	33.0%	34.5%	34.6%	31.6%	31.5%	33.7%	34.5%	35.0%	35.9%	36.7%
C/Assets	0.82%	0.86%	0.88%	0.88%	0.90%	0.88%	0.87%	0.89%	0.88%	0.92%	0.92%	0.94%	0.95%
Pre-Provision ROA	1.84%	1.79%	1.89%	1.78%	1.70%	1.67%	1.88%	1.93%	1.73%	1.74%	1.71%	1.67%	1.65%
LLP/Loans	-0.06%	-0.07%	-0.07%	-0.05%	-0.05%	-0.33%	-0.34%	-0.10%	-0.04%	0.00%	-0.04%	-0.05%	-0.05%
Loan/Assets	73.1%	76.3%	77.2%	76.3%	76.0%	76.5%	77.0%	76.9%	77.3%	78.1%	78.2%	78.4%	78.6%
Other Income/Assets	0.00%	0.00%	0.00%	0.00%	0.00%	0.00%	0.00%	0.00%	0.00%	0.02%	0.05%	0.06%	0.06%
Operating ROA	1.80%	1.74%	1.84%	1.74%	1.67%	1.42%	1.61%	1.85%	1.70%	1.74%	1.68%	1.63%	1.61%
Pre-Tax ROA	1.80%	1.74%	1.84%	1.74%	1.67%	1.42%	1.61%	1.85%	1.70%	1.77%	1.73%	1.69%	1.66%
Tax Rate	-21.4%	-19.9%	-22.1%	-20.2%	-21.9%	-21.5%	-22.2%	-30.1%	-22.1%	-19.4%	-22.0%	-22.0%	-22.0%
ROA	1.43%	1.40%	1.41%	1.37%	1.29%	1.10%	1.24%	1.28%	1.32%	1.36%	1.35%	1.32%	1.29%
RoRWA	2.21%	2.12%	2.15%	2.13%	2.02%	1.71%	1.91%	2.00%	2.05%	2.09%	2.10%	2.07%	2.06%
Equity/Assets	8.4%	8.8%	9.2%	9.6%	9.9%	10.3%	10.4%	10.3%	10.4%	10.6%	10.6%	10.6%	10.5%
ROE	17.1%	15.9%	15.3%	14.3%	13.0%	10.7%	11.9%	12.4%	12.7%	12.8%	12.7%	12.4%	12.3%

Source: Company reports and J.P. Morgan estimates.

Quarterly forecasts

Table 121: PBK: Quarterly P&L

RM mn	1Q22	2Q22	3Q22	4Q22	1Q23	2Q23	3Q23	4Q23	1Q24	2Q24	3Q24	4Q24	1Q25E	2Q25E	3Q25E	4Q25E
Interest Income	4,036	4,207	4,650	5,222	5,248	5,397	5,613	5,664	5,706	5,744	5,792	5,879	5,959	6,007	6,069	6,126
Interest Expense	(1,530)	(1,575)	(1,815)	(2,173)	(2,591)	(2,791)	(2,916)	(3,006)	(2,976)	(3,009)	(2,948)	(3,031)	(3,091)	(3,112)	(3,148)	(3,205)
Net Interest Income	2,505	2,632	2,836	3,049	2,657	2,606	2,696	2,658	2,731	2,735	2,844	2,849	2,868	2,895	2,921	2,921
Fee income	497	482	463	472	482	478	502	487	534	541	573	539	551	558	562	574
Investment income	116	37	133	94	135	96	88	92	87	118	131	184	161	153	160	152
Other operating income	29	27	30	35	30	32	32	23	28	16	31	71	53	43	43	43
Non-Interest Income	642	545	626	603	647	605	622	602	650	675	734	794	765	753	766	769
Total Revenues	3,147	3,177	3,462	3,652	3,303	3,211	3,318	3,260	3,380	3,410	3,578	3,642	3,633	3,648	3,687	3,690
Costs	(1,043)	(1,073)	(1,078)	(1,042)	(1,094)	(1,098)	(1,121)	(1,102)	(1,198)	(1,199)	(1,224)	(1,207)	(1,282)	(1,283)	(1,280)	(1,283)
PPOP	2,104	2,105	2,384	2,610	2,209	2,113	2,197	2,158	2,182	2,211	2,354	2,436	2,351	2,365	2,407	2,407
Loan loss provisions	(100)	(80)	(96)	(90)	(2)	(24)	(34)	(97)	(63)	1	20	41	(43)	(43)	(44)	(49)
Impairment Loss	(2)	(3)	(2)	(6)	2	3	1	(7)	(1)	(6)	(4)	(111)	(5)	(5)	(5)	(5)
Associate	(2)	0	1	7	(0)	3	3	13	14	74	79	74	80	80	80	80
Pre-Tax	2,000	2,023	2,287	2,521	2,209	2,095	2,167	2,068	2,132	2,280	2,449	2,440	2,383	2,396	2,438	2,433
Tax	(587)	(591)	(683)	(800)	(486)	(468)	(460)	(471)	(475)	(500)	(537)	(297)	(524)	(527)	(536)	(535)
MI & EO	(14)	(15)	(14)	(7)	(9)	(9)	(6)	18	(4)	1	1	130	(4)	(4)	(4)	(3)
Reported profits	1,399	1,417	1,590	1,714	1,714	1,619	1,701	1,615	1,653	1,782	1,913	1,799	1,855	1,865	1,898	1,895

Source: Company reports and J.P. Morgan estimates.

Table 122: PBK: Quarterly DuPont

	1Q22	2Q22	3Q22	4Q22	1Q23	2Q23	3Q23	4Q23	1Q24	2Q24	3Q24	4Q24	1Q25E	2Q25E	3Q25E	4Q25E
NIM (% of avg. IEA)	2.24%	2.29%	2.42%	2.58%	2.26%	2.18%	2.21%	2.15%	2.21%	2.19%	2.24%	2.21%	2.22%	2.21%	2.21%	2.18%
IEA/Assets	96.0%	97.0%	97.7%	97.0%	94.8%	96.0%	96.9%	97.2%	95.9%	95.4%	96.5%	96.2%	94.6%	94.8%	94.6%	94.8%
Margins (% of avg. Assets)	2.15%	2.22%	2.36%	2.50%	2.14%	2.09%	2.14%	2.09%	2.12%	2.09%	2.16%	2.13%	2.10%	2.10%	2.09%	2.06%
Non-IR contribution	20%	17%	18%	17%	20%	19%	19%	18%	19%	20%	21%	22%	21%	21%	21%	21%
Non-IR/Avg. Assets	0.55%	0.46%	0.52%	0.49%	0.52%	0.49%	0.49%	0.47%	0.50%	0.52%	0.56%	0.59%	0.56%	0.55%	0.55%	0.54%
Revenue/Assets	2.70%	2.68%	2.88%	3.00%	2.66%	2.58%	2.64%	2.56%	2.62%	2.61%	2.72%	2.72%	2.66%	2.64%	2.64%	2.60%
Cost/Income	33.2%	33.8%	31.1%	28.5%	33.1%	34.2%	33.8%	33.8%	35.4%	35.2%	34.2%	33.1%	35.3%	35.2%	34.7%	34.8%
C/Assets	0.89%	0.90%	0.90%	0.85%	0.88%	0.88%	0.89%	0.87%	0.93%	0.92%	0.93%	0.90%	0.94%	0.93%	0.92%	0.91%
Pre-Provision ROA	1.80%	1.77%	1.99%	2.14%	1.78%	1.69%	1.75%	1.69%	1.69%	1.69%	1.79%	1.82%	1.72%	1.71%	1.72%	1.70%
LLP/Loans	-0.11%	-0.09%	-0.10%	-0.10%	0.00%	-0.03%	-0.03%	-0.10%	-0.06%	0.00%	0.02%	0.04%	-0.04%	-0.04%	-0.04%	-0.04%
Loan/Assets	77.2%	77.0%	77.2%	77.0%	76.5%	77.1%	77.6%	77.8%	78.1%	78.1%	78.4%	78.4%	78.1%	77.9%	78.0%	78.2%
Other Income/Assets	0.00%	0.00%	0.00%	0.00%	0.00%	0.01%	0.00%	0.00%	0.01%	0.05%	0.06%	-0.03%	0.05%	0.05%	0.05%	0.05%
Operating ROA	1.72%	1.71%	1.91%	2.07%	1.78%	1.68%	1.72%	1.62%	1.65%	1.69%	1.80%	1.85%	1.69%	1.68%	1.69%	1.66%
Pre-Tax ROA	1.71%	1.70%	1.90%	2.07%	1.78%	1.68%	1.72%	1.62%	1.66%	1.75%	1.86%	1.82%	1.75%	1.74%	1.74%	1.72%
Tax Rate	-29.4%	-29.2%	-29.9%	-31.7%	-22.0%	-22.3%	-21.2%	-22.8%	-22.3%	-21.9%	-21.9%	-12.2%	-22.0%	-22.0%	-22.0%	-22.0%
ROA	1.20%	1.19%	1.32%	1.41%	1.38%	1.30%	1.35%	1.27%	1.28%	1.36%	1.45%	1.35%	1.36%	1.35%	1.36%	1.34%
RoRWA	1.86%	1.85%	2.04%	2.18%	2.18%	2.03%	2.10%	1.96%	1.97%	2.09%	2.23%	2.08%	2.12%	2.11%	2.12%	2.09%
Equity/Assets	10.3%	10.2%	10.2%	10.2%	10.2%	10.5%	10.6%	10.6%	10.6%	10.6%	10.6%	10.5%	10.5%	10.5%	10.5%	10.5%
ROE	11.6%	11.7%	12.9%	13.8%	13.5%	12.4%	12.8%	12.0%	12.1%	12.9%	13.7%	12.8%	13.0%	12.9%	12.9%	12.7%

Source: Company reports and J.P. Morgan estimates.

Price Performance



	YTD	1m	3m	12m
Abs	-1.5%	-0.2%	0.7%	6.4%
Rel	6.8%	5.2%	6.1%	8.7%

Company Data

Shares O/S (mn)	19,411
52-week range (RM)	4.84-3.98
Market cap (\$ mn)	19,699
Exchange rate	4.42
Free float (%)	67.9%
3M ADV (mn)	16.03
3M ADV (\$ mn)	16.2
Volatility (90 Day)	18
Index	FBMKLCI - FTSE BURSA MALAYSIA KLCI
BBG ANR (Buy Hold Sell)	17 3 1

Key Metrics (FYE Dec)

RM in millions	FY24A	FY25E	FY26E	FY27E
Financial Estimates				
Net interest income	11,158	11,604	12,082	12,674
Non interest income	2,853	3,054	3,233	3,429
Operating expenses	(4,828)	(5,128)	(5,501)	(5,903)
Adj. PPOP	9,183	9,530	9,813	10,201
Provision for loan losses	(1)	(179)	(237)	(250)
Adj. PBT	9,301	9,651	9,927	10,300
Adj. net income	7,621	7,513	7,727	8,018
Adj. EPS	0.39	0.39	0.40	0.41
BBG EPS	0.36	0.39	0.41	0.43
DPS	0.21	0.25	0.26	0.27
Loans	420,472	443,475	469,292	496,702
Deposits	433,264	456,138	482,267	509,901
Total Assets	542,863	571,413	602,727	635,808
Margins and Growth				
NIM	2.2%	2.2%	2.2%	2.2%
Ratios				
Loan/ Deposit ratio	97.0%	97.2%	97.3%	97.4%
NPL / Loans	0.5%	0.5%	0.5%	0.5%
Coverage	166.2%	158.2%	156.2%	154.3%
CET 1	-	-	-	-
Non-int. income/ Income	20.4%	20.8%	21.1%	21.3%
Cost/Income	34.5%	35.0%	35.9%	36.7%
LLP/Loans	(0.0%)	(0.0%)	(0.1%)	(0.1%)
ROA	1.4%	1.3%	1.3%	1.3%
ROE	13.6%	12.7%	12.4%	12.3%
Valuation				
Dividend yield	4.7%	5.6%	5.8%	6.0%
Adj. P/E	11.4	11.6	11.3	10.9
P/ BV	1.52	1.43	1.37	1.31

Summary Investment Thesis and Valuation

Investment Thesis

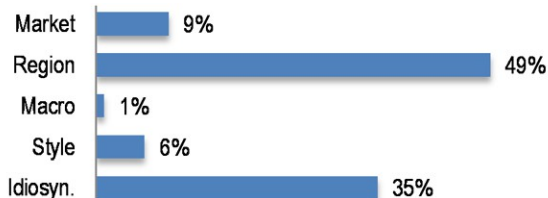
PBK has one of the lowest CIRs (34-35%) in the industry. The bank has stabilized domestic market share at ~17.7% and has been competing well on core products. On payments, seamlessness appears consistent with other players. On loan approval turnaround times, Public continues to stay competitive, adjusted for the need to secure collateral. Hence, worries around tech capabilities are fair, but may be overstated.

The stock currently trades 0.9/1.4sd below the 5Y/10Y mean P/E. At its peak, the bank was at 20x leverage (in 2009), which came off to 10x in 2020 and 9.4x in 2024. In theory, the bank can increase leverage to support RoE by moving to IRB. As of now, there appear to be no plans to do so. If the bank were to choose to move toward capital management, RoE and, hence, the stock price could move up.

Valuation

Our Dec-25 PT of RM4.80 is based on a two-stage DDM methodology using the following valuation assumptions: RFR of 4.0%, CoE of 10.0%, normalized RoE of 12.4% and terminal growth of 3.5%.

Performance Drivers



Factors	6M Corr	1Y Corr
Market: MSCI Asia Pac ex JP	0.37	0.30
Region: Malaysia	0.72	0.74
Macro:		
HSI Volatility Index	-0.34	-0.26
US 10 Year Yield	-0.24	-0.24
Emerging Central Bank Rate	-0.27	-0.22
Quant Styles:		
Growth	-0.12	-0.18
LowVol	-0.04	0.11
DivYld	0.09	0.10

Source: J.P. Morgan Quantitative and Derivatives Strategy for Performance Drivers; company data, Bloomberg Finance L.P. and J.P. Morgan estimates for all other tables. Note: Price history may not be complete or exact.

Investment Thesis, Valuation and Risks

Public Bank *(Neutral; Price Target: RM4.80)*

Investment Thesis

We are Neutral on Public Bank.

- Public Bank announced that Teh Holdings (estate of late founder) would be reducing their stake to 10% from 23.41% over the next 5 years. These shares would be sold to PBK employees, directors, and shareholders, potentially at a discount. Transaction details will be announced over time. The 13.41% stake is worth ~RM12bn (\$2.8bn). This size of disposal, even spread over 5Y, will likely create a significant overhang on the stock price, limiting immediate upside. Hence, we maintain Neutral on the stock.
- Acquisition of 44.15% stake in LPI is a small positive, with limited impact on earnings.
- The stock has re-rated on P/B multiples from 12M lows. This was led by steady loan market share (~17%), stable NIM, a pickup in Public Mutual AuM/revenues and growth in lower-risk segments of mortgages, foreign cars and SME working capital. Concerns around the bank's tech stack, growth drivers and shareholding have led to de-rating in the past five years that has now reversed since, but is likely to take a pause for now.
- PBK has one of the lowest CIRs (34-35%) in the industry. The bank has stabilized domestic market share at ~17.7% and has been competing well on core products. On payments, seamlessness appears consistent with other players. On loan approval turnaround times, Public continues to stay competitive, adjusted for the need to secure collateral. Hence, worries around tech capabilities are fair, but may be overstated.
- Public Mutual has contributed 7-9% of bank revenues in the past 10 years. The bank's market share in this business has decreased to 36% from a peak of 50% in 2013. From here, Public Mutual's AuM/revenues should move up, in our view, driving fee income visibility.
- The stock currently trades 0.9/1.4sd below the 5Y/10Y mean P/E. At its peak, the bank was at 20x leverage (in 2009), which came off to 10x in 2020 and 9.4x in 2024. In theory, the bank can increase leverage to support RoE by moving to IRB. As of now, there appear to be no plans to do so. If the bank were to choose to move toward capital management, RoE and, hence, the stock price could move up.

Valuation

Our Dec-25 PT of RM4.80 is based on a two-stage DDM methodology using the following valuation assumptions: RFR of 4.0%, CoE of 10.0%, normalized RoE of 12.4% and terminal growth of 3.5%.

Risks to Rating and Price Target

The single largest upside risk to our view is the late founder's additional shares (13.41% of total PBK shares) being absorbed by existing stakeholders, with no to limited impact on stock price. This could be negative if shares have to be sold in the open market, which is our base case. A better-than-expected synergy realization from LPI Capital poses upside risks to EPS. Other downside risks include NIM pressure due to lower loan yields (the bank is running loan campaigns) and increase in CoF as we get closer to year-end seasonality.

Public Bank: Summary of Financials

Income Statement						Balance Sheet					
	FY23A	FY24A	FY25E	FY26E	FY27E		FY23A	FY24A	FY25E	FY26E	FY27E
Interest income	21,921	23,121	24,160	24,797	25,900	Cash and cash equivalents	0	0	0	0	0
Interest expense	(11,304)	(11,963)	(12,555)	(12,715)	(13,226)	Deposits with banks	18,654	23,119	27,894	30,622	33,437
Net interest income	10,617	11,158	11,604	12,082	12,674	Net loans	394,750	420,472	443,475	469,292	496,702
Non interest income	2,476	2,853	3,054	3,233	3,429	PP&E	2,003	2,044	2,105	2,168	2,233
o/w Fee income	1,950	2,187	2,245	2,354	2,470	Net intangibles	2,590	2,799	3,499	3,429	3,361
o/w Trading income	410	520	627	688	759	LT investments	86,732	86,929	85,190	87,746	90,378
Net revenues	13,093	14,011	14,658	15,314	16,103	Other assets	5,869	7,500	9,250	9,470	9,696
Non interest expense	(4,415)	(4,828)	(5,128)	(5,501)	(5,903)	Total assets	510,598	542,863	571,413	602,727	635,808
o/w Employee costs	(3,196)	(3,551)	(3,764)	(4,065)	(4,390)	Interest earning assets	500,136	530,520	556,559	587,660	620,517
Pre-Prov. Profits	8,678	9,183	9,530	9,813	10,201	Deposits	412,897	433,264	456,138	482,267	509,901
Provisions	(157)	(1)	(179)	(237)	(250)	Borrowings	23,508	29,424	30,842	32,331	33,893
Adj. PBT	8,539	9,301	9,651	9,927	10,300	Other liabilities	17,813	20,527	21,349	22,203	23,091
Income taxes	(1,884)	(1,808)	(2,123)	(2,184)	(2,266)	Total liabilities	454,218	483,216	508,329	536,800	566,884
Minority interest	(6)	128	(15)	(15)	(16)	Shareholder equity	54,674	57,335	60,772	63,616	66,612
Adj. Net profit	6,649	7,621	7,513	7,727	8,018	Minority interests	1,706	2,311	2,311	2,311	2,311
PPOP per share	0.45	0.47	0.49	0.51	0.53	Total liabilities and Shareholder equity	510,598	542,863	571,413	602,727	635,808
Reported EPS	0.34	0.39	0.39	0.40	0.41	Interest bearing liabilities	436,405	462,689	486,981	514,597	543,794
Adj. EPS	0.34	0.39	0.39	0.40	0.41	Book Value Per Share	2.82	2.95	3.13	3.28	3.43
DPS	0.19	0.21	0.25	0.26	0.27	Tangible Book Value Per Share	2.73	2.83	3.01	3.16	3.31
Diluted shares outstanding	19,411	19,411	19,411	19,411	19,411						
Balance Sheet Gearing						Asset Quality/Capital					
	FY23A	FY24A	FY25E	FY26E	FY27E		FY23A	FY24A	FY25E	FY26E	FY27E
Loans/Deposits	95.6%	97.0%	97.2%	97.3%	97.4%	Loan loss reserves/Loans	(1.1%)	(0.9%)	(0.8%)	(0.8%)	(0.8%)
Investment/Assets	16.7%	16.5%	15.4%	14.7%	14.4%	NPLs/Loans	0.6%	0.5%	0.5%	0.5%	0.5%
Loan/Assets	77.3%	78.1%	78.2%	78.4%	78.6%	Loan loss reserves/NPLs	218.3%	174.2%	162.1%	157.2%	155.3%
Customer deposits/Liabilities	90.9%	89.7%	89.7%	89.8%	89.9%	NPL y/y growth	47.4%	(4.7%)	3.8%	3.9%	3.9%
LT debt/Liabilities	5.9%	5.6%	6.1%	6.0%	6.0%	Tier 1 ratio	15.3%	14.9%	14.7%	14.8%	14.8%
Ratio Analysis (%)							FY23A	FY24A	FY25E	FY26E	FY27E
	FY23A	FY24A	FY25E	FY26E	FY27E		FY23A	FY24A	FY25E	FY26E	FY27E
Net interest margin	2.2%	2.2%	2.2%	2.2%	2.2%	Return on equity (ROE)	12.7%	13.6%	12.7%	12.4%	12.3%
Non interest income/Net revenue	18.9%	20.4%	20.8%	21.1%	21.3%	Return on assets (ROA)	1.3%	1.4%	1.3%	1.3%	1.3%
Non interest income/Avg. Assets	0.5%	0.5%	0.5%	0.6%	0.6%	Operating ROA	1.7%	1.7%	1.7%	1.6%	1.6%
Efficiency ratio	33.7%	34.5%	35.0%	35.9%	36.7%	Pre-Tax ROA	1.7%	1.8%	1.7%	1.7%	1.7%
Leverage ratio	10.1%	9.9%	9.6%	9.6%	9.6%	Pre-Provision ROA	1.7%	1.7%	1.7%	1.7%	1.6%
Revenue/Assets	2.6%	2.7%	2.6%	2.6%	2.6%	Tax rate	22.1%	19.4%	22.0%	22.0%	22.0%
RORWA	2.1%	2.2%	2.1%	2.1%	2.1%						
RWA	333,774	349,571	365,704	379,718	400,559	Net loans y/y growth	5.9%	6.5%	5.5%	5.8%	5.8%
Avg. RWA	323,726	341,673	357,638	372,711	390,138	Assets y/y growth	3.5%	6.3%	5.3%	5.5%	5.5%
Avg. IEA	483,518	505,022	524,515	552,086	582,946	RWA y/y growth	6.4%	4.7%	4.6%	3.8%	5.5%
Gross Loans	398,997	424,171	447,130	473,041	500,551	Deposits y/y growth	4.6%	4.9%	5.3%	5.7%	5.7%
Avg. IBL	430,237	449,547	474,835	500,789	529,195	Net interest income y/y growth	(3.7%)	5.1%	4.0%	4.1%	4.9%
LLR	(4,247)	(3,699)	(3,655)	(3,749)	(3,850)	Revenues y/y growth	(2.6%)	7.0%	4.6%	4.5%	5.2%
NPLs	2,335	2,225	2,310	2,400	2,494	Adj. EPS y/y growth	8.7%	14.6%	(1.4%)	2.9%	3.8%
P/BV (x)	1.59	1.52	1.43	1.37	1.31	BVPS y/y growth	9.0%	4.9%	6.0%	4.7%	4.7%
Adj. P/E (x)	13.1	11.4	11.6	11.3	10.9	IE assets/Assets	96.3%	95.9%	94.1%	94.0%	94.1%
Dividend yield	4.2%	4.7%	5.6%	5.8%	6.0%	Margins (as % of Avg. Assets)	2.1%	2.1%	2.0%	2.0%	2.0%
Dividend payout	55.5%	53.5%	65.0%	65.0%	65.0%	LLP/Loans	(0.0%)	(0.0%)	(0.0%)	(0.1%)	(0.1%)
						Equity/Assets	10.4%	10.6%	10.6%	10.6%	10.5%
						Cost/Assets	0.9%	0.9%	0.9%	0.9%	1.0%
						Assets/Equity	9.6	9.4	9.4	9.4	9.5

Source: Company reports and J.P. Morgan estimates.

Note: RM in millions (except per-share data). Fiscal year ends Dec

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Completed 23 Mar 2025 05:40 PM HKT

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